

PROSPECTUS
US\$750,000,000 Perpetual Limited Recourse Secured Notes
(the "Notes")
issued by
AQUARIUS + INVESTMENTS PLC
(the "Issuer")
(incorporated with limited liability in Ireland)
pursuant to the
U.S.\$10,000,000,000
Limited Recourse Secured Debt Issuance Programme
(the "Programme")
and secured over
US\$750,000,000 in principal amount of the Perpetual Subordinated Capital Instruments of Swiss
Reinsurance Company Ltd with settlement for registered shares of Swiss Re Ltd
(the "Loan Instruments")

This prospectus (the "**Prospectus**") has been prepared, amongst other things, for the purpose of giving information with regard to the Issuer and the Notes.

Claims of the Noteholders will be limited in recourse to the Mortgaged Property (excluding the Mortgaged Property subject to the Managers' Security), consisting of, *inter alia*, the Charged Assets (as defined herein) and the Issuer's rights to acquire the Loan Instruments under the Loan Instruments Purchase Agreement (as defined herein). In particular, the Notes will not be guaranteed by, or otherwise be the responsibility of, the Loan Instruments Issuer or any of its affiliates.

This Prospectus should be read and construed in conjunction with the sections of the base prospectus (the "**Base Prospectus**") dated 25 August 2011 relating to the Programme of (amongst others) the Issuer that are incorporated herein, subject to the terms of "*Documents Incorporated by Reference*" below and the Loan Instruments Information Memorandum (as defined below).

See "*Additional Risk Factors*" on page 12 for a discussion of certain factors to be considered in connection with an investment in the Notes.

Application has been made to the Luxembourg Stock Exchange in its capacity as market operator of the Euro MTF market under the Luxembourg Law on Prospectuses for Securities to approve this document as a prospectus in relation to the Notes. Upon such approval, application will be made for the Notes to be admitted to trading on the Luxembourg Stock Exchange's Euro MTF market (the "**Euro MTF Market**"). There can be no assurance that such listing or admission to trading will be granted or, if granted, will be maintained. The Euro MTF Market is not a regulated market for the purposes of the Markets in Financial Instruments Directive 2004/39/EC. This Prospectus comprises a prospectus with regards to the Issuer and the Notes for the purposes of the rules and regulations of the Luxembourg Stock Exchange, but does not constitute a prospectus for the purposes of Article 5 of Directive 2003/71/EC.

The Notes will initially be represented by interests in a temporary Global Note in bearer form (a "**Temporary Global Note**") without interest coupons, which will be deposited with a common depositary on behalf of Euroclear Bank S.A./N.V. ("**Euroclear**") and Clearstream Banking, *société anonyme* ("**Clearstream, Luxembourg**") on 29 March 2012 (the "**Issue Date**"). Beneficial interests in the Temporary Global Note will be exchangeable for beneficial interests in a permanent Global Note in bearer form (a "**Permanent Global Note**" and, together with the Temporary Global Note, the "**Global Notes**"), without interest coupons, on the later of (i) 40 days after the date on which the Temporary Global Note is issued and (ii) expiry of the applicable Distribution Compliance Period (as defined in Regulation S under the Securities Act) (the "**Exchange Date**"), upon certification as to non-U.S. beneficial ownership. Interests in the Permanent Global Note will be exchangeable for definitive Notes only in certain limited circumstances—see the section of the Base Prospectus headed "*Form of the Notes*" on pages 28 to 30 of the Base Prospectus, which is incorporated by reference into this Prospectus.

NEITHER THE NOTES NOR THE DELIVERABLE SHARES (AS DEFINED BELOW) DELIVERABLE UPON STOCK SETTLEMENT (AS DEFINED BELOW) HAVE BEEN, OR WILL BE, REGISTERED UNDER THE SECURITIES ACT. THE NOTES MAY NOT BE OFFERED, SOLD OR DELIVERED WITHIN THE UNITED STATES OR TO, OR FOR THE ACCOUNT OR BENEFIT OF, U.S. PERSONS (AS DEFINED IN REGULATION S UNDER THE SECURITIES ACT), EXCEPT IN A TRANSACTION EXEMPT FROM, OR NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT. THE NOTES ARE NOT BEING OFFERED IN THE UNITED STATES OR TO U.S. PERSONS. THE ISSUER HAS NOT REGISTERED AND WILL NOT REGISTER UNDER THE INVESTMENT COMPANY ACT.

Arranger of the Programme

BNP PARIBAS

Joint Lead Managers

BNP PARIBAS

**BoFA MERRILL
LYNCH**

DEUTSCHE BANK

HSBC

J.P. MORGAN

Co-Managers

**COMMONWEALTH
BANK OF AUSTRALIA**

**MITSUBISHI UFJ
SECURITIES**

NORDEA

RBC CAPITAL MARKETS

The date of this Prospectus is 27 March 2012

This Prospectus has been prepared by the Issuer solely in connection with the offering of the Notes as described herein. Save as provided in the following paragraph, the Issuer accepts responsibility for the information contained in this Prospectus accordingly and the documents incorporated by reference as described in the section of this Prospectus headed "*Documents Incorporated by Reference — Documents relating to the Issuer and the Programme*" below. The Issuer declares that, having taken all reasonable care to ensure that such is the case, the information contained in that part of this Prospectus for which it is responsible and the documents incorporated by reference for which it is responsible as described in the section of this Prospectus headed "*Documents Incorporated by Reference — Documents relating to the Issuer and the Programme*" below are, to the best of its knowledge, in accordance with the facts and contain no omission likely to affect its import.

This Prospectus incorporates by reference the documents listed under "*Documents Incorporated by Reference — Documents relating to the Issuer and the Programme*" below. For the avoidance of doubt, it includes the form of the information memorandum in respect of the Loan Instruments (as defined below) (the "**Loan Instruments Information Memorandum**"), which is set out in the Appendix hereto. The information set out in the Appendix has been accurately reproduced from information published by Swiss Reinsurance Company Ltd (the "**Loan Instruments Issuer**"). So far as the Issuer is aware and is able to ascertain from information so published, no facts have been omitted from the Loan Instruments Information Memorandum which would render the reproduced or incorporated information inaccurate or misleading. To the best of the knowledge and belief of the Issuer (which has taken reasonable care to ensure that such is the case), the Loan Instruments Information Memorandum contains any and all information concerning the Loan Instruments Issuer and Swiss Re Ltd as the Issuer deems significant for the purposes of the Notes. Other than as provided for above, the Issuer shall have no responsibility for the information contained in the Loan Instruments Information Memorandum. Terms used but not otherwise defined in this Prospectus shall have the meanings given to them in the Loan Instruments Information Memorandum.

None of the Trustee, the Managers' Trustee, the Enforcement Agent or any of the Joint Lead Managers or the Co-Managers named on the cover page of this Prospectus (together, the "**Managers**" or the "**Dealers**") has separately verified all of the information contained in this Prospectus or the documents incorporated by reference as described in the section of this Prospectus headed "*Documents Incorporated by Reference — Documents relating to the Issuer and the Programme*" below. Accordingly, no representation, warranty or undertaking, express or implied, is or will be made and no responsibility or liability is or will be accepted by the Trustee, the Managers' Trustee, the Enforcement Agent or any Dealer as to the accuracy or completeness of the information contained in this Prospectus or the documents incorporated by reference as described in the section of this Prospectus headed "*Documents Incorporated by Reference — Documents relating to the Issuer and the Programme*" below. The statements made in this paragraph are made without prejudice to the responsibility of the Issuer in relation to the Notes.

No person is, has been or will be authorised to give any information or to make any representation not contained in or not consistent with this Prospectus or any other information supplied in connection with the Notes and, if given or made, such information or representation must not be relied upon as having been authorised by the Issuer, the Trustee, the Managers' Trustee, the Enforcement Agent or any Dealer.

Neither this Prospectus nor any other information supplied in connection with the Notes (a) is intended to provide the basis of any credit or other evaluation or (b) should be considered as a recommendation or as constituting an invitation or offer by the Issuer, the Trustee, the Managers' Trustee, the Enforcement Agent or any Dealer, that any recipient of this Prospectus or other information supplied in connection with the Notes should purchase any Notes. Each investor contemplating purchasing any Notes should make its own independent investigation of the financial condition and affairs, and its own appraisal of the creditworthiness, of the Issuer and the Loan Instruments Issuer (see the sections of this Prospectus and the Base Prospectus headed "*Additional Risk Factors*" and "*Risk Factors*", respectively, for a discussion of certain factors to be considered in connection with an investment in the Notes).

The delivery of this Prospectus or any other information supplied in connection with the Notes or the offering, sale or delivery of any Notes will not at any time or in any circumstances imply that the information contained herein or therein concerning the Issuer is correct at any time subsequent to the date hereof or thereof (as the case may be) or that any other information supplied in connection with the Notes is correct as of any time subsequent to the date indicated in the document containing the same. The Trustee, the Managers' Trustee, the Enforcement Agent and the Dealers expressly do not undertake to review the financial condition or affairs of the Issuer or the Loan Instruments Issuer.

This Prospectus does not constitute an offer to sell or the solicitation of an offer to buy any Notes in any jurisdiction to any person to whom it is unlawful to make such an offer or solicitation in such jurisdiction. The distribution of this Prospectus and the offer or sale of Notes may be restricted by law in certain jurisdictions. The Issuer, the Trustee, the Managers' Trustee, the Enforcement Agent and the Dealers do not represent that this Prospectus may be lawfully distributed, or that the Notes may be lawfully offered, in compliance with any applicable registration or other requirements in any such jurisdiction, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. Accordingly, the Notes may not be offered or sold, directly or indirectly, and neither this Prospectus nor any advertisements or other offering material may be distributed or published, in any jurisdiction except under circumstances that will result in compliance with any applicable laws and regulations. Persons into whose possession this Prospectus or any Notes come must inform themselves about, and observe, any such restrictions. See the section of the Base Prospectus headed "*Subscription and Sale*".

The Notes have not been approved or disapproved by the U.S. Securities and Exchange Commission, any state securities commission in the United States or any other U.S. regulatory authority, nor has any of the foregoing authorities passed upon or endorsed the merits of the offering of Notes or the accuracy or the adequacy of this Prospectus. Any representation to the contrary is a criminal offence in the United States.

Unless otherwise specified or the context requires, references to "**Euro**", "**euro**", "**EUR**" and "**€**" are to the currency introduced at the start of the third stage of European economic and monetary union pursuant to the Treaty establishing the European Community, as amended, references to "**CHF**" are to the lawful currency of Switzerland and references to "**US Dollars**", "**USD**" and "**US\$**" are to the lawful currency of the United States of America.

IMPORTANT NOTICES

NEITHER THE NOTES NOR THE DELIVERABLE SHARES (AS DEFINED BELOW) DELIVERABLE UPON STOCK SETTLEMENT (AS DEFINED BELOW) HAVE BEEN, OR WILL BE, REGISTERED UNDER THE UNITED STATES SECURITIES ACT OF 1933, AS AMENDED (THE "**SECURITIES ACT**") OR WITH ANY SECURITIES REGULATORY AUTHORITY OF ANY STATE OR OTHER JURISDICTION OF THE UNITED STATES. THE NOTES MAY NOT BE OFFERED, SOLD OR RESOLD WITHIN THE UNITED STATES OR TO, OR FOR THE ACCOUNT OR BENEFIT OF, U.S. PERSONS (AS DEFINED IN REGULATION S UNDER THE SECURITIES ACT ("**REGULATION S**")), EXCEPT IN A TRANSACTION EXEMPT FROM, OR NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT. THE NOTES WILL BE OFFERED AND SOLD ONLY OUTSIDE THE UNITED STATES TO NON-U.S. PERSONS IN COMPLIANCE WITH REGULATION S UNDER THE SECURITIES ACT ("**REGULATION S NOTES**"). THE ISSUER HAS NOT REGISTERED AND WILL NOT REGISTER UNDER THE INVESTMENT COMPANY ACT. INTERESTS IN THE NOTES WILL BE SUBJECT TO CERTAIN RESTRICTIONS ON TRANSFER. SEE THE SECTION OF THE BASE PROSPECTUS ENTITLED "*SUBSCRIPTION AND SALE*". EACH PURCHASER OF THE NOTES IN MAKING ITS PURCHASE WILL BE DEEMED TO HAVE MADE CERTAIN ACKNOWLEDGEMENTS, REPRESENTATIONS AND AGREEMENTS AS SET OUT UNDER THE SECTION OF THE BASE PROSPECTUS ENTITLED "*SUBSCRIPTION AND SALE*".

If you are in any doubt about the contents of this Prospectus you should consult your stockbroker, bank manager, solicitor, accountant or other financial adviser. It should be remembered that the market value of the Notes and the income from them can go down as well as up.

General Notice

EACH PURCHASER OF THE NOTES MUST COMPLY WITH ALL APPLICABLE LAWS AND REGULATIONS IN FORCE IN EACH JURISDICTION IN WHICH IT PURCHASES, OFFERS OR SELLS SUCH NOTES OR POSSESSES OR DISTRIBUTES THIS PROSPECTUS AND MUST OBTAIN ANY CONSENT, APPROVAL OR PERMISSION REQUIRED FOR THE PURCHASE, OFFER OR SALE BY IT OF SUCH NOTES UNDER THE LAWS AND REGULATIONS IN FORCE IN ANY JURISDICTIONS TO WHICH IT IS SUBJECT OR IN WHICH IT MAKES SUCH PURCHASES, OFFERS OR SALES, AND NEITHER THE ISSUER, NOR THE DEALERS SPECIFIED HEREIN SHALL HAVE ANY RESPONSIBILITY THEREFOR.

THE NOTES ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE SECURITIES ACT AND THE APPLICABLE STATE SECURITIES LAWS, PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM AND PURSUANT TO AND IN ACCORDANCE WITH THE RESTRICTIONS INDICATED ON THE NOTES. INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

An investment in the Notes is subject to significant and complex risks which may result in the value of the Notes being highly volatile and in unexpected losses of unforeseen magnitude. No person should acquire any Notes unless that person fully understands the nature of the relevant transaction, the nature of the risks and the extent of that person's exposure to potential loss and has a valid business purpose for acquiring such Notes and any investment in such Notes is consistent with such person's overall investment strategy. Each prospective purchaser of the Notes should consider carefully whether the Notes it considers acquiring are suitable for it in the light of such prospective purchaser's investment objectives, financial capabilities and expertise. Prospective purchasers of the Notes should consult their own business, financial, investment, legal, accounting, regulatory, tax and other professional advisers to assist them in determining the suitability of the Notes for them as an investment. See "*Risk Factors*" in the Base Prospectus and "*Additional Risk Factors*" in this Prospectus.

TABLE OF CONTENTS

	Page
Summary	6
Additional Risk Factors	12
Documents Incorporated by Reference.....	18
Additional Terms and Conditions	20
Managers' Interests	42
Swiss Taxation	43
General Information	47
Appendix	
Form of Loan Instruments Information Memorandum.....	49

SUMMARY

This summary must be read as an introduction to this Prospectus and any decision to invest in the Notes should be based on a consideration of the Prospectus as a whole, including the documentation incorporated herein by reference, and the risks described herein and therein.

THE NOTES

Issuer:	The Issuer of the Notes is Aquarius + Investments PLC, a public limited company incorporated with limited liability in Ireland. The Issuer is established as a special purpose vehicle, the principal activities of which are the acquisition of financial assets, the issuance of financial instruments and related transactions.
Managers:	BNP Paribas Deutsche Bank AG, London Branch HSBC Bank plc J.P. Morgan Securities Ltd. Merrill Lynch International Commonwealth Bank of Australia Mitsubishi UFJ Securities International plc Nordea Bank Danmark A/S RBC Europe Limited
Notes:	US\$750,000,000 Perpetual Limited Recourse Secured Notes of the Issuer secured over US\$750,000,000 in principal amount of the Perpetual Subordinated Capital Instruments of Swiss Reinsurance Company Ltd (the " Loan Instruments Issuer ") subject to settlement for registered shares of Swiss Re Ltd (" SRL " and, together with the Loan Instruments Issuer, the " Charged Assets Issuers ") (or, in certain circumstances, other securities).
Specified Denominations:	US\$200,000 and integral multiples of US\$5,000 in excess thereof.
Issue Price:	100%.
Loan Instruments:	US\$750,000,000 8.25% Perpetual Subordinated Capital Instruments with Stock Settlement (the " Loan Instruments "). The Loan Instruments are issued by the Loan Instruments Issuer pursuant to an information memorandum dated 27 March 2012 (the " Loan Instruments Information Memorandum ").
Charged Assets:	The Loan Instruments, any Settlement Consideration (as defined in the Loan Instruments Information Memorandum) delivered to or for the account of the Issuer (the " Deliverable Consideration ").

and any assets and/or other property derived therefrom.

Redemption:	Subject to early redemption, the Notes are perpetual but the Issuer's obligations thereunder may be discharged in whole or in part by delivery of the Deliverable Consideration following the occurrence of stock settlement under the Loan Instruments in accordance with the stock settlement provisions described in Annex 1 to the Additional Terms and Conditions.
Interest:	On each date that the Issuer receives an amount in respect of interest on the Loan Instruments, it shall apply such amounts in payment of the Note Interest Amounts on the Notes, provided that if such day is not a Payment Day in respect of the Notes such amounts shall be so applied on the following Payment Day.
Security:	As security for its obligations in respect of the Notes, the Issuer will grant security over, amongst other things, the Charged Assets, its account with the Custodian in respect of the Notes, its rights under the Custodial Services Agreement and the Agency Agreement and its rights under the Loan Instruments Purchase Agreement except to the extent subject to the Managers' Security (as defined in Annex 1 to the Additional Terms and Conditions). The Loan Instruments (which constitute Charged Assets) will be held for the account of the Issuer.
Managers' Security:	As security in respect of any claim a Manager may have against the Issuer under the Subscription Agreement arising from any representation, warranty, covenant or agreement given therein by the Issuer regarding the Loan Instruments, the Loan Instruments Issuer and the Loan Instruments Information Memorandum prepared by the Loan Instruments Issuer in respect of the Loan Instruments, the Issuer will grant security over its rights in the Loan Instruments Purchase Agreement (as defined in paragraph 41 of the Additional Terms and Conditions) other than its right to acquire the Loan Instruments arising thereunder. No Noteholder shall have any interest in the Mortgaged Property subject to the Managers' Security, which shall not form part of the Mortgaged Property subject to the Noteholders' Security. If the Managers' Security becomes enforceable, the security for the Notes shall not consequently become enforceable and the Notes shall not be affected thereby and shall accordingly remain outstanding.
Priority of payments and limited recourse:	Payments on the Notes following any enforcement of the security therefor will be made in accordance with a specified priority of payments. Payments to holders of the Notes will be subordinated to the claims of certain other creditors, including the Trustee, the Managers' Trustee and the Agents. Payments on the Notes are subject to limited recourse provisions.
Tax:	The Issuer will not be required to make any additional payment to investors if it is required to withhold or deduct any amount on account of tax from any payments on the Notes.

Listing, approval and admission to trading:	Application has been made to the Luxembourg Stock Exchange in its capacity as market operator of the Euro MTF market under the Luxembourg Law on Prospectuses for Securities to approve this document as a prospectus in relation to the Notes. Upon such approval, application will be made for the Notes to be admitted to trading on the Luxembourg Stock Exchange's Euro MTF market (the "Euro MTF Market"). The Euro MTF Market is not a regulated market for the purposes of the Markets in Financial Instruments Directive 2004/39/EC. No assurances can be given that such listing and admission to trading will be approved.
Form of Notes:	The Notes will be issued in bearer form. Notes will be represented by interests in a global note which will be subject to clearing through Euroclear and Clearstream, Luxembourg. The addresses of Euroclear and Clearstream, Luxembourg are: Euroclear Bank 1 Boulevard du Roi Albert II B - 1210 Brussels Tel: +32 (0)2 326 1211 Fax: +32 (0)2 326 1287 Clearstream Banking SA 42 Avenue JF Kennedy L-1855 Luxembourg Luxembourg
Governing law:	The Notes and any related documentation will be governed by English law. The Loan Instruments will be governed by Swiss law.
Offering:	The Notes may be offered and sold in accordance with Regulation S, to non-U.S. persons (as defined in Regulation S) in offshore transactions. Sales and transfers of the Notes will be subject to further restrictions.
Selling Restrictions:	United States, the European Economic Area, Switzerland, Hong Kong, Singapore and such other restrictions as may be required in connection with the offering and sale of the Notes.
Rating:	The Notes will not be rated.
Risk Factors:	There are certain factors that may affect the Issuer's ability to fulfil its obligations under the Notes. Certain of these are set out under the sections entitled "<i>Additional Risk Factors</i>" below and "<i>Risk Factors</i>" on pages 8 to 22 of the Base Prospectus and include the following risk factors related to the Issuer: (a) the Issuer is a special purpose vehicle: the Issuer is not an operating company. The Issuer has, and will have, no assets other than certain assets relating to the Programme;

- (b) the Issuer is not but may become regulated by a regulatory authority: the Issuer is not, nor is required to be, licensed, registered or authorised under any current securities, commodities or banking laws of its jurisdiction of incorporation and the Issuer operates and will operate without supervision by any authority in any jurisdiction. There is no assurance, however, that regulatory authorities in one or more jurisdictions would not take a contrary view regarding the applicability of any such laws to the Issuer. Any investment in the Notes does not have the status of a bank deposit in Ireland and is not within the scope of the deposit protection scheme operated by the Irish Financial Services Regulatory Authority. The Issuer is not regulated by the Irish Financial Services Regulatory Authority by virtue of the issue of the Notes;
- (c) examinership: if an examiner is appointed to the Issuer, the Trustee would be precluded from enforcing the security over any Mortgaged Property (as defined in Condition 3(a) (*Security*)) during the period of the examinership; and
- (d) preferred creditors: preferred creditors under Irish law and Fixed Security: under Irish law, upon an insolvency of an Irish company such as the Issuer, when applying the proceeds of assets subject to fixed security which may have been realised in the course of a liquidation or receivership, the claims of a limited category of preferential creditors will take priority over the claims of creditors holding the relevant fixed security. These preferred claims include the remuneration, costs and expenses properly incurred by any examiner of the company which have been approved by the Irish courts.

In addition, there are certain factors which are material for the purpose of assessing the risks related to the Notes, including the following:

- (i) the Notes are limited recourse: all payments to be made by the Issuer in respect of the Notes will be made only from and to the extent of the sums received or recovered by or on behalf of the Issuer or the Trustee in respect of the relevant Mortgaged Property in respect of the Notes (for the avoidance of doubt, excluding the Mortgaged Property subject to the Managers' Security) and the Notes will not be guaranteed by, or otherwise be the responsibility of, the Loan Instruments Issuer or any of its affiliates;
- (ii) ranking of claims: the claims of Noteholders rank junior to those of certain other transaction parties including the claims of the Trustee for its fees and expenses;
- (iii) secondary markets: no assurance of market liquidity is given and, in the unlikely event that a secondary market in

the Notes does develop, there can be no assurance that it will continue;

- (iv) taxation: each Noteholder will assume and be solely responsible for any and all taxes of any jurisdiction or governmental or regulatory authority that may be applicable to any payment to it in respect of the Notes;
- (v) credit risk: a prospective purchaser of the Notes should have such knowledge and experience in financial and business matters and expertise in assessing credit risk that it is capable of evaluating the merits, risks and suitability of investing in the Notes including any credit risk associated with the Issuer and the Loan Instruments;
- (vi) risks in respect of the Charged Assets: the Issuer's ability to pay or deliver amounts in respect of the Notes will be limited to it having received such amounts from the Loan Instruments and a prospective purchaser of the Notes should have regard to the risks and investment considerations set out in the section of the Loan Instruments Information Memorandum headed "*Risk Factors*", on pages A-21 to A-52 (inclusive) thereof;
- (vii) stock settlement: the Issuer has undertaken that it will always exercise any stock settlement right as a holder of the Loan Instruments by delivering, or by procuring that the Custodian delivers, an Exercise Notice and, consequently, the Noteholders will not have a right to object to a proposed stock settlement and will receive the Deliverable Consideration if, and to the extent that, the Loan Instruments Issuer exercises any of its stock settlement options;
- (viii) limitations on enforcement against the Loan Instruments Issuer: in no circumstances shall the Trustee or, as the case may be, the Managers' Trustee be permitted when acting in its capacity as trustee for the Noteholders or the Managers, nor shall the Noteholders or the Managers, (when acting in their respective capacities) be permitted, to take any action against the Loan Instruments Issuer or enforce any claim that the Issuer or SRL may have against the Loan Instruments Issuer under Loan Instruments or otherwise whether before, upon, or after any security created by or pursuant to the Trust Deed becoming enforceable, such action only to be taken by the Redemption Agent or the Enforcement Agent, as applicable;
- (ix) provision of information: any of the Issuer, the Trustee, the Dealers or any affiliate may have acquired, or during the term of the Notes may acquire, non-public information with respect to the Loan Instruments Issuer or SRL. None of such persons is under any obligation to make such information directly available to Noteholders. None of

such persons is under any obligation to make available any information relating to, or keep under review on the Noteholders' behalf, the business, financial conditions, prospects, creditworthiness or status of affairs of the Loan Instruments Issuer or SRL or conduct any investigation or due diligence into the Loan Instruments Issuer or SRL;

- (x) business relationships: the Issuer, the Dealers or any affiliate may have existing or future business relationships with the Loan Instruments Issuer or SRL, and will pursue actions and take steps that they deem or it deems necessary or appropriate to protect their or its interests arising therefrom without regard to the consequences for a Noteholder;
- (xi) legality of purchase: none of the Issuer, the Trustee, the Dealers nor any affiliate has or assumes responsibility for the lawfulness of the acquisition of the Notes by a prospective purchaser of the Notes. However, notwithstanding the lawfulness of any acquisition of the Notes, where a Note is held by or on behalf of a U.S. person (as defined in Regulation S) who is not an eligible investor for U.S. securities law purposes at the time it purchases such Note, the Issuer may, in its discretion, redeem the Notes of any such holder who holds any Note in violation of the application transfer restrictions or compel any such holder to transfer the Notes to an eligible investor, in each case, at the expense and risk of such holder;
- (xii) enforcement of legal liabilities: it may not be possible to enforce, in original actions in Irish courts or Luxembourg courts, liabilities predicated solely on the U.S. federal securities laws. None of the shareholders or directors of the Issuer has any direct obligation to any Noteholders, for payment of any amount by the Issuer in respect of the Notes;
- (xiii) listing: if at any time the maintenance of any listing is agreed by each Dealer to have become unduly onerous in relation to the Issuer, the Issuer may obtain and maintain a listing of such Notes on such other major stock exchange (which may or may not be a Regulated Market) as it may (with the consent of the Dealers) decide; and
- (xiv) SIX disclosure obligations: as a consequence of the stock settlement feature of the Loan Instruments, Noteholders may be or become subject to disclosure obligations under applicable insurance or stock exchange regulations prior to, and as a result of, the delivery of any shares constituting Deliverable Consideration.

ADDITIONAL RISK FACTORS

The following are supplemental to the considerations set out in the Base Prospectus and incorporated by reference into this Prospectus. Capitalised terms used in this section of this Prospectus have the meaning given in the conditions of the Notes or the conditions of the Loan Instruments.

Investors are exposed to the risk of total or partial loss of their investment.

Investor Suitability

Each potential investor in the Notes must determine the suitability of that investment in light of its own circumstances. In particular, each investor should:

- (a) have the requisite knowledge and experience in financial and business matters to evaluate the merits and risks of an investment in the Notes and the rights attaching to the Notes and the information contained or incorporated by reference in this Prospectus or any applicable supplement;
- (b) be capable of bearing the economic risk of an investment in the Notes for an indefinite period of time;
- (c) understand thoroughly the terms of the Notes and be familiar with the behaviour of the relevant financial markets;
- (d) have access to, and knowledge of, appropriate analytical tools to evaluate, in the context of its particular financial situation, an investment in the Notes and the impact the Notes will have on its overall investment portfolio; and
- (e) be able to evaluate (either alone or with the help of a financial adviser) possible scenarios for economic, interest rate and other factors that may affect its investment and its ability to bear the applicable risks.

No investigations

No investigations, searches or other enquiries have been made by or on behalf of the Issuer, the Managers, the Trustee, the Managers' Trustee or the Enforcement Agent in respect of the Loan Instruments and no representations or warranties, express or implied, have been given by the Issuer, the Managers, the Trustee, the Managers' Trustee, the Enforcement Agent or any other person on their behalf in respect of the Loan Instruments.

Potential conflicts of interest

The Managers and their affiliates have engaged in, or may in the future engage in, investment banking and other commercial dealings in the ordinary course of business with the Issuer, each Charged Assets Issuer or their respective affiliates. They have received, or may in the future receive, customary fees and commissions for these transactions.

In addition, in the ordinary course of their business activities, the Managers and their affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (including bank loans) for their own account and for the accounts of their customers. Such investments and securities activities may involve securities and/or instruments of the Issuer, each Charged Assets Issuer or their respective affiliates. Certain of the Managers or their affiliates that have a lending relationship with the Issuer, each Charged Assets Issuer or their respective affiliates routinely hedge their credit exposure to the Issuer, each Charged Assets Issuer or their respective affiliates consistent with their customary risk management policies. Typically, such Managers and their affiliates

would hedge such exposure by entering into transactions which consist of either the purchase of credit default swaps or the creation of short positions in the Issuer's, the Loan Instruments Issuer's or their respective affiliates' securities, including potentially the Notes offered hereby. Any such short positions could adversely affect future trading prices of the Notes offered hereby. The Managers and their affiliates may also make investment recommendations and/or publish or express independent research views in respect of such securities or financial instruments and may hold, or recommend to clients that they acquire, long and/or short positions in such securities and instruments.

Possibility of U.S. withholding tax on payments

In certain circumstances payments to the Issuer may be subject to U.S. withholding tax if it fails to enter into an agreement with the IRS (as described below). In addition, a holder of the Notes may become subject to U.S. withholding at a rate of 30 per cent. on all, or a portion of, certain payments in respect of the Notes made to it after 31 December 2016 in the case of passthru payments if, as expected, the Notes are treated as equity for U.S. federal tax purposes or if the Notes are treated as debt for U.S. federal tax purposes and are significantly modified after 31 December 2012. Recently released proposed regulations contain an exception that provides that the new withholding tax rules will not apply to debt instruments that are outstanding on 1 January 2013 (provided that they are not significantly modified on or after that date). The IRS's guidance in this regard is only preliminary, and the scope of these rules remains unclear and potentially subject to material changes.

On 18 March 2010, the United States enacted sections 1471 through 1474 of the U.S. Internal Revenue Code. ("FATCA"). Under FATCA, a non-U.S. financial institution generally will be required to enter into an agreement (an "FFI Agreement") with the U.S. Internal Revenue Service (the "IRS") to identify "financial accounts" held by U.S. persons or entities with substantial U.S. ownership, as well as accounts of other financial institutions that are not themselves participating in (or otherwise exempt from) the FATCA reporting regime. For these purposes, the term financial institution includes, among others, banks, insurance companies and entities that are engaged primarily in the business of investing, reinvesting or trading in securities, commodities or partnership interests, including securitization vehicles. If a participating financial institution makes a relevant payment to an accountholder that has not provided information requested to establish that the accountholder is exempt from reporting under the rules, or if the recipient of the payment is a non-participating financial institution (that is not otherwise exempt), the payor may be required to withhold 30 per cent. on a portion of the payment. The IRS has indicated an intention to treat, for example, interest and principal paid by a participating financial institution as being subject to this 30% withholding, but only in proportion to the value of the financial institution's direct and indirect U.S. assets as compared to its total assets. However, the IRS is further considering the treatment of these so-called "passthru payments" and it is not clear how this rule will ultimately apply to the Issuer or the Notes.

If the Issuer is required to enter into an FFI Agreement and fails to do so, or fails to comply with its obligations under that agreement, the Issuer would be subject to 30 per cent. withholding on all, or a portion of, payments received from U.S. sources and from participating or deemed compliant Foreign Financial Institutions. It is unclear whether the Loan Instruments Issuer will be a Foreign Financial Institution and, if it were, whether the Loan Instruments would be instruments on which passthru payment withholding would be required.

The relevant rules have not yet been fully developed and the future application of FATCA to the Issuer and the holders of Notes is uncertain. If the Issuer determines that it must comply with FATCA in order to receive certain payments free of U.S. withholding tax, Noteholders may be required to provide certain information or be subject to withholding on certain payments (including payments upon redemption of Notes) made to them. The withholding obligation in respect of a non-participating financial institution may apply whether the financial institution is receiving payments for its own account or on behalf of another person. If a holder is subject to withholding on account of FATCA, there will be no additional amount payable by way of compensation to the holder for the deducted amount. An investor that is able to claim the benefits of an income tax treaty between its own jurisdiction and the United States may be entitled to a

refund of amounts withheld pursuant to the FATCA rules, though the investor would have to file a U.S. tax return to claim this refund and would not be entitled to interest from the IRS for the period prior to the refund.

THE FATCA PROVISIONS ARE PARTICULARLY COMPLEX AND THEIR APPLICATION TO THE ISSUER IS UNCERTAIN AT THIS TIME. EACH HOLDER OF NOTES SHOULD CONSULT ITS OWN TAX ADVISOR TO OBTAIN A MORE DETAILED EXPLANATION OF THE FATCA PROVISIONS AND TO LEARN HOW THIS LEGISLATION MIGHT AFFECT EACH HOLDER IN ITS PARTICULAR CIRCUMSTANCE.

Risk Factors in relation to the Loan Instruments

Potential investors should make their own investigations in respect of each Charged Assets Issuer and the Loan Instruments, including having regard to the risks and investment considerations set out in the Loan Instruments Information Memorandum. The Issuer's ability to pay or deliver amounts in respect of the Notes will be limited to it having received such amounts from the Loan Instruments. Investors' attention is therefore drawn to the risk factors contained in the section of the Loan Instruments Information Memorandum headed "*Risk Factors*", on pages A-21 to A-52 (inclusive) thereof.

Payments on the Notes are linked to payments on the Loan Instruments

Investors should note that the performance of the Notes is linked to the performance of the Loan Instruments. Any event that causes the Loan Instruments Issuer not to make all or part of any scheduled payments or deliveries on the Loan Instruments, or to delay any such payments or deliveries, will result in corresponding reductions and delays in respect of principal and interest payable in respect of the Notes. In particular, investors should note that the Loan Instruments Issuer may elect or may be required to cancel interest that would otherwise be payable in respect of the Loan Instruments. The Notes may also be redeemed earlier than anticipated due to events affecting the Loan Instruments, all as more particularly set out in the Loan Instruments Information Memorandum. Certain of these events may cause significant losses to Noteholders and may result in the Notes paying no interest or redeeming at zero.

The Issuer has undertaken to exercise any Stock Settlement Right in respect of the Loan Instruments

The Loan Instruments Issuer shall have options (each a "**Stock Settlement Option**"), exercisable at any time, and from time to time, to grant the holders of the Charged Assets, including the Issuer, a right (the "**Stock Settlement Right**") to receive Settlement Consideration (as defined in the Loan Instruments Offering Memorandum) by giving notice to the holders of the Loan Instruments ("**Stock Settlement**"). In accordance with the Conditions, the Issuer will always exercise any Stock Settlement Right as a holder of the Loan Instruments by delivering an Exercise Notice (as defined in the Loan Instruments Information Memorandum) in accordance with the Loan Instruments Information Memorandum. Consequently, the Noteholders will not have a right to deliver a Stock Settlement Right Objection Notice and will receive the Deliverable Consideration if, and to the extent that, the Loan Instruments Issuer exercises its Stock Settlement Option. With this in mind, investors' attention is drawn to the risk factors contained in the section of the Loan Instruments Information Memorandum headed "*Risk Factors - Risks Relating to Stock Settlement under the Loan Instruments*", on pages A-48 to A-52 (inclusive) thereof.

Costs and expenses relating to Stock Settlement

In the event that any costs and/or expenses (the "**Delivery Expenses**") are incurred by the Issuer or the Custodian in the course of holding any Settlement Shares (as defined in the Loan Instruments Information Memorandum) delivered to or for the account of the Issuer (the "**Deliverable Shares**") or effecting delivery of any Deliverable Shares to a Noteholder, such Delivery Expenses will be payable by such Noteholder. The Issuer will be entitled to apply any Cash Payment for Fractions (as defined in the Loan Instruments Information Memorandum) and any unpaid interest in respect of the Notes held by the Issuer or on its behalf

towards satisfying the Delivery Expenses and, thereafter, may fund any outstanding Delivery Expenses payable by such Noteholder by procuring the sale of a required amount of the Deliverable Shares by the Redemption Agent.

Possible disclosure obligations as a result of stock settlement feature of Loan Instruments

As a consequence of the stock settlement feature of the Loan Instruments, Noteholders may be or become subject to disclosure obligations under applicable insurance or stock exchange regulations prior to, and as a result of, the delivery of the Deliverable Shares. See "*Certain Information about SRL — Disclosure of Shareholdings*" on page A-146 of the Loan Instruments Information Memorandum for further details.

Redemption for taxation reasons

If the Issuer (A) would be required by law to withhold or account for tax, (B) would suffer tax in respect of its income in respect of the Loan Instruments or (C) would receive net of tax any payment in respect of the Loan Instruments, so that it would be unable to make payment of the full amount scheduled in respect of the Notes, then (subject to certain exceptions as specified in Condition 7(c)) the Issuer may use its reasonable endeavours to arrange the substitution of it as obligor under the Notes in order to cure such withholding or accounting. However if it is unable to or does not so arrange such substitution, the Issuer shall notify the Noteholders that all payments in respect of the Notes shall thereafter be made subject to and after deduction of all applicable taxes. Such deduction shall not constitute an Event of Default under Condition 11 (*Events of Default*). Following such notification, Noteholders may (other than in the case of (C) above) require the Issuer to redeem Notes by Cash Settlement at their Early Redemption Amount, subject to deduction of certain costs and expenses, all as further described in Condition 7(c) (*Redemption for Taxation Reasons*). See the section entitled "*Taxation*" on pages 168 to 172 of the Base Prospectus.

Although the terms of the Loan Instruments provide that, in the event of any withholding or deduction on account of Swiss tax being required by Swiss law, the Loan Instruments Issuer shall pay additional amounts so that the net amount received by the holders of the Loan Instruments shall, subject to certain exceptions, equal the amount which would have been received by such holder in the absence of such withholding or deduction, such an obligation may contravene Swiss legislation and be null and void. Although the terms of the Loan Instruments provide in such circumstance for the rate of interest on the Loan Instruments to be adjusted to take into account such withholding or deduction such adjustment may also contravene Swiss legislation and be null and void. In that event, the Loan Instruments may become subject to redemption and the amount received by the Issuer, as the holder of the Loan Instruments, and the corresponding amounts payable by the Issuer to the holders of the Notes would be reduced by any such withholding or deduction. However, in such circumstance, Noteholders shall not have the right to require the Issuer to redeem Notes at their Early Redemption Amount in accordance with Condition 7(c) (*Redemption for Taxation Reasons*).

Purchase, Exchange or Retirement of Notes: Tender Offers and Exchange Offers

The terms of the Notes provide that in certain circumstances (as set out in paragraph 29 under "Additional Terms and Conditions"), the Issuer may participate in a Tender Offer or an Exchange Offer (each as defined in the Additional Terms and Conditions) of the Loan Instruments Issuer with respect to the Loan Instruments. If, in such circumstances, the Loan Instruments Issuer defaults in the performance of its payment or delivery obligations under the terms of any such Tender Offer or Exchange Offer, then the Issuer will not be able to satisfy its corresponding payment or delivery obligations to Noteholders in respect of any corresponding Aquarius Tender Offer or Aquarius Exchange Offer (each as defined in the Additional Terms and Conditions). Any failure by the Issuer to make a payment or delivery due in connection with any Aquarius Tender Offer or Aquarius Exchange Offer shall constitute a default in payment in respect of the Notes for purposes of Condition 11(a) (*Events of Default*), leading to the security for the Notes becoming enforceable. Accordingly, Noteholders must recognise that they will be exposed to the risk of default by the Loan Instruments Issuer in respect of any Tender Offer or Exchange Offer, regardless of whether or not they participate in any corresponding Aquarius Tender Offer or Aquarius Exchange Offer. Any Aquarius Tender

Offer or Aquarius Exchange Offer is subject to any terms or conditions required by the Trustee and, for so long as the Notes are listed on the official list of the Luxembourg Stock Exchange and admitted to trading on Euro MTF Market of the Luxembourg Stock Exchange, all applicable rules and regulations of the Luxembourg Stock Exchange.

Modification, waivers and substitution

The conditions of the Notes contain provisions for calling meetings of Noteholders to consider matters affecting their interests generally. These provisions permit defined majorities to bind all Noteholders, including Noteholders who did not attend and vote at the relevant meeting and Noteholders who voted in a manner contrary to the majority.

The conditions of the Notes also provide that the Trustee may, in certain circumstances described in Condition 17 (*Meetings of Noteholders; Modification, Waiver and Substitution*) and in the Trust Deed, without the consent of Noteholders, agree to (i) any modification of, or to the waiver or authorisation of any breach or proposed breach of, any of the provisions of Notes which in the opinion of the Trustee is not materially prejudicial to the interests of the Noteholders or (ii) any modification of the same which is of a formal, minor or technical nature or to cure a manifest error.

Transfer restrictions in Loan Instruments

The Issuer shall be subject to certain transfer restrictions applicable to the Loan Instruments in relation to any disposal of the Loan Instruments. Neither the Redemption Agent nor the Enforcement Agent acting on behalf of the Issuer shall, and shall not be required to, dispose of the Loan Instruments where such disposal would violate any such transfer restrictions. These transfer restrictions may limit the ability of the Issuer to dispose of the Loan Instruments.

Custody risk

Following an exercise by the Loan Instruments Issuer of a Stock Settlement Option, the Deliverable Shares will be delivered to the Custodian in uncertificated form. For so long as the Notes are represented by a Global Note deposited with a common depositary on behalf of Euroclear and/or Clearstream, Luxembourg, the Custodian will then deliver the Deliverable Shares to or for the account of the Noteholders with the relevant clearing system.

Prospective investors' attention is drawn to the provisions in the Custodial Services Agreement which enable the Custodian to pool the Issuer's property with other property of the same type belonging to other customers of the Custodian (and in certain limited circumstances, with its own property). In such circumstances, in the event of the Custodian's insolvency, the Issuer's assets may not be as well protected from claims made on behalf of the general creditors of the relevant entity. At any time while the Custodian is the holder of the Deliverable Shares, the Issuer, and therefore the Noteholders, will be exposed to the creditworthiness of such party and will only be able to receive the Deliverable Shares under the Notes in accordance with the Conditions, and payments thereunder, to the extent that such party is willing and able to deliver them.

Limitations on enforcement against the Loan Instruments Issuer

In no circumstances shall the Trustee or, as the case may be, the Managers' Trustee, be permitted when acting in its capacity as trustee for the Noteholders or the Managers, nor shall the Noteholders or the Managers, (when acting in their respective capacities) be permitted, to take any action against either Charged Assets Issuer or enforce any claim that the Issuer may have against the Loan Instruments Issuer under Loan Instruments or otherwise whether before, upon, or after any security created by or pursuant to the Trust Deed becoming enforceable (the "**Enforcement Restriction**").

If the Loan Instruments (or part thereof) become due and repayable by reason of default in payment or otherwise, or if there is a default in payment on exercise of any optional settlement in relation to the Loan

Instruments that is continuing after any grace period applicable thereto, then the Issuer may (provided that the Noteholders' Security has not become enforceable) procure that the Redemption Agent (subject to being secured and/or indemnified and/or prefunded its satisfaction) takes such steps as are necessary or appropriate to attempt to enforce the Issuer's rights in respect of the Loan Instruments, but shall not, unless so directed by the Trustee acting at the direction of an Extraordinary Resolution of Noteholders, request that the Redemption Agent disposes of the Loan Instruments in accordance with the Conditions.

Following the occurrence of an Event of Default and acceleration of the Notes in accordance with Condition 11 (*Events of Default*), the Trustee at its discretion may, and shall (i) if directed by an Extraordinary Resolution of the Noteholders or so requested in writing by the holders of at least one-fifth of the principal amount of the Notes then outstanding and (ii) if indemnified to its satisfaction, institute such proceedings against the Issuer to enforce the provisions of the Notes and/or the Trust Deed, subject always to the Enforcement Restriction.

The Enforcement Agent shall, if the Issuer is directed by an Extraordinary Resolution of the Noteholders or requested in writing by the holders of at least one fifth of the principal amount of the Notes then outstanding, and subject to having been indemnified and/or secured and/or prefunded to its satisfaction, exercise and/or enforce on behalf of the Issuer as the Issuer's agent any claim that the Issuer may have against the Loan Instruments Issuer under the Loan Instruments and/or the Loan Instruments Purchase Agreement or take any action against the Loan Instruments Issuer and/or dispose of the Loan Instruments. Any such action brought by the Enforcement Agent against the Loan Instruments Issuer shall be taken by the Enforcement Agent acting as agent of the Issuer and not, for the avoidance of doubt, as trustee for the Noteholders and no Noteholder shall be entitled to give directions to the Enforcement Agent in relation to the manner in which any such action is pursued against the Loan Instruments Issuer. In no circumstances will any Charged Assets be delivered to a Noteholder.

The Trustee and the Noteholders are subject to the Enforcement Restriction and may not take enforcement action even (in the case of the Trustee) if directed to do so by the Noteholders. The Noteholders will have no right to take possession of the Charged Assets or take any action against the Loan Instruments Issuer.

Payments

No person other than the Issuer will be obliged to make payments on the Notes.

Managers' Security

The proceeds of enforcement of the Managers' Security (as defined below) will be held by the Enforcement Agent on trust for the Managers and, subject to the prior ranking claims of the Managers' Trustee and the Enforcement Agent, applied in respect of any Managers' Claims (as defined below). Noteholders have no direct or indirect interest in the Managers' Security and will not be entitled to the proceeds of enforcement of the Managers' Security.

DOCUMENTS INCORPORATED BY REFERENCE

Documents relating to the Issuer and the Programme

This Prospectus should be read and construed in conjunction with:

- (a) the following sections of the Base Prospectus dated 25 August 2011 (the "**Base Prospectus**") in relation to the Programme of, amongst others, the Issuer:
 - (i) "**Risk Factors**", pages 8 to 22;
 - (ii) "**General Description of the Programme and Business of the Issuers**", pages 26 to 27;
 - (iii) "**Form of the Notes**", pages 28 to 30;
 - (iv) "**Terms and Conditions of the Notes**" (excluding Annex A (*Standard Terms for Credit-Linked Notes*) and the Auction Settlement Terms Annex thereto), pages 53 to 100;
 - (v) "**Use of Proceeds**", page 159;
 - (vi) "**Aquarius + Investments plc**", page 160;
 - (vii) "**Taxation**", pages 168 to 172;
 - (viii) "**Book-Entry Clearance Procedures**", pages 190 to 193;
 - (ix) "**Transfer Restrictions**", pages 194 to 198; and
 - (x) "**Subscription and Sale**", pages 199 to 204;
- (b) the audited non-consolidated financial statements of Aquarius + Investments plc as at, and for the years ended, 31 August 2010 and 2011, and the related notes and the statutory auditors' reports thereon (the "**Aquarius + 2010 Accounts**" and "**Aquarius + 2011 Accounts**" respectively),

which will be deemed to be incorporated in, and form part of, this Prospectus, save that any statement contained in a document all or the relevant portion of which is deemed to be incorporated by reference herein shall be deemed to be modified or superseded for the purpose of this Prospectus to the extent that such statement is inconsistent with a statement contained in this Prospectus.

Any information in the sections of the Base Prospectus which are not listed above but included in the Base Prospectus is given for information purposes only and is either not relevant or covered elsewhere in this Prospectus.

The information incorporated by reference above is available as follows. Any information not listed in the table below but included in the documents incorporated by reference is given for information purposes only.

Information Incorporated by Reference	Reference
Aquarius + 2010 Accounts	
Directors' Report	Pages 3 to 5
Independent Auditors' Report	Pages 6 and 7
Profit & Loss Account	Page 11
Balance Sheet	Page 12
Cashflow Statement	Page 13
Notes	Pages 14 to 27
Aquarius + 2011 Accounts	
Directors' Report	Pages 3 to 6
Independent Auditors' Report	Pages 7 and 8
Profit & Loss Account	Page 12
Balance Sheet	Page 13
Cashflow Statement	Page 14
Notes	Pages 15 to 29

The Issuer will provide, without charge, to each person to whom a copy of this Prospectus has been delivered, upon the written request of any such person, a copy of any or all of the documents which, or portions of which, are deemed to be incorporated herein by reference (to the extent that they relate to the Issuer). Requests for such documents should be directed to the office of the Issuer, being the address set out at the end of this Prospectus. In addition, such documents (and this Prospectus) will be available on the website of the Luxembourg Stock Exchange (www.bourse.lu) and will also be available free of charge from the specified office of the Principal Paying Agent.

Application has been made to the Luxembourg Stock Exchange, in its capacity as competent authority under the Luxembourg Act dated 10 July 2005 (the "**Luxembourg Act**") relating to prospectuses for securities, for the approval of this Prospectus for the purposes of Part IV of the Luxembourg Act. Application has also been made to the Luxembourg Stock Exchange for Notes to be admitted to trading on the Luxembourg Stock Exchange's Euro MTF Market ("**Euro MTF Market**") and to be listed on the Official List of the Luxembourg Stock Exchange. The Euro MTF Market is not a regulated market for the purposes of the Markets in Financial Investments Directive (2009/39/EC).

Documents relating to the Charged Assets Issuers

Investors' are also directed to the section of the Loan Instruments Information Memorandum entitled "*Financial and Other Information Included or Incorporated by Reference into this Information Memorandum*", on pages A-iii to A-iv (inclusive) thereof, which incorporates by reference into the Loan Instruments Information Memorandum the financial statements and auditor's report referenced therein.

ADDITIONAL TERMS AND CONDITIONS

The additional terms and conditions below supplement and amend the Terms and Conditions of the Notes set out in the Base Prospectus. References in the Base Prospectus to "Final Terms" should be construed, for the purposes of the Notes, as references to the additional terms and conditions below.

Parties

Issuer:	Aquarius + Investments plc.
Manager's Trustee and Trustee and Specified Office:	BNP Paribas Trust Corporation UK Limited of 55 Moorgate, London EC2R 6PA, England.
Principal Paying Agent and Specified Office:	BNP Paribas Securities Services, Luxembourg Branch of 33 rue de Gasperich, Howald-Hesperange, L-2085 Luxembourg.
Registrar and Specified Office (Registered Notes only):	Not applicable.
Paying Agents and Specified Offices:	Not applicable.
Transfer Agents and Specified Offices (Registered Notes only):	Not applicable.
Custodian and Specified Office:	BNP Paribas Securities Services, Luxembourg Branch of 33 rue de Gasperich, Howald-Hesperange, L-2085 Luxembourg.
Account Bank and Specified Office:	BNP Paribas Securities Services, Luxembourg Branch of 33 rue de Gasperich, Howald-Hesperange, L-2085 Luxembourg.
Agent Bank and Specified Office:	BNP Paribas Securities Services, Luxembourg Branch of 33 rue de Gasperich, Howald-Hesperange, L-2085 Luxembourg.
Calculation Agent :	BNP Paribas, London Branch of 10 Harewood Avenue, London NW1 6AA, England.
Redemption Agent:	BNP Paribas, London Branch, 10 Harewood Avenue, London NW1 6AA, England.
Enforcement Agent:	BNP Paribas Trust Corporation UK Limited of 55 Moorgate, London EC2R 6PA, England.
Determination Agent:	BNP Paribas, London Branch, 10 Harewood Avenue, London NW1 6AA, England.
Swap Counterparty:	Not applicable.
Repo Counterparty:	Not applicable.
Issuer Credit Enhancer:	Not applicable.
Swap Guarantor:	Not applicable.
Credit Support Provider:	Not applicable.

Type of Notes

- | | | |
|----|--|---|
| 1. | Interest/Payment Basis: | The Notes shall be pass-through interest bearing Notes, with provisions as to interest described in Annex 1 of these Additional Terms and Conditions. |
| 2. | If Instalment Note, insert Instalment Amount(s)/Instalment Date(s): | Not applicable. |
| 3. | If Dual Currency Notes, insert the Rate of Exchange/calculation agent/fall back provisions/person at whose option Specified Currency is to be payable: | Not applicable. |

Description of the Notes

- | | | |
|----|--|--|
| 4. | Notes issued in bearer or registered form: | Bearer. |
| 5. | Notes in bearer form to be represented on issue by a Temporary Global Note or a Permanent Global Note: | Temporary Global Note. |
| 6. | Provisions for exchange of Temporary Global Notes: | <p>Exchangeable for Permanent Global Note and exchangeable into definitive Bearer Notes in certain limited circumstances as specified in the relevant Permanent Global Note.</p> <p>Provisions for exchange of Permanent Global Notes:</p> <p>Permanent Global Note exchangeable into definitive Bearer Notes in certain limited circumstances as specified in the relevant Permanent Global Note.</p> |
| 7. | Notes in registered form: | Not applicable. |
| 8. | Provisions for exchange of Registered Global Notes (if applicable): | Not applicable. |
| 9. | (a) Coupons to be attached to Bearer Notes in definitive form: | No. |
| | (b) Talons for future Coupons to be attached to Bearer Notes in definitive form: | No. |

- (c) Date(s) on which the Talons mature: Not applicable.
10. (a) Series Number: 2012-01.
- (b) Class of Notes: Not applicable.
- (c) Details of the Class Notes to which this Class of Notes relates (including ranking between Classes): Not applicable.
- (d) Tranche Number: One.
- (e) If forming part of an existing Class and/or Series, details of the Class and/or Series (including the date, if any, on which the Notes become fungible): Not applicable.
11. (a) Nominal Amount of Notes to be issued: US\$750,000,000.
- (b) Aggregate nominal amount of Series and/or, if applicable, Class (if more than one issue for the Series or, if applicable, Class): US\$750,000,000.
- (c) Specified Currency (or Currencies in the case of Dual Currency Notes): US\$.
- (d) Specified Denomination(s): US\$200,000 and integral multiples of US\$5,000 in excess thereof.
12. Issue Price: 100 per cent.
13. Issue Date: 29 March 2012.
14. Interest Commencement Date: Issue Date.
15. Automatic/optional conversion from one Interest/Payment Basis to another: Not applicable.

Provisions Relating to Interest (if any) Payable

Fixed Rate Notes

16. Fixed Rate: Not applicable.

Floating Rate Notes or Indexed Interest Notes

17. Floating Rate Notes or Indexed Interest Notes: Not applicable.
18. Floating Rate Notes: Not applicable.
19. Indexed Interest Notes: Not applicable.

Zero Coupon Notes

20. Zero Coupon Notes: Not applicable.

Provisions Regarding Payments

21. Definition of "Payment Day" for the purpose of Conditions if different from that set out in Condition 6(f): As specified in Condition 6(f).
22. Additional Financial Centre(s) or other special provisions relating to Payment Days: London and Zurich.

Provisions Regarding Redemption/Maturity

23. Maturity Date: Not applicable.
- The Notes are perpetual and have no final maturity date. Condition 7(a) (*Redemption at maturity*) shall not apply.
24. Final Redemption Amount for each Note, including the method, if any, of calculating the same: Not applicable.
25. Redemption for taxation reasons applicable to Issuer Credit Enhancer: Not applicable.
26. Early Redemption Amount for each Note payable on redemption for taxation reasons or upon early repayment of the Charged Assets or upon termination of the Charged Agreements or on an Event of Default and/or the method, if any, of calculating the same: An amount per Note, as determined by the Calculation Agent acting in good faith, equal to such Note's *pro rata* proportion of the proceeds of liquidation (in accordance with Condition 3(f)) of the Charged Assets received by or on behalf of the Issuer, applied in accordance with Condition 3(g) (as modified in paragraph 43 of these Additional Terms and Conditions) and Clause 11 of the Master Trust Deed.

27. (a) Redemption at Issuer's No. option:
- (b) Redemption at No. Noteholder's option:
28. Settlement Basis: Physical Settlement. See Annex 1 of these Additional Terms and Conditions for further particulars.
29. Whether the Issuer is able to purchase any of the Notes pursuant to Condition 9: The Issuer is able to purchase, exchange or retire the Notes pursuant to the following provisions. Condition 9 shall not apply.
- (a) The Issuer may, provided that no Event of Default has occurred and is continuing, at any time make an offer to purchase the Notes for cash consideration (at any price) or to receive the Notes for cancellation (an "**Aquarius Tender Offer**") or to exchange the Notes for non-cash assets (an "**Aquarius Exchange Offer**") (in each case, whether in the open market, by private treaty or tender offer). Any Aquarius Tender Offer or Aquarius Exchange Offer may only be made on a limited recourse basis and upon terms that will ensure that after any such purchase, cancellation or exchange of Notes, the aggregate principal amount of Notes outstanding will be the same as the aggregate principal amount of Loan Instruments outstanding. The Issuer shall not make an Aquarius Tender Offer or an Aquarius Exchange Offer (A) other than in the case of the Issuer receiving Notes for cancellation, without first having entered into an agency agreement with an agent to act as tender agent or, as the case may be, exchange agent for the Issuer in connection with the Aquarius Tender Offer or the Aquarius Exchange Offer and (B) without first being satisfied that its costs and expenses in connection with the same will be met.
- Furthermore, any Aquarius Tender Offer or Aquarius Exchange Offer shall be subject to any terms and conditions required by the Trustee and shall, for as long as the Notes are listed on the official list of the Luxembourg Stock Exchange and admitted to trading on the Euro MTF Market of the Luxembourg Stock Exchange, be in accordance with all applicable rules and regulations of the Luxembourg Stock Exchange.
- (b) If at any time the Loan Instruments Issuer makes an offer to the Issuer to purchase the Loan Instruments for cash consideration or to receive the Loan Instruments for cancellation (a "**Tender Offer**") or for non-cash assets (an "**Exchange Offer**"), then the Issuer shall not accept such Tender Offer or Exchange Offer, and the Trustee shall not be permitted to release the Security

created over the Charged Assets pursuant to the Trust Deed, other than in accordance with paragraphs (c) and (d) below.

- (c) Subject to the requirements of paragraph (a) above, the Issuer shall make an Aquarius Tender Offer or, as the case may be, an Aquarius Exchange Offer, upon the occurrence of a Tender Offer or, as the case may be, an Exchange Offer unless (other than in the case of the Issuer receiving Notes for cancellation) in the reasonable opinion of the Issuer, the Issuer would be materially disadvantaged by the same.
- (d) For the purposes of any Aquarius Tender Offer or Aquarius Exchange Offer, whether or not relating to any Tender Offer or Exchange Offer, the Trustee shall not release the Security created over the Charged Assets pursuant to the Trust Deed except that it may release the Charged Assets to the extent that after such release and taking into account any purchase, exchange or cancellation of Notes pursuant to any Aquarius Tender Offer or Aquarius Exchange Offer, the aggregate principal amount of the Loan Instruments outstanding will be the same as the aggregate principal amount of Notes outstanding. To the extent that such Aquarius Tender Offer or Aquarius Exchange Offer relates to any Tender Offer or, as the case may be, Exchange Offer, following the release of such security the Issuer shall accept (or procure the acceptance of) such Tender Offer or Exchange Offer in respect of the Charged Assets so released.

All Notes purchased in accordance with these conditions shall be cancelled in accordance with the provisions of Condition 7(j) (*Cancellation*).

Any failure by the Issuer to make a payment or delivery due in connection with any Aquarius Tender Offer or Aquarius Exchange Offer shall constitute a default in payment in respect of the Notes for the purposes of Condition 11(a) (*Events of Default*).

Delivery Option

- 30. Asset Amount: Not applicable.
- 31. Period of Notice (if different from that set out in Condition 8(a): Not applicable.
- 32. Delivery Method: Not applicable.
- 33. Disruption Cash Settlement Price: Not applicable.

Provisions Relating to the Security

34. Security over Charged Assets created in Trust Deed and/or Charging Document: Trust Deed.
35. Charged Assets:
- (a) US\$750,000,000 8.25% Perpetual Subordinated Capital Instruments with stock settlement for registered shares of Swiss Re Ltd ("**SRL**") (or, in certain circumstances, other securities) (the "**Loan Instruments**") (which will be in uncertificated form and held directly in the name of the Issuer);
 - (b) any Settlement Consideration (as defined in the conditions of the Loan Instruments) delivered to or for the account of the Issuer (the "**Deliverable Consideration**"); and
 - (c) any proceeds received by or on behalf of the Issuer in respect of (a) and/or (b) above.
- The Loan Instruments are issued by Swiss Reinsurance Company Ltd (the "**Loan Instruments Issuer**" and, together with SRL, the "**Charged Assets Issuers**") pursuant to an information memorandum dated 27 March 2012 (the "**Loan Instruments Information Memorandum**"), a copy of which is set out in the Appendix of this Prospectus.
- The Loan Instruments are unlisted and have not been admitted to trading on any stock exchange.
36. Maturity of the Charged Assets: Not applicable.
37. Credit Support Document: None.
38. Charging Document (if any): Not applicable.
39. Charged Agreements:
- (a) Swap Agreement: Not applicable.
 - (b) Repurchase Agreement: Not applicable.
40. Governing law of the Charged Assets, the Credit Support Document, the Charged Agreements and the Charging Document (if any) (if other than English law) and jurisdiction submitted to in the Charging Document (if any): Governing law in respect of the Charged Assets: Swiss law.

41. Any other applicable security interests for the purposes of Condition 3(a)(D): All of the Issuer's rights, title and interest in the Loan Instruments Purchase Agreement except to the extent included in the Managers' Security (as defined in Annex 1 below).
- "Loan Instruments Purchase Agreement"** means the sale and purchase agreement dated on or about the Issue Date relating to the Loan Instruments between the Loan Instruments Issuer and the Issuer.
42. Whether or not the Mortgaged Property is secured in favour of any other Class of Notes: No.
43. Security Ranking Basis: Private Basis. The Realisation Amount (as defined in Condition 3(g)) shall be applied by the Trustee or, as the case may be, the Enforcement Agent (following payment of all amounts due to the Trustee, any agent of the Trustee and the Enforcement Agent) *pro rata* and on a *pari passu* basis in meeting the claims of the Noteholders (and Couponholders, if any), and the definition of "Private Basis" in Condition 3(g) shall be modified accordingly. For the avoidance of doubt, Private Basis shall apply in relation to the application of the proceeds of enforcement of the Noteholders' Security and shall not apply to the application of the proceeds of enforcement of the Managers' Security, which shall be applied in accordance with paragraph 6.2 in Annex 1 below.
44. Custodian's account details: Account No. 1050000854D.
45. Swap Counterparty's account details (being the account to which the Custodian will credit amounts received by it in respect of the Charged Assets): Not applicable.
46. Repo Counterparty's account details: Not applicable.
47. Principal Paying Agent's account details (being the account to which the Issuer will credit amounts payable under the Notes and to which the Swap Counterparty and Repo Counterparty (if any) will credit amounts payable under the Swap Agreement or the Repurchase Agreement, as applicable, to the Principal Paying Agent on behalf of the Issuer): To be notified to the Issuer in writing not less than five Business Days prior to the date upon which any payment in respect of the Notes is to be made.

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| 48. | Whether the Charged Assets may be substituted for alternative security pursuant to Condition 3(b)(ii), and, if so, any particular assets and/or terms or other requirements relating to such substitution: | No. |
| 49. | Other relevant details relating to the Charged Assets: | None. |
| 50. | Special terms relating to the Notes Guarantee: | Not applicable. |

Credit-Linked Notes

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| 51. | Credit-Linked Notes: | Not applicable. |
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General Provisions Applicable to this Issue of Notes

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| 52. | Redenomination applicable: | Redenomination not applicable. |
| 53. | Other terms or special conditions: | See Annex 1 below. |
| 54. | Details of additional/alternative clearing system approved by the Issuer and the Principal Paying Agent: | Not applicable. |
| 55. | Applicable "foreign targeted obligation" exception: | Not applicable. |
| 56. | Additional selling restrictions: | See Annex 2 of these Additional Terms and Conditions. |
| 57. | (a) Method of distribution | Syndicated. |

Pursuant to a subscription agreement dated on or about the Issue Date (the "**Subscription Agreement**") between the Issuer and BNP Paribas, Deutsche Bank AG, London Branch, HSBC Bank plc, J.P. Morgan Securities Ltd., Merrill Lynch International, Commonwealth Bank of Australia, Mitsubishi UFJ Securities International plc, Nordea Bank Danmark A/S and RBC Europe Limited (each a "**Manager**" and together the "**Managers**").

The Subscription Agreement is supplemental to the Amended and Restated Programme Agreement dated 21 April 2008 between, amongst others, the Issuer and BNP Paribas as the "Initial Dealer".

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| (b) | Dealer acting as principal or agent: | Not applicable. |
| 58. | Stabilising Dealer/Manager: | BNP Paribas. |

59. (a) Notes to be listed: Yes.
- (b) Stock Exchange(s): Luxembourg Stock Exchange's Euro MTF Market.
- (c) Listing Agent: BNP Paribas Securities Services, Luxembourg Branch.
- (d) Admission to trading: Application has been made for the Notes to be admitted to trading on the Euro MTF Market of the Luxembourg Stock Exchange.

Operational Information

ISIN (Reg S Notes): XS0765564827

ISIN (Rule 144A Notes): Not applicable.

Common Code (Reg S Notes): 076556482

Common Code (Rule 144A Notes): Not applicable.

CUSIP (Rule 144A Notes): Not applicable.

Any clearing system(s) other than Euroclear Bank S.A./N.V. and Clearstream Banking *société anonyme* and the relevant identification number(s): Not applicable.

Names and addresses of additional Paying Agent(s) (if any): Not applicable.

Ratings

Ratings: The Notes will not be rated.

Responsibility

Save as hereafter provided, the Issuer accepts responsibility for the information contained in these Additional Terms and Conditions.

ANNEX 1

OTHER TERMS OR SPECIAL CONDITIONS

1. Interest

On each Note Interest Payment Date, the Issuer shall apply or procure the application of the Loan Instruments Interest Amount that it has received in respect of the related Loan Instruments Payment Date in payment of the applicable Note Interest Amount in respect of each Note. For the avoidance of doubt, the obligation of the Issuer to pay or procure the payment of the Note Interest Amount on the Note Interest Payment Date shall only exist if and to the extent that it has received the Loan Instruments Interest Amount in respect of the related Loan Instruments Payment Date.

"Loan Instruments Interest Amount" means each amount which represents interest on the Loan Instruments received by the Issuer from time to time payable pursuant to the conditions of the Loan Instruments.

"Loan Instruments Payment Date" means each date on which the Issuer receives a Loan Instruments Interest Amount.

"Note Interest Amount" means in respect of each Note, an amount determined by the Calculation Agent equal to the *pro rata* proportion applicable to such Note of the Loan Instruments Interest Amount received by the Issuer on the related Loan Instruments Payment Date.

"Note Interest Payment Date" means each date on which the Issuer has received a Loan Instruments Interest Amount during the period beginning on and including the Issue Date and ending on the date on which the Notes are redeemed in full or, (i) where the Calculation Agent determines that the payment of any related Note Interest Amount on such date is not possible or practicable or (ii) if the date on which the Issuer receives a Loan Instruments Interest Amount is not a Payment Day, the next following Payment Day.

2. Business Days

London and Zurich shall be Additional Business Centres in respect of the Notes.

3. Redemption in relation to the Loan Instruments

Condition 7(b) (*Redemption in relation to the Charged Assets*) shall be deleted and replaced with the following:

"(i) *Early repayment of Loan Instruments*

Subject to Condition 7(b)(ii) (*Early repayment of Loan Instruments pursuant to exercise of Stock Settlement Option*), if the Loan Instruments are to be redeemed in full pursuant to their terms, the Issuer shall, forthwith upon becoming aware of such redemption, on giving such period of notice as expires not more than ten nor less than five Business Days following the date upon which the Issuer is due to receive the redemption proceeds of such Loan Instruments to the Trustee, the Redemption Agent, the Principal Paying Agent and to the Noteholders in accordance with Condition 16 (*Notices*), and, if such proceeds are received by the Issuer on the due date therefor, redeem each Note in full at an amount in cash equal to such Note's *pro rata* share of such proceeds.

If such proceeds are not so received by the Issuer, then:

- (A) the Issuer shall not be obliged to redeem the Notes until it has received all of the proceeds of the Loan Instruments or any final amount paid towards satisfaction of the Loan Instruments; and
 - (B) the Issuer shall:
 - (x) procure that the Redemption Agent, subject to the provisions of the Trust Deed and to Condition 12 (*Enforcement*), shall make such filings or claims as the Redemption Agent shall, in its sole and absolute discretion, deem necessary or appropriate to pursue the rights and claims of the Issuer in respect of the Loan Instruments to the extent reasonably practicable so to do, provided that (A) the Redemption Agent may, but is not obliged to, initiate any proceedings against the Loan Instruments Issuer and (B) shall not be obliged to take any action under this Condition 7(b)(i) until it has been indemnified and/or secured and/or prefunded as to its costs and expenses in so acting to its satisfaction; or
 - (y) if the Issuer is so directed in writing by the Trustee (acting at the direction of an Extraordinary Resolution of Noteholders), the Issuer shall promptly direct in identical form and substance to such direction, that the Redemption Agent shall arrange for and administer the sale of the Loan Instruments in accordance with Condition 3(f), subject to the transfer restrictions thereof, on behalf of the Issuer. The Issuer shall at the same time (unless otherwise agreed by the Trustee) give notice (a) that the Notes are to be redeemed at the Early Redemption Amount pursuant to this Condition 7(b)(i) following receipt of the realisation proceeds of the Loan Instruments and (b) upon receipt of such proceeds, of the date upon which the Notes are to be redeemed (which date shall be not more than ten nor less than five Business Days following receipt of such proceeds), in both cases to the Noteholders in accordance with Condition 16 (*Notices*), the Trustee and the Principal Paying Agent.
- (ii) *Early repayment of Loan Instruments pursuant to exercise of Stock Settlement Option*
- (A) If the Loan Instruments Issuer exercises a Stock Settlement Option (as defined in the conditions of the Loan Instruments), then:
 - I. the Issuer will exercise its Stock Settlement Right (as defined in the conditions of the Loan Instruments) and procure that the Custodian delivers, as soon as practicable and in any event within the Stock Settlement Period (as defined in the conditions of the Loan Instruments), an Exercise Notice (as defined in the conditions of the Loan Instruments) on its behalf to the Loan Instruments Issuer in accordance with the conditions of the Loan Instruments;
 - II. the Issuer will, on the date on which it receives the Initiation Notice (as defined in the conditions of the Loan Instruments) from the Loan Instruments Issuer, (i) procure that the Notes are immediately blocked in the Noteholders' accounts with Euroclear and/or Clearstream, Luxembourg so that, at any time pending a discharge of the Issuer's obligations under such Notes by delivery and, if applicable, payment of the Deliverable Consideration in respect of the Notes, no transfers of such Notes may be effected and (ii) provide notice of the same to the Luxembourg Stock Exchange;

- III. as soon as reasonably practicable and in any event by the Business Day following the date on which it receives a copy of the Initiation Notice, the Custodian (on behalf of the Issuer) will notify the Noteholders in accordance with Condition 16 (*Notices*) (i) that the Issuer has received an Initiation Notice from the Loan Instruments Issuer (and will provide a copy of the Initiation Notice to the Noteholders), (ii) that the Issuer has exercised its Stock Settlement Right, (iii) that the Notes have been temporarily blocked for transfer in Euroclear and/or Clearstream, Luxembourg pursuant to (II) above and (iv) of the details of any Delivery Expenses payable in respect of each Note (such notice, a "**Stock Settlement Notice**");
- IV. as soon as reasonably practicable and in any event by two Business Days following the date the Loan Instruments Issuer delivers the Settlement Consideration to the Issuer, the Custodian (on behalf of the Issuer) will deliver and, if applicable, pay to Euroclear and Clearstream, Luxembourg, for further delivery to each Noteholder, such Noteholder's *pro rata* share of the Deliverable Consideration, subject to Condition 7(b)(iii) (*Disruption events and fallback provisions relating to Stock Settlement*);
- V. on the date on which the Deliverable Consideration has been received by or for the account of the Issuer, the Issuer's obligations under the Notes (other than its obligation to deliver and, if applicable, pay to each Noteholder such Noteholder's *pro rata* share of the Deliverable Consideration) will be discharged in an amount corresponding to the outstanding principal amount of the Notes in respect of which the Issuer has exercised its Stock Settlement Right.

If the Loan Instruments Issuer delivers the Settlement Consideration to the Issuer in tranches (as permitted by the conditions of the Loan Instruments), paragraphs (I) to (V) above shall apply in respect of each such tranche.

- (B) If the Settlement Consideration is not received by the Custodian on behalf of the Issuer, the Issuer shall:
 - (x) procure that the Redemption Agent, subject to the provisions of the Trust Deed and to Condition 12 (*Enforcement*), shall make such filings or claims as the Redemption Agent shall, in its sole and absolute discretion, deem necessary or appropriate to pursue the rights and claims of the Issuer in respect of the Charged Assets to the extent reasonably practicable so to do, provided that the Redemption Agent (A) may, but is not obliged to, initiate any proceedings against the Loan Instruments Issuer and (B) shall not be obliged to take any action under this Condition 7(b)(ii) until it has been indemnified and/or secured and/or prefunded as to its costs and expenses in so acting to its satisfaction; or
 - (y) if so directed in writing by the Trustee (acting at the direction of an Extraordinary Resolution of Noteholders), promptly direct in identical form and substance to such direction, that the Redemption Agent shall arrange for and administer the sale of the Loan Instruments in accordance with Condition 3(f), subject to the transfer restrictions thereof, on behalf of the Issuer. The Issuer shall at the same time (unless otherwise agreed by the Trustee) give notice (x) that the Notes are to be redeemed at the Early

Redemption Amount pursuant to this Condition 7(b)(ii) following receipt of the realisation proceeds of the Loan Instruments and (y) upon receipt of such proceeds, of the date upon which the Notes are to be redeemed (which date shall be not more than ten nor less than five Business Days following receipt of such proceeds), in both cases to the Noteholders in accordance with Condition 16 (*Notices*), the Trustee and the Principal Paying Agent.

(iii) *Disruption events and fallback provisions relating to delivery of Deliverable Consideration*

- (A) If the Notes are in definitive form and held outside Euroclear and Clearstream, Luxembourg, each Noteholder shall deliver to the Principal Paying Agent an Asset Transfer Notice (the form of which is obtainable from the Principal Paying Agent), together with the relevant definitive Notes. The Principal Paying Agent shall promptly deliver to the Issuer, the Calculation Agent and the Custodian copies of each Asset Transfer Notice received by it. In the Asset Transfer Notice, such relevant Noteholder shall specify the number and principal amount of Notes which are the subject of such Asset Transfer Notice. An Asset Transfer Notice shall be irrevocable and shall only be valid if it provides such information with respect to the delivery of the Deliverable Consideration as the Principal Paying Agent, the Calculation Agent and the Custodian may from time to time require. If a holder of Notes in definitive form to whom Deliverable Consideration would otherwise be required to be delivered has failed to deliver an Asset Transfer Notice, then the Issuer shall deliver, or procure the delivery of, the Deliverable Consideration in accordance with these provisions as soon as practicable after the date on which the Noteholder complies with such requirements, such delivery to be at the risk of such Noteholder, provided that if a Noteholder to whom Deliverable Consideration is required to be delivered fails to deliver an Asset Transfer Notice on or prior to the day falling 10 years after the date on which the Issuer exercises its Stock Settlement Right, the Issuer shall procure that the Redemption Agent sells the Settlement Shares (as defined in the Loan Instruments Information Memorandum) which have been delivered to or for the account of the Issuer (the "**Deliverable Shares**") and which would otherwise be deliverable to such Noteholder and pay such Noteholder the net proceeds of such sale (together with any Deliverable Consideration reflecting Cash Payment for Fractions and/or any unpaid interest) as soon as practicable after the date on which the Redemption Agent has sold the Deliverable Shares in the market and obtained the proceeds thereof.
- (B) In the event that there are any costs and/or expenses incurred by the Issuer or the Custodian in the course of holding any Deliverable Shares (including any costs and/or expenses incurred in relation to any notifications or filings required as a result of such holding) or effecting delivery of any Deliverable Shares to a Noteholder (including any transfer or other tax or other governmental charge that may be imposed in relation thereto) (the "**Delivery Expenses**"), then:
- I. such Delivery Expenses shall be payable to the Principal Paying Agent by such Noteholder;
 - II. the Issuer shall be entitled to apply any Deliverable Consideration reflecting Cash Payment for Fractions and, unless the Loan Instruments Issuer has made an Issuer Election Regarding Consideration (as defined in the conditions of the Loan Instruments), any unpaid interest in respect of the Notes held by the Issuer or on its behalf towards satisfying the Delivery Expenses payable by such Noteholder;

- III. if any Delivery Expenses remain outstanding after any Deliverable Consideration reflecting Cash Payment for Fractions and, unless the Loan Instruments Issuer has made an Issuer Election Regarding Consideration (as defined in the conditions of the Loan Instruments), any unpaid interest in respect of the Notes have been so applied, the remaining portion of the Delivery Expenses may be funded by the sale of a required amount of the Deliverable Shares by the Redemption Agent;
 - IV. to the extent that the proceeds of such sale of Deliverable Shares by the Redemption Agent exceeds the remaining amount of Delivery Expenses payable by such Noteholder, the Principal Paying Agent shall pay the residual cash amount, and the Custodian shall deliver the remaining portion of Deliverable Shares, to such Noteholder.
- (C) If, due to an event beyond the control of the Issuer or the Custodian, it is impossible or illegal for the Issuer or the Custodian on its behalf to deliver the Deliverable Shares to the Noteholders (a "**Stock Settlement Disruption Event**"), and such Stock Settlement Disruption Event is continuing on the day falling 10 years after the date on which the Issuer exercised its Stock Settlement Right, then the Issuer shall procure that the Redemption Agent sells the Deliverable Shares in the open market (the net proceeds of such sale, the "**Fallback Cash Settlement Amount**") and the Issuer shall pay the Noteholders an amount equal to the Fallback Cash Settlement Amount to be apportioned pro rata amongst the Noteholders as soon as practicable after the date on which the Redemption Agent has sold the Deliverable Shares in the market and obtained the proceeds thereof.

4. **Mortgaged Property**

The last sentence of Condition 3(a) shall be deleted in its entirety and replaced with the following:

"The assets over which the security referred to above are created by the Issuer in relation to the Notes, including the Charged Assets and the contractual rights over which the Managers' Security is created, is herein referred to as "**Mortgaged Property**"."

5. **Enforcement**

Condition 12 (*Enforcement*) shall be deleted in its entirety and replaced with the following:

"At any time after the Notes or any of them shall have become due and repayable and have not been repaid and/or upon any Managers' Claim being made, the Trustee or the Managers' Trustee (as applicable) may, at its discretion and without notice, institute such proceedings against the Issuer as it may think fit to enforce repayment thereof together with accrued interest (if any) and to enforce the provisions of the Notes and the Trust Deed, and subject always to the Enforcement Restriction (as defined below), but it shall not be bound to institute any such proceedings unless:

- (a) in the case of the Trustee, it shall have been so directed by an Extraordinary Resolution of the Noteholders or so requested in writing by the holders of at least one-fifth of the principal amount of the Notes then outstanding (in which event it shall be obliged so to act, subject as provided in Condition 11 (*Events of Default*) and shall have been indemnified and/or secured and/or prefunded to its satisfaction;
- (b) in the case of the Managers' Trustee, it shall have been so directed in writing by the Managers and shall have been indemnified and/or secured and/or prefunded to its satisfaction.

If the Noteholders' Security and/or the Managers' Security has become enforceable, the Enforcement Agent shall, if directed by the Issuer as directed by an Extraordinary Resolution of the Noteholders or requested in writing by the holders of at least one fifth of the principal amount of the Notes then outstanding:

- (i) take such steps or actions or make such filings or claims as specified in the relevant Extraordinary Resolution or request, as applicable, to pursue the rights and claims of the Issuer in respect of the Loan Instruments (subject to their terms) to the extent reasonably practicable so to do; or
- (ii) arrange for and administer the sale of the Loan Instruments,

provided that the Enforcement Agent shall not be obliged to take any action which it is directed to take under this Condition 12 (*Enforcement*) until it has been indemnified and/or secured and/or prefunded as to its costs and expenses in so acting to its satisfaction.

The Enforcement Agent shall, if a Managers' Claim is made, take such steps or actions or make such filings or claims as the Managers may direct in writing to pursue the rights and claims of the Issuer under the Loan Instruments Purchase Agreement (including making any indemnity claim thereunder) in order to satisfy such Managers' Claim, provided that the Enforcement Agent shall not be obliged to take any action under this Condition 12 (*Enforcement*) until it has been indemnified and/or secured and/or prefunded to its satisfaction by the Managers or any of them as to its costs and expenses in so acting.

The Enforcement Agent acting in such capacity shall be subject to the transfer restrictions applicable to the Loan Instruments in relation to any disposal of the Loan Instruments. The Enforcement Agent shall not, and shall not be required to, dispose of the Loan Instruments where such disposal would violate any such transfer restrictions.

Without prejudice and subject to the other provisions of this Condition 12, in no circumstances shall the Trustee or, as the case may be, the Managers' Trustee be permitted when acting in its capacity as trustee for the Noteholders, or, as the case may be, the Managers, nor shall the Noteholders or the Managers (when acting in their respective capacities) be permitted, to take any action against either Charged Assets Issuer or enforce any claim that the Issuer may have against the Loan Instruments Issuer under the Loan Instruments and/or the Loan Instruments Purchase Agreement or otherwise whether before, upon, or after any security created by or pursuant to the Trust Deed becoming enforceable (the "**Enforcement Restriction**").

In acting as the Issuer's agent for the purpose of this Condition 12, the Enforcement Agent shall be permitted to take all such actions as would have been permitted to be taken by the Trustee upon the Noteholders' Security becoming enforceable (save where restricted as a matter of law), disregarding for such purpose, the Enforcement Restriction that would otherwise have applied in respect of the Trustee.

After realising the security which has become enforceable and distributing the net proceeds in accordance with Condition 3 (*Security*) (in the case of the Noteholders' Security) and paragraph 6.2 below (in the case of the Managers' Security), the obligations of the Issuer with respect to the Noteholders or the Managers in respect of the Notes, the Subscription Agreement, the Agency Agreement and the Custodial Services Agreement shall be satisfied and none of the foregoing parties may take any further steps against the Issuer to recover any further sums in respect thereof and the right to receive any such sums shall be extinguished.

In particular, none of the Trustee, the Managers' Trustee, the Enforcement Agent, the Principal Paying Agent, the Custodian, the Agent Bank, the Redemption Agent, the Calculation Agent, the Determination Agent, the Managers or any Noteholder shall be entitled in respect thereof to petition

or to take any other steps for the insolvency, winding-up or dissolution of the Issuer or the appointment of an examiner in respect of the Issuer nor shall any of them have any claim in respect of the Notes for any other Series."

6. Security

6.1 Pursuant to the Trust Deed in relation to the Notes, for all moneys and other liabilities payable or owed by the Issuer in relation to the Notes (save in respect of any Managers' Claim), the Issuer with full title guarantee and as continuing security will:

- (a) except to the extent assigned by way of security pursuant to (b) below, charge by way of first fixed security in favour of the Trustee for itself and as trustee for the Enforcement Agent and the Noteholders, the Charged Assets including all sums and/or assets received or receivable under any bonds, notes, securities, assets or contractual rights comprising such Charged Assets, and all rights in respect thereof or relating thereto whether or not against third parties and any account in which any Charged Assets relating to the Notes may be deposited from time to time or by which any such Charged Assets may be represented from time to time, in each case together with the debts represented thereby and all related interests and all proceeds of such Charged Assets;
- (b) assign by way of first fixed security in favour of the Trustee for itself and as trustee for the Enforcement Agent and the Noteholders, all of its rights, title and interest in, to and under the Loan Instruments (including, without limitation, its rights, title and interest in respect of all moneys and/or assets derived therefrom and held by or on behalf of the Issuer);
- (c) assign by way of first fixed security in favour of the Trustee for itself and as trustee for the Enforcement Agent and the Noteholders, all its rights, title and interest in, to and under the Agency Agreement and the Custodial Services Agreement (including, without limitation, its rights, title and interest in respect of all moneys and/or assets then or thereafter held by the Principal Paying Agent and/or the Custodian and/or the Redemption Agent in respect of such Series whether for the purpose of payment of principal, premium (if any) and/or interest (if any) in respect of the Notes or otherwise in relation to the Notes to the Noteholders, or otherwise held by the Principal Paying Agent and/or the Custodian and/or the Redemption Agent on behalf of the Issuer) and the debts represented thereby;
- (d) assign by way of first fixed security in favour of the Trustee for itself and as trustee for the Enforcement Agent and the Noteholders, all its rights, title and interest in, to and under the Loan Instruments Purchase Agreement except to the extent included in the Managers' Security (as defined in the Supplemental Trust Deed);
- (e) assign by way of first fixed security in favour of the Trustee for itself and as trustee for the Enforcement Agent and the Noteholders all its rights, title and interest in, to and under any of its bank accounts in respect of the Notes and the debts represented thereby (excluding, for the avoidance of doubt, the Issuer's bank accounts in its country of incorporation or elsewhere containing the paid up ordinary share capital and any transaction fees of the Issuer, and any interest accrued thereon, in each case); and
- (f) assigns by way of first fixed security in favour the Trustee for itself and as trustee for the Noteholders all its rights, title and interest in, to and under the Trust Deed insofar as the same relates to the appointment of the Enforcement Agent as the Issuer's agent in connection with the rights and assets of the Issuer referred to in paragraphs (a) to (e) above,

such assignments and charges, together, the "**Noteholders' Security**".

6.2 Managers' Security

Pursuant to the Trust Deed in relation to the Notes, for any Managers' Claim, the Issuer with full title guarantee and as continuing security will:

- (a) assign by way of security in favour of the Managers' Trustee, for itself and as trustee for the Enforcement Agent and each Manager, the Issuer's rights, title and interest under the Loan Instruments Purchase Agreement other than the Issuer's right to acquire the Loan Instruments arising thereunder;
- (b) charge in favour of the Managers' Trustee, for itself and as trustee for the Enforcement Agent and each Manager, by way of first fixed charge the proceeds of, income from and sums arising from the enforcement of any claim under the Loan Instruments Purchase Agreement, except for any claim of the Issuer in relation to its right to acquire the Loan Instruments; and
- (c) assign by way of security in favour of the Managers' Trustee, for itself and as trustee for each Manager, the Issuer's rights, title and interest under the Trust Deed insofar as the same relates to the appointment of the Enforcement Agent as the Issuer's agent in connection with the rights and assets of the Issuer referred to in paragraphs (a) and (b) above,

such assignments and charges, together, the "**Managers' Security**".

The Managers' Security is granted as continuing security in respect of any claim a Manager may have (a "**Managers' Claim**") against the Issuer under the Subscription Agreement arising from any representation, warranty, covenant or agreement given therein by the Issuer regarding the Loan Instruments, the Loan Instruments Issuer and/or the Loan Instruments Information Memorandum prepared by the Loan Instruments Issuer in respect of the Loan Instruments.

No Noteholder shall have any interest in the Managers' Security. The Managers' Security shall become enforceable upon a Managers' Claim being made. Upon the Managers' Security becoming enforceable the Noteholders' Security shall not consequently become enforceable and the Notes shall not be affected thereby and shall accordingly remain outstanding.

Each Manager (when acting in such capacity) is not permitted to take any action against the Loan Instruments Issuer nor to enforce any claim that the Issuer may have against the Loan Instruments Issuer under the Loan Instruments and/or the Loan Instruments Purchase Agreement or otherwise whether before, upon, or after the Managers' Security becoming enforceable. The Managers must rely on similar (but not identical) rights to those of the Noteholders, including a right of consultation and agreement with the Issuer (or the Enforcement Agent acting as agent of the Issuer) in relation to any such action or the enforcement of any such claim and/or a right to remove the Managers' Trustee, in each case in accordance with the provisions of the Trust Deed in relation to the Notes.

Each Manager, in respect of the Managers' Security, is subject to limited recourse provisions equivalent to those set out in Condition 3(h) (*Limited Recourse*) and Condition 12 (*Enforcement*) in respect of the Mortgaged Property, in accordance with the provisions of the Subscription Agreement and the Trust Deed in relation to the Notes.

The assignment by way of security in favour of the Trustee of the Issuer's right under the Loan Instruments Purchase Agreement to acquire the Loan Instruments, and the first fixed charge in favour of the Trustee of all proceeds from, income from and sums arising from enforcement of any claim under the Loan Instruments Purchase Agreement but only if such claim relates to the Issuer's right to acquire the Loan Instruments, shall form part of the Mortgaged Property.

In respect of the application of the proceeds of realisation or enforcement of the Managers' Security, the proceeds shall be held on trust and applied:

- (i) first, in payment or satisfaction of the fees, costs, charges, expenses and liabilities properly incurred by the Managers' Trustee or any Assignee in preparing and executing the trusts under the Trust Deed (including any taxes required to be paid, the costs of realising any such security and the Managers' Trustee's remuneration) insofar as the same relate to the Managers' Security;
- (ii) secondly, in payment or satisfaction of the fees, costs, charges, expenses and liabilities properly incurred by the Enforcement Agent in acting as Enforcement Agent of the Issuer in respect of the Managers' Security under the terms of the Trust Deed (including any taxes required to be paid, the costs of realising or enforcing any such security and the Enforcement Agent's remuneration);
- (iii) thirdly, in meeting any Managers' Claim (as defined above); and
- (iv) fourthly, in payment of the balance (if any) to the Issuer.

7. Limited Recourse

Condition 3(h)(i) (*Limited Recourse*) shall be deleted in its entirety and replaced with the following

"All payments to be made by the Issuer hereunder in respect of the Notes will be made only from and to the extent of the sums received or recovered from time to time by or on behalf of the Issuer or the Trustee or the Enforcement Agent in respect of the Noteholders' Security;"

8. Redemption for Taxation Reasons

Condition 7(c) (*Redemption for taxation reasons*) shall be modified so that, following the occurrence of any taxation event listed in paragraph (i)(C) thereof, the substitution procedure set out in paragraph (ii) thereof shall apply but paragraph (iv)(B) shall not apply in respect of the Notes in such circumstance.

In the event that the Issuer receives an Initiation Notice pursuant to Condition 7(b)(ii)(A) (*Early repayment of Loan Instruments pursuant to exercise of Stock Settlement Option*):

- (i) after a Noteholder has elected to require the Issuer to redeem the Notes held by such Noteholder by Cash Settlement at the Early Redemption Amount following the occurrence of any taxation event listed in paragraph (i)(A) or (i)(B) of Condition 7(c); but
- (ii) before the Issuer has given notice to the Redemption Agent requiring it to administer the sale of the Loan Instruments in accordance with Condition 3(f),

then the Stock Settlement provisions of Condition 7(b)(ii)(A) will take priority over the redemption pursuant to Condition 7(c).

9. Notices

Upon receipt by the Issuer of any notice from the Loan Instruments Issuer pursuant to the conditions of the Loan Instruments, the Issuer shall cause to be published a copy of each such notice to the Noteholders in accordance with Condition 16 (*Notices*). For the avoidance of doubt, this paragraph 9 shall be in addition to the obligation of the Issuer to procure the delivery of the Stock Settlement Notice pursuant to Condition 7(b)(ii)(III).

ANNEX 2

ADDITIONAL SELLING RESTRICTIONS

1. Hong Kong

Each Manager has represented and agreed that:

- (a) it has not offered or sold and will not offer or sell in the Hong Kong Special Administrative Region of the People's Republic of China ("**Hong Kong**"), by means of any document, any Notes other than (i) to "**professional investors**" as defined in the Securities and Futures Ordinance (Cap. 571) of Hong Kong (the "**SFO**") and any rules made under the SFO, or (ii) in other circumstances which do not result in the document being a "**prospectus**" as defined in the Companies Ordinance (Cap. 32) of Hong Kong (the "**CO**") or which do not constitute an offer to the public within the meaning of the CO; and
- (b) it has not issued or had in its possession for the purposes of issue, and will not issue or have in its possession for the purposes of issue, whether in Hong Kong or elsewhere, any advertisement, invitation, or document relating to the Notes, which is directed at, or the contents of which are likely to be accessed or read by, the public in Hong Kong (except if permitted to do so under the securities laws of Hong Kong) other than with respect to the Notes that are or are intended to be disposed of (i) only to persons outside Hong Kong or (ii) only to professional investors as defined in the SFO and any rules made under the SFO.

2. Singapore

This Prospectus has not been and will not be registered as a prospectus with the Monetary Authority of Singapore. Each Manager has represented, warranted and agreed, that it has not offered or sold any Notes or caused the Notes to be made the subject of an invitation for subscription or purchase nor will it offer or sell the Notes or cause the Notes to be made the subject of an invitation for subscription or purchase, nor has it circulated or distributed nor will it circulate or distribute the Prospectus and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the Notes, whether directly or indirectly, to persons in Singapore other than (a) to an institutional investor under Section 274 of the Securities and Futures Act, Chapter 289 of Singapore (the "**SFA**"), (b) to a relevant person pursuant to Section 275(1), or any person pursuant to Section 275(1A), and in accordance with the conditions specified in Section 275, of the SFA, or (c) otherwise pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA.

Where Notes are subscribed or purchased under Section 275 of the SFA by a relevant person which is:

- (a) a corporation (which is not an accredited investor (as defined in Section 4A of the SFA)) the sole business of which is to hold investments and the entire share capital of which is owned by one or more individuals, each of whom is an accredited investor; or
- (b) a trust (where the trustee is not an accredited investor) whose sole purpose is to hold investments and each beneficiary of the trust is an individual who is an accredited investor,

securities (as defined in Section 239(1) of the SFA) of that corporation or the beneficiaries' rights and interest (howsoever described) in that trust shall not be transferred within six months after that corporation or that trust has acquired the Notes pursuant to an offer made under Section 275 of the SFA except:

- (i) to an institutional investor or to a relevant person defined in Section 275(2) of the SFA, or (in the case of such corporation) where the transfer arises from an offer referred to in Section 276(3)(i)(B) of the SFA or (in the case of such trust) where the transfer arises from an offer referred to in Section 276(4)(i)(B) of the SFA;
- (ii) where no consideration is or will be given for the transfer;
- (iii) where the transfer is by operation of law; or
- (iv) as specified in Section 276(7) of the SFA.

3. **Switzerland**

The Notes may not be publicly offered, sold or advertised, directly or indirectly, in, into or from Switzerland and will not be listed on the SIX Swiss Exchange or any other exchange or regulated trading facility in Switzerland. Neither this Prospectus nor any other offering or marketing material relating to the Notes constitutes (i) a prospectus as such term is understood pursuant to Article 652a or 1156 of the Swiss Code of Obligations, (ii) a listing prospectus within the meaning of the listing rules of the SIX Swiss Exchange or any other regulated trading facility in Switzerland, (iii) a prospectus as such term is defined in the Swiss Federal Act on Collective Investment Schemes or (iv) a prospectus or a supplementary prospectus pursuant to the EC Directive 2003/71/EC of the European Parliament and of the Council dated 4 November 2003, as amended, and neither this Prospectus nor any other marketing material relating to the Notes may be publicly distributed or otherwise made publicly available in Switzerland.

The Notes are being offered in Switzerland by way of private placement, without any public advertisement and only to investors who do not purchase the Notes with the intention to distribute them to the public. The investors will be individually approached directly from time to time. This Prospectus, as well as any other offering or marketing material relating to the Notes, is personal and confidential and does not constitute and offer to any other person. This Prospectus, as well as any other offering or marketing material relating to the Notes, may only be used by those investors to whom it has been handed out in connection with the offering described herein and may neither directly nor indirectly be distributed or made available to other persons without the Issuer's express consent.

Neither this Prospectus nor any other offering and marketing material relating to the offering, the Issuer or the Notes have been or will be filed with or approved by any Swiss regulatory authority. The Notes are not subject to the supervision by the Swiss Financial Market Supervisory Authority (FINMA) or any other Swiss regulatory authority and investors in the Notes will not benefit from protection or supervisions by any such authority.

4. **Public Offer Selling Restriction under the Prospectus Directive**

In relation to each Member State of the European Economic Area which has implemented the Prospectus Directive (each, a "**Relevant Member State**"), each Manager has represented, warranted and agreed, that with effect from and including the date on which the Prospectus Directive is implemented in that Relevant Member State (the "**Relevant Implementation Date**") it has not made and will not make an offer of the Notes as completed by the Prospectus in relation thereto to the public in that Relevant Member State, except that it may, with effect from and including the Relevant Implementation Date, make an offer of such Notes to the public in that Relevant Member State:

- (a) at any time to any legal entity which is a qualified investor as defined in the Prospectus Directive;

- (b) at any time to fewer than 100 or, if the relevant Member State has implemented the relevant provision of the 2010 PD Amending Directive, 150, natural or legal persons (other than qualified investors as defined in the Prospectus Directive) subject to obtaining the prior consent of the relevant Dealer or Dealers nominated by the Issuer for any such offer; or
- (c) at any time in any other circumstances falling within Article 3(2) of the Prospectus Directive.

Provided that no such offer of Notes referred to in (a) to (c) above shall require the Issuer or any Dealer to publish a prospectus pursuant to Article 3 of the Prospectus Directive or supplement a prospectus pursuant to Article 16 of the Prospectus Directive.

For the purposes of this provision, the expression an "offer of Notes to the public" in relation to any Notes in any Relevant Member State means the communication in any form and by any means of sufficient information on the terms of the offer and the Notes to be offered so as to enable an investor to decide to purchase or subscribe the Notes, as the same may be varied in that Member State by any measure implementing the Prospectus Directive in that Member State and the expression "**Prospectus Directive**" means Directive 2003/71/EC (and amendments thereto, including the 2010 PD Amending Directive, to the extent implemented in the Relevant Member State), and includes any relevant implementing measure in the Relevant Member State and the expression "**2010 PD Amending Directive**" means Directive 2010/73/EU.

5. United States

Neither the Notes nor the Deliverable Shares deliverable upon Stock Settlement have been, or will be, registered under the Securities Act of 1933. The Notes may not be offered or sold within the United States or to, or for the account or benefit of, U.S. persons (as defined in Regulation S under the Securities Act), except in a transaction exempt from, or not subject to, the registration requirements of the Securities Act. The Notes are not being offered in the United States or to U.S. persons.

MANAGERS' INTERESTS

Capitalised terms used but not otherwise defined in this section shall have the meanings given to them in the Loan Instruments Information Memorandum.

On or about the date hereof, the Issuer will enter into a subscription agreement (the "**Subscription Agreement**") with respect to the Notes with the Managers. The Notes will be fully underwritten by the Managers and further sold to investors, which sale is expected to occur within 3 SIX Swiss Exchange trading days after the Issue Date at the latest (with the exception of such Notes which the Managers decide to hold for their own account). Pursuant to the terms and conditions of the Subscription Agreement, the Managers will jointly and severally agree to purchase and the Issuer will agree to sell to the Managers, Notes in the aggregate principal amount of US\$750,000,000.

The Managers' portion of voting rights in SRL, calculated for the purposes of this disclosure as of 22 March 2012, the date of the pricing, in accordance with the calculation set forth in Condition 5 of the Loan Instruments but based on the Floor Price of US\$32 per SRL Share, which would apply per the calculation of the number of SRL Shares to be delivered in the case of a Solvency Event Floor Price Stock Settlement, and the latest amount of total share capital of SRL entered in the commercial register, due to the underwriting is 6.32%. This calculation is for disclosure purposes only, as a result of the underwriting by the Managers of the Notes and the Stock Settlement Options. The actual number of SRL Shares delivered to investors in case of a Stock Settlement will be determined in accordance with the conditions of the Loan Instruments, in particular Condition 5 thereof.

The Subscription Agreement provides that the Managers' obligations are subject to certain conditions precedent. The Subscription Agreement also entitles the Managers to terminate the Subscription Agreement in certain circumstances prior to the issue and subscription of the Notes. If the right to terminate the Subscription Agreement is exercised by the Managers, any previous purported purchase or subscription of the Notes will be deemed not to have been made. The Issuer has agreed to pay the Managers certain commissions and meet certain expenses in relation to the issue of the Notes.

The business address of BNP Paribas is 10 Harewood Ave, London NW1 6AA, the business address of Deutsche Bank AG, London Branch is Winchester House, 1 Great Winchester Street, London EC2N 2DB, the business address of HSBC Bank plc is 8 Canada Square, London E14 5HQ, the business address of J.P. Morgan Securities Ltd. is 125 London Wall, London EC2Y 5AJ, the business address of Merrill Lynch International is 2 King Edward Street, London EC1A 1HQ, the business address of Commonwealth Bank of Australia is Senator House, 85 Queen Victoria Street, London EC4V 4HA, the business address of Mitsubishi UFJ Securities International plc is Ropemaker Place, 25 Ropemaker Street, London EC2Y 9AJ, the business address of Nordea Bank Danmark A/S is Christiansbro, Strandgade 3, DK-1401 Copenhagen K, Denmark and the business address of RBC Europe Limited is Riverbank House, 2 Swan Lane, London EC4R 3BF.

SWISS TAXATION

1. General

The following is a summary of certain Swiss tax consequences of the purchase, beneficial ownership and disposition of the Notes. The summary does not purport to be a comprehensive description of all of the tax considerations that may be relevant to a decision to purchase, own or dispose of the Notes. The summary relates only to the position of persons who are the absolute beneficial owners of the Notes and may not apply to certain other classes of persons.

The summary is based upon Swiss tax laws and tax practice as in effect on the date of this Prospectus, which are subject to prospective or retroactive change, and a tax ruling with the Swiss federal tax administration. The summary does not constitute tax or legal advice and the comments below are of a general nature only. Prospective investors in the Notes should consult their own advisors as to the Swiss or other tax consequences of the purchase, beneficial ownership and disposition of the Notes.

2. Notes

2.1 Withholding Tax

Payments by the Issuer of interest on, and repayment of principal of, the Notes, will not be subject to Swiss federal withholding tax.

On August 24, 2011 the Swiss Federal Council issued draft legislation, which, if enacted, may require a paying agent in Switzerland to deduct Swiss withholding tax at a rate of 35 per cent. on any payment of interest in respect of a Note to an individual resident in Switzerland or to a person resident outside of Switzerland. If this legislation or similar legislation were enacted and an amount of, or in respect of, Swiss withholding tax were to be deducted or withheld from that payment, neither the Issuer nor any paying agent nor any other person would pursuant to the Conditions be obliged to pay additional amounts with respect to any Note as a result of the deduction or imposition of such withholding tax.

2.2 Stamp Taxes

(a) Issuance of Notes

The issue and the redemption of the Notes will not be subject to Swiss federal stamp duty on the issue of securities or Swiss federal stamp duty on the dealing in securities.

(b) Secondary Market Dealings

Secondary market dealings in the Notes where a Swiss domestic bank or a Swiss domestic securities dealer (as defined in the Swiss Federal Stamp Duty Act) is a party, or acts as an intermediary, to the transaction may be subject to Swiss federal stamp duty on the dealing in securities at a rate of up to 0.3 per cent. of the consideration paid for the Notes. Where both the seller and the purchaser of the Notes are non-residents of Switzerland or the Principality of Liechtenstein, no Swiss federal stamp duty on the dealing in securities is payable.

2.3 Income Taxation on Principal and Interest

(a) Notes held by non-Swiss holders

Payments by the Issuer of interest on, and repayment of principal of, the Notes, to, and gain realized on the sale or redemption of Notes by, a holder of Notes, who is not a resident of Switzerland, and who during the relevant taxation year has not engaged in a trade or business through a permanent establishment or a fixed place of business in Switzerland to which the Notes are attributable ("**Non-Resident Holder**"), will not be subject to any Swiss federal, cantonal or communal income tax.

(b) Notes held by Swiss resident holders as private assets

An individual who resides in Switzerland and holds a Note privately ("**Resident Private Holder**"), is required to include all payments of interest received on such Note in his or her personal income tax return for the relevant tax period and is taxable on the net taxable income (including the payment of interest on the Note) for such tax period at the prevailing tax rates.

A capital gain realized by a Resident Private Holder on the sale or other disposition of Notes (including, as the case may be, upon receipt of Deliverable Shares) is exempt from Swiss federal, cantonal and communal income tax. Conversely, a Resident Private Holder who realizes a capital loss on the sale or other disposition of Notes (including, as the case may be, upon receipt of Deliverable Shares) is not allowed to take an income tax deduction for such loss. See "—Notes held as Swiss business assets" below for a summary on the tax treatment of individuals classified as "professional securities dealers".

(c) Notes held as Swiss business assets

Individuals who hold Notes as part of a business in Switzerland, and Swiss-resident corporate taxpayers, and corporate taxpayers residing abroad holding Notes as part of a Swiss permanent establishment or fixed place of business in Switzerland ("**Resident Commercial Holder**"), are required to recognize payments of interest on, and any capital gain or loss realized on the sale or other disposal of, such Notes (including, as the case may be, upon an Issuer Stock Settlement) in their income statement for the respective tax period and will be taxable on any net taxable earnings for such period at the prevailing tax rates. The same taxation treatment also applies to Swiss-resident individuals who, for Swiss income tax purposes, are classified as "professional securities dealers" for reasons of, inter alia, frequent dealings, or leveraged transactions, in securities.

2.4 European Directive on the Taxation of Savings Income

On October 26, 2004, the European Community and Switzerland entered into an agreement on the taxation of savings income pursuant to which Switzerland will adopt measures equivalent to those of the European Directive 2003/48/EC of 3 June 2003 on the taxation of savings income in the form of interest payments. The agreement entered into force as of July 1, 2005.

In accordance with this agreement and the Swiss law implementing this agreement, Swiss paying agents have to withhold tax at a rate of 35 per cent. on interest payments made under the Notes to a beneficial owner who is an individual and resident of an EU member state, with the option of the individual to have the paying agent and Switzerland provide to the tax authorities of the EU member state the details of the interest payments in lieu of the withholding.

3. Deliverable Shares

3.1 Withholding Tax

(a) Stock Settlement Rights, Delivery of Deliverable Shares

The exercise by the Issuer of its Stock Settlement Right and the delivery of the Deliverable Shares by the Issuer to the Noteholders in accordance with the Conditions are not subject to Swiss federal withholding tax.

(b) Dividends

Dividends that SRL pays on its shares, which are not repayment of nominal value of the shares or repayment of capital contribution reserves (*Kapitaleinlagereseven*), are, with their gross amount, subject to Swiss federal withholding tax at a rate of 35 per cent. SRL is required to deduct the tax from the gross dividend amount and remit the tax to the Swiss federal tax administration.

The tax will be refundable in full to a Resident Private Holder and to a Resident Commercial Holder, who, in each case, *inter alia*, as a condition to a refund, duly reports the dividend in his or her individual income tax return as income or recognizes the dividend in its income statement as earnings, as applicable.

A Non-Resident Holder may be entitled to a partial refund of the tax if his or her country of residence has entered into a double taxation treaty with Switzerland and the conditions of such treaty are met. Such holders should be aware that the procedures for claiming treaty benefits (and the time required for obtaining a refund) differ from country to country.

3.2 Stamp Taxes

(a) Issuer Stock Settlement Rights

The exercise by the Issuer of its Stock Settlement Right is not subject to Swiss federal stamp duty on the issuance of securities and Swiss federal stamp duty on the turnover of securities.

(b) Delivery of Deliverable Shares

The delivery of Deliverable Shares by the Issuer to the Noteholders in accordance with the Conditions may be subject to up to 0.15 per cent. Swiss federal stamp duty on the turnover of securities of the consideration paid for the shares if a Swiss domestic bank or a Swiss domestic securities dealer (as defined in the Swiss federal stamp duty act) is a Noteholder or acts as an intermediary to the delivery, and no exemption applies.

(c) Secondary Market Dealings

Secondary market dealings in the Deliverable Shares where a Swiss domestic bank or a Swiss domestic securities dealer (as defined in the Swiss federal stamp duty act) is a party, or acts as an intermediary, to the dealing are subject to Swiss federal stamp duty on dealing in securities at a rate of 0.15 per cent. of the consideration paid for the shares provided no exemption applies.

3.3 Income Taxation on the Deliverable Shares and Dividends

(a) Deliverable Shares held by non-Swiss holders

Payments by SRL of dividends on, and repayment of share premium of, the Deliverable Shares, and repayment of capital contribution reserves (*Kapitaleinlagereserven*) in respect of the Deliverable Shares, to, and gain realised on the sale of such shares by, a Non-Resident Holder, will not be subject to any Swiss federal, cantonal or communal income tax.

(b) Deliverable Shares held by Swiss resident holders as private assets

Resident Private Shareholders are required to include dividends (but not payments reflecting nominal value and capital contribution reserves) received on the Deliverable Shares in their personal income tax return and are subject to Swiss federal, cantonal and communal income tax on any net taxable income (including the dividends but not nominal value) for the relevant taxation period. Capital gains realized on the sale or disposition of Deliverable Shares are not subject to Swiss federal, cantonal and communal income tax and, conversely, capital losses are not tax-deductible for Resident Private Shareholders. See "Deliverable Shares held as Swiss business assets" below for a summary on the tax treatment of individuals classified as "professional securities dealers".

(c) Deliverable Shares held as Swiss business assets

Resident Commercial Shareholders (other than corporate taxpayers discussed below) are required to recognize dividends (and repayment of nominal value and capital contribution reserves) received on Deliverable Shares and capital gains or losses realized on the sale or other disposition of such shares in their income statement for the respective taxation period and are subject to Swiss federal, cantonal and communal individual or corporate income tax, as the case may be, on any net taxable earnings for such taxation period. The same taxation treatment also applies to Swiss-resident individuals who, for Swiss income tax purposes, are classified as "professional securities dealers" for reasons of, inter alia, frequent dealings, or leveraged transactions, in securities.

Resident Commercial Shareholders who are corporate taxpayers may be eligible for participation relief in respect of dividends (including repayment of nominal value on shares and repayment of capital contribution reserves) if the Deliverable Shares held by them as part of a Swiss business have an aggregate value of CHF 1,000,000 or more.

3.4 Wealth Tax and Capital Tax

Non-Resident Shareholders are not subject to Swiss cantonal and communal private wealth tax or capital tax.

Resident Private Shareholders and Resident Commercial Shareholders, who are individuals and who hold Deliverable Shares as part of a Swiss business, are required to report their shares as part of their private wealth or the Swiss business assets, as applicable, and will be subject to Swiss cantonal and communal private wealth tax on any net taxable wealth (including the shares), in the case of Resident Commercial Shareholders to the extent taxable wealth is allocable to Switzerland.

Resident Commercial Shareholders who are corporate taxpayers and who hold SRL Shares as part of Swiss business assets are subject to Swiss cantonal and communal capital tax on taxable capital to the extent allocable to Switzerland.

GENERAL INFORMATION

1. AUTHORISATION

The Issuer has obtained all necessary consents, approvals and authorisations in connection with the issue and performance of the Notes to be issued by it. The issue of the Notes was authorised by a resolution of the board of directors of the Issuer dated 26 March 2012.

2. USE OF PROCEEDS

The net proceeds of the issue of the Notes, expected to be approximately US\$740,000,000, will be applied by the Issuer in payment under the Loan Instruments Purchase Agreement on the Issue Date for the purchase of the Loan Instruments.

3. EXPENSES

The estimate of the total expenses relating to admission to trading of the Notes on the Luxembourg Stock Exchange's Euro MTF Market is EUR 3,600.

4. INTERESTS OF NATURAL AND LEGAL PERSONS INVOLVED IN THE OFFER

Save as discussed in the section entitled "Subscription and Sale" in the Base Prospectus, so far as the Issuer is aware, no person involved in the offer of the Notes has an interest material to the offer.

5. REPORTING

The Issuer will not provide any post-issuance transaction information regarding the securities to be admitted to trading and the performance of the Loan Instruments, except if required by any applicable laws and regulations.

6. LITIGATION

There are no governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the Issuer is aware) during the previous 12 months which may have, or have had in the recent past, significant effects on the financial position or profitability of the Issuer.

7. FINANCIAL STATEMENTS

The Issuer issued its annual accounts for the first time in 2002, covering the period from the date of its incorporation to 31 August 2002. Other than annual accounts, the Issuer is not currently required to produce any other financial statements. The Issuer has produced financial statements for the periods ending 31 August 2010 and ending 31 August 2011.

8. MATERIAL ADVERSE CHANGE IN RELATION TO THE ISSUER

Save as disclosed in this Prospectus, there has been no material adverse change in the financial trading position or prospects of the Issuer since 31 August 2011 (being the date of its most recently audited financial statements).

9. STATUTORY AUDITORS OF THE ISSUER

PricewaterhouseCoopers have audited and rendered unqualified audit reports on the financial statements of the Issuer referred to in paragraph 7 (*Financial Statements*) above.

PricewaterhouseCoopers are members of the Institute of Chartered Accountants in Ireland and have their offices at One Spencer Dock, North Wall Quay, Dublin 1, Ireland.

PricewaterhouseCoopers have given and have not withdrawn their consent to the inclusion in this Prospectus of their report in the form and content in which it is included by reference herein and have authorised the contents of such report for the purposes of Paragraph 9.1 of Annex VII to the Prospectus Regulation.

10. DOCUMENTS ON DISPLAY

From the date hereof and for so long as any Notes are outstanding copies of the following documents (in English) will be obtainable free of charge during usual business hours on any weekday (Saturdays, Sundays and public holidays excepted) from the specified office of the Paying Agent for the time being in the Grand Duchy of Luxembourg:

- (a) the constitutional documents of the Issuer; and
- (b) the published audited annual financial statements of the Issuer for the periods ending 31 August 2010 and ending 31 August 2011.

APPENDIX

FORM OF LOAN INSTRUMENTS INFORMATION MEMORANDUM

The Loan Instruments Information Memorandum contained in the Appendix to the Prospectus has been provided by the Loan Instruments Issuer. So far as the Issuer is aware and is able to ascertain from information published by the Loan Instruments Issuer, no facts have been omitted from the Loan Instruments Information Memorandum, which would render the reproduced or incorporated information inaccurate or misleading.

Swiss Reinsurance Company Ltd
\$750,000,000
8.25% Perpetual Subordinated Capital Instruments with Stock Settlement
Subject to settlement for registered shares of
Swiss Re Ltd

The \$750 million 8.25% Perpetual Subordinated Capital Instruments with Stock Settlement (the “**Loan Instruments**”) will be issued by Swiss Reinsurance Company Ltd (“**SRZ**” or the “**Issuer**”) on or about March 29, 2012 (the “**Issue Date**”).

The Issuer may at its option initiate a procedure that would result in the settlement of the Loan Instruments, in whole or in part, in return for registered shares, with a nominal value of CHF 0.10 per share (“**SRL Shares**”), of the Issuer’s parent company, Swiss Re Ltd (“**SRL**”), as more fully described in the terms and conditions of the Loan Instruments (the “**Conditions**”). This procedure may be initiated by the Issuer for any reason, from time to time (referred to as “**At-Market Stock Settlement**”), or within six months following a Solvency Event (as defined in the Conditions) (referred to as a “**Solvency Event Floor Price Stock Settlement**” and, together with At-Market Stock Settlement, a “**Stock Settlement**”). The option to initiate an At-Market Stock Settlement is referred to as the “**At-Market Stock Settlement Option**,” and the option to initiate a Solvency Event Floor Price Stock Settlement is referred to as the “**Solvency Event Floor Price Stock Settlement Option**” (and together with the At-Market Stock Settlement Option, the “**Stock Settlement Options**”).

The Loan Instruments have no final maturity date. The Issuer may redeem the Loan Instruments, in whole but not in part, at their prevailing principal amount, together with any accrued and unpaid interest, on September 1, 2018 (the “**First Optional Redemption Date**”) and on each subsequent Interest Payment Date (as defined in the Conditions) thereafter. The Issuer may also redeem the Loan Instruments, in whole but not in part, upon the occurrence of a Recalculation of Interest Event or a Special Tax Event that is continuing, an Accounting Event, a Ratings Methodology Event or a Regulatory Event (each, as defined in the Conditions, and collectively referred to as a “**Par Redemption Event**”). A redemption upon the occurrence of a Par Redemption Event will be at the prevailing principal amount of the Loan Instruments, together with any accrued and unpaid interest. In the case of any redemption, the Issuer may redeem the Loan Instruments only if no Solvency Event (as defined in the Conditions) has occurred that is continuing and the Swiss Financial Market Supervisory Authority FINMA, or any successor authority (collectively, “**FINMA**”), has given such consent, approval or non-objection (if any) as is required under the relevant rules and regulations of FINMA, all as more fully described in the Conditions.

The Loan Instruments will bear interest at a fixed rate of 8.25% per annum from (and including) the Issue Date until (but excluding) the First Optional Redemption Date, and thereafter, at the Reset Rate of Interest (as defined in the Conditions), each payable annually in arrear on September 1 in each year, commencing on September 1, 2012. Under certain circumstances described in the Conditions, the Issuer may elect, or be required, to cancel interest payments on the Loan Instruments.

The Issuer’s obligations under the Loan Instruments constitute unsecured and subordinated obligations ranking junior to the Issuer’s obligations under the Senior Securities, *pari passu* among themselves and with the Issuer’s obligations under the Parity Securities, and senior to the Issuer’s obligations under the Junior Securities (all as defined in the Conditions). In the event of the liquidation, dissolution, insolvency or other proceeding for the avoidance of insolvency of, or against, the Issuer, the claims in respect of the Loan Instruments will be subordinated to the claims of all holders of Senior Securities, so that in any such event no amounts shall be payable in respect of the Loan Instruments unless the claims of all holders of Senior Securities shall have first been satisfied in full.

The Loan Instruments will be issued in uncertificated form as uncertificated securities (*Wertrechte*) in accordance with article 973c of the Swiss Federal Code of Obligations. The uncertificated securities (*Wertrechte*) will be created by the Issuer by means of a registration in its register of uncertificated securities (*Wertrechtbuch*) (the “**Register**”). The Loan Instruments will not be listed on any securities exchange as at the Issue Date.

See “Risk Factors” beginning on page A-21 of this Information Memorandum for a discussion of certain factors that should be considered by prospective investors.

None of the Loan Instruments, any securities issuable upon substitution of the Loan Instruments or the SRL Shares deliverable upon Stock Settlement have been, or will be, registered under the U.S. Securities Act of 1933, as amended (the “**Securities Act**”) or the securities laws of any state of the United States. The Loan Instruments may not be offered, sold or resold within the United States or to, or for the account or benefit of, U.S. Persons (as defined in Regulation S under the Securities Act), except in a transaction exempt from, or not subject to, the registration requirements of the Securities Act. The Loan Instruments are not being offered in the United States or to U.S. persons. In addition, each holder of the Loan Instruments (a “**Holder**”) must be a Qualifying Bank (as defined in the Conditions) or, subject to the Issuer having consented thereto in writing, a Permitted Non-Qualifying Lender (as defined in the Conditions); *provided* that there shall at any time be no more than five Qualifying Banks that are Holders. The Loan Instruments are subject to significant restrictions on transfer. See “Transfer Restrictions.”

Each investor contemplating purchasing the Loan Instruments should make its own independent investigation of our financial condition and affairs, and its own appraisal of our creditworthiness.

The date of this Information Memorandum is March 27, 2012

Table of contents

Introductory Note.....	A-ii
Financial and Other Information Included or Incorporated by Reference into this Information Memorandum.....	A-iii
Future Reporting by the Issuer of Financial Information and SST Ratio	A-v
Sources of Information	A-v
Cautionary Note on Forward-Looking Statements	A-v
Summary	A-1
Risk Factors	A-21
Terms and Conditions of the Loan Instruments.....	A-53
Use of Proceeds.....	A-97
Capitalization of the SRZ Group	A-98
Selected Consolidated Financial Data of the SRZ Group	A-99
Selected Consolidated Financial Data of the Swiss Re Group	A-101
Our Business	A-103
Regulation.....	A-127
Certain Information about the Issuer	A-139
Certain Information about SRL.....	A-143
Management/Board of Directors.....	A-148
Taxation	A-160
Transfer Restrictions.....	A-165
General Information.....	A-168

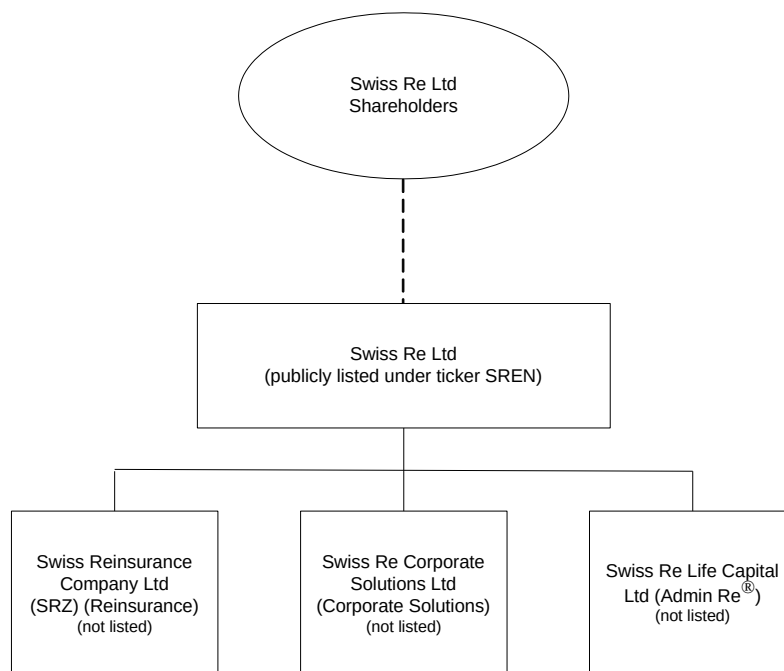
No person is or has been authorised to give any information or to make any representation other than those contained in this Information Memorandum in connection with the offering of the Loan Instruments and, if given or made, such information or representations must not be relied upon as having been authorised by the Issuer. This Information Memorandum does not constitute an offer, and may not be used for the purpose of an offer to, or a solicitation by, anyone in any jurisdiction or in any circumstances in which such an offer or solicitation is not authorised or is unlawful. See “Transfer Restrictions.”

Introductory Note

On May 23, 2011, following the first settlement of an exchange offer (the “Exchange Offer”) to exchange shares of SRZ (“SRZ Shares”) for SRL Shares and as part of the Alignment of the Corporate Structure (as defined in “Our Business – Alignment of the Corporate Structure of the Swiss Re Group”), SRL became the holding company for the Swiss Re Group. Following the second settlement of the Exchange Offer, SRL held 98.1% of the outstanding SRZ Shares. Following required court approval, the SRZ Shares not held by SRL were invalidated and the SRZ Shares were delisted from the SIX Swiss Exchange in December 2011. SRZ is a wholly owned subsidiary of SRL.

Beginning in the summer of 2011, Swiss Re has been undertaking a series of transactions that have resulted in the legal separation of its three business units (the “Business Units”). To accomplish this, the business and operations, and related assets and liabilities, of the Corporate Solutions Business Unit (Swiss Re Corporate Solutions Ltd and its subsidiaries) and the Admin Re[®] Business Unit (Swiss Re Life Capital Ltd and its subsidiaries) have been restructured under SRZ (which, together with its remaining subsidiaries, will operate as the Reinsurance Business Unit). As a final step, during the first half of 2012, the Corporate Solutions Business Unit and the Admin Re[®] Business Unit are being transferred by SRZ to, and are becoming subsidiaries of, SRL (the “Carve-out Transactions”). The Carve-out Transactions are subject to FINMA approval. For U.S. GAAP financial reporting purposes, these transfers are effective as of January 1, 2012. See “Our Business – Alignment of the Corporate Structure of the Swiss Re Group” and “General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group.” The quantitative impacts of the Carve-out Transactions on the SRZ Group are expected to be announced on April 17, 2012 and will be available on the website www.swissre.com. The implementation of these transactions will not trigger any rights on the part of the Holders.

Prior to the completion of the Carve-out Transactions, the business and operations, and the assets and liabilities, of the Swiss Re Group and the SRZ Group will be substantially the same, with the exception of the sale to SRL of shares of a subsidiary holding company of SRZ, Swiss Re Specialised Investments Holdings (UK) Limited, for £1,000,000. Following completion of the Carve-out Transactions, the corporate structure of the Swiss Re Group will be as follows:



The Loan Instruments are being issued by SRZ. Pursuant to the Conditions, the Issuer may, at any time and from time to time and in its sole discretion, initiate a procedure, by exercising the At-

Market Stock Settlement Option, that would result in the settlement of the Loan Instruments, in whole or in part, in return for SRL Shares, in aggregate value and under the conditions set forth in Condition 5 and may, within six months following a Solvency Event that is continuing at the time of the exercise of the option, initiate a procedure, by exercising the Solvency Event Floor Price Stock Settlement Option, that would result in the settlement of the Loan Instruments, in whole or in part, in return for SRL Shares, in aggregate value and under the conditions set forth in Condition 5. Both the At-Market Stock Settlement Option and the Solvency Event Floor Price Stock Settlement Option are exercisable solely at the discretion of the Issuer, and there can be no assurance as to whether the Issuer would exercise either the At-Market Stock Settlement Option or the Solvency Event Floor Price Stock Settlement Option (even, in the case of the latter, were a Solvency Event to have occurred). See “Risk Factors – Risks Relating to Stock Settlement under the Loan Instruments”).

SRL is not providing a guarantee in respect of the Loan Instruments. Holders will not have any recourse against SRL for delivery of the SRL Shares following exercise of a Stock Settlement Option; instead, Holders will have recourse only against the Issuer for such delivery.

References in this Information Memorandum, unless the context otherwise requires, to:

- “SRZ” or to the “Issuer” are to Swiss Reinsurance Company Ltd;
- the “SRZ Group” are to Swiss Reinsurance Company Ltd and its consolidated subsidiaries. Following the completion of the Carve-out Transactions, the Corporate Solutions Business Unit and the Admin Re[®] Business Unit will no longer be covered by such references and their assets and liabilities, and their business and operations, will no longer be a part of the SRZ Group, as a legal or operational matter, for financial reporting purposes or otherwise (see “General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group”);
- “SRL” are to Swiss Re Ltd;
- “Swiss Re,” “Swiss Re Group,” “we,” “us” and “our” are, in respect of matters following May 23, 2011, to SRL and its consolidated subsidiaries (including SRZ);
- “Swiss Re,” “Swiss Re Group,” “we,” “us” and “our” are, in respect of matters prior to May 23, 2011, to SRZ and its consolidated subsidiaries; and
- “you” and a “Holder” are to a purchaser of the Loan Instruments.

Financial and Other Information Included or Incorporated by Reference into this Information Memorandum

The financial statements and auditor’s report referenced below are incorporated by reference into this Information Memorandum and are available on the web site of the Swiss Re Group, www.swissre.com/investors/financial_information. No other information contained on the Swiss Re Group web site, or on any other web site, is incorporated herein by reference.

- the audited consolidated financial statements of the SRZ Group as of and for the years ended December 31, 2010 and 2011, which were prepared in accordance with accounting principles generally accepted in the United States (“U.S. GAAP”) and which were audited by the SRZ Group’s independent auditors, and including the auditor’s report on the audited consolidated financial statements of the SRZ Group for the year ended December 31, 2011;
- the audited statutory accounts of SRZ as of and for the years ended December 31, 2010 and 2011, which were prepared in accordance with the requirements of Swiss law and SRZ’s

Articles of Association, and including the auditor's report on the audited statutory accounts of SRZ for the year ended December 31, 2011;

- the audited consolidated financial statements of the SRZ Group as of and for the years ended December 31, 2009 and 2010, which were prepared in accordance with U.S. GAAP and which were audited by the SRZ Group's independent auditors, and including the auditor's report on the audited consolidated financial statements of the SRZ Group for the year ended December 31, 2010;
- the audited statutory accounts of SRZ as of and for the years ended December 31, 2009 and 2010, which were prepared in accordance with the requirements of Swiss law and SRZ's Articles of Association, and including the auditor's report on the audited statutory accounts of SRZ for the year ended December 31, 2010; and
- the audited consolidated financial statements of the Swiss Re Group as of and for the years ended December 31, 2010 and 2011, which were prepared in accordance with U.S. GAAP and which were audited by the Swiss Re Group's independent auditors, and including the auditor's report on the audited consolidated financial statements of the Swiss Re Group for the year ended December 31, 2011.

As more fully set forth in Note 1 to the audited consolidated financial statements of the Swiss Re Group as of and for the year ended December 31, 2011, because the holders of the SRL Shares had the same beneficial ownership interests before and after the Exchange Offer, the Exchange Offer has been accounted for in the financial statements of the Swiss Re Group in a manner similar to a transaction between entities under common control (and not as a purchase event). The Exchange Offer did not have an impact on the consolidated financial statements of the Swiss Re Group because the financial statements are presented as if SRL had been the parent company for the historical periods covered by such financial statements.

Beginning with the second quarter of 2011, the scope of the Swiss Re Group consolidated financial statements and the scope of the SRZ Group consolidated financial statements differ due to the inclusion of the ultimate holding company, SRL and a subsidiary, Swiss Re Specialised Investments Holdings (UK) Limited, which is held directly by SRL, in the Swiss Re Group financial statements. Neither SRL nor Swiss Re Specialised Investments Holdings (UK) Limited is included in the SRZ Group consolidated financial statements. Further changes in the legal entity structure of the Swiss Re Group in the course of 2012 (namely the Carve-out Transactions) will lead to additional differences between the Swiss Re Group consolidated financial statements and the SRZ Group consolidated financial statements. For U.S. GAAP financial reporting purposes, these changes are effective as of January 1, 2012. See "Our Business – Alignment of the Corporate Structure of the Swiss Re Group" and "General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group." The quantitative impacts of the Carve-out Transactions on the SRZ Group are expected to be announced on April 17, 2012.

The Swiss Re Group and the SRZ Group use non-GAAP financial measures in their external financial reporting. These measures are not prepared in accordance with U.S. GAAP or any other comprehensive set of accounting rules or principles, and should not be viewed as a substitute for measures prepared in accordance with U.S. GAAP. Moreover, these may be different from or otherwise inconsistent with non-GAAP financial measures used by other companies. These measures have inherent limitations, are not required to be uniformly applied and are not audited.

References in this Information Memorandum to "U.S. dollars," "USD" and "\$" are to the lawful currency of the United States and references to "Swiss francs" and "CHF" are to the lawful currency of Switzerland. Unless otherwise noted, all amounts in this Information Memorandum are expressed in U.S. dollars.

Future Reporting by the Issuer of Financial Information and SST Ratio

The Issuer expects to continue to publish consolidated annual and interim financial information for the SRZ Group on the web site of the Swiss Re Group.

As of July 1, 2011, the Issuer's Swiss Solvency Test ("SST") ratio was 227%. In the future, the Issuer expects to provide the necessary disclosure in respect of the SST ratio that is relevant for the holders of its hybrid instruments. The SST ratio is a function of available and required capital based on an economic valuation of assets and liabilities with an integrated forward-looking assessment of underwriting, financial market and credit risk and, therefore, the Issuer's SST ratio could fluctuate from reporting date to reporting date, and such fluctuations could be significant. See "Cautionary Note on Forward-Looking Statements." Among other things, the Issuer's next published SST ratio will be impacted by the Carve-out Transactions. See "General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group."

Sources of Information

Except where we otherwise attribute market or market share data to another source, all market and market share data included in this Information Memorandum are our own estimates. These estimates are based upon our experience in the (re)insurance industry and our familiarity with the global (re)insurance market.

Information that has been sourced from third parties has been accurately reproduced and, as far as we are aware and are able to ascertain from information published by such third parties, no facts have been omitted that would render the reproduced information inaccurate or misleading.

Cautionary Note on Forward-Looking Statements

Certain statements contained in this Information Memorandum are forward-looking. These statements provide current expectations of future events based on certain assumptions and include any statement that does not directly relate to a historical fact or current fact. Forward-looking statements typically are identified by words or phrases such as "anticipate," "assume," "believe," "continue," "estimate," "expect," "foresee," "intend," "may increase" and "may fluctuate" and similar expressions or by future or conditional verbs such as "will," "should," "would" and "could." These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause our actual results of operations, financial condition, solvency ratios, liquidity position or prospects to be materially different from any future results of operations, financial condition, solvency ratios, liquidity position or prospects expressed or implied by such statements. Any forward-looking statements are qualified in their entirety by reference to the factors discussed throughout this Information Memorandum. Among the key factors that have a direct bearing on our results of operations, financial condition, solvency ratios, liquidity position or prospects are:

- further instability affecting the global financial system and developments related thereto, including as a result of concerns over, or adverse developments relating to, sovereign debt of eurozone countries;
- further deterioration in global economic conditions;
- our ability to maintain sufficient liquidity and access to capital markets, including sufficient liquidity to cover potential recapture of reinsurance agreements, early calls of debt or debt-like arrangements and collateral calls due to actual or perceived deterioration of our financial strength or otherwise;
- the effect of market conditions, including the global equity and credit markets, and the level and volatility of equity prices, interest rates, credit spreads, currency values and other market indices, on our investment assets;

- changes in our investment result as a result of changes in our investment policy or the changed composition of our investment assets, and the impact of the timing of any such changes relative to changes in market conditions;
- uncertainties in valuing credit default swaps and other credit-related instruments;
- possible inability to realize amounts on sales of securities on our balance sheet equivalent to their mark-to-market values recorded for accounting purposes;
- the outcome of tax audits, the ability to realize tax loss carryforwards and the ability to realize deferred tax assets (including by reason of the mix of earnings in a jurisdiction or deemed change of control), which could negatively impact future earnings;
- the possibility that our hedging arrangements may not be effective;
- the lowering or loss of one of the financial strength or other ratings of one or more Swiss Re companies, and developments adversely affecting our ability to achieve improved ratings;
- the cyclical nature of the reinsurance industry;
- uncertainties in estimating reserves;
- uncertainties in estimating future claims for purposes of financial reporting, particularly with respect to large natural catastrophes, as significant uncertainties may be involved in estimating losses from such events and preliminary estimates may be subject to change as new information becomes available;
- the frequency, severity and development of insured claim events;
- acts of terrorism and acts of war;
- mortality, morbidity and longevity experience;
- policy renewal and lapse rates;
- extraordinary events affecting our clients and other counterparties, such as bankruptcies, liquidations and other credit-related events;
- current, pending and future legislation and regulation affecting us or our ceding companies;
- legal actions or regulatory investigations or actions, including those in respect of industry requirements or business conduct rules of general applicability;
- changes in accounting standards;
- significant investments, acquisitions or dispositions, and any delays, unexpected costs or other issues experienced in connection with any such transactions;
- changing levels of competition;
- operational factors, including the efficacy of risk management and other internal procedures in managing the foregoing risks; and
- challenges in implementation, adverse responses of counterparties, regulators or rating agencies, or other issues arising from, or otherwise relating to, the changes in our corporate structure, including in particular as a result of the Carve-out Transactions.

See “Risk Factors” for additional details.

These factors are not exhaustive. Because these factors could cause actual results or outcomes to differ materially from those expressed in any forward-looking statements made by or on our behalf, you should not place undue reliance on any of these forward-looking statements. Further, any forward-looking statement speaks only as of the date of this Information Memorandum. Except as may be required by applicable law, stock exchange rules or regulations, we expressly disclaim any

obligation or undertaking to release publicly any updates or revisions to any forward-looking statement contained herein to reflect any change in our expectations with regard thereto or any change in events, conditions or circumstances on which any such statement is based. New factors emerge from time to time, and it is not possible to predict which will arise. In addition, we cannot assess the effect of each factor on our business or the extent to which any factor, or combination of factors, may cause actual results to differ materially from those described in any forward-looking statement.

Summary

The following summary is qualified in its entirety by the remainder of this Information Memorandum.

Overview of Swiss Re

We are a leading and diversified global reinsurer with offices in more than 20 countries, providing expertise and services to clients throughout the world. We have been engaged in the reinsurance business since our foundation in Zurich, Switzerland in 1863. We offer a comprehensive range of reinsurance and insurance solutions to manage risk and capital. We are focused on accessing, transferring and transforming insurable risks. Our traditional reinsurance products and related services for property and casualty, together with our life and health business, are complemented by insurance risk-based capital markets solutions and supplementary services for comprehensive risk management.

At and for the year ended December 31, 2011, we reported:

- premiums written of \$22.9 billion;
- premiums earned of \$21.3 billion;
- total assets of \$225.9 billion;
- total equity of \$31.3 billion; and
- investments of \$162.2 billion.

At and for the year ended December 31, 2011, the SRZ Group reported:

- premiums written of \$22.9 billion;
- premiums earned of \$21.3 billion;
- total assets of \$228.1 billion;
- total equity of \$31.2 billion; and
- investments of \$164.6 billion.

Recent Developments

On February 23, 2012, we issued a press release containing, among other things, preliminary unaudited financial information for the Swiss Re Group as of and for the three months and year ended December 31, 2011. On March 16, 2012, we published audited consolidated financial statements of the Swiss Re Group as of and for the year ended December 31, 2011 and audited consolidated financial statements of the SRZ Group as of and for the year ended December 31, 2011. We have also announced an Investors' Day to be held on April 17, 2012, at which, among other things, we will announce the quantitative impacts of the Carve-out Transactions on the SRZ Group. We are in the process of completing the Carve-out Transactions, subject to FINMA approval.

See also "General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group."

Terms of the Loan Instruments

Terms defined in the Conditions and used in this summary but not defined in this summary have the meanings set forth in the Conditions. This summary should be read together with the full Conditions set forth in “Terms and Conditions of the Loan Instruments.”

Issuer	Swiss Reinsurance Company Ltd.
Securities.....	\$750,000,000 8.25% Perpetual Subordinated Capital Instruments with Stock Settlement.
Description of the Issue	Perpetual, subordinated capital instruments.
Status of the Loan Instruments.....	The Issuer’s obligations under the Loan Instruments constitute unsecured and subordinated obligations ranking junior to the Issuer’s obligations under the Senior Securities, <i>pari passu</i> among themselves and with the Issuer’s obligations under the Parity Securities, and senior to the Issuer’s obligations under the Junior Securities.

In the event of the liquidation, dissolution, insolvency or other proceeding for the avoidance of insolvency of, or against, the Issuer, the claims of the Holders in respect of the Loan Instruments will be subordinated to the claims of all holders of Senior Securities, so that in any such event no amounts shall be payable in respect of the Loan Instruments until the claims of all holders of Senior Securities shall have first been satisfied in full.

Where:

“**Junior Securities**” means all classes of issued shares in the share capital of the Issuer.

“**Parity Securities**” means any securities or other relevant obligations, ranking or expressed to rank *pari passu* with the Loan Instruments including a guarantee or support (or any similar) agreement issued or entered into by the Issuer which ranks or is expressed to rank *pari passu* with the Loan Instruments and including, for so long as they are outstanding, the obligations under the subordinated guarantee issued by the Issuer in relation to the 6.854% perpetual subordinated step-up preferred securities issued by Swiss Re Capital I LP, and under the 5.252% perpetual subordinated step-up loan notes issued by the Issuer, the 7.635% perpetual subordinated step-up preferred securities of the Issuer, the AUD 450,000,000 floating rate perpetual subordinated step-up loan notes of the Issuer, the 6.3024% perpetual subordinated step-up loan notes of the Issuer and the 7.25% perpetual subordinated notes with stock settlement of the Issuer.

“**Senior Securities**” means

- (i) any securities or other relevant obligations, except those ranking or expressed to rank junior to or *pari passu* with the Loan Instruments, including a guarantee or support (or any similar) agreement

issued or entered into by the Issuer which ranks or is expressed to rank junior to or *pari passu* with the Loan Instruments; and

- (ii) for the avoidance of doubt but without limitation, obligations in respect of policies of insurance or reinsurance, trade accounts payable, any liability for income, franchise, real estate or other taxes owed or owing, unsubordinated and/or dated subordinated creditors and existing undated subordinated creditors, except those ranking or expressed to rank junior to or *pari passu* with the Loan Instruments.

Form of the Loan Instruments..... The Loan Instruments will be issued in uncertificated form as uncertificated securities (*Wertrechte*) in accordance with article 973c of the Swiss Federal Code of Obligations. The uncertificated securities (*Wertrechte*) will be created by the Issuer by means of a registration in its register of uncertificated securities (*Wertrechtbuch*) (the “**Register**”).

The Loan Instruments may only be transferred in accordance with the Conditions.

None of the Issuer, the Holders’ Representative (as defined in the Conditions), the Agent (as defined in the Conditions) or the Holders shall at any time have the right to effect or demand the conversion of the uncertificated securities (*Wertrechte*) into, or the delivery of, a permanent global certificate (*Globalurkunde*) or definitive securities (*Wertpapiere*).

Aggregate Principal Amount of the
Loan Instruments and
Denomination.....

\$750,000,000, consisting of Loan Instruments initially having a principal amount of \$5,000 (subject to reduction).

Issue Price 100%

Issue Date..... On or about March 29, 2012 (the “**Issue Date**”).

Maturity Perpetual, but redeemable at the Issuer’s option and subject to Stock Settlement, as set out below.

Issuer Call The Issuer may redeem the Loan Instruments, in whole but not in part, at the Issuer’s option at their principal amount, together with any accrued and unpaid interest on September 1, 2018 (the “**First Optional Redemption Date**”) and on each subsequent Interest Payment Date thereafter (each, an “**Optional Redemption Date**”). In any case, the Issuer may redeem the Loan Instruments only if no Solvency Event has occurred that is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) and if FINMA has given such consent, approval or non-objection (if any) as is required under the relevant rules and regulations of FINMA (“**Consent of FINMA**”), all

as more fully described in the Conditions.

Early Redemption Events The Issuer may also redeem the Loan Instruments, in whole but not in part, upon the occurrence of a Par Redemption Event, subject to certain conditions being met.

A “**Par Redemption Event**” means a redemption by the Issuer of the Loan Instruments at their principal amount together with any accrued and unpaid interest at any time after the issue of the Loan Instruments, following the occurrence of an Accounting Event, a Recalculation of Interest Event or a Special Tax Event that is continuing, a Ratings Methodology Event or a Regulatory Event.

Where:

“**Accounting Event**” means that an opinion of a recognized accounting firm has been delivered to the Issuer, stating that the Loan Instruments must not or must no longer be recorded as equity on the Issuer’s consolidated balance sheet prepared in accordance with the accounting standards applied to such published consolidated accounts at the relevant dates and for the relevant periods (the “**Applicable Accounting Standards**”) and this cannot be avoided by the Issuer taking such reasonable measures as the Issuer (acting in good faith) deems appropriate.

“**Special Tax Event**” means that an opinion of a recognized independent tax counsel has been delivered to the Issuer stating that, due to a change in law, ruling or interpretation, the Issuer is, or there is more than an insubstantial risk that the Issuer will be, no longer able to obtain a tax deduction for the purposes of Swiss corporation tax for any payment of interest on the Loan Instruments and this cannot be avoided by the Issuer taking such reasonable measures as it (acting in good faith) deems appropriate.

“**Ratings Methodology Event**” means a change by a nationally recognized statistical rating organization to its equity credit criteria, or the interpretation or application thereof, for securities such as the Loan Instruments, which change results in a lower equity credit being given to the Loan Instruments as of the date of such change than the equity credit assigned to the Loan Instruments at or around the Issue Date.

“**Recalculation of Interest Event**” means that an opinion of a recognized independent tax counsel has been delivered to the Issuer confirming (i) the occurrence of a Recalculation of Interest (as defined in the Conditions) or (ii) that the Issuer is required pursuant to the Conditions to pay Additional Amounts (as defined in the Conditions) in respect of the Loan Instruments and this cannot be avoided by the Issuer taking such reasonable measures as the Issuer (acting in good faith) deems appropriate.

“Regulatory Event” means the occurrence of any of the following events, which occurrence cannot be avoided by the Issuer taking such reasonable measures as it (acting in good faith) deems appropriate:

- (a) prior to the implementation of Future Regulations, FINMA notifies the Issuer or otherwise states that the Loan Instruments are not, or will no longer be, eligible to qualify as upper additional capital (*“oberes ergänzendes Kapital”*) pursuant to article 49 in connection with article 39 of the SPICO, and no longer, or will no longer, fulfill the requirements for such category, or equivalent thereof, for group or solo solvency purposes (other than through the Loan Instruments exceeding the then applicable quantitative limits on such capital issuance); or
- (b) FINMA issues further guidance under article 39 of the SPICO or in any Future Regulations in relation to qualifying instruments for group or solo solvency purposes (by way of law, ordinance, regulation or a published interpretation thereof), and following which FINMA notifies the Issuer or otherwise states that the Loan Instruments do not, or will not, fulfill the requirements of at least Tier 2 Capital in the context of such Future Regulations; or
- (c) FINMA issues further guidance in relation to qualifying instruments for group or solo solvency purposes (by way of law, ordinance, regulation or a published interpretation thereof), and FINMA affords the Loan Instruments recognition as at least Tier 2 Capital for group or solo solvency purposes, and at a subsequent time FINMA notifies the Issuer or otherwise states that the Loan Instruments no longer, or will no longer, fulfill the requirements of at least Tier 2 Capital in the context of such Future Regulations.

Where:

“Future Regulations” means solvency margins, regulatory capital or capital adequacy regulations as the same may be introduced in Switzerland from time to time and which are applicable to the Issuer and which set out the requirements for financial instruments to satisfy in order to qualify for eligible inclusion in the definition of Tier 1 Capital or Tier 2 Capital.

“Tier 1 Capital” means all items classified as tier one capital (*“Kernkapital”*) of the Issuer as defined in the rules and regulations of FINMA.

“Tier 2 Capital” means all items classified as tier two capital (*“Ergänzendes Kapital”*) of the Issuer as defined in the rules and regulations of FINMA, at the time of issuance comprising of upper additional capital (*“oberes ergänzendes*

Kapital”) and lower additional capital (“*unteres ergänzendes Kapital*”).

“**SPICO**” means the Ordinance on the Supervision of Private Insurance Companies (*Verordnung über die Beaufsichtigung von privaten Versicherungsunternehmen – AVO*) of November 9, 2005, as amended.

- Substitution The Issuer (or any previous substitute of the Issuer under Condition 10) may, without the consent of the Holders, and provided that no Accounting Event, Special Tax Event, Recalculation of Interest Event, Ratings Methodology Event or Regulatory Event would be triggered by such substitution, be substituted in respect of all rights and obligations arising under or in connection with the Loan Instruments by any company all of whose shares carrying voting rights are directly or indirectly held by the Issuer (the “**New Issuer**”), provided that:
- (a) the New Issuer is, in the reasonable opinion of the Holders’ Representative, in a position to fulfill all payment obligations arising from or in connection with the Loan Instruments and to transfer without restriction all amounts required to be paid under the Loan Instruments to the Agent and the interests of the Holders are adequately protected in the opinion of the Holders’ Representative;
 - (b) SRZ has issued its irrevocable and unconditional subordinated guarantee as per article 111 of the Swiss Federal Code of Obligations in respect of the obligations of the New Issuer under the Loan Instruments in form and content satisfactory to the Holders’ Representative; and
 - (c) if the New Issuer is a Non-Swiss Company, the conditions set forth in Condition 10(c) are also met.

In addition, any substitution is subject to (a) the Loan Instruments being listed on a Permitted Exchange (provided the Loan Instruments were so listed immediately prior to such substitution), (b) if required, the Issuer giving prior written notice to, and receiving no objection from, FINMA, (c) the Issuer having confirmed with the relevant rating agencies that the proposed substitution will not give rise to a change in any published rating of the Loan Instruments in effect at such time and (d) certification being provided by two duly authorized officers of the Issuer that the foregoing conditions precedent have been complied with.

In the event of a substitution, any reference in the Conditions to the Issuer shall be a reference to the New Issuer.

Where:

“**Non-Swiss Company**” is a company that is not considered under all relevant jurisdictions a Swiss resident company for Swiss withholding tax purposes.

Interest Subject to the interest cancellation provisions described below, the Loan Instruments bear interest on their principal amount outstanding from time to time at:

- (a) a fixed rate of 8.25% per annum from (and including) the Issue Date until (but excluding) the First Optional Redemption Date (the “**Initial Rate of Interest**”); and
- (b) the relevant Reset Rate of Interest (as defined in the Conditions), thereafter.

Interest Payment Dates Subject to the interest cancellation provisions described below, interest will be payable annually in arrear on September 1 in each year, commencing on September 1, 2012 (each, an “**Interest Payment Date**”), such first payment to cover the period from (and including) the Issue Date until (but excluding) September 1, 2012. The period beginning on (and including) the Issue Date and ending on (but excluding) the next succeeding Interest Payment Date and each successive period beginning on (and including) an Interest Payment Date and ending on (but excluding) the next succeeding Interest Payment Date is called an **Interest Period**.

Recalculation of Interest If a tax deduction or withholding (collectively, a “**Tax Deduction**”) is required by law to be made by the Issuer in respect of any Interest Amount payable in respect of the Loan Notes and should paragraph (a) of Condition 7 (or, in the event of a substitution pursuant to Condition 10, paragraph (d)(ii) of Condition 10) be unlawful for any reason, the applicable interest rate in relation to the Interest Amounts payable for the Interest Period on the relevant Interest Payment Date will, subject to the exceptions in paragraph (b) of Condition 7 (or, in the event of a substitution pursuant to Condition 10, paragraph (d)(iii) of Condition 10), be the interest rate which would have otherwise been payable for the Interest Period on the relevant Interest Payment Date divided by 1 minus the rate (as a fraction of 1) at which the relevant Tax Deduction is required to be made and the Issuer will (i) be obligated to pay the relevant Interest Amount on the relevant Interest Payment Date at the adjusted rate and (ii) make the Tax Deduction on the recalculated Interest Amount.

Where:

“**Interest Amount**” means, with respect to any Interest Payment Date, the amount of interest that would be payable on the aggregate principal amount of the Loan Instruments outstanding on such Interest Payment Date.

Optional Cancellation Trigger Save to the extent that a Required Cancellation Event has occurred, the Issuer may, with respect to any Interest Payment Date, elect in its discretion either to (i) pay the Interest Amount in cash, or (ii) cancel in whole or in part the payment of the Interest Amount (such cancelled interest payment or

portion thereof constituting an **Optionally Cancelled Interest Payment**) if during the six months preceding the Reference Date:

- (a) no dividend, other distribution or payment was declared or made in respect of any class of share capital of SRL; and
- (b) (provided this condition does not cause the Loan Instruments to become Non-Compliant Securities) (i) no dividend, other distribution or payment was declared or made in respect of any Parity Securities (except where such payment was required under the terms of those Parity Securities) and (ii) no repurchase or acquisition of any Parity Securities has been made by the Group, either directly or indirectly; and
- (c) no repurchase or acquisition of any class of share capital of SRL has been made by the Group (except where such repurchase or acquisition is made in respect of any share-based compensation plan or where the repurchase or acquisition is made by the Group in respect of any class of SRL Shares on the open market in the ordinary course of its routine capital management), either directly or indirectly.

Where:

“Non-Compliant Securities” means securities which, after the implementation of any Future Regulations, would no longer be eligible for regulatory capital treatment as at least Tier 2 Capital.

“Group”, for the purposes of the Conditions, means SRL and its consolidated subsidiaries, provided that “Group” shall mean:

- (i) following a QT Effective Date, the Qualifying Acquirer and its consolidated subsidiaries;
- (ii) following a Non-Qualifying Takeover, the parent company of the Issuer and its consolidated subsidiaries; and
- (iii) following an Issuer Spin-off Date, the Issuer and its consolidated subsidiaries.

“Reference Date” means the 10th Business Day preceding the relevant Interest Payment Date.

“Business Day” means a day which is a day (other than a Saturday or a Sunday) on which commercial banks in Zurich, Switzerland and, in the case of Conditions 3 and 6 only, New York are open for business.

Required Cancellation Event The Issuer will cancel payment of (i) any Interest Amount or Solvency Shortfall, as applicable, if, in respect of an Interest Payment Date, a Solvency Event has occurred and is

continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) or would occur as a result of such payment, or (ii) any Interest Amount or Solvency Shortfall, as applicable, or other amount notified to the Issuer, and/or SRL, where FINMA has required such cancellation ((i) and (ii) are collectively referred to herein as a “**Required Cancellation Event**”).

If on an Interest Payment Date a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) or would occur as a result of payment of the relevant Interest Amount, the Issuer will be required to cancel payment of any Interest Amount, provided that, in the case where payment of such Interest Amount would itself cause a Solvency Event to occur, the Issuer will only be required to cancel the Solvency Shortfall.

A “**Solvency Event**” shall have occurred if:

- (a) the Issuer does not have appropriate funds to cover the required minimum solvency margin (or a comparable term in case of a change in applicable rules) in accordance with the provisions of mandatorily applicable regulatory capital requirements (including but not limited to Swiss insurance regulatory law (for single solvency purposes) and a generally recognized administrative practice, if any, of FINMA or otherwise, mandatorily applicable at that time), or the amount of such funds would, as a result of a full or partial interest payment or redemption payment, respectively, that would otherwise be due on such Interest Payment Date or date of redemption, respectively, be or become less than the required minimum solvency margin, all as shown in the most recent solvency report submitted by the Issuer to FINMA, or
- (b) the Issuer is unable to pay the debts owed to its Senior Creditors as they fall due, or
- (c) the Issuer’s Assets do not exceed its Liabilities (other than liabilities to persons who are not Senior Creditors),
as determined, for the purposes of Condition 3 only, up to the end of the Reference Date.

Where:

“**Assets**” means the Issuer’s unconsolidated total assets, as shown in its latest annual audited balance sheet, but adjusted for all subsequent events, as reasonably determined by the Issuer or, if a liquidation procedure has been initiated, by the liquidator.

“**Liabilities**” means the Issuer’s unconsolidated total liabilities, as shown in the latest annual audited balance sheet,

but adjusted for all subsequent events, as reasonably determined by the Issuer, or if a liquidation procedure has been initiated, by the liquidator.

“**Senior Creditors**” means creditors in respect of Senior Securities.

“**Solvency Shortfall**” means the portion of the Interest Amount that, if paid, would cause a Solvency Event to occur or be continuing.

Cancelled Interest Payments Optionally or mandatorily cancelled amounts of interest are referred to herein as “**Cancelled Interest Payments**.”

The Issuer will not have any obligation to make any Cancelled Interest Payment on the relevant Interest Payment Date or otherwise and the failure to pay such interest shall not constitute a default or a breach of obligations by the Issuer under the Loan Instruments or for any other purpose.

Cancelled Interest Payments will not themselves bear interest and are non-cumulative.

If the Issuer cancels payment of an Interest Amount pursuant to an Optionally Cancelled Interest Payment only in part or cancels the payment of a Solvency Shortfall or other amount referred to in the definition of Required Cancellation Event, the balance of the Interest Amount payable on the relevant Interest Payment Date shall be payable to the Holders on a basis that is pro rata to their holdings.

Alternative Coupon Settlement

Mechanism (“**ACSM**”) The Issuer may, subject in all cases to the Consent of the FINMA, elect to satisfy in cash, in whole or in part, payment of any Interest Amount (or portion thereof) which would otherwise be optionally or mandatorily cancelled by way of the ACSM (such Interest Amount, or portion thereof, to be so satisfied being the “**Designated Interest**”).

If the payment of Designated Interest is to be made by ACSM, the Issuer (i) will, if required, use its best efforts to procure that SRL shall facilitate the ACSM by delivering SRL Shares to the Issuer by no later than the third Business Day prior to the relevant Settlement Date (as defined in the Conditions) and (ii) will raise the funds (the “**ACSM Funds**”) required for the satisfaction of the Designated Interest payment by procuring the sale of SRL Shares for cash proceeds.

If the Issuer is unable to fulfill its obligations under the ACSM with respect to the Designated Interest or the necessary ACSM Funds are otherwise not raised or are otherwise not applied for ACSM, the Issuer’s obligation with respect to payment of such Designated Interest will be cancelled without any further obligation to pay, effective as of the relevant Interest Payment Date.

Where:

“**SRL Shares**” mean existing or newly issued ordinary shares of SRL.

Market Disruption Event..... If there exists, in the Issuer’s reasonable opinion, a Market Disruption Event (as defined in the Conditions), then the Settlement Date shall be delayed by the number of days during which the Market Disruption Event exists, plus five Business Days. The Issuer will deliver an irrevocable notice to the Holders of both the occurrence of a Market Disruption Event and, subsequently the new Settlement Date, once, in its opinion after prior consultation with the Agent, the Market Disruption Event no longer exists. No additional amount will be payable as a result of the occurrence of a Market Disruption Event.

At-Market Stock Settlement and
Solvency Event Floor Price Stock
Settlement

At-Market Stock Settlement

The Issuer shall have the option (the “**At-Market Stock Settlement Option**”), exercisable at any time, and from time to time, to grant the Holders a Stock Settlement Right by (a) giving the Agent an Issuer Election Notice and (b) delivering, within two Business Days immediately following the receipt by the Agent of the relevant Issuer Election Notice, a corresponding Initiation Notice to the Holders (“**At-Market Stock Settlement**”).

At-Market Stock Settlement shall be satisfied by the delivery of Settlement Shares, which for this purpose means the Gross Settlement Shares rounded down to the nearest whole integer, with **Gross Settlement Shares** being such number of SRL Shares, to be calculated to five decimal places (with 0.000005 SRL Shares to be rounded upwards), as is calculated by dividing the sum of the Specified Principal Amount and, if the Issuer has made an Issuer Election Regarding Consideration, the accrued but unpaid interest on the Specified Denomination, by the Discounted Volume Weighted Average Price (translated into U.S. dollars at the Exchange Rate), provided that if the Stock Settlement Right has been exercised in respect of more than one Loan Instrument by the same Holder, the number of Gross Settlement Shares will be determined on the basis of the aggregate Specified Principal Amount of such Holder held in the same securities account and (if the Issuer has made an Issuer Election Regarding Consideration) aggregate accrued but unpaid interest.

Solvency Event Floor Price Stock Settlement

The Issuer shall also have the option (the “**Solvency Event Floor Price Stock Settlement Option**” and together with the At-Market Stock Settlement Option, the “**Stock Settlement Options**”), exercisable within six months following the Issuer’s publication of notice of the occurrence of a Solvency Event that is continuing at the time of exercise of the option (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured), to grant the

Holders a Stock Settlement Right by (a) giving the Agent an Issuer Election Notice and (b) delivering, within two Business Days immediately following the receipt by the Agent of the relevant Issuer Election Notice, a corresponding Initiation Notice to the Holders (“**Solvency Event Floor Price Stock Settlement**” and, together with At-Market Stock Settlement, a “**Stock Settlement**”).

Solvency Event Floor Price Stock Settlement shall be satisfied by the delivery of Settlement Shares, which for this purpose means the Gross Settlement Shares rounded down to the nearest whole integer, with **Gross Settlement Shares** being such number of SRL Shares, to be calculated to five decimal places (with 0.000005 SRL Shares to be rounded upwards), as is calculated by dividing the sum of the Specified Principal Amount and, if the Issuer has made an Issuer Election Regarding Consideration, the accrued but unpaid interest on the Specified Denomination, by the Floor Price, provided that if the Stock Settlement Right has been exercised in respect of more than one Loan Instrument by the same Holder, the number of Gross Settlement Shares will be determined on the basis of the aggregate Specified Principal Amount of such Holder held in the same securities account and (if the Issuer has made an Issuer Election Regarding Consideration) aggregate accrued but unpaid interest.

Exercise, Deemed Exercise and Procedure

A Stock Settlement Option may be exercised by the Issuer once or several times, as applicable, provided that all conditions for the relevant options are fulfilled at the time of such exercise.

A Stock Settlement Option may be exercised by the Issuer only if,

- (i) the Issuer has, or has received satisfactory assurances from SRL that immediately prior to the Stock Settlement Date the Issuer will have, sufficient SRL Shares to deliver pursuant to Stock Settlement;
- (ii) delivery of SRL Shares will be possible and legally effective as provided for in the provisions relating to Stock Settlement;
- (iii) the SRL Shares to be delivered on the Stock Settlement Date will be listed on a Permitted Exchange; and
- (iv) the SRL Shares (or any other shares or other securities so deliverable upon exercise of Stock Settlement) to be delivered on exercise of Stock Settlement will be available for transfer and delivery to, or to a nominee or agent for, Euroclear Bank S.A./N.V. or Clearstream Banking, *société anonyme*, or any successor clearing system.

Stock Settlement may be exercised, in respect of all or a portion of the Principal Amount, expressed as \$1,000 or integral multiples of \$1,000 (the “**Specified Denomination**”).

Upon the giving of an Initiation Notice, each Holder shall have the right (the “**Stock Settlement Right**”), within the Stock Settlement Period, to (i) request conversion of the Specified Denomination into Gross Settlement Shares and (ii) to instruct its bank to inform the Agent on behalf of the Issuer within the Stock Settlement Period that it demands the Settlement Consideration (the “**Exercise Notice**”). An Exercise Notice shall be irrevocable.

As of the last day of the Stock Settlement Period, each Holder who has failed to or omitted to give the Exercise Notice, and who has not given a Stock Settlement Right Objection Notice during the Stock Settlement Period, shall be deemed to have (i) exercised the Stock Settlement Right (“**Deemed Exercise**”) and (ii) directed the Agent to notify the Issuer of such exercise on its behalf.

If a Holder gives a Stock Settlement Right Objection Notice, the Principal Amount of the Loan Instruments of such Holder will be automatically and fully written down by the amount of the Specified Denomination on the Stock Settlement Date and the relevant Holder shall no longer be entitled to demand delivery of the Settlement Consideration or have any other rights in respect of the Specified Denomination except the entitlement to accrued but unpaid interest to (but excluding) the Stock Settlement Date, which shall be paid in cash.

Fractions of SRL Shares will not be delivered in connection with the Stock Settlement Right (including in the case of a Deemed Exercise). Instead, a cash payment equal to the Cash Payment for Fractions will be made, except where any individual entitlement would be less than \$10, in which latter case no payment will be made.

By exercising the Stock Settlement Right (including in the case of a Deemed Exercise), the Holder authorizes the Agent to make, in its name and on its behalf, any such declarations to the Issuer as may be required or advisable under applicable law for the purpose of the creation (if any) and delivery of the Settlement Consideration.

The Loan Instruments are not redeemable in cash as a result of an Initiation Notice, and the Loan Instruments are not convertible into SRL Shares at the option of Holders at any time prior to the delivery of an Initiation Notice by the Issuer. Upon the delivery of an Initiation Notice by the Issuer, the Loan Instruments are convertible into Gross Settlement Shares (with a corresponding right to receive Settlement Consideration) at the option of the Holders only in respect of the Specified Denomination.

The Issuer will effect delivery of the Settlement Consideration on or not more than four Trading Days after the Stock Settlement Date to the Agent or to its order for concurrent delivery to the relevant Holders, which shall be an effective and complete discharge of the Issuer’s obligations under the Loan Instruments in respect of Specified Denomination as to

which the Stock Settlement Right was exercised.

Where:

“Calculation Period” means the period starting on (and including) the sixth Trading Day prior to, and ending on (and including) the second Trading Day prior to, the date of the Initiation Notice being given.

“Cash Payment for Fractions” means an amount payable in U.S. dollars representing the Closing Price of the SRL Shares on the Permitted Exchange on which the SRL Shares are then listed on the last Trading Day of the Stock Settlement Period (translated into U.S. dollars at the Exchange Rate) multiplied by the difference between the number of Gross Settlement Shares and the number of Settlement Shares. If the resulting amount of U.S. dollars is not an integral multiple of \$0.01, it shall be rounded to the nearest whole or multiple of \$0.01 with \$0.005 being rounded upwards.

“Closing Price” means, in respect of any Trading Day, the last officially published price of the SRL Shares by the Permitted Exchange on which the SRL Shares are then listed and (if not in Swiss Francs) translated into Swiss Francs at the Prevailing Rate on the relevant Trading Day.

“Discounted Volume Weighted Average Price” in relation to an SRL Share means 97 per cent. of the average of the daily VWAP of such SRL Share on each Trading Day in the Calculation Period and (if not in Swiss Francs) translated into Swiss Francs at the Prevailing Rate on the last Trading Day of the Calculation Period, provided that if at any time during the Calculation Period the SRL Shares shall have been quoted ex- any entitlement and during some other part of the Calculation Period the SRL Shares shall have been quoted cum- any entitlement, then the quotations on the dates on which the SRL Shares shall have been quoted cum- the entitlement shall for the purpose of this definition be deemed to be the amount thereof reduced by an amount equal to the Fair Market Value of such entitlement per SRL Share as at the date of first public announcement of such entitlement.

“Exchange Rate” means in relation to any currency the arithmetic average of the Prevailing Rate between such currency and the U.S. dollar on each Trading Day in the period starting on (and including) the sixth Trading Day prior to, and ending on (and including) the second Trading Day prior to, the date on which the relevant Initiation Notice is given.

“FINMA” means the Swiss Financial Market Supervisory Authority FINMA, or any successor authority.

“Floor Price” means \$32.00, subject to adjustment in accordance with Schedule 1 of the Conditions.

“Initiation Notice” means the notice given by the Issuer and delivered to the Holders, specifying:

- (a) that the Issuer has exercised its Stock Settlement

Option;

- (b) that the Holders can exercise their Stock Settlement Right in accordance with the Conditions within the Stock Settlement Period, in which case such Holders shall be entitled to receive the Settlement Consideration;
- (c) that upon exercise or Deemed Exercise of the Stock Settlement Right by the Holders, the Holders will be entitled to receive the Settlement Consideration as of the Stock Settlement Date or not more than four Trading Days thereafter;
- (d) the Stock Settlement Date and the Stock Settlement Period;
- (e) the Specified Denomination and, if applicable, the resulting new Principal Amount of each Loan Instrument;
- (f) the amount of accrued and unpaid interest that will be owing as of the Stock Settlement Date and whether the Issuer has made the Issuer Election Regarding Consideration;
- (g) whether the notice relates to an At-Market Stock Settlement or a Solvency Event Floor Price Stock Settlement; and
- (h) that the Holders who do not wish to receive the Settlement Consideration can give a Stock Settlement Right Objection Notice; Loan Instruments in respect of which a Stock Settlement Right Objection Notice is given will be written- down in the amount of the Specified Denomination without any consideration being provided to the relevant Holder.

“Issuer Election Notice” means the written notice given by the Issuer to the Agent that it has taken the decision to exercise, pursuant to the Conditions, a Stock Settlement Option, and specifying, *inter alia*:

- (i) whether it has elected At-Market Stock Settlement or Solvency Event Floor Price Stock Settlement;
- (ii) whether the exercise is in respect of all or a specified part of the Principal Amount; and
- (iii) whether or not it has made the Issuer Election Regarding Consideration.

“Issuer Election Regarding Consideration” means the election of the Issuer to include, subject to the Consent of FINMA if a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured), the amount of accrued and unpaid interest on the Specified Denomination (for the purpose of calculating the Gross Settlement Shares).

“Permitted Exchange” means the SIX Swiss Exchange or any other stock exchange which is a member of the World

Federation of Exchanges.

“Prevailing Rate” means, in respect of any currencies on any day, the spot rate of exchange between the relevant currencies prevailing as at or about 12 noon (London time) on that date as appearing on or derived from the Reference Page or, if such a rate cannot be determined at such time, the rate prevailing as at or about 12 noon (London time) on the immediately preceding day on which such rate can be so determined or, if such rate cannot be so determined by reference to the Reference Page, the rate determined in such other manner as the Agent shall in good faith prescribe.

“Reference Page” means the relevant page on Bloomberg or such other information service provider that displays the relevant information

“Settlement Consideration” means in respect of each Holder:

- (i) the Settlement Shares and Cash Payment for Fractions, if any, in respect of the Specified Principal Amount of the Loan Instruments held by that Holder; and
- (ii) unless there is an Issuer Election Regarding Consideration, accrued but unpaid interest in cash, on the Specified Denomination of the Loan Instruments held by that Holder.

“Specified Principal Amount” means the greater of:

- (i) the Specified Denomination; and
- (ii) the amount calculated by multiplying the percentage that the Specified Denomination bears to the Principal Amount by the Specified Principal Amount Market Price.

“Specified Principal Amount Market Price” means the average, as solicited and determined by the Agent, of the quotations of the mid price between which the Loan Instruments (including with such price determined by reference to securities secured over similar claims) are offered and bid from three major banks active in the market for subordinated capital securities at or around 11:00 a.m. (CET) on the Trading Day prior to the date of the Initiation Notice being delivered and in an amount that is representative for a single transaction in the market at that time (with the arithmetic mean of such quotations determined rounded, if necessary, to the nearest 0.00001, with 0.000005 being rounded upwards).

“Stock Settlement Date” means the date specified as such in an Initiation Notice, which shall be seven Business Days after the Initiation Notice was given.

“Stock Settlement Period” means the period starting on (and including) the Business Day on which the Initiation Notice is given, and ending on (and including) the third Business Day after the Initiation Notice is given.

“Stock Settlement Right Objection Notice” means the duly executed notice from a Holder to be received by the Agent on behalf of the Issuer at any time during the Stock Settlement Period stating that such Holder does not exercise its Stock Settlement Right and acknowledges that its Loan Instruments will be automatically and fully written-down in the amount of the Specified Denomination effective as of the Stock Settlement Date.

“Trading Day” means any day (other than a Saturday or a Sunday) on which (i) the Permitted Exchange on which the SRL Shares or (for the purposes of the definition of Fair Market Value only) Spin-Off Securities, options, warrants or other rights, as the case may be, are listed is open for business and the SRL Shares may be traded on the Permitted Exchange or (ii) (if the SRL Shares or (for the purposes of the definition of Fair Market Value only) Spin-Off Securities, options, warrants or other rights, as the case may be, are not listed or admitted to trading on any Permitted Exchange) closing bid and offered prices are furnished as aforesaid.

“VWAP” in relation to an SRL Share on any Trading Day means the order book volume weighted average sales price of such SRL Share on such Trading Day (rounded to the nearest second decimal place) published by or derived from the relevant Bloomberg page or, if there is no relevant page, such other source as shall be determined to be appropriate by the Agent on such Trading Day, provided that if on any such Trading Day such price is not available or cannot otherwise be determined as provided above, the VWAP of an SRL Share in respect of such Trading Day shall be the VWAP, determined as provided above, on the immediately preceding Trading Day on which the same can be so determined.

Consequences of a Fundamental

Change

In the case of a Takeover involving a Qualifying Acquirer, the Issuer shall use reasonable efforts to ensure that the New Settlement Condition is satisfied within seven Business Days of the date on which the Takeover becomes effective.

In the case of a Qualifying Takeover:

- (i) for purposes of the provisions relating to Optionally Cancelled Interest Payments, the relevant actions of SRL during the six months preceding the Reference Date shall refer to actions of SRL prior to the QT Effective Date and shall refer to actions of the Qualifying Acquirer following the QT Effective Date;
- (ii) following the QT Effective Date, references in provisions relating to ACSM and in the definition of “Market Disruption Event” to “SRL” shall be to the “Qualifying Acquirer” and references to “SRL Shares” shall be to “Qualifying Shares”;
- (iii) for purposes of At-Market Stock Settlement:
 - (A) where the Stock Settlement Date falls on or after the QT Effective Date, references to “SRL

- Shares” shall be to Qualifying Shares; and
- (B) delivery of Qualifying Shares in lieu of SRL Shares, together with the other elements of the Settlement Consideration, on or after the QT Effective Date shall constitute effective Stock Settlement.
- (iv) for purposes of the Solvency Event Floor Price Stock Settlement:
- (A) where the Stock Settlement Date falls on or after the QT Effective Date, references to “SRL Shares” shall be to “Qualifying Shares”;
 - (B) for the purposes of calculating the number of Settlement Shares, in lieu of the Floor Price, the New Floor Price (as defined in the Conditions) shall be used;
 - (C) delivery of Qualifying Shares in lieu of SRL Shares, together with the other elements of the Settlement Consideration, on or after the QT Effective Date shall constitute effective Stock Settlement; and
 - (D) the New Floor Price shall be subject to adjustment in the circumstances provided in the Conditions for the adjustment of the Floor Price (if necessary with such modifications and amendments as a Common Expert (as defined in the Conditions) acting in good faith shall determine to be appropriate) and the Issuer shall deliver a notice to the Holders of the New Floor Price and of any such modifications and amendments thereafter.

In the event of an Issuer Spin-off:

- (i) for the purposes of the provisions relating to Optionally Cancelled Interest Payments, the relevant actions of SRL during the six months preceding the Reference Date shall refer to actions of SRL prior to the Issuer Spin-off Date and shall refer to actions of the Issuer following the Issuer Spin-off Date;
- (ii) following the Issuer Spin-off Date, references in provisions relating to ACSM and in the definition of “Market Disruption Event” to “SRL” shall be to the “Issuer” and references to “SRL Shares” shall be to “Issuer Shares”, the Issuer need not use its best efforts to procure that SRL facilitate the ACSM and, if the Issuer is unable to raise funds by selling Issuer Shares, the Issuer’s obligation with respect to the relevant Interest Amount will be cancelled effective as of the relevant Interest Payment Date;
- (iii) where the Stock Settlement Date falls on or after the Issuer Spin-off Date, references to “SRL Shares” shall be to “Issuer Shares” for the purposes of the provisions

of At-Market Stock Settlement; and delivery of Issuer Shares in lieu of SRL Shares, together with the other elements of the Settlement Consideration, on or after the Issuer Spin-off Date shall constitute effective Stock Settlement; and

- (iv) for the purposes of Solvency Event Floor Price Stock Settlement:
 - (A) where the Stock Settlement Date falls on or after the Issuer Spin-off Date, references to “SRL Shares” shall be to “Issuer Shares”;
 - (B) for the purposes of calculating the number of Settlement Shares, in lieu of the Floor Price, the New Floor Price shall be used;
 - (C) delivery of Issuer Shares in lieu of SRL Shares, together with the other elements of the Settlement Consideration, on or after the Issuer Spin-off Date shall constitute effective Stock Settlement; and
 - (D) the New Floor Price shall be subject to adjustment in the circumstances provided in the Conditions for the adjustment of the Floor Price (if necessary with such modifications and amendments as a Common Expert acting in good faith shall determine to be appropriate) and the Issuer shall deliver a notice to the Holders of the New Floor Price and of any such modifications and amendments thereafter.

In the event of a Non-Qualifying Takeover, no Stock Settlement Option may be exercised by the Issuer from the date on which such Non-Qualifying Takeover becomes effective.

In the case of a Qualifying Takeover or an Issuer Spin-off, the Issuer (after consultation with the Holders’ Representative), may (but is under no obligation to) instruct a Common Expert to make any consequential changes to the Conditions which are not already provided for by the foregoing and which:

- (i) do not result in the occurrence of an Accounting Event, a Ratings Methodology Event, a Regulatory Event, a Recalculation of Interest Event or a Special Tax Event; and
- (ii) are necessary or appropriate in order to preserve substantially the economic effect, for the Holders, of a holding of the Loan Instruments prior to the Qualifying Takeover or Issuer Spin-off (as the case may be).

Where:

“**Acquirer**” means a person that completes a Takeover.

“**Fundamental Change**” means a Qualifying Takeover or an

Issuer Spin-off.

“Issuer Shares” means ordinary shares of the Issuer which are listed and admitted to trading on a Permitted Exchange.

“Issuer Spin-off” means a distribution of all of the ordinary shares of the Issuer to the shareholders of Swiss Re Ltd.

“Issuer Spin-off Date” means the effective date of an Issuer Spin-off.

“New Settlement Condition” shall be satisfied if the Issuer shall have entered into arrangements with the Qualifying Acquirer providing for delivery of Qualifying Shares pursuant to a Stock Settlement on terms applied *mutatis mutandis* to the provisions for At-Market Stock Settlement or Solvency Event Floor Price Stock Settlement, as applicable.

“QT Effective Date” means the date with effect from which the New Settlement Condition shall have been satisfied.

“Qualifying Acquirer” means a body corporate which, or the ultimate parent of which, on the occurrence of the Takeover, has in issue Qualifying Shares.

“Qualifying Shares” means ordinary share capital of a Qualifying Acquirer that constitutes equity share capital or the equivalent (or depositary or other receipts representing the same) which is listed and admitted to trading on a Permitted Exchange.

“Qualifying Takeover” means a Takeover where (i) the Acquirer is a Qualifying Acquirer; and (ii) the New Settlement Condition is satisfied.

“Relevant Target Entity” means Swiss Re Ltd or the Issuer, as the case may be, that is the company whose shares are to be acquired in a Takeover.

a **“Takeover”** means that any person acquires control of the Relevant Target Entity. For the purposes of the definition of “Takeover”, **“control”** means the acquisition or holding of legal or beneficial ownership of more than 90 per cent. of the issued ordinary shares of the Relevant Target Entity, and **“controlled”** shall be construed accordingly.

Governing Law/Jurisdiction..... The Loan Instruments will be governed by the substantive laws of Switzerland and the place of jurisdiction is Zurich, with the venue being Zurich 1.

Risk Factors

An investment in the Loan Instruments involves risks. You should carefully consider the following risk factors and the other information in this Information Memorandum before making an investment decision. Any of the risk factors could impact our business, financial conditions or operating results. The market prices of the Loan Instruments or the SRL Shares could decline if one or more of these risks and uncertainties develop into actual events. You may lose all or part of your investment. Some of the statements in “Risk Factors” are forward-looking statements. For more information about forward-looking statements see “Cautionary Note on Forward-Looking Statements.”

This Information Memorandum also contains forward-looking statements that involve risks and uncertainties that could cause our actual results or outcomes to differ materially from those expressed in any such forward-looking statements, as a result of any factor or combination of factors, including but not limited to the risks we face as described below and elsewhere in the Information Memorandum.

The Loan Instruments are being issued by the Issuer. If the Issuer exercises the At-Market Stock Settlement Option or the Solvency Event Floor Price Stock Settlement Option, SRL Shares would be delivered to the Holders in full or partial settlement of the Loan Instruments. On the date hereof, the operations of the SRZ Group (the Issuer and its consolidated subsidiaries) are substantially similar to the operations of the Swiss Re Group (SRL and its consolidated subsidiaries, including SRZ). In the future, upon completion of the Carve-out Transactions, while the aggregate operations of the Swiss Re Group will remain unchanged, the operations of the Issuer will cease to include the operations of Corporate Solutions and Admin Re[®].

Risks Relating to the Global Financial Markets and Current Economic Conditions

Our business, financial condition and results of operations could be adversely impacted by further deterioration in global financial markets and economic conditions.

The eurozone sovereign debt crisis, coupled with weak demand and mild fiscal contraction in the United States, is slowing global growth. Recession cannot be ruled out for a number of developed economies, and emerging markets, while continuing to expand, are doing so at a slower pace than last year or than expected. Economic developments, in the form of adverse growth trends, and the political environment, in the form of fiscal tightening, accommodative monetary policy and governance challenges, are resulting in low interest rates, threats to holders of sovereign debt and holders of debt of financial institutions with exposure to sovereign debt, and adverse trends in emerging markets.

Concerns are increasing about rising sovereign debt burdens, possible sovereign defaults and the future of the euro, which in turn could affect economic growth rates, interest rates and inflation. Failure to reach an early resolution of the eurozone sovereign debt crisis, and continued uncertainty over the stability of the euro and the European Monetary Union, could increase the severity and duration of economic recession, cause more economic turmoil in the near term, cause further disruptions in the global financial markets and impact foreign currency exchange rates. These developments in turn could have an adverse impact on our investment results, our ability to access the capital markets and the bank funding market, the ability of counterparties to meet their obligations to us and the short-term outlook for the life insurance industry, particularly in North America and Europe, with a corresponding negative impact on our Life & Health business. Concerns over the stability of the euro could also have a broad effect on contractual arrangements denominated in, or otherwise tied to, the euro.

The foregoing developments could have material adverse effects on our industry and on us.

Risks Relating to our Reinsurance Operations

Our reserves may not adequately cover future claims and benefits.

Our results depend in large part upon the extent to which actual claims experience is consistent with the assumptions that we use in setting the prices for our products and in establishing our reserves, and we face risks that our reserves may prove to be inadequate to cover our actual claims and benefits experience.

We maintain reserves in our Property & Casualty lines to cover our estimated ultimate liability for claims and claim adjustment expenses for reported and unreported claims incurred as of the end of each accounting period. We also maintain reserves for future policy benefits for our Life & Health lines. Reserves do not represent an exact calculation of liability, but rather are estimates of the expected cost of the ultimate settlement of claims. These estimates are based on actuarial and statistical projections of facts and circumstances known at a given time and estimates of trends in claims severity and other variable factors, including new bases of liability and general economic conditions. The process of estimating reserves and future policy benefits involves a high degree of judgment and is subject to a number of variables. These variables can be affected by both internal and external events, such as changes in claims handling procedures, economic inflation, foreign currency movements, legal trends and legislative changes, among others. The impact of many of these items on ultimate costs for claims is difficult to estimate.

Changes in trends or other variable factors underlying our reserve estimates could result in claims in excess of reserves. For example, our assumptions concerning future claims cost inflation could prove to be too low, resulting in higher claims. For some types of claims, most significantly asbestos-related, environmental pollution and health hazard claims and certain liability claims, it has been necessary, and may over time continue to be necessary, to revise estimated potential claims exposure and, therefore, the related claims reserves. Consequently, actual claims, benefits and related expenses paid may differ from estimates reflected in the reserves in our consolidated financial statements. Premium levels in our Life & Health business are often guaranteed for the life of a contract, which could be 30 years or more. If premium levels prove to be inadequate, we would make provision for the shortfall for the remaining lifetime of the contract. In addition, morbidity benefits are often payable over many years and there is uncertainty involved in estimating the number of years over which benefits will be paid. In general, mortality and morbidity-related products give rise to risks if mortality or morbidity increases above assumed levels, while longevity products give rise to risks if mortality decreases below assumed levels.

Additional claims may emerge, including claims arising from changes in the legal and regulatory environment, the type or magnitude of which we cannot foresee. Additional claims could also arise from changes in general economic conditions (which in the current environment may be more pronounced) that impact companies whose obligations are backed by credit insurance or reinsurance or financial guarantees. In particular, the values of the life-related benefits under certain products and life contracts, most notably variable annuity (“VA”) business, are tied to financial market values. These contracts have specific guarantees. As markets fall, the value of these guarantees increase, and, while we hedge part of this risk, there is a significant risk that market fluctuations could have a negative financial impact. As part of our de-risking activities, we discontinued writing new VA business and have an extensive hedging program covering our existing VA business.

There can be no assurance that going forward we will not experience adverse development. To the extent reserves (after giving effect to the adverse loss development reinsurance agreement (“ADC”) with National Indemnity Company (“National Indemnity”)) are insufficient to cover actual claims, claim adjustment expenses or future policy benefits, we would have to add to these reserves and incur a charge to our earnings. In addition, as a result of the post-credit crisis reforms, there may be regulatory and/or legislative changes that impact our required reserve levels that we cannot

anticipate and that may render our reserves insufficient. These insufficiencies in reserves could have a material adverse effect on our financial condition, results of operations and cash flow.

Catastrophic events expose us to the risk of unexpected large losses.

A catastrophic event or multiple catastrophic events may cause unexpected large losses and could have a material adverse effect on our financial condition, results of operations and cash flow. Catastrophic events, such as hurricanes, windstorms, floods, earthquakes, explosions, industrial accidents, fires and pandemics, are inherently unpredictable in terms of both their frequency and severity. We have generally believed, and continue to believe, that one or more catastrophic events that produce significant losses eventually will occur and there can be no assurances that our efforts to protect ourselves against catastrophic losses, such as the diversification of business written, the use of selective underwriting practices, the use of quantitative models, prudent reserving, the monitoring of risk accumulations and risk protection arrangements, will prove to be adequate.

The ultimate impact of a catastrophic event or multiple catastrophic events on our financial condition, results of operations and cash flow is difficult to predict and will be affected by a number of factors, including: the frequency of loss events; the severity of each event; the total amount of insured exposure in the area affected by each event; changes in the value of the insured property; the effects of inflation; and the extent of unemployment and other economic conditions caused by each event. Moreover, we may from time to time issue preliminary estimates of the impact of catastrophic events that because of uncertainties in estimating certain losses, need to be updated as more information becomes available, which updates may be significant.

We set forth below some of our more significant catastrophe exposures.

Natural catastrophes. Generally, over the past decade, insured losses for catastrophes have shown a rising trend, due principally to weather-related catastrophes. The increasing concentration of economic activities and people living and working in areas exposed to natural catastrophes has resulted in increased financial risk and complexity. Increasing insurance penetration and higher property values has further compounded the financial risk. The occurrence of high severity events in recent years such as Hurricane Katrina, which devastated the Gulf Coast of the southern United States in September 2005; winter storm Kyrill in Germany, a series of floods in the UK and severe storms in Australia in 2007; Hurricanes Ike and Gustav and the earthquake in China in 2008; winter storm Klaus in 2009; and the earthquakes in Chile, New Zealand and Haiti, winter storm Xynthia in Western Europe and the floods in Australia in 2010 and Thailand in 2011 are an integral part of our business, and providing cover for these natural catastrophes will remain fundamental to our value proposition.

More recently, 2011 experienced natural catastrophe events – including the cyclones in Australia, the earthquake in New Zealand and the earthquake and tsunami in Japan in the first quarter of 2011, as well as the tornadoes and hurricanes in the United States in the second quarter of 2011 and the more recent flooding in Thailand – in such a volume and severity that 2011 ranks as the second costliest year for insured losses from catastrophes (behind the record \$123 billion in insured losses experienced in 2005). Earthquake insured losses alone in 2011 are estimated to be \$49 billion, the most expensive in history, with the earthquakes in New Zealand and Japan representing two of the costliest in history. Based on current estimates, claims from natural catastrophes alone have reached \$110 billion for 2011 and claims from natural catastrophes and man-made disasters in 2011 have collectively cost insurers \$116 billion, compared to \$48 billion in 2010. Total economic losses (insured and uninsured losses) for 2011 are estimated to be in the range of \$370 billion (up from \$226 billion in 2010), with insured losses lower in absolute and relative terms in 2011 as Japan and Thailand were both underinsured in respect of the earthquake, tsunami and floods economic losses, respectively.

Overall, it is estimated that approximately 35,000 people lost their lives due to catastrophes during 2011, the majority in Japan. The intense rainfall and severe flooding in Thailand between July

and November caused hundreds of deaths and flooded approximately 4,000 homes, businesses and large industrial facilities, and our claims cost from the severe flooding in this region was estimated at \$600 million, net of retrocession and before tax, with the total insured market loss estimated to be \$12 billion. When combined, the extreme flooding in Thailand and in Australia is estimated to have triggered more than \$14 billion in insurance claims. In addition, while there were fewer hurricanes in the United States in 2011, two severe tornado outbreaks in the United States caused over \$14 billion in claims and losses of more than 400 lives, and Hurricane Irene cost the industry more than \$5 billion in property damage.

As the recent extreme experience shows, there can be no assurance to the volume and scope of high severity events in any particular year. In addition, changing climate has created additional uncertainty as to the future trends of, and exposure to, natural catastrophes in certain parts of the world. For example, a large number of tropical cyclones and tsunamis, and the earthquakes in the Sichuan province (in China), Port-au-Prince, Haiti, Santiago, Chile, Christchurch, New Zealand and Japan have contributed to one of the more devastating periods on record – with a significant increase in the number of victims and losses. Even natural catastrophes that occur in relatively sparsely populated areas, such as the volcanic eruption in Iceland in April 2010, which led to economic losses due to the closure of air space across Europe, can have severe and wide-reaching economic impact.

The possible effects of natural catastrophes are compounded by the correlation between climate change and severe storms, floods and drought as well as adverse agricultural yields. The effects of global warming and climate change cannot be predicted and are likely to aggravate potential loss scenarios, risk modelling and financial performance. Furthermore, climate change could lead to severe weather events spreading to parts of the world that have not previously experienced extreme weather conditions. A key challenge will be emerging markets' ability to adapt to more severe and frequent natural catastrophes expected as a result of climate change.

Man-made disasters. Complex technology intersecting with increased population density, infrastructure and higher rates of utilization of natural resources increase the likelihood and the magnitude of catastrophic man-made events. Man-made disasters involving chemical, biological or nuclear hazards in particular bear high potential for losses. Due to the uncertainty of the occurrence and the level of loss of man-made disasters, unexpected large losses could have a material adverse effect on our financial condition, results of operations and cash flow.

Terrorism. Terrorist attacks could, beyond the immediate target of the attack (whether individuals, property or infrastructure), have a significant impact on economic, political and market conditions. The prospect of future substantial terrorist attacks (including those that are intended to cause maximum strain on financial infrastructures), as well as the prospect of an increasing frequency of smaller attacks, poses a challenge for risk managers and underwriters alike, and highlights the need for innovative solutions, including joint approaches involving the private sector and governments. Our exposure to terrorism arises from all lines of business to varying degrees. While we have established some basic limits frameworks and we use quantitative modelling, there can be no assurances that our efforts to mitigate the impact of a terrorist attack will be successful. Due to the uncertainty surrounding terrorism events, as well as the likelihood that one or a series of events would have multiple impacts, unexpected large losses could have a material adverse effect on our financial condition, results of operations and cash flow.

Extreme mortality and morbidity. We have significant exposure to mortality and morbidity risk through our Life & Health business covers as well as the acquisition of run-off businesses through Admin Re[®]. Consequently an influenza pandemic is a material risk as it has the potential to impact all markets across the world. In the past one hundred years, there have been three influenza pandemics, with greatly varying mortality rates, typically among the more vulnerable and concentrated in the very young and old. We believe that a pandemic has the potential to affect a significant percentage of the world's population, causing a high level of sickness and an increase in mortality. The worst of these three pandemics caused an estimated 20-50 million deaths in 1918-1919.

Global mitigation. Rare, but potentially disastrous, risks have the potential to cause major systemic disruptions due to the interconnectedness of risks in a globalized economy reflecting the potential real time response of securities, property and foreign currency markets to natural catastrophes, terrorist attacks and the like and the disconnect between the risks and the ability to mitigate them. These risks include climate change, energy supply interruptions and oil price shocks, severe foreign exchange movements, fiscal crises caused by demographic changes, proliferation of weapons of mass destruction, geopolitical instability and civil wars, and breakdowns of critical information infrastructures, as well as other risks that the occurrence of one or more of these risks could trigger. The potential impact of these global risks will be a function of the extent to which mitigation strategies, emergency plans and education of risk awareness can be implemented on a systemic, global basis. There can be no assurance that such strategies can be effectively implemented.

The effects of emerging claim and coverage issues on our business are uncertain.

As industry practices and legal, judicial, social and other environmental conditions change, unexpected and unintended issues related to claims and coverage may emerge. These issues may adversely affect our business by either requiring us to extend coverage beyond our underwriting intent or by increasing the number or size of claims. Examples of emerging claims and coverage issues include:

- adverse changes in loss cost trends, including inflationary pressures;
- judicial expansion of policy coverage and the impact of new theories of liability;
- legislative or judicial action that affects policy coverage or pricing (such as the recent decision of the European Court of Justice removing the exemption for use of gender as a risk factor for insurance contracts);
- a growing trend of plaintiffs targeting property and casualty insurers in purported class action litigation relating to claim-handling and other practices;
- claims in respect of directors' and officers' coverage, professional indemnity and other liability covers arising from the turmoil in the financial markets; and
- climate change-related litigation.

The effects of these and other unforeseen emerging claim and coverage issues are extremely hard to predict, but could increase in either or both number and magnitude, and therefore could harm our business and have a material adverse effect on our financial condition, results of operations and cash flow.

Cyclical of the reinsurance industry has caused, and can be expected to continue to cause, fluctuations in our results.

The supply of reinsurance is related to prevailing prices, the level of insured losses and the level of industry surplus, which may fluctuate in response to changes in premium rates and rates of return on investments being earned in the reinsurance industry. As a result, the reinsurance business has historically been cyclical, particularly the property and casualty market, which is characterized by periods of intense competition on price and policy terms due to excessive underwriting capacity as well as periods when shortages of capacity permit favorable premium rates and policy terms and conditions. Typically no two cycles are the same.

Historically, operating results of reinsurers have fluctuated significantly because of volatile and sometimes unpredictable developments, many of which are beyond the direct control of reinsurers. These developments include:

- changes in general economic conditions and the political environment;
- price competition;
- frequency of occurrence and/or severity of catastrophic events;
- capital markets volatility;
- changes in underwriting capacity;
- increased funding costs due to market illiquidity;
- decreased demand for reinsurance products and services and lower revenues as a result of an economic downturn; and
- reduced earnings because of the inability or unwillingness of counterparties to perform their obligations.

We expect to continue to experience the effects of this cyclical, including changes in premium rates, which could have a material adverse effect on our results of operations. The two principal segments of the reinsurance business – life and health, and property and casualty – in effect operate in their own cycles. The effects of this cyclical can also be exacerbated by changes in business mix within the two segments. The casualty market is currently viewed as still in a “soft” cycle, with certain improvements due to prior year positive development rather than current results and more moderate premium growth than expected, and life and health, while continuing to recover from the effects of the financial crisis, remains on a trajectory of low growth for 2012.

We are impacted by changes in the insurance industry that affect ceding companies.

Some of our ceding company clients now have greater market capitalizations than we and our reinsurance company peers. Among other effects of changes affecting the primary market, ceding companies are retaining an increasing portion of their business, relying less on reinsurance to mitigate their risk exposure and rationalizing reinsurance procurement policies (particularly for recurring (“flow”) business obtained in the open market) through central purchasing platforms. In addition, ceding companies are demonstrating in respect of their reinsurers, a greater sensitivity to counterparty risk, particularly in the property and casualty market, and are limiting where possible that risk through concentration limitations, which in turn may impact our market shares. These trends are likely to continue in light of Solvency II requirements (which favor diversification and also can lead to greater retention) and greater focus on risk management at ceding companies.

Competitive conditions in the reinsurance industry could impact our results.

In recent years, the competitive landscape has been marked by the increased convergence of banking, reinsurance and capital markets businesses. Competition in the types of reinsurance we provide is based on many factors, including the overall financial strength of the reinsurer, expertise, local presence, reputation, experience and qualifications of employees, client relationships, geographic scope of business, products and services offered, premiums charged, contract terms and conditions and speed of claims payment.

We compete for reinsurance business in the U.S. reinsurance market, the European (particularly, the U.K) reinsurance markets and other international reinsurance markets (particularly Australia) with numerous reinsurance and insurance companies, some of which also have substantial financial resources and are highly rated. Opportunities in emerging markets (particularly the BRIC countries – Brazil, Russia, India and China) have led to increased competitive pressures in such markets from international players, and we also compete with state-owned reinsurers in three of these markets, Brazil, India and China. We also face competition in our efforts to offer risk transfer products to the capital markets, as other market participants also are developing and offering insurance-linked securities (“ILS”) and derivatives and other non-traditional risk transfer mechanisms and vehicles. The increasing role of brokers, particularly in the property and casualty sector, also can have an impact on competition.

The nature of the competition we face may be affected by disruption and deterioration in global financial markets and economic downturns, as well as by governmental responses thereto. Government intervention might result in capital or other support for our competitors. Furthermore, competition in the reinsurance industry may be indirectly impacted by regulatory capital requirements in Europe as primary insurance companies look for ways to relieve their capital requirements – for example with structured reinsurance. The reinsurance sector could also be impacted if the new capital requirements being imposed on banks will result in the divestiture of their insurance operations. We cannot predict whether different competitors could emerge from the financial crisis or whether current competitors could improve their position relative to us as a result of their eligibility for government support or other intervention.

The occurrence of future risks that our risk management procedures fail to identify or anticipate could have a material adverse effect on our business, financial condition, results of operations and liquidity.

We continually review our risk management policies and procedures and will continue to do so in the future. Many of our methods of managing risk and exposures are based upon observed historical market behavior and statistic-based historical models. As a result, these methods may not predict future exposures, which could be significantly greater than historical measures indicate. Other risk management methods depend on the evaluation of information regarding markets, clients, catastrophe occurrence, or other matters that are publicly available or otherwise accessible to us. This information may not always be accurate, complete, up-to-date or properly evaluated. Our risk management methods reflect certain assumptions about the degrees of correlation or lack thereof among prices of various asset classes or other market indicators. In times of market turmoil or other unforeseen circumstances, similar to those that occurred during 2008 and 2009, previously uncorrelated indicators may become correlated, or previously correlated indicators may move in different directions. These types of market movements may limit the effectiveness of our risk management methods.

Failure (or the perception that we have failed) to develop, implement, monitor and when necessary preemptively upgrade, to address evolving risks, our risk management policies and procedures could, at the very least, give rise to reputational issues and have an adverse impact on our ratings (to the extent that any future unexpected loss does not fit within our stated tolerance for risk or is not considered by the rating agencies to be manageable compared to underlying earnings). Risks that we fail to anticipate, and/or adequately address, could have a material adverse effect on our business model, financial condition, results of operations and liquidity.

For our reinsurance business, we depend on the policies, procedures and expertise of ceding companies; these companies may fail to accurately assess the risks they underwrite, which may lead us to inaccurately assess the risks we assume.

Because we participate in reinsurance markets, the success of our reinsurance underwriting efforts depends, in part, on the policies, procedures and expertise of the ceding companies making the original underwriting decisions. We may not have adequate visibility as to the assumptions, modelling and other techniques that ceding companies use and can offer no assurance that their techniques are appropriate or will be successful. Underwriting is a matter of judgment, involving important assumptions about matters that are inherently unpredictable and beyond the ceding companies' control and for which historical experience and statistical analysis may not provide sufficient guidance. If ceding companies fail to accurately assess the risks they underwrite, we may inaccurately assess the risks we reinsure and the premiums that are ceded to us may not adequately compensate us. As a result, we could face significant losses on these reinsurance contracts.

Investments in operations in emerging markets may be volatile.

Investments in operations in emerging markets may be more volatile than investments in more developed markets. Some of these markets may have relatively unstable governments, economies based on only a few industries and securities markets that trade only a limited number of securities. Many emerging markets do not have well developed regulatory and legal systems and disclosure standards may be less stringent than those of developed markets. Moreover, as compared to more developed markets, emerging markets tend to exhibit higher risks of inflationary pressures, exchange rate fluctuations, imposition of exchange controls, civil unrest, expropriation, nationalization, renegotiation or nullification of existing contracts and changes in law or tax policy. Consequently there is a greater risk of not recovering on all or any investments in those markets, which could negatively impact our financial condition and results of operations.

A failure in our operational systems or infrastructure, or those of third parties, could disrupt our businesses, result in the disclosure of confidential information, damage our reputation and cause losses.

Our businesses are dependent on our ability to process and monitor multiple client relationships, contacts, agreements and transactions, many of which are highly complex, across numerous and diverse markets in many currencies. Our agreements and transactions with our clients typically will be tailored to client-specific requirements and preferences, as well as legal and regulatory standards. As our client base and our geographical reach is global and ever expanding, developing and maintaining our operational systems and infrastructure is an ongoing challenge. Our financial, accounting, data processing or other operating systems and facilities may fail to operate properly or become disabled as a result of events that are wholly or partially beyond our control, such as increased transaction volume, and any such failure, termination or constraint could adversely affect our ability to effect transactions, service our clients, manage our exposure to risk or expand our businesses or result in financial loss or liability to our clients, impairment of our liquidity, disruption of our businesses, regulatory intervention or reputational damage.

Despite the resiliency plans and facilities we have in place, our ability to conduct business may be adversely impacted by a disruption in the infrastructure that supports our businesses and the communities in which we are located. This may include a disruption involving electrical, communications, internet, transportation or other services used by us or third parties with which we conduct business. These disruptions may occur as a result of events that affect only our buildings or the buildings of such third parties or, as a result of events with a broader impact globally, regionally or in the cities where those buildings are located. Notwithstanding our efforts to maintain business continuity, depending on the intensity and longevity of the event, a catastrophic event impacting any of our area offices could negatively impact our business. If a disruption occurs in one location and our employees in that location are unable to occupy our offices or communicate with or travel to other locations, our ability to service and interact with our clients may suffer, and we may not be able to successfully implement contingency plans that depend on communication or travel.

Our operations rely on the secure processing, storage and transmission of confidential and other information in our computer systems and networks. Although we take protective measures and endeavor to modify them as circumstances warrant, our computer systems, software and networks may be vulnerable to unauthorized access, computer viruses or other malicious code and other events that could have a security impact. If one or more of such events occur, this potentially could jeopardize our or our clients' confidential and other information processed and stored in, and transmitted through, our computer systems and networks, or otherwise cause interruptions or malfunctions in our, our clients' or third parties' operations, which could result in significant losses or reputational damage. We may be required to expend significant additional resources to modify our protective measures or to investigate and remediate vulnerabilities or other exposures, and we may be subject to litigation and financial losses that are either not insured against or not fully covered through any insurance maintained by us. Furthermore, we routinely transmit and receive personal, confidential

and proprietary information by email and other electronic means. We have discussed and worked with clients, vendors, service providers, counterparties and other third parties to develop secure transmission capabilities, but we do not have, and may be unable to put in place, secure capabilities with all of our clients, vendors, service providers, counterparties and other third parties and we may not be able to ensure that these third parties have appropriate controls in place to protect the confidentiality of the information. An interception, misuse or mishandling of personal, confidential or proprietary information being sent to or received from a client, vendor, service provider, counterparty or other third party could result in legal liability, regulatory action and reputational harm.

We have outsourced credit and securitized portfolios to a variety of asset management companies and are dependent on their systems and controls in respect of the portfolios they manage for us.

We may have difficulty in executing acquisitions, which could have a material adverse effect on our business, financial condition and results of operations.

We have in the past and may in the future engage in discussions with third parties regarding possible acquisitions, which discussions may or may not result in acquisition transactions. There are significant risks and uncertainties associated with acquisitions. Acquisitions present a range of risks, including the risk that integration difficulties or a significant decline in asset valuations or cash flows may cause us not to realize expected benefits from the transactions, which may affect our results, including adversely impacting the carrying value of the acquisition premium or goodwill. These integration matters could have an adverse effect on us for an undetermined period after consummation of an acquisition.

Market Risks

We are exposed to significant financial and capital markets risks, including changes in interest rates, credit spreads, equity prices and foreign exchange rates, which may adversely impact our financial condition, results of operations, cash flow, liquidity and capital position.

As a global reinsurance company, our business is materially affected by conditions in the financial markets and economic conditions generally in Europe, the United States and elsewhere around the world. Our exposure to interest rate risk is primarily related to the market price and cash flow variability associated with changes in interest rates. Our exposure to credit spreads primarily relates to market price and cash flow variability associated with changes in credit spreads. With respect to equity prices, we are exposed to changes in the level and volatility of equity prices, as well as the value of securities or instruments that derive their value from a particular equity security, a basket of equity securities or a stock index. Our exposure to foreign exchange risk arises from exposures to changes in spot prices, forward prices and volatilities of currency rates.

These risks can have a significant effect on our investment returns and market values of securities positions, which in turn affects both our results of operations and financial condition. Investment income is an important part of our overall profitability, particularly during periods when underwriting results come under pressure, and, in addition to premiums from our reinsurance operations, represents a principal source of income. Fluctuations in the fixed income or equity markets have had, and could continue to have, an adverse effect on our financial condition, results of operations and cash flow. Our investment returns are also susceptible to changes in general economic conditions, including changes that impact the general creditworthiness of the issuers of debt securities held in our portfolio or the value of equity securities held in our portfolio, and to changes that impact the value of structured products.

Fluctuations in interest rates may affect our future returns on fixed income investments, as well as the market values of, and corresponding levels of capital gains or losses on, the fixed income securities in our investment portfolio. Interest rates typically are subject to factors beyond our control such as governmental monetary and fiscal policies, global economic conditions and many other

factors, all of which have been exacerbated by the financial crisis and its aftermath. Generally, an increase in interest rates would increase the net unrealized loss position of our fixed income portfolio, offset by the ability to earn higher rates of return on funds invested. Conversely, a decline in interest rates would decrease the net unrealized loss position, offset by lower rates of return on funds invested. Given current levels of interest rates, we are likely to be subject to the significant potential effects of rising rates.

Widening of credit spreads or other events that adversely affect the issuers or guarantors of fixed income securities we hold could cause the value of our fixed income portfolio and our net income to decline and the default rate of the fixed income securities in our investment portfolio to increase. A ratings downgrade affecting issuers or guarantors of particular securities, or similar trends that could worsen the credit quality of issuers, could also have a similar effect.

Although we have reduced our exposure to traded equities, we are subject to equity price risk to the extent that the values of life-related benefits under certain products and life contracts, most notably guaranteed minimum life benefit VA business, are tied to financial market values. To the extent market values fall, the financial exposure on guarantees related to these contracts would increase, to the extent our exposure is not hedged. While we have an extensive hedging program covering existing VA business, certain risks cannot be hedged, including actuarial risks, basis risk and correlation risk. We also have exposure to alternative investments, such as private equity, real estate and hedge fund investments. Market volatility has impacted both the level of net investment income from these types of investments and our ability to dispose of such investments on favorable terms or at all, and we may continue to experience reduced net investment income due to continued volatility affecting these pools of capital. Moreover, due to the normal delay in the preparation and receipt of financial information from underlying investments, results for late last year may only be reported to us this year.

If significant, market volatility, changes in interest rates, changes in credit spreads and defaults, a lack of pricing transparency, market liquidity, declines in equity prices, and foreign currency movements, alone or in combination, could have a material adverse effect on our results of operations, financial condition or cash flows through realized losses, impairments or changes in unrealized positions. Volatility in the capital markets also impacts costs of hedging, and lower asset values reduce shareholders' equity.

Market volatility continued in 2011, triggered in large part by concerns over the sovereign debt of Greece, Ireland, Spain, Portugal and Italy and the impact of the sovereign debt crises more broadly on the euro and the European Union, the downgrade by Standard & Poor's of the long-term credit rating of U.S. Treasury debt from AAA to AA+, concerns over the general pace of economic recovery and concerns over political stalemates. The specter of defaults on sovereign debt poses risks to holders of sovereign debt, as well as holders of debt of financial institutions with their own exposures to sovereign debt. Capital markets also suffered in the second half of 2011, as did corporate bond spreads reflecting elevated risks of default, and it is unclear when markets might stabilize. Long-term credit ratings of various countries in the eurozone and banks have also been downgraded or placed under credit watch in 2012.

In addition to market volatility, low interest rates over the past three years and uncertainties around future inflation expectations continue to pose significant challenges to the insurance and reinsurance industries, with earnings capacity under stress unless investment returns can be offset by lower combined ratios. Economic weakness, fiscal tightening and monetary policies are keeping government yields low, which impacts investment yields and affects the profitability of life savings products with interest rate guarantees.

It is difficult to predict what the impact would be on us, from a general business or financial reporting perspective, or from a capital or liquidity perspective, were austerity or stimulus measures adopted by governments in response to budget deficits and adverse economic conditions to be

unsuccessful or counterproductive, were there to be further adverse developments by reason of the occurrence, or threat, of write-downs of, or defaults or other credit events relating to, the sovereign debt of one or more countries, were conditions in the financial markets to deteriorate further, or were there to be further adverse developments affecting economies, financial systems or markets.

Our efforts to manage asset risk in our investment portfolio may not be fully successful and may nonetheless expose us to the risk of mismatch between our assets and our liabilities.

We are focused on Asset-Liability Management (“ALM”) for our investment portfolio, but pursuing even this strategy has its risks, including a possible mismatch between investments and liability benchmarks. In addition, although we will seek to price our new business consistent with investment returns tied to our liability benchmark, our existing business, particularly the more long-tailed Life & Health business, was priced using historical parameters. As interest rates have dropped significantly, we may be unable to successfully match, or come close to, such historical parameters going forward. Further, unanticipated changes in the correlation between the various factors that we use to manage our investment portfolio may impact its performance.

We also seek to manage the risks inherent in our investment portfolio by repositioning our portfolio from time to time, as needed, and to reduce risk and fluctuations through the use of hedges and other risk management tools.

Our ability to manage exposures may be limited by adverse changes in the liquidity of a security or the related hedge instrument and in the correlation of price movements between the two. Sudden declines and volatility make it more difficult to hedge, or to sell or value, assets. The inability to effectively hedge or sell assets reduces our ability to limit losses in such positions. In addition, in the case of private equity investments, hedge fund investments and other securities that are not freely tradable or lack an established and liquid trading market, it may not be possible, or economical, to hedge such exposures. There can be no assurance that our efforts to reduce our exposure to sudden and adverse price movements will be successful, and failure to do so could have a material adverse effect on our financial condition, results of operations and liquidity. Moreover, we may be successful in establishing hedges, but the hedges may be ineffective or may greatly reduce our ability to profit from increases in the values of the underlying securities.

Like other financial institutions, we were adversely impacted by the deterioration in the credit markets in 2008-2009, and further market fluctuations and volatility could have a material adverse effect on our business, financial condition and results of operations.

Assets in our investment portfolio are accounted for at fair value and the declines in these values may have a direct and negative effect on us. Trading assets are subject to mark-to-market adjustments with losses impacting our income statement and balance sheet. There can be no assurance that the state of the credit markets and market fluctuations and volatility will not have a material adverse effect on our results of operations and financial condition.

Also, adverse conditions in the credit markets and related developments can have an adverse impact on the ability of market participants, including ourselves and our counterparties, to value credit default swaps and other credit-related instruments. Differences in opinion as to valuations could result in legal disputes with counterparties as to our and their respective obligations, the outcomes of which are difficult to predict and could be material.

Certain changes in accounting or financial reporting standards, or changes in the interpretation of standards, in respect of fair value accounting or impairments, could have a material effect on our reported financial results.

We prepare our consolidated financial statements in accordance with U.S. GAAP. U.S. GAAP and International Financial Reporting Standards (“IFRS”) are complex, continually evolving and

potentially subject to differing interpretations by relevant authoritative bodies. New accounting pronouncements, as well as new interpretations of existing accounting pronouncements, may have material adverse effects on our reported results of operations and financial condition.

In response to concerns that certain accounting standards may have contributed to, or exacerbated, the credit crisis and as part of a general convergence process with IFRS, the Financial Accounting Standards Board and other accounting standard setters have been considering a variety of changes to accounting standards, and we cannot predict what future changes will be adopted or how they will affect us. In addition, we can provide no assurance that any regulatory authorities that oversee our business will not take issue with conclusions that we may reach with respect to accounting matters. Changes in accounting standards could impact future reported results or require restatement of past reported results.

We are subject to risks relating to the preparation of estimates and assumptions that management uses in our risk models as well as those that affect the reported amounts in our financial statements.

We are subject to risks relating to the preparation of estimates and assumptions that management uses, for example, as part of our risk models as well as those that affect the reported amounts of assets, liabilities, revenues and expenses in our financial statements, including assumed and ceded business. For example, we estimate premiums pending receipt of actual data from ceding companies, which actual data could deviate from the estimates. We could be adversely affected, for example, if premiums turn out to be lower, while claims stay the same.

Moreover, deterioration in market conditions could have an adverse impact on the assumptions we have made for financial reporting, which in turn could affect possible impairment of present value of future profits, fair value of assets and liabilities, deferred acquisitions costs or goodwill. For example, in evaluating available-for-sale securities for other-than-temporary impairment, we undertake a quantitative and qualitative process, which is subject to risks and uncertainties and is intended to determine whether a credit or non-credit impairment should be recognized in current period earnings or in other comprehensive income. These risks and uncertainties include changes in economic conditions, the financial condition of the issuer, changes in interest rates or credit spreads, and future recovery prospects. For securitized financial assets with cash flows, we must estimate the cash flows over the life of the asset. We also consider a range of other factors about the issuer in evaluating the cause for decline in estimated fair value and prospects for recovery. To do so, we must make significant assumptions and estimates, and these subjective determinations could materially impact our results.

Liquidity Risks

We could be subject to unexpected needs for liquidity, which potential need could be exacerbated by market conditions.

Our business requires, and our clients expect, that we have sufficient capital and sufficient liquidity to meet our reinsurance obligations, and that this would continue to be the case following the occurrence of any event or series of events, including extreme catastrophes, that would trigger our insurance or reinsurance obligations. In addition to premiums from our reinsurance operations, our principal sources of liquidity traditionally are our investments, as well as the funds we raise from time to time through the issuance of securities, incurrence of debt (including short-term and long-term debt), the issuance of hybrid securities and ordinary course sales or pledges of assets (including through repurchase agreements, securitizations and collateralized loans).

Our uses of funds include our obligations arising in our reinsurance business (including claims and other payments as well as insurance provision repayments due to portfolio transfers, securitizations and commutations), which may include large and unpredictable claims (including

catastrophe claims), funding of capital requirements and operating costs, payment of principal and interest on outstanding indebtedness and funding of acquisitions. We also enter into contracts or trading arrangements that could give rise to significant short-term funding obligations and, in connection with our trading operations, we could be subject to unexpected calls to deliver collateral or unwind trading positions at a net cost to us. We have unfunded capital commitments in our private equity and hedge fund investments, which could result in funding obligations at a time when we are subject to liquidity constraints. We also have potential collateral requirements in connection with a number of our reinsurance arrangements.

We manage liquidity and funding risks by focusing on the liquidity stress that is likely to result from extreme capital markets scenarios or from extreme loss events, or combinations of the two. Generally, our ability to meet liquidity needs could be adversely impacted by factors that we cannot control, such as market dislocations or interruptions, adverse economic conditions, severe disruption in the financial and worldwide credit markets and the related increased constraints on the availability of credit, changes in interest rates and credit spreads, and foreign currency movements, or by perceptions among market participants of the extent of our liquidity needs. We also anticipate the overall availability of bank financing might contract as a consequence of the implementation of the stricter regulatory capital requirements for banks. In addition, going forward, liquidity for the Swiss Re Group, which historically was allocated within the SRZ Group, will be managed and adjusted across the Swiss Re Group, which may impact the liquidity position of the SRZ Group. See “– Risks Relating to the Carve-out Transactions.”

Market conditions can impact liquidity needs in a variety of ways. For example, our need for liquidity to cover potential recapture of reinsurance agreements, early calls of debt or debt-like arrangements or collateral calls under derivative contracts could be triggered by a deterioration in our financial strength or the perception by counterparties that we may be subject to such deterioration. Similarly, contingent collateral requirements could be tied to ratings or our ability to meet certain regulatory capital tests. Obligations under derivative instruments to maintain high quality collateral could trigger funding requirements were the collateral we maintain to be downgraded or otherwise impaired. Certain of our debt underlying structured transactions may be due on demand, and payment undertaking agreements may be accelerated on ratings downgrades or unwinds of the related structured transaction. Market conditions could also trigger changes in collateral requirements under securities lending arrangements. Any of the foregoing could be material.

The availability and cost of collateral, including letters of credit, could adversely affect our operations and financial condition.

In connection with our reinsurance obligations, we may be, or may become, subject to requirements to post collateral, which amounts could be material and, furthermore, requirements to post collateral could require us to liquidate cash equivalents or other securities to fund collateral requirements. For example, in order to reduce the effects of regulatory reserves and capital that ceding companies are required to maintain in certain jurisdictions, ceding companies retrocede business to affiliated and unaffiliated entities. In connection with such retrocessions, the affiliated or unaffiliated reinsurer must provide an equal amount of collateral. Such collateral may be provided in the forms of letters of credit or through the placement of assets in trust. We may be required to provide collateral as part of these types of retrocession arrangements for the benefit of unaffiliated ceding companies or for the benefit of affiliated entities, and a significant part of our reinsurance collateral requirements are currently being met through bank letters of credit obtained through multi-bank and bilateral letter of credit facilities. These letters of credit are irrevocable and unconditional, and could be drawn upon by ceding company beneficiaries, triggering a reimbursement obligation on our part to the issuer or issuers of such letters of credit.

Our credit facilities place various constraints on us, and our use of credit facilities, particularly letter of credit facilities, subjects us to various risks.

Our funding arrangements, including our letter of credit facilities, contain covenants that could place constraints on our ability to undertake various activities or transactions. Any failure to comply with such covenants or covenants in other debt instruments could result in a default. A default could lead to acceleration of the underlying obligations, trigger collateralization requirements (in the case of letter of credit facilities supporting reinsurance-related obligations) and/or trigger cross-defaults in other credit facilities or debt instruments. The need to refinance or replace these facilities on less favorable terms could adversely affect our business and our financial condition.

Our access to funds from bank counterparties and commitments of banks to issue letters of credit could be adversely impacted if one or more bank counterparties were to face liquidity or other credit-related issues, and continued effectiveness of letters of credit could be adversely impacted if the issuing banks were to face resolution. Moreover, failure of a bank to satisfy minimum criteria (such as inclusion on the “Bank List” of the National Association of Insurance Commissioners) could require us to find replacement issuers of letters of credit. We might not be able to replace issuers on favorable terms on a timely basis or otherwise.

Our access to funding markets could be limited, particularly in distressed market conditions.

In times of market dislocation, the factors giving rise to our liquidity needs could also constrain our ability to replenish our liquidity. Should we require liquidity at a time when access to funding markets is limited, we may not be able to secure new sources of liquidity.

In addition, our ability to meet liquidity needs may be further constrained by regulations that require our regulated entities to maintain or increase regulatory capital or that restrict intra-group transactions, the timing of dividend payments from subsidiaries or the fact that certain assets may be encumbered or otherwise non-tradable. Moreover, regulators may have the right to block or reduce the flow of intra-group funds. Thus, we may have adequate capital on a consolidated group basis (as measured by the excess of our assets over our liabilities), but our need for liquidity (cash or liquid assets that can be converted to cash, or alternative sources of cash such as credit facilities, to meet financial obligations as they arise) could arise in a particular legal entity and our ability to access group liquidity for that entity may be limited by legal or regulatory constraints on the flow of intra-group funds. Moreover, such constraints may become tighter in the future as a result of regulatory action taken in response to the financial crisis.

Finally, any adverse ratings action against us could trigger a need for further liquidity (for example, by triggering termination provisions or collateral delivery requirements in contracts to which we are a party) at a time when our ability to obtain liquidity from external sources is limited by such ratings action.

Counterparty Risks

Our business, profitability and liquidity may be adversely affected by the deterioration in the creditworthiness of, or defaults by, third parties that owe us money, securities or other assets.

Trading counterparties, counterparties under swaps and other derivative contracts and financial intermediaries may default on their obligations to us due to bankruptcy, insolvency, lack of liquidity, adverse economic conditions, operations failure, fraud or other reasons, which could also have a material adverse effect on our financial condition and results of operations.

The inter-relationship among financial services institutions has increased significantly as a result of trading, clearing, counterparty and other relationships. Defaults by, or even rumors or questions about, one or more financial services institutions or the financial services industry generally, have led to market-wide liquidity problems and could lead to losses or defaults by us or by other institutions. In addition, our credit risk may be exacerbated when the collateral held by us cannot be realized upon disposal or liquidation or is liquidated at prices not sufficient to recover the full amount of the

financial instrument exposure due to us. There is no assurance that any such losses would not have a material adverse effect on our financial condition and results of operations.

Our business, profitability and liquidity may be adversely affected by the insolvency of, or other credit constraints affecting, counterparties in our reinsurance operations.

We retrocede a portion of our reinsurance risks to third parties. Where we enter into quota share or other retrocession arrangements with third parties to transfer a portion of our reinsurance risk, we remain primarily liable on the underlying obligations, and any deterioration in creditworthiness or other development that affects the ability of such third parties to perform their obligations to us would have an adverse effect on us, and that effect could be material. Any such risk would be exacerbated to the extent the risk is concentrated.

Our most significant single counterparty risk is in respect of Berkshire Hathaway Inc. (“Berkshire Hathaway”), with which we have a quota share arrangement under which it has assumed a 20% share of our new and renewed Property & Casualty business (excluding credit business and run-off of prior underwriting years) from 2008 through the end of 2012. In addition, we have the ADC with National Indemnity, an indirect wholly owned subsidiary of Berkshire Hathaway, which covers our Property & Casualty reserves for accident years prior to and including 2008 (subject to certain exclusions). Furthermore, in January 2010, we transferred risk from a closed block of pre-2004 U.S. individual life business to Berkshire Hathaway, in a retrocession transaction. A deterioration in the creditworthiness of Berkshire Hathaway and/or National Indemnity could have a material adverse effect on the ability of Berkshire Hathaway or National Indemnity to satisfy its obligations to us under the quota share arrangement, the ADC or the retrocession transaction.

We could also be adversely impacted by the insolvency of, or the occurrence of other credit events affecting, key ceding companies.

Risks Relating to Downgrades of Credit Ratings

A decline in the financial strength or a downgrade in the credit ratings assigned to SRZ and its businesses by various rating agencies could have a material adverse impact on us, including on our ability to write new business or borrow money.

Ratings are an important factor in establishing the competitive position of reinsurance companies. Third-party rating agencies assess and rate the financial strength of reinsurers and insurers, such as Swiss Re. These ratings are intended to measure a company’s ability to repay its obligations and are based upon criteria established by the rating agencies.

The rating agencies, with whom we maintain an interactive rating relationship, continuously evaluate us to confirm that we continue to meet the criteria of the rating assigned to us. Our ratings may be revised downward or revoked at the sole discretion of the rating agencies. The financial strength ratings assigned by rating agencies to reinsurance or insurance companies are based upon factors relevant to cedents, which includes factors not entirely within our control, including factors impacting the financial services, insurance and reinsurance industries generally. Financial strength ratings by rating agencies are not ratings of securities or recommendations to buy, hold or sell any security.

SRZ and its businesses are currently rated “AA-” (stable outlook) by Standard & Poor’s Financial Services LLC (“S&P”), “A1” (positive outlook) by Moody’s Investors Service, Inc. (“Moody’s”) and “A+” (stable outlook) by A.M. Best Company (“A.M. Best”).

These ratings reflect the current opinions of S&P, Moody’s and A.M. Best, respectively. One or more of these ratings could be downgraded or withdrawn in the future. As a result of economic and financial market downturns, and in particular the impact of those conditions on our industry, ratings

agencies may increase the frequency of and scope of ratings reviews, revise their standards or take other actions that may negatively impact our ratings, which we cannot predict. For example, the treatment of hybrid securities is agreed upon with rating agencies on a security-by-security basis, and rating agencies may modify the treatment they accord such securities. Moreover, the actions of ratings agencies have come under close scrutiny as a result of the financial crisis, and the standards applied, as well as the procedures undertaken, by rating agencies may shift significantly as a result of regulatory action or voluntary action to avoid more severe regulatory action. We cannot predict what actions the rating agencies will take, or what actions we may need to take in response to negative ratings action.

As claims paying and financial strength ratings are a key factor in establishing the competitive position of reinsurers, a decline in ratings of the SRZ Group alone could make reinsurance provided by it less attractive to clients relative to reinsurance from its competitors with similar or stronger ratings. A decline in ratings could also cause the loss of clients who are required by either policy or regulation to purchase reinsurance only from reinsurers with certain ratings, or whose confidence in the SRZ Group is otherwise diminished. Furthermore, ratings directly impact the terms, including availability of unsecured financing (potentially impacting both our ability to roll over facilities and obtain new facilities), and any decline in the Issuer's or its subsidiaries' ratings could also obligate us to provide collateral or other guarantees in the course of its reinsurance business or trigger early termination of funding arrangements. Any rating downgrades could also have a material adverse effect on costs of borrowing and limit access to the capital markets. Finally, the factors that contribute to adverse ratings action, such as the concerns in respect of asset write-downs and capital position, have in the past contributed, and could in the future contribute, to concerns generally about the risks the SRZ Group poses to ceding companies in terms of counterparty risk to them.

For a discussion of the impact of a ratings downgrade on our funding requirements, see “– Liquidity Risks – Our access to funding markets could be limited, particularly in distressed market conditions.” Any of the foregoing, or a combination of the foregoing, could have a material adverse effect on our business.

Negative ratings action could impact our reinsurance contracts.

It is common for larger reinsurance contracts to contain terms that would allow the ceding companies to cancel the contract for the portion of our obligations if our ratings or those of our subsidiaries are downgraded. Whether a ceding company would exercise this cancellation right would depend, among other factors, on the reason for such downgrade, the extent of the downgrade, the prevailing market conditions and the pricing and availability of replacement reinsurance coverage. Furthermore, any downward rating of us or our subsidiaries may dissuade a ceding company from reinsuring with us or our subsidiaries in favor of a competitor that has a higher rating. Therefore, we cannot predict the extent to which any such cancellation right would be exercised, if at all, or what effect any such cancellation would have on our financial condition or future operations. However, such effect on our financial condition and results of operations could be material.

Risks Relating to Foreign Currency Movements

Changes in foreign currency exchange rates may impact our results.

Our exposure to foreign exchange risk results from exposure to changes in spot prices, forward prices and volatility of currency rates. Effective January 1, 2010, we adopted the U.S. dollar as our reporting currency in place of the Swiss franc. Therefore, our financial condition, results of operations and cash flow has been and will continue to be affected by fluctuations in the values of other currencies (in which we transact business or in which our assets or liabilities are denominated) against the U.S. dollar, which could be material.

Legal, Tax and Regulatory Risks

Regulatory or legal changes, as well as other government or judicial action or trends, could have an adverse impact on our financial condition and results of operations.

We are subject to applicable regulation in each of the jurisdictions in which we conduct business, particularly Switzerland, the United States, the United Kingdom and Germany. Following the credit crisis, there has been a trend towards a more coordinated, centralized and stricter approach to insurance regulation in both the European Union and the United States. There have also been a number of legislative initiatives, notably the introduction of risk-based prudential regimes in Switzerland (the SST, which Swiss Re is subject to as of January 2011) and in the European Union (Solvency II, which currently is expected to be transposed into law in January 2013, but will not be binding on insurers until a year later, in January 2014). In the United States, as a possible step towards federal oversight of insurance, the U.S. Congress (“Congress”) created the Federal Insurance Office (“FIO”) within the Department of Treasury. See “Regulation.”

More broadly, the turmoil in the financial markets has resulted in significant regulatory changes affecting financial institutions, including insurance and reinsurance companies. Additionally, adverse publicity regarding financial institutions may add further impetus for more stringent regulation. New regulatory initiatives are likely to include, among others, further changes as to which governmental bodies regulate financial institutions, changes in the way financial institutions generally are regulated, enhanced governmental authority to take control over operations of financial institutions, changes in the way financial institutions account for transactions and securities positions, changes in disclosure obligations and changes in the way rating agencies rate the creditworthiness or financial strength of financial institutions. For example, the Swiss Federal Act of December 17, 2004 on the Supervision of Insurance Companies (Insurance Supervision Act, ISA) (the “Insurance Supervision Act”) was recently amended to clarify that FINMA may impose a moratorium or mandate deferment of payment obligations if there is a “likelihood of insolvency.” This is in addition to other intervention rights in respect of regulated Swiss entities such as ourselves to protect the interests of the insured. Furthermore, the regulatory schemes and requirements that are being proposed by various regulators around the world may be inconsistent or may conflict with each other, thereby subjecting us to higher compliance and legal costs, as well as the possibility of higher operational, capital and liquidity costs.

Changes are particularly likely to impact financial institutions designated as “systemically important” or “too big to fail,” which designation is expected to result in enhanced regulatory supervision and heightened capital, liquidity and diversification requirements under evolving reforms. These reforms are designed to allow regulators to deal with systemically important national and, particularly, global financial institutions without major disruptions to the financial system or taxpayer-funded bail-outs, to impose greater loss absorption capacity on the part of these institutions, to reduce the likelihood of failure and to enhance the capacity of regulators to respond through resolution authority should failure be likely. Although primarily focused on banking institutions, some of these proposals could have direct applicability to insurance or reinsurance operations and others could have a general impact on the regulatory landscape for financial institutions, which might indirectly impact capital requirements and/or required reserve levels or have other direct or indirect effects on us. Separately, we could be designated as a global systemically important financial institution under the framework for systemically important financial institutions being developed by the Financial Stability Board (the “FSB”), or as a systemically important non-bank financial company by the Financial Stability Oversight Council (the “FSOC”) in the United States. See “Regulation – General.”

If changes are made to existing legislation or if new legislation is adopted or new regulations are promulgated covering our operations and other activities, they could increase the cost of doing business, reduce access to liquidity, limit the scope of permissible activities or affect the competitive balance. In addition, changes could arise in areas that target financial services as well as more general areas, such as competition policy, tax laws or policy or enforcement of sanctions legislation. Regulatory changes aimed at primary insurers may also have an impact on us to the extent they result

in reinsurance becoming a less attractive option for ceding companies. We cannot predict whether and, if so, which changes will be forthcoming or the effect of any such changes on our reinsurance or investment activities, financial condition, results of operations or liquidity. Moreover, it is difficult to predict whether any such changes would impact only new business or have a broader effect. For example, we typically price reinsurance, including our long tail business, on current capital requirements and any increase in capital requirements could impair that pricing, leading to lower profit.

We may be subject to future regulatory changes that could impact the calculations and processes behind the solvency ratios that apply to us on both a Group and Issuer level.

We are subject to the SST and must meet the applicable ratio under the SST as a regulatory matter. In addition, we have incorporated the SST ratio into covenants in certain of our funding arrangements. We have also incorporated the SST ratio into the Conditions in the form of a trigger for Solvency Event Floor Price Stock Settlement (namely our SST ratio falling below 100% would constitute failure “to have appropriate funds to meet the required minimum solvency margin”). The SST can change over time and in particular could change in light of FINMA’s stated aim to ensure that SST is equivalent to Solvency II.

In the European Union, Solvency II is expected to be transposed into law in January 2013, but will not be binding on insurers until a year later in January 2014. The implementation measures that will complement the Solvency II directive are being drafted. In November 2011, the EIOPA launched a new consultation with insurance and reinsurance stakeholders on guidelines for the Own Risk and Solvency Assessment (“ORSA”) for Solvency II, as well as other draft proposals with regards to the Supervisory Reporting & Public Disclosure in the Solvency II framework, for which the consultation period ended in January 2012; consequently there remains significant uncertainty regarding the final guidelines and implementation process for Solvency II. The process of testing the equivalence of SST to Solvency II has been initiated, but is not expected to be completed by the European Commission until the first half of 2013. Any corresponding changes to the SST could result in additional regulatory capital requirements on an entity (solo) or group basis, and could also affect compliance with SST measures incorporated in funding arrangements or change the circumstances under which the Issuer could exercise the Solvency Event Floor Price Stock Settlement Option.

Changes in tax legislation and other circumstances that affect tax calculations could adversely affect us.

We are subject to taxation in a number of jurisdictions. Changes in tax laws, or the interpretation of tax laws or tax regulations, in jurisdictions in which we do business could increase the level of taxes we pay and changes in tax laws, or the interpretation of tax laws or tax regulations in jurisdictions relevant to our clients could adversely affect the attractiveness of certain of our products for such clients. There are ongoing discussions in the European Union regarding the imposition of financial transaction tax on financial institutions transacting business in the European Union, and it is unclear whether such a tax will be imposed and, if so, what the scope of the tax could be. While such a tax might not impact insurance or reinsurance contracts, it could impact other activities conducted by us, including our investment activities. Changes in corporate tax rates can also affect the value of deferred tax assets and deferred tax liabilities, and the value of deferred tax assets could be impacted by future earnings levels as well as other factors that impact underlying assumptions. Any of the foregoing could adversely impact our net income.

Regulatory scrutiny may have an adverse impact on the industry in general and on our business, financial condition and results of operations in particular.

In recent years, the insurance and reinsurance industries have been the focus of increased regulatory scrutiny as regulators in a number of jurisdictions in which we operate have conducted inquiries and investigations into the products and practices of the financial services industries. In

some cases, regulatory scrutiny of industry participants has led to penalties, settlements and litigation as well as calls for new regulations and reforms of certain business practices. Certain industry participants restated their financial statements to reflect reassessments of accounting for certain products and practices. Furthermore, new investigations into the financial services industry were undertaken in a number of jurisdictions as a result of various aspects of the financial crisis. It is difficult to predict what products, practices or parties could come under future regulatory review. In addition to increases in the level of regulatory investigations and proceedings in respect of laws, rules and regulations applicable specifically to the financial services industry, there has been an increase in civil and criminal investigations and proceedings law in connection with broader business conduct rules such as market abuse regulations, anti-bribery legislation, anti-money laundering legislation and trade sanctions legislation. We could be subject to risks arising from alleged or actual violations of any of the foregoing.

The consequences of future investigations could include, for example, criminal or civil actions by regulators or lawsuits arising from practices under review, changes in the scope and nature of regulatory oversight of the insurance and reinsurance industries, changes to applicable accounting rules, adoption of new reporting rules, restatement of financial statements, changes to the range of products that are available and a reduction in the use of certain products, changes in the criteria used by ratings agencies and changes to practices in respect of a range of products by both providers and users of products. Investigations can also adversely impact the levels of business, and the stock prices, of industry participants or our counterparties. Any of the foregoing could adversely impact our business, financial condition and results of operations.

The financial services industry faces substantial litigation, and we may face damage to our reputation or legal liability.

We have been named, from time to time, as a defendant in various legal actions in connection with our operations. Like others, we could also be subject to risks arising from potential employee misconduct, including noncompliance with internal policies and procedures. Substantial legal liability could materially adversely affect our business, financial condition or results of operations or could cause significant reputational harm, which could seriously harm our business.

A number of lawsuits were filed against financial service firms raising claims tied to the financial market turmoil, and we cannot predict whether we could be subject to further claims arising out of the market turmoil. See “Our Business – Governmental, Legal and Arbitration Proceedings.”

Risks Relating to the Carve-out Transactions

We are undergoing various structural changes in connection with the Carve-out Transactions and the asset base, liquidity position, capital profile and/or other characteristics of the SRZ Group of relevance to its counterparties are changing.

The Alignment of the Corporate Structure, including the Carve-out Transactions (namely the transfer of Corporate Solutions and Admin Re[®] from SRZ to SRL), will have a significant impact on the SRZ Group. For example, as a result of the creation of separate Business Units, capital, funding, reserve and cost allocations, which historically were allocated within the SRZ Group, are now being, and will going forward be, adjusted across the Business Units to reflect the new structure. Liquidity and capital profiles of the SRZ Group therefore will change. As a result of the Carve-out Transactions, while the actual impact on the SRZ Group may differ based on final valuations and changes to business plans and while we do not expect that the transfer of Corporate Solutions and Admin Re[®] from SRZ to SRL would result in a significant reduction of SRZ’s capital adequacy under the SST model, it is expected that the transfer, on a pro-forma basis, as of and for the year ended December 31, 2011, would result, relative to reported figures, in reductions of the SRZ Group’s gross premiums written, total assets, reinsurance liabilities, shareholder’s equity and SST ratio. There is no expectation of a reduction in long-term debt as a direct consequence of the Carve-out Transactions.

See “General Information – Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group.”

While it is expected that SRL will provide appropriate liquidity and capital support as it deems appropriate, it is not expected that SRL will provide guarantees to its operating subsidiaries (including SRZ) or that guarantees will be issued among the Business Units.

In connection with the implementation of the new structure, the SRZ Group could face operational risks. Moreover, any, or a combination, of the foregoing, or other factors deemed relevant to rating agencies, could result in changes to SRZ’s credit ratings. Finally, the Carve-out Transactions are subject to FINMA approval.

Risks Relating to the Loan Instruments

The Loan Instruments contain a range of features any or all of which could prove to be materially disadvantageous to the Holders and one of which (the Stock Settlement feature) is novel for instruments of this type.

The Loan Instruments:

- are perpetual obligations and Holders will have no right to require redemption of their Loan Instruments at any time. See “– The Loan Instruments have no scheduled maturity, and Holders do not have the right to call for redemption or accelerate the payment of the principal amount of the Loan Instruments or otherwise call a default in respect of the Loan Instruments;”
- are subordinated to Senior Securities, which means that, upon an insolvency of the Issuer, Holders will not receive any payment on the Loan Instruments unless and until the holders of all prior ranking debt have been repaid in full. See “– Holders’ right to receive payment on the Loan Instruments is subordinated in right of payment to holders of existing and future Senior Securities;”
- may not, in certain circumstances, carry any right to interest and the Issuer has the right, in its absolute discretion and without assigning any reason, to elect not to pay any interest on the Loan Instruments save in certain limited circumstances where it is required to pay interest. See “– Interest payments on the Loan Instruments must be cancelled in certain circumstances and may be cancelled at any time by the Issuer, save in certain circumstances;” and
- may be subject to Stock Settlement both in respect of payments of interest and payments of principal amount, which entails a range of risks including the risk that Holders will not receive full or any value in respect of payments so settled. See “– Risks Relating to Stock Settlement under the Loan Instruments.”

The Loan Instruments may not be a suitable investment for Holders as a potential investor.

Holders must determine the suitability of an investment in the Loan Instruments in light of their own circumstances. In particular, Holders should:

- have sufficient knowledge and experience to make a meaningful evaluation of the Loan Instruments and the merits and risks of investing in the Loan Instruments, including without limitation an understanding of the implications of the cancellation of interest features and Stock Settlement;

- have access to and knowledge of appropriate analytical tools to evaluate, in the context of their particular financial situation, an investment in the Loan Instruments and the impact that such an investment may have on their overall investment portfolio;
- have sufficient financial resources and liquidity to bear all of the potential risks of an investment in the Loan Instruments;
- understand thoroughly the Conditions;
- be able to evaluate (either alone and with the help of a financial advisor) possible scenarios for economic, interest rate and other factors that may affect an investment in the Loan Instruments and their ability to bear the applicable risks; and
- be aware that there are a variety of hybrid and contingent capital instruments being issued in the market, including both dated and undated instruments, and that there are significant differences among them as to their respective terms and conditions.

Legal investment considerations may restrict certain purchasers from investing in the Loan Instruments.

The investment activities of certain investors may be subject to legal investment laws and regulations, or review or regulation by certain authorities. Holders should consult their legal advisers to determine whether and to what extent (i) the Loan Instruments are a legal investment for them; (ii) the Loan Instruments can be used as collateral for various types of borrowing; and (iii) other restrictions apply to their purchase of the Loan Instruments. Financial institutions should consult their legal advisers or the appropriate regulators to determine the appropriate treatment of the Loan Instruments under any applicable risk-based capital or similar rules.

The Loan Instruments have no scheduled maturity, and Holders do not have the right to call for redemption or accelerate the payment of the principal amount of the Loan Instruments or otherwise call a default in respect of the Loan Instruments.

The Loan Instruments have an indefinite term. Although the Issuer has the option to redeem the Loan Instruments in certain circumstances and the option to settle the Loan Instruments by way of Stock Settlement, the Issuer is under no obligation to redeem, or to settle the Loan Instruments by way of Stock Settlement or otherwise, and Holders have no right to call for redemption of the Loan Instruments or call for settlement of the Loan Instruments for SRL Shares or other consideration. Moreover, Holders have no right to call for conversion of the Loan Instruments, other than following exercise of either of the Stock Settlement Options by the Issuer (the exercise of which is in the sole discretion of the Issuer) and then only in respect of the Specified Denomination (the setting of which is in the sole discretion of the Issuer).

As there is an indefinite term, there is no fixed date for the repayment of principal on the Loan Instruments. Holders do not have the right to accelerate the repayment of the principal amount of the Loan Instruments if the Issuer defaults under the Loan Instruments, or to otherwise declare the Loan Instruments due and payable.

Accordingly, Holders may need to bear the financial risks associated with an investment in perpetual securities.

The Issuer may redeem the Loan Instruments under certain circumstances and such redemption might occur when the current market value of the Loan Instruments and/or the prevailing interest rates are low.

The Issuer may redeem the Loan Instruments, in whole but not in part, at its option at their principal amount together with any accrued and unpaid interest on the First Optional Redemption Date and on each subsequent Interest Payment Date thereafter.

The Loan Instruments are also redeemable, in whole but not in part, at any time on the occurrence of a Par Redemption Event. A Par Redemption Event will occur if at any time after the issue of the Loan Instruments, a Recalculation of Interest Event or a Special Tax Event occurs and is continuing, or an Accounting Event, a Ratings Methodology Event or a Regulatory Event occurs. A redemption upon the occurrence of a Par Redemption Event will be at the prevailing principal amount of the Loan Instruments, together with any accrued and unpaid interest. As the events discussed above could occur at any time after the Issue Date, it is possible that the Issuer would be able to redeem the Loan Instruments at any time after such Issue Date. In any such case, Holders will not receive a make-whole amount or any other compensation in light of the early redemption of the Loan Instruments.

In any case, the Issuer may redeem the Loan Instruments only if no Solvency Event has occurred that is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) and if FINMA has given Consent, all as more fully described in the Conditions. In determining whether or not to give its Consent to any proposed redemption FINMA will not have regard to the interests of the Holders. If the Issuer redeems the Loan Instruments in any of the circumstances mentioned above, there is a risk that the Loan Instruments may be redeemed at times when the redemption proceeds are less than the current market value of the Loan Instruments or when prevailing interest rates may be relatively low, in which latter case Holders may only be able to reinvest the redemption proceeds in securities with a lower yield.

In addition, the optional redemption feature of the Loan Instruments is likely to limit its market value. During any period when the Issuer has the right to elect to redeem the Loan Instruments, the market value of the Loan Instruments generally will not rise substantially above the price at which it can be redeemed.

Interest payments on the Loan Instruments must be cancelled in certain circumstances and may be cancelled at any time by the Issuer, save in certain circumstances.

The Issuer must, with respect to any Interest Payment Date, cancel (in whole or in part) the payment of interest on the Loan Instruments if (a) a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) or would occur as a result of the payment of the relevant Interest Amount or (b) it is required to do so by FINMA. The Issuer also may, under certain circumstances, with respect to any Interest Payment Date, elect in its sole discretion to cancel, in whole or in part, the payment of interest on the Loan Instruments.

The Issuer will not have any obligation to make any Cancelled Interest Payment on the relevant Interest Payment Date or otherwise and the failure to pay such interest will not constitute a default or a breach of obligations by the Issuer under the Loan Instruments or for any other purpose.

See “Terms and Conditions of the Loan Instruments – Interest.”

The interest rate on the Loan Instruments resets on the First Optional Redemption Date and on each sixth anniversary of the First Optional Redemption Date, which can be expected to affect the interest rate and the market value of the Loan Instruments.

The Loan Instruments initially will earn interest at the rate of 8.25% per annum until the First Optional Redemption Date. On such date, and on each sixth anniversary of such date, the interest rate will reset. As such, it could reset to below 8.25% per annum, which could affect the market value of an investment in the Loan Instruments. A holder of debt securities that bear interest at a fixed rate is subject to the risk that the price of the security will fluctuate based on prevailing interest rates, which change on a real time basis, with increases in prevailing rates typically causing the price of a security to decline and decreases in prevailing rates typically causing the price of the security to increase. Fluctuations in prevailing rates can adversely impact the price of the Loan Instruments and potentially lead to losses if the Loan Instruments are sold.

The Issuer is not subject to limits on the issuance of securities or other obligations, which may reduce the amount recoverable by Holders in certain circumstances.

There is no restriction on the amount of securities that the Issuer or its subsidiaries may issue or guarantee that rank senior to the Loan Instruments or on the amount of securities that the Issuer may issue or guarantee that rank *pari passu* with the Loan Instruments. The issuance of such securities may reduce the amount recoverable by Holders on liquidation, dissolution, insolvency or other proceeding for the avoidance of insolvency of, or against, the Issuer or may increase the likelihood that the Issuer may elect or be required to cancel interest payments under the Loan Instruments.

The Issuer may exercise its stock settlement options under some securities while not doing so under other securities having stock settlement provisions.

The Issuer previously has issued securities with stock settlement provisions, and may continue to issue additional securities in the future with stock settlement provisions. To the extent that the option to exercise stock settlement is optional, as is the case with the Loan Instruments and the Issuer's 7.25% perpetual subordinated notes with stock settlement, the Issuer is under no obligation to exercise a Stock Settlement Option under the Loan Instruments if it exercises a similar option under any other securities, or vice versa.

Holders' right to receive payment on the Loan Instruments is subordinated in right of payment to holders of existing and future Senior Securities.

The Loan Instruments will be perpetual, unsecured and subordinated obligations of the Issuer. Holders' rights and claims are subordinate to the claims of holders of existing and future Senior Securities. In the event of the liquidation, dissolution, insolvency or other proceedings for the avoidance of insolvency of, or against, the Issuer, the claims of Holders in respect of the Loan Instruments will be subordinated to the claims of holders of existing and future Senior Securities, so that in any such event no amounts shall be payable in respect of the Loan Instruments unless the claims of all holders of existing and future Senior Securities shall have first been satisfied in full. In such liquidation, dissolution, insolvency or other proceeding for the avoidance of insolvency of, or against, the Issuer, Holders may recover proportionately less than the holders of existing and future Senior Securities or Holders may not recover any amounts in respect of their Loan Instruments. In the event the Issuer exercises either of its Stock Settlement Options, Holders will effectively be further subordinated. See "— Risks Relating to Stock Settlement under the Loan Instruments — The Issuer may elect to exercise either of its Stock Settlement Options, which would result in Holders holding equity securities of SRL rather than debt securities of the Issuer. There is no certainty as to the market value of the equity securities Holders would receive in settlement of either such options, which could result in their suffering a material loss in value." Moreover, the Loan Instruments are not guaranteed by any subsidiary of the Issuer or any other person, and as a result Holders' claims in

respect of the Loan Instruments will be structurally subordinated to the claims of creditors of the Issuer's subsidiaries.

In certain instances the Issuer could substitute or vary the terms of the Loan Instruments and Holders may be bound by certain other amendments to the Loan Instruments to which they did not consent.

The Issuer, the Agent and the Holders' Representative may, without the consent or approval of the Holders, make such amendments to the terms of the Loan Instruments as they consider necessary or desirable to give effect to certain provisions of the Conditions, and such other changes that in the sole reasonable opinion of the Holders' Representative are of a formal, minor or technical nature or made to correct a manifest error, and are not materially prejudicial to the interests of the Holders.

Holders may be subject to exchange rate risks and exchange controls.

The Issuer will pay principal and interest on the Loan Instruments in U.S. dollars. This presents certain risks relating to currency conversions if an investor's financial activities are denominated principally in a currency or currency unit (the "Investor's Currency") other than the U.S. dollar. These include the risk that exchange rates may significantly change (including changes due to devaluation of the U.S. dollar or revaluation of the Investor's Currency) and the risk that authorities with jurisdiction over the Investor's Currency may impose or modify exchange controls. An appreciation in the value of the Investor's Currency relative to the U.S. dollar would decrease the Investor's Currency-equivalent yield on the Loan Instruments, the Investor's Currency equivalent value of the principal payable on the Loan Instruments and the Investor's Currency equivalent market value of the Loan Instruments.

Government and monetary authorities may impose (as some have done in the past) exchange controls that could adversely affect an applicable exchange rate. As a result, investors may receive less interest or principal than expected, or no interest or principal.

The number of Settlement Shares to be delivered to Holders in the event of a Solvency Event Floor Price Stock Settlement is based on a fixed Floor Price of \$32.00, which represents 50% of the price of SRL Shares in Swiss francs at the time of pricing, translated into U.S. dollars at the Bloomberg Rate at that time and rounded to the nearest whole number. Therefore, currency movements subsequent to the date of this Information Memorandum will not be reflected in the Settlement Shares that Holders will receive upon the exercise by the Issuer of the Solvency Event Floor Price Stock Settlement Option.

The market value of the Loan Instruments may be influenced by unpredictable factors and may be volatile.

Many factors, most of which are beyond the Issuer's control, will influence the value of the Loan Instruments and the price, if any, at which securities dealers may be willing to purchase or sell the Loan Instruments in the secondary market, including:

- variations in the periodic operating results of the Issuer and SRL;
- changes in investor perceptions of the Issuer and SRL;
- the creditworthiness of the Issuer and, in particular, the level of the Issuer's solvency margin from time to time;
- the Issuer's SST ratio from time to time;
- supply and demand for the Loan Instruments; and
- economic, financial, political or regulatory events or developments that affect the Issuer or SRL, or the financial markets generally.

Accordingly, if a Holder sells its Loan Instruments in the secondary market, it may not be able to obtain a price equal to the principal amount of the Loan Instruments or a price equal to the price that it paid for the Loan Instruments.

The Issuer may choose to satisfy any Interest Amount which would otherwise be optionally or mandatorily cancelled by way of the ACSM, but may thereafter not fulfill its obligations under the ACSM.

The Issuer may, in its sole discretion and subject to the Consent of FINMA, elect to satisfy in cash (in whole or in part) payment of any Interest Amount (or a portion thereof) which would otherwise be optionally or mandatorily cancelled by way of the ACSM, as more fully described in the Conditions. If, during the operation of the ACSM, a Market Disruption Event exists, the payment of all such amounts owing may be deferred until the cessation of such market disruption, as more fully described in the Conditions. Furthermore, the Issuer's obligations with respect to any Designated Interest payment elected to be satisfied by way of the ACSM will be cancelled without any further obligation to pay if the Issuer is unable to fulfill its obligations under the ACSM or the necessary ACSM Funds are otherwise not raised or are otherwise not applied for ACSM.

Holders could be required by reason of an election of the Issuer to take delivery of SRL Shares in settlement of the Loan Instruments.

The Conditions contain an At-Market Stock Settlement feature that can be triggered at any time, and from time to time, by the Issuer and a Solvency Event Floor Price Stock Settlement feature that can be triggered by the Issuer within six months following the Issuer's publication of notice of the occurrence of a Solvency Event that is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) at the time of the exercise of the Solvency Event Floor Price Stock Settlement Option by the Issuer. The risks related to these features are described below under "– Risks Relating to Stock Settlement under the Loan Instruments."

As a consequence of the Stock Settlement feature of the Loan Instruments, Holders may be subject to disclosure obligations under applicable insurance or stock exchange regulations both prior to, and as a result of, an issuance of SRL Shares to the Holders as part of a Stock Settlement, and/or Holders may need approval by FINMA to acquire SRL Shares.

As a result of the Stock Settlement feature of the Loan Instruments, Holders should be aware that SRL Shares underlying the Loan Instruments that they hold will be included in the calculation of their (or their group's) disclosable total long position in SRL Shares (by reason of their potential acquisition of SRL Shares upon a Stock Settlement) for purposes of notifications under the Swiss Federal Act on Stock Exchanges and Securities Trading ("SESTA"). Based on guidance received from the Disclosure Office of the SIX Swiss Exchange, any disclosable long position in SRL Shares as a result of ownership of the Loan Instruments is to be determined by reference to the Floor Price of the Loan Instruments (i.e., the Principal Amount of the Loan Instruments divided by the Floor Price will be relevant to determine a Holder's long position for purposes of disclosure of major shareholders). This guidance is subject to change. If any such disclosure is made, Holders should also indicate in the pertinent notification forms that the actual number of SRL Shares to be received under the Loan Instruments could be higher than the notified amount or percentage. Notwithstanding disclosure by a Holder, the foregoing disclosure obligations would also apply to holders of other securities, including securities issued by a Holder, to the extent such securityholders have rights and obligations that reference the Loan Instruments, including, in particular, the potential to receive SRL Shares following Stock Settlement.

In addition, an issuance of SRL Shares to the Holders as part of a Stock Settlement could require Holders to comply with certain additional disclosure and/or approval requirements pursuant to the SESTA and/or the Insurance Supervision Act. Non-compliance with any such disclosure and/or approval requirements could lead to sanctions, including without limitation fines and/or suspension of

voting rights associated with the SRL Shares. See “Certain Information about SRL – Disclosure of Shareholdings.”

The Loan Instruments contain no restrictive financial covenants or covenants governing the Issuer’s operations or limiting the Issuer’s ability to incur substantially more debt, merge, effect asset sales or otherwise effect significant transactions, which may affect the Issuer’s ability to satisfy its obligations under the Loan Instruments or may have other adverse effects on the Loan Instruments.

The Loan Instruments do not contain any maintenance covenants (that would require the Issuer to meet financial ratios or minimum financial requirements) or negative covenants that restrict its ability to incur more indebtedness (either secured or unsecured), pay dividends or make other distributions, incur liens, repurchase any of its securities or undertake other similar actions. The Loan Instruments also do not contain covenants governing the Issuer’s operations and does not limit its ability to enter into a merger, asset sale, related party transaction or other significant transaction that could materially alter its existence, jurisdiction of organization or regulatory regime and/or the composition and business of the Issuer or the Swiss Re Group. In particular, the absence of an asset sale covenant means that the Carve-out Transactions are not subject to any restriction, and do not give rise to any obligation on the part of the Issuer or give rise to any rights on the part of Holders, under the Loan Instruments. Moreover, the Loan Instruments do not contain any covenant or event of default triggered by a change of control of the Issuer or SRL. In the event the Issuer were to enter into, or be subject to, any such transaction, Holders could be materially and adversely affected.

Potential changes in Swiss withholding tax legislation could impact Holders.

On August 24, 2011, the Swiss Federal Council issued draft legislation, which, if enacted, may require a paying agent in Switzerland to deduct Swiss withholding tax at a rate of 35% on any payment of interest in respect of a Loan Instrument to an individual resident in Switzerland or to any person (not only individual) resident outside Switzerland. If this legislation or similar legislation were enacted and an amount of Swiss withholding tax were to be deducted or withheld from that payment, neither the Issuer nor any paying agent nor any other person would, pursuant to the Conditions, be obliged to pay additional amounts with respect to any Loan Instrument as a result of the deduction or imposition of such withholding tax. However, the Issuer will, to the extent permitted by law, at any time after laws shall have been enacted by Switzerland providing for the taxation of payments according to principles similar to those set forth (a) in the Council Directive 2003/48/EC or (b) in the draft legislation proposed by the Swiss Federal Council on August 24, 2011 (in particular, the principle to have a person other than the issuer withhold or deduct the tax, such as, without limitation, any paying agent), appoint an additional paying agent in a jurisdiction within Europe other than Switzerland that will not be required to withhold or deduct tax pursuant to such Swiss laws.

There is a possibility of U.S. withholding tax on payments under the Loan Instruments.

On March 18, 2010, the United States enacted sections 1471 through 1474 of the U.S. Internal Revenue Code (“FATCA”). Under FATCA, a non-U.S. financial institution generally will be required to enter into an agreement (an “FFI Agreement”) with the U.S. Internal Revenue Service (the “IRS”) to identify “financial accounts” held by U.S. persons or entities with substantial U.S. ownership, as well as accounts of other financial institutions that are not themselves participating in (or otherwise exempt from) the FATCA reporting regime. For these purposes, the term financial institution includes, among others, banks, insurance companies and entities that are engaged primarily in the business of investing, reinvesting or trading in securities, commodities or partnership interests. If a participating financial institution makes a relevant payment to an accountholder that has not provided information requested to establish that the accountholder is exempt from reporting under the rules, or if the recipient of the payment is a non-participating financial institution (that is not otherwise exempt), the payor may be required to withhold 30% on a portion of the payment.

A holder of the Loan Instruments may become subject to U.S. withholding at a rate of 30% on all, or a portion, of certain payments in respect of the Loan Instruments made after December 31, 2016, in the case of so-called “passthru payments” if, as expected, the Loan Instruments are treated as equity for U.S. federal tax purposes or, if the Loan Instruments are treated as debt for U.S. federal tax purposes and are significantly modified after December 31, 2012. Recently released proposed regulations contain an exception that provides that the new withholding tax rules will not apply to debt instruments that are outstanding on January 1, 2013 (provided that they are not significantly modified on or after that date). The IRS guidance in this regard is only preliminary, and the scope of these rules remains unclear and potentially subject to material changes. The IRS has indicated an intention to treat, for example, interest and principal paid by a participating financial institution as being subject to this 30% withholding, but only in proportion to the value of the financial institution's direct and indirect U.S. assets as compared to its total assets. The IRS is further considering the treatment of these passthru payments and it is not clear how this rule will ultimately apply to the Issuer or the Loan Instruments. It is unclear whether the Issuer will be a Foreign Financial Institution and, if it were, whether the Loan Instruments would be instruments on which passthru payment withholding would be required.

The relevant rules have not yet been fully developed and the future application of FATCA to the Issuer and the holders of Loan Instruments is uncertain. If the Issuer determines that it must comply with FATCA in order to receive certain payments free of U.S. withholding tax, Holders may be required to provide certain information or be subject to withholding on certain payments (including payments upon redemption of Loan Instruments) made to them. The withholding obligation in respect of a non-participating financial institution may apply whether the financial institution is receiving payments for its own account or on behalf of another person. If a Holder is subject to withholding on account of FATCA, there will be no additional amount payable by way of compensation to the Holder for the deducted amount. An investor that is able to claim the benefits of an income tax treaty between its own jurisdiction and the United States may be entitled to a refund of amounts withheld pursuant to the FATCA rules, though the investor would have to file a U.S. tax return to claim this refund and would not be entitled to interest from the IRS for the period prior to the refund.

THE FATCA PROVISIONS ARE PARTICULARLY COMPLEX AND THEIR APPLICATION TO THE ISSUER IS UNCERTAIN AT THIS TIME. EACH HOLDER OF LOAN INSTRUMENTS SHOULD CONSULT ITS OWN TAX ADVISOR TO OBTAIN A MORE DETAILED EXPLANATION OF THE FATCA PROVISIONS AND TO LEARN HOW THIS LEGISLATION MIGHT AFFECT EACH HOLDER IN ITS PARTICULAR CIRCUMSTANCE.

The Loan Instruments are not guaranteed by any person or government agency.

The Loan Instruments are not covered by any government compensation regime or insurance arrangement, and are not guaranteed by any person or any government agency.

The Conditions do not provide for an event of default.

Holders of the Loan Instruments should be aware that the Conditions do not contain any events of default provisions.

In certain instances the Issuer could substitute the obligor under the Loan Instruments without the consent or approval of the Holders.

The Issuer has an option, without the need for any consent of the Holders, to substitute itself in respect of all rights and obligations arising under or in connection with the Loan Instruments with a New Issuer provided, among other things that no Par Redemption Event would exist after substitution. While, among other conditions, the interests of the Holders must be adequately protected in the opinion of the Holders' Representative, the substitution of the obligor under the Loan Instruments could have an adverse effect on Holders.

Among other things, the New Issuer could be a Non-Swiss Issuer. If Holders are, for whatever reason, precluded from owning securities issued by a non-Swiss legal entity, they may have to sell the Loan Instruments in the open market.

Changes in law could impact the rights of Holders.

The Conditions are governed by Swiss law. We cannot predict the impact of any possible judicial decision or change to Swiss law or administrative practice after the date of this Information Memorandum.

Risks Relating to Stock Settlement under the Loan Instruments

The Issuer may elect to exercise either of its Stock Settlement Options, which would result in Holders holding equity securities of SRL rather than debt securities of the Issuer. There is no certainty as to the market value of the equity securities Holders would receive in settlement of either such options, which could result in their suffering a material loss in value.

The Issuer may, at any time and from time to time (including following a Solvency Event), and at its sole direction, exercise its At-Market Stock Settlement Option or, within six months following the Issuer's publication of notice of the occurrence of a Solvency Event which is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) at the time of exercise of the option, exercise its Solvency Event Floor Price Stock Settlement Option. The effect of either such exercise would be to initiate the settlement of the Loan Instruments, in whole or in part, in return for delivery of SRL Shares or to write-down the Loan Instruments, in whole or in part, to the extent that a Holder gives a Stock Settlement Right Objection Notice with respect to a Stock Settlement. Exercise of either of these Stock Settlement Options is wholly within the discretion of the Issuer and there is no certainty as to whether or not either such option would be exercised, and if to be exercised, as to which circumstances would prompt such exercise, and therefore as to when any such exercise might occur.

Should a Stock Settlement occur, Holders would no longer own all, or a portion, of their Loan Instruments (depending upon whether a Stock Settlement Option were exercised in whole or in part) and instead would be owners of SRL Shares, subject to all of the consequences of owning a security that ranks junior to the Loan Instruments and is structurally subordinated to the Loan Instruments, including the consequences that would arise were SRL to become insolvent or to enter into bankruptcy or liquidation.

The number of SRL Shares deliverable upon an At-Market Stock Settlement will be determined based on the Discounted Volume Weighted Average Price, which is determined by reference to a short period prior to the exercise by the Issuer of its option. As a result, the Issuer will be aware of, and able to take into account, the number and value of the SRL Shares to be delivered. As such, the share price of the SRL Shares at the time that Holders are notified of the exercise of the At-Market Stock Settlement Option may be below the Discounted Volume Weighted Average Price.

For purposes of the Conditions and the definition of Solvency Event, falling below a 100% SST ratio would constitute failure on the part of the Issuer to have "appropriate funds to cover the required minimum solvency margin." The SST ratio is a function of available and required capital based on an economic valuation of assets and liabilities with an integrated forward-looking assessment of underwriting, financial market and credit risk and, therefore, our SST ratio could fluctuate substantially from reporting date to reporting date. Following the Issuer's publication of notice of the occurrence of a Solvency Event, the Issuer has a discretion to exercise either its At-Market Stock Settlement Option or its Solvency Event Floor Price Stock Settlement Option. Holders should expect the Issuer to exercise the option that is most favorable to it in those circumstances. The number of SRL Shares deliverable upon a Solvency Event Floor Price Stock Settlement will be determined based on the Floor Price, which is fixed at \$32.00, though subject to the equivalent of anti-dilution

adjustments. As such, Holders may receive SRL Shares based on a share price that exceeds the then current market value of the SRL Shares due either to the market price of the SRL Shares being below the Floor Price or to a delay in delivery of the SRL Shares.

Further, Holders are exposed to the volatility of the price of the SRL Shares during the Stock Settlement Period. The market value of the SRL Shares at the time Holders receive them may be materially different from their market value at the time the exercise of the option was notified to Holders, particularly if adverse events affecting the Issuer have occurred or been announced since the exercise of the option was announced by the Issuer.

Although SRL is today the publicly listed holding company for the Swiss Re Group and holds 100% of the Issuer, there can be no assurance that, at the time of any Stock Settlement, the SRL Shares will be listed on the SIX Swiss Exchange, or that SRL will hold (directly or indirectly) 100% of the Issuer. See “– If a Fundamental Change occurs, the Loan Instruments may be settled for shares in an entity other than SRL and in certain circumstances the Loan Instruments may be settled for SRL Shares with reduced liquidity.”

If, following exercise of either of the Stock Settlement Options, Holders provide a Stock Settlement Right Objection Notice, they would not be entitled to demand delivery of SRL Shares and would face a write-down.

If the Issuer exercises either of the Stock Settlement Options, which it may do with respect to all or only a portion of the Principal Amount of the Loan Instruments (in either case, such Principal Amount being the Specified Denomination), Holders will in effect be entitled to elect to demand delivery of the Settlement Consideration; failing any election by them, they will be deemed to have made such election, and will nonetheless receive their Settlement Consideration. In either case, the Principal Amount of each Loan Instrument Holders hold will be reduced by the Specified Denomination, potentially to zero (in the case of a full exercise of a Stock Settlement Option). If Holders object to a Stock Settlement, they will no longer be entitled to demand delivery of the Settlement Consideration or have any other rights in respect of the Specified Denomination except the entitlement to accrued but unpaid interest to and including the Stock Settlement Date and at the same time they will not retain the Principal Amount corresponding to the Specified Denomination. In other words, they will have neither SRL Shares nor the full Principal Amount of each Loan Instrument, and in the case of a full exercise of a Stock Settlement Option, they will have neither SRL Shares nor any Loan Instruments.

If, following exercise of either of the Stock Settlement Options, Holders do not own a relevant account, or fail to provide account details, they may be unable to receive the Settlement Consideration until such time as they own a relevant account and provide the Agent with such account details.

The Issuer may exercise its Stock Settlement Option if, among other things, SRL Shares to be delivered on the Stock Settlement Date are listed on a Permitted Exchange. In order to receive Settlement Consideration following exercise of either of the Stock Settlement Options, Holders may need to open a relevant account that permits receipt of securities listed on such Permitted Exchange and provide such account details in order to receive the Settlement Consideration to which Holders would be entitled.

Since Holders may receive SRL Shares upon a Stock Settlement, they are exposed to changes in the market price of the SRL Shares.

Investors in convertible or exchangeable securities may seek to hedge their exposure in the underlying equity securities at the time of acquisition of the convertible or exchangeable securities, often through short selling of the underlying equity securities or through similar transactions. Prospective investors in the Loan Instruments may look to sell SRL Shares in anticipation of taking a

position in, or during the term of, the Loan Instruments. This could cause downward pressure on the price of the SRL Shares. In addition, the announcement of the exercise by the Issuer of either of its Stock Settlement Options could have a negative impact on the price of the SRL Shares. Since Holders will receive for the Loan Instruments a variable number of SRL Shares following the exercise of either of the Stock Settlement Options, the trading price of the SRL Shares may be more volatile and may otherwise be negatively impacted upon announcement that the Issuer has exercised a Stock Settlement Option.

There are limitations on Holders' rights with respect to the SRL Shares delivered to them upon a Stock Settlement.

At the time of delivery of the SRL Shares upon Stock Settlement, the then valid ordinary share registration rules of SRL will apply, and the Issuer cannot provide any assurance that a Holder exercising the Stock Settlement Right will be accepted as a shareholder with voting rights in the share register of SRL. Further, Holders will have recourse only against the Issuer, and not against SRL, for delivery of SRL Shares upon a Stock Settlement.

If a Fundamental Change occurs, the Loan Instruments may be settled for shares in an entity other than SRL and in certain circumstances the Loan Instruments may be settled for SRL Shares with reduced liquidity.

Upon Stock Settlement, there are various scenarios that could result in Loan Instruments being settled for shares other than listed SRL Shares that benefit from a liquid market. For example, without limitation, SRL could be subject to acquisition by another listed company, to a partial takeover by a listed company or to a partial takeover by a private company; SRL could sell the Issuer to a listed company or to a private company, or could sell some portion of the Issuer to a listed company or private company; or the Issuer could be spun off to the public. Each of these would have an impact on Holders to the extent that Stock Settlement occurs. On the other hand, a take-private transaction involving SRL or sale of the Issuer to a private company would preclude the Issuer from initiating a Stock Settlement from the effective date of such transaction. See "Terms and Conditions of the Loan Instruments – Consequences of a Fundamental Change."

If a Takeover occurs where the Acquirer of SRL or the Issuer has ordinary share capital which is admitted to trading on a Permitted Exchange and the Acquirer agrees to make that share capital available on Stock Settlement, the shares of such Acquirer would be issued to the Holders in lieu of SRL Shares upon Stock Settlement. There can be no assurance as to the nature of any such Acquirer or the marketability of its shares, or of the risks associated with becoming an actual or potential shareholder of such Acquirer, and accordingly a Qualifying Takeover may have an adverse effect on the value of the Loan Instruments.

A Takeover will be deemed to occur only where an Acquirer (together with any parties acting in concert with it) acquires legal or beneficial ownership of more than 90% of the issued SRL Shares or Issuer Shares. Accordingly, there can be no assurance that an acquisition by an Acquirer of less than 90% of the SRL Shares or Issuer Shares will not have an adverse effect on the value of the Loan Instruments as the Loan Instruments could be settled for SRL Shares that may have limited liquidity due to the small public float.

If an Issuer Spin-off were to occur, Issuer Shares would be issued to the Holders in lieu of SRL Shares upon Stock Settlement. There can be no assurance as to the marketability of Issuer Shares or of the risks associated with becoming an actual or potential shareholder of the Issuer, and accordingly an Issuer Spin-off may have an adverse effect on the value of the Loan Instruments.

Regulatory constraints may limit our ability to receive funds from our subsidiaries in order to meet our cash requirements, which could have an impact on Holders if they hold SRL Shares as a result of Stock Settlement.

SRL is a holding company, with no operations of our own. In general, SRL depends on its subsidiaries for cash and operations are conducted almost entirely through SRL's subsidiaries. SRL's ability to generate cash to pay operating expenses is dependent on the earnings of, and the receipt of funds from, subsidiaries through dividends, distributions or intercompany loans. The ability of the subsidiaries to transfer funds to SRL is limited by their responsibilities to satisfy their own obligations before making any distributions to their parent holding companies. It is also limited by regulatory requirements, such as minimum required RBC ratios. Competitive pressures and the need to preserve credit ratings also result in the subsidiaries having to maintain certain levels of capital, which further limit funds that could be transferred to SRL. If SRL is unable to obtain funds from its subsidiaries, it will experience reduced or negligible cash flow, which could affect its ability to pay operating expenses and pay dividends, which could adversely affect Holders to the extent the Issuer elects to exercise either of its Stock Settlement Options and delivers SRL Shares in connection therewith.

The issuance of the SRL Shares upon a Stock Settlement will dilute the ownership interest of existing holders of SRL Shares.

The issuance of the SRL Shares upon a Stock Settlement will dilute the ownership interests of existing holders of SRL Shares. Any sales in the public market of the SRL Shares issuable upon such settlement could adversely affect prevailing market prices of SRL Shares. The issuance of SRL Shares upon a Stock Settlement may also have the effect of reducing SRL's earnings per share and could reduce the market price of the SRL Shares. In addition, the existence of the Loan Instruments could encourage short selling by market participants because the settlement of the Loan Instruments could depress the market price of the SRL Shares.

Future sales of a significant number of the SRL Shares in the public markets, or the perception that such sales could occur, could depress the market price of SRL Shares or the trading price of the Loan Instruments, or both.

Sales of a substantial number of the SRL Shares, or the perception that such sales could occur, could depress the market price of the SRL Shares or the trading price of the Loan Instruments, or both, and impair our ability to raise capital through the sale of additional equity securities. We cannot predict the effect that future sales of the SRL Shares would have on the market price of the SRL Shares or the trading price of the Loan Instruments. The market price of the SRL Shares could be adversely affected by possible sales of the SRL Shares by investors who view the Loan Instruments as a more attractive means of equity participation in SRL and by hedging or arbitrage trading activity that may occur involving the SRL Shares. This hedging or arbitrage could, in turn, adversely affect the market price of the Loan Instruments.

Holders may be obliged to make a mandatory takeover bid following the occurrence of a Stock Settlement.

If the Issuer elects to exercise either of the Stock Settlement Options, a Holder receiving SRL Shares as a result of such Stock Settlement may have to make a mandatory takeover bid addressed to the shareholders of SRL pursuant to the rules of the SESTA if its aggregate holdings in SRL were to exceed 33⅓% of the voting rights in SRL following the Stock Settlement.

Holders have limited anti-dilution protection.

The number of SRL Shares deliverable as part of Stock Settlement will be variable and will be determined as set forth in the Conditions. For purposes of Solvency Event Stock Settlement, the Floor Price will be adjusted in certain circumstances, but only if and to the extent provided for in the

Conditions. The Floor Price will not be subject to adjustment for every corporate or other event that may affect the value of the SRL Shares and there is no assurance that, if a Holder were to have held SRL Shares at the time of an adjustment, such Holder would not have benefited to a greater extent. Accordingly, events in respect of which no adjustment to the Floor Price is made may adversely affect the value of the Loan Instruments.

Terms and Conditions of the Loan Instruments

1. FORM, DENOMINATION AND TRANSFER

- (a) The US\$750,000,000 Perpetual Subordinated Capital Instruments with Stock Settlement (each a **Loan Instrument**, and together, the **Loan Instruments**, which expression shall in these Conditions, unless the context otherwise requires, include any further securities issued pursuant to Condition 14 and forming a single series with the Loan Instruments) of Swiss Reinsurance Company Ltd (the **Issuer**) will be issued in the aggregate principal amount of US\$750,000,000 on or about March 29, 2012 (the **Issue Date**). The Loan Instruments are, as at the Issue Date, unlisted.
- (b) Each Loan Instrument will have an initial principal amount of US\$5,000.
- (c) The Loan Instruments will be issued in uncertificated form as uncertificated securities (*Wertrechte*) in accordance with article 973c of the Swiss Federal Code of Obligations. The uncertificated securities (*Wertrechte*) will be created by the Issuer by means of a registration in its register of uncertificated securities (*Wertrechtbuch*) (the **Register**).
- (d) So long as the Loan Instruments are issued as uncertificated securities (*Wertrechte*), a Loan Instrument may only be transferred by way of a written declaration of assignment (*Abtretungserklärung/-vereinbarung*) complying with and produced to the Issuer in accordance with Condition 1(f)(i) below (an **Assignment** and **Assigned** shall be construed accordingly), in whole but not in part, and only if the Assignment is:
 - (i) subject to the Issuer being notified of the intended Assignment and the Issuer not having objected thereto in writing within 10 Business Days after receipt of such notice of the intended Assignment based on reasonable grounds, to a Qualifying Bank or,
 - (ii) subject to the Issuer having consented thereto in writing, to the Permitted Non-Qualifying Lender,provided that there shall at any time be no more than five (5) Qualifying Banks that are Holders. Any purported transfer of a Loan Instrument which is not made in accordance with this Condition 1(d) shall be void.
- (e) None of the Issuer, the Holders' Representative, the Agent or the Holders shall at any time have the right to effect or demand the conversion of the uncertificated securities (*Wertrechte*) into, or the delivery of, a permanent global certificate (*Globalurkunde*) or definitive securities (*Wertpapiere*).
- (f) Any Assignment of a Loan Instrument in accordance with the terms of this Condition 1 shall be recorded by the Issuer in the Register on production by the assignee at the registered office of the Issuer of:
 - (i) the relevant declaration of assignment (*Abtretungserklärung/-vereinbarung*) duly executed by the assignor and the assignee and such form of assignment shall include a representation by the assignee that it is a Qualifying Bank or the Permitted Non-Qualifying Lender; and

- (ii) such other evidence as the Issuer may require to prove the authority of the person signing the form of assignment or the assignee's status as a Qualifying Bank or the Permitted Non-Qualifying Lender.
- (g) Subject to this Condition 1(g), no Holder shall at any time enter into any arrangement with any third party under which such Holder in a transaction that does not constitute an Assignment, while retaining title to Loan Instruments, transfers all or part of its interest in such Loan Instruments to that third party, unless under, and throughout the term of, such arrangement:
 - (i) the relationship between the Holder and the third party is that of debtor and creditor (including during the bankruptcy or similar event affecting that Holder or the Issuer);
 - (ii) the third party has no proprietary interest in the benefit of the Loan Instruments or in any monies received by the Holder under or in relation to the Loan Instruments held by that Holder; and
 - (iii) the third party under no circumstances will be subrogated to, or substituted in respect of, the Holder's claims under its Loan Instruments, or will otherwise have any contractual relationship with, or rights against, the Issuer under or in relation to the Loan Instruments.

For the avoidance of doubt, the granting of security in accordance with Condition 1(h) shall not be subject to the limitations of this Condition 1(g).

- (h) Any Holder may, without the consent of the Issuer, at any time charge or create a security interest in all or any portion of its rights under any Loan Instruments to secure obligations of such Holder; provided that:
 - (i) no such charge or creation of a security interest shall:
 - (A) substitute any such chargee or holder of the benefit of such security interest for such Holder as Holder except in accordance with the provisions of Condition 1(d); or
 - (B) require any payments to be made by the Issuer other than as required by the Loan Instruments. A copy of any notice of charge or creation of security interest as envisaged in this Condition 1(h) shall be delivered to the Agent, and the Agent shall not be obliged to take any action in regard to such notice;
 - (ii) such charge or security interest shall in each case provide that upon any assignment or transfer of the interest in the Loan Instruments or enforcement of such charge or security interest, any resulting assignment or transfer shall be in accordance with Condition 1(d);
 - (iii) the Holder promptly notifies the Issuer of any such charge or security interest and the identity of the chargee or holder of the benefit of such security interest and status by delivering to the Issuer a notification to such effect; and
 - (iv) notwithstanding that the governing law of the Loan Instruments is Swiss law, such charge or creation of security may be governed by English law, and the Issuer acknowledges and agrees that any such choice of English law shall be valid against it.

- (i) At the date hereof and for so long as the Loan Instruments are outstanding, the Issuer shall ensure that it is in compliance with the Non-Bank Rules, provided that the Issuer will not be in breach of this Condition 1(i) if either of the Non-Bank Rules are exceeded solely by reason of a failure by one or more Holders to comply with their respective obligations under this Condition 1.

2. STATUS

2.1 Status

The Issuer's obligations under the Loan Instruments constitute unsecured and subordinated obligations ranking junior to the Issuer's obligations under the Senior Securities, *pari passu* among themselves and with the Issuer's obligations under the Parity Securities, and senior to the Issuer's obligations under the Junior Securities. In the event of the liquidation, dissolution, insolvency or other proceeding for the avoidance of insolvency of, or against, the Issuer, the claims in respect of the Loan Instruments will be subordinated to the claims of all holders of Senior Securities, so that in any such event no amounts shall be payable in respect of the Loan Instruments until the claims of all holders of the Senior Securities shall have first been satisfied in full.

2.2 No security

No security of whatever kind is, or will at any time be, provided by the Issuer or any other member of the Group to secure the rights of the Holders.

2.3 No change to subordination

No subsequent agreement may limit the subordination of the Loan Instruments pursuant to the provisions set out in this Condition 2.

2.4 No right to set-off

No Holder may set off any claims arising under the Loan Instruments in respect of any amount owed to it by the Issuer in respect of, or arising from, the Loan Instruments and each Holder shall, by virtue of holding the Loan Instrument, be deemed to have waived all such rights of set-off.

The Issuer may not set off any claims arising under the Loan Instruments in respect of any amount owed to it by a Holder.

3. INTEREST

3.1 Rate of Interest

- (a) Subject to Condition 3.2, the Loan Instruments will bear interest on their Principal Amount:
 - (i) from (and including) the Issue Date until (but excluding) the First Optional Redemption Date, at a fixed rate of 8.25 per cent. per annum (the **Initial Rate of Interest**); and
 - (ii) thereafter, at the relevant Reset Rate of Interest.
- (b) Subject to Condition 3.2, interest will be payable annually in arrear on 1 September in each year, commencing on 1 September 2012 (each an **Interest Payment Date**), such

first payment to cover the period from (and including) the Issue Date until (but excluding) 1 September 2012. The period beginning on (and including) the Issue Date and ending on (but excluding) the next succeeding Interest Payment Date and each successive period beginning on (and including) an Interest Payment Date and ending on (but excluding) the next succeeding Interest Payment Date is called an **Interest Period**.

- (c) Where any Rate of Interest is required to be calculated in respect of a period of less than a full year, it shall be calculated on the basis of the Fixed Rate Day Count Fraction.
- (d) The Agent shall calculate the Reset Rate of Interest, and the amount of annual interest payable in respect of each Loan Instrument (the **Reset Interest Amount**) on the basis of the Fixed Rate Day Count Fraction, applicable for each Reset Period on the relevant Reset Determination Date. The Agent will cause each Reset Rate of Interest and the relevant Reset Interest Amount to be notified to the Issuer as soon as reasonably practicable after the Reset Determination Date and the Issuer shall notify the Holders in accordance with Condition 13.
- (e) All notifications, opinions, determinations, certificates, quotations and decisions given, expressed, made or obtained for the purposes of this Condition 3.1 by the Agent will (in the absence of manifest error) be binding on the Issuer, the Holders and the Holders' Representative and (subject as aforesaid) no liability to any such person will attach to the Agent in connection with the exercise or non-exercise by it of its powers, duties and discretions for such purposes.
- (f) The Loan Instruments shall cease to bear interest from the day on which they become due for redemption in accordance with these Conditions. If the Issuer fails to redeem the Loan Instruments when due in accordance with these Conditions, interest shall continue to accrue (both before and after judgment) on their outstanding Principal Amount beyond the due date up to and including the day of the actual redemption of the Loan Instruments. The applicable rate of interest will be the rate of interest that was in effect for the last preceding Interest Period.

3.2 Conditions for interest payments

(a) Compulsory interest payments

Interest which accrues during any Interest Period will be payable in cash on the relevant Interest Payment Date, save that if on that Interest Payment Date:

- (i) a Required Cancellation Event has occurred, the provisions of Condition 3.2(c), Condition 3.2(d) and Condition 3.3 shall apply; or
- (ii) an optional cancellation of interest has been elected pursuant to Condition 3.2(b)(B) in relation to the Interest Amount otherwise payable on that Interest Payment Date, the provisions of Condition 3.2(b), 3.2(d) and Condition 3.3 shall apply.

(b) Optional cancellation of interest payments

Save to the extent that a Required Cancellation Event has occurred, with respect to any Interest Payment Date, as long as, during the six months preceding the Reference Date:

- (i) no dividend, other distribution or payment was declared or made in respect of any class of share capital of Swiss Re Ltd; and
- (ii) provided that at the relevant time the existence of this Condition 3.2(b)(ii) does not cause the Loan Instruments to become Non-Compliant Securities, (A) no dividend, other distribution or payment was declared or made in respect of any Parity Securities (except where such payment was required under the terms of those Parity Securities) and (B) no repurchase or acquisition of any Parity Securities has been made by the Group either directly or indirectly; and
- (iii) no repurchase or acquisition of any class of share capital of Swiss Re Ltd has been made by the Group (except where such repurchase or acquisition is made in respect of any share-based compensation plan or where the repurchase or acquisition is made by the Group in respect of any class of Swiss Re Ltd's share capital on the open market in the ordinary course of its routine capital management), either directly or indirectly,

the Issuer may elect, in its sole discretion, either to (A) pay the Interest Amount in cash or (B) cancel in whole or in part the payment of the Interest Amount, such cancelled interest payment or portion thereof constituting an **Optionally Cancelled Interest Payment**.

(c) Required cancellation of interest payments

The Issuer will cancel payment of:

- (i) any Interest Amount or Solvency Shortfall, as applicable, if, in respect of an Interest Payment Date, a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) or would occur as a result of such payment; or
- (ii) any Interest Amount or Solvency Shortfall, as applicable, or other amount which is notified to the Issuer, and/or Swiss Re Ltd, where FINMA has required such cancellation

((i) and (ii) are collectively referred to herein as a **Required Cancellation Event**).

For the avoidance of doubt, if on an Interest Payment Date a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) or would occur as a result of payment of the relevant Interest Amount, the Issuer will be required to cancel payment of that Interest Amount; provided that, in the case where the payment of such Interest Amount would itself cause a Solvency Event to occur, the Issuer will only be required to cancel the Solvency Shortfall.

(d) Cancelled Interest Payments

- (i) In the case of an optional cancellation pursuant to Condition 3.2(b)(B) or a Required Cancellation Event pursuant to Condition 3.2(c), the Issuer will

deliver a notice to the Holders (which notice will be irrevocable) in accordance with Condition 13, not less than five Business Days prior to such Interest Payment Date, of the amount of the relevant interest payment that shall be cancelled (any such amount of cancelled interest under Condition 3.2(c), together with any Optionally Cancelled Interest Payment, shall be referred to herein as a **Cancelled Interest Payment**).

- (ii) The Issuer will not have any obligation to make any Cancelled Interest Payment on the relevant Interest Payment Date or otherwise and the failure to pay such interest shall not constitute a default or a breach of obligations by the Issuer under the Loan Instruments or for any other purpose.
- (iii) Notwithstanding any provision to the contrary, the Issuer may, in its sole discretion, elect to satisfy any interest payment which would otherwise be cancelled pursuant to Conditions 3.2(b)(B) or 3.2(c) by way of the ACSM in accordance with Condition 3.3.
- (iv) Cancelled Interest Payments will not themselves bear interest and are non-cumulative.
- (v) If the Issuer cancels payment of an Interest Amount pursuant to Condition 3.2(b)(B) only in part or cancels the payment of a Solvency Shortfall or other amount referred to in Condition 3.2(c)(ii)), the balance of the Interest Amount payable on the relevant Interest Payment Date shall be payable to the Holders on a basis that is pro rata to their holdings.

3.3 Settlement of cancelled interest payments by way of the ACSM

- (a) The Issuer may, subject in all cases to the Consent of FINMA, elect to satisfy in cash (in whole or in part) payment of any Interest Amount (or portion thereof) which the Issuer has the ability to cancel pursuant to Condition 3.2(b)(B) or which the Issuer would otherwise be required to cancel pursuant to Condition 3.2(c) by way of the alternative coupon settlement mechanism described in Condition 3.3(c) (referred to herein as **ACSM**) (such Interest Amount, or portion thereof, to be so satisfied being the **Designated Interest**).
- (b) If the Issuer elects to utilise the ACSM to satisfy payment of the Designated Interest after the relevant Interest Payment Date, the Issuer shall deliver a notice to that effect to the Holders, in accordance with Condition 13, not less than five Business Days prior to the relevant Interest Payment Date (which notice shall be irrevocable). Unless so designated in such notice, the Issuer shall subsequently deliver a notice in accordance with Condition 13 to the Holders designating the date for satisfying payment of the Designated Interest via ACSM, which date shall be within 30 days after the relevant Interest Payment Date (the **Settlement Date**), and specifying the amount receivable by Holders in respect of Designated Interest.
- (c) If a payment of Designated Interest is to be made by ACSM, the Issuer:
 - (i) will, if required, use its best efforts to procure that Swiss Re Ltd shall facilitate the ACSM by delivering existing or newly issued Ordinary Shares to the Issuer by no later than the third Business Day prior to the relevant Settlement Date; and

- (ii) will raise the funds (the **ACSM Funds**) required for the satisfaction of the Designated Interest payment by procuring the sale of existing or newly issued Ordinary Shares for cash proceeds.
- (d) If the Issuer is unable to fulfil its obligations pursuant to Condition 3.3(c) with respect to the Designated Interest or the necessary ACSM Funds are otherwise not raised or are otherwise not applied for ACSM, the Issuer's obligation with respect to payment of such Designated Interest will be cancelled without any further obligation to pay, effective as of the relevant Interest Payment Date.
- (e) If there exists, in the reasonable opinion of the Issuer, a Market Disruption Event, then the Settlement Date shall be delayed by the number of days during which the Market Disruption Event exists plus five Business Days. The Issuer will deliver an irrevocable notice to the Holders in accordance with Condition 13 of both the occurrence of a Market Disruption Event and, subsequently the new Settlement Date, once, in the opinion of the Issuer after prior consultation with the Agent, the Market Disruption Event no longer exists. No additional amount will be payable due to the occurrence of a Market Disruption Event.

3.4 Recalculation of Interest

If a tax deduction or withholding (collectively, a **Tax Deduction**) is required by law to be made by the Issuer in respect of any Interest Amount payable in respect of the Loan Instruments and should paragraph (a) of Condition 7 (or, in the event of a substitution pursuant to Condition 10, paragraph (d)(ii) of Condition 10) be unlawful for any reason, the applicable interest rate in relation to the Interest Amounts payable for the Interest Period on the relevant Interest Payment Date will, subject to the exceptions in paragraph (b) of Condition 7 (or, in the event of a substitution pursuant to Condition 10, paragraph (d)(iii) of Condition 10), be the interest rate which would have otherwise been payable for the Interest Period on the relevant Interest Payment Date divided by 1 minus the rate (as a fraction of 1) at which the relevant Tax Deduction is required to be made and the Issuer will (i) be obliged to pay the relevant Interest Amount on the relevant Interest Payment Date at the adjusted rate in accordance with this Condition 3.4 and (ii) make the Tax Deduction on the recalculated Interest Amount. Without prejudice to the foregoing, all references to a rate of interest in the Conditions shall be construed accordingly and all provisions in Condition 7 (other than Condition 7(a), or, in the event of a substitution pursuant to Condition 10, other than paragraph (d)(ii) of Condition 10) shall apply to the Tax Deduction on the recalculated interest payment (such recalculation is referred to herein as a **Recalculation of Interest**).

4. REDEMPTION

4.1 No scheduled redemption

The Loan Instruments have no final maturity date, are not redeemable at the option of the Holders or the Holders' Representative and will not otherwise be redeemed or settled, except at the option of the Issuer and in accordance with this Condition 4, or Condition 5.

4.2 Early redemption events

Any redemption by the Issuer pursuant to this Condition 4.2 shall be referred to as a **Par Redemption Event**.

- (a) If at any time after the issue of the Loan Instruments a Special Tax Event or a Recalculation of Interest Event occurs and is continuing, the Issuer may (subject to Condition 4.6 and no Solvency Event having occurred which is continuing at the time

of delivery of notice (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured)) redeem the Loan Instruments (in whole but not in part) at the Redemption Amount at any time upon delivering not less than 30 nor more than 60 days' irrevocable notice to the Holders in accordance with Condition 13, *provided that*:

- (i) no such notice of redemption may be delivered earlier than 90 days prior to the earliest date on which the Issuer would be for the first time obliged to pay the Additional Amounts or to pay an amount in respect of which there has been a Recalculation of Interest or, as applicable, the date on which the Special Tax Event or the Recalculation of Interest Event becomes effective, and
 - (ii) by no later than five Business Days prior to the delivery of any such notice of redemption, the Issuer will deliver or procure that there is delivered to the Agent a certificate signed by two duly authorised officers of the Issuer stating that the Issuer is entitled to effect that redemption and setting out a statement of facts showing that the conditions precedent to the Issuer's right so to redeem have been satisfied.
- (b) If at any time after the issue of the Loan Instruments an Accounting Event, a Ratings Methodology Event or a Regulatory Event occurs, the Issuer may (subject to Condition 4.6 and no Solvency Event having occurred which is continuing at the time of delivery of notice (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured)) redeem the Loan Instruments (in whole but not in part) at the Redemption Amount at any time upon delivering not less than 30 nor more than 60 days' irrevocable notice to the Holders in accordance with Condition 13; *provided that*:
 - (i) no such notice of redemption may be delivered earlier than 90 days prior to:
 - (A) in respect of a Regulatory Event, the date from which the Loan Instruments do not or will no longer fulfil the requirements referred to in the definition of "Regulatory Event";
 - (B) in respect of an Accounting Event, the date from which the Loan Instruments must not be recorded as equity on the Issuer's consolidated balance sheet as described in the definition of "Accounting Event"; and
 - (C) in respect of a Ratings Methodology Event, the date from which the lower equity credit referred to in the definition of "Ratings Methodology Event" is given to the Loan Instruments.
 - (ii) Condition 4.2(b) will not apply in respect of a Ratings Methodology Event, Accounting Event or a Regulatory Event at any time if such application would cause the Loan Instruments to become Non-Compliant Securities; and
 - (iii) by no later than five Business Days prior to the delivery of any such notice of redemption, the Issuer will deliver or procure that there is delivered to the Agent a certificate signed by two duly authorised officers of the Issuer stating that the Issuer is entitled to effect that redemption and setting out a statement of facts showing that the conditions precedent to the Issuer's right so to redeem have been satisfied.

4.3 Early redemption at the option of the Issuer

Subject to Condition 4.6 and subject to no Solvency Event having occurred which is continuing at the time of delivery of notice (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured), the Issuer may redeem the Loan Instruments (in whole but not in part) at the Redemption Amount on 1 September 2018 (the **First Optional Redemption Date**) and on each subsequent Interest Payment Date thereafter (each, an **Optional Redemption Date**), upon delivering not less than 30 nor more than 60 days' irrevocable notice to the Holders in accordance with Condition 13.

4.4 No early redemption at the option of the Holders or the Holders' Representative

Neither the Holders nor the Holders' Representative shall be entitled to require the Loan Instruments to be redeemed by the Issuer at any time.

4.5 Purchase of Loan Instruments

The Issuer or any other member of the Group may at any time (subject to Condition 4.6, to no Solvency Event having occurred which is continuing at the time of purchase (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured) and to mandatory provisions of law) purchase Loan Instruments in the open market or otherwise and at any price. Such acquired Loan Instruments may be cancelled, held or resold. All Loan Instruments so cancelled cannot be reissued or resold.

4.6 Limitation of termination rights and purchase

The Issuer may redeem the Loan Instruments in accordance with Condition 4.2 or Condition 4.3, or purchase Loan Instruments in accordance with Condition 4.5, only if FINMA has given its Consent to the redemption or purchase.

5. STOCK SETTLEMENT

5.1 Initiation Notice, Exercise Notice and Deemed Exercise

(a) Subject to Condition 5.1(b), the Issuer shall have the following options (each a **Stock Settlement Option**):

- (i) at any time, an option (the **At-Market Stock Settlement Option**), exercisable from time to time, to grant the Holders a Stock Settlement Right (**At-Market Stock Settlement**), and
- (ii) only within the six-month period following the Issuer's publication of notice of the occurrence of a Solvency Event which is continuing at the time of exercise of the option (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has been cured), an option (the **Solvency Event Floor Price Stock Settlement Option**) to grant the Holders a Stock Settlement Right (**Solvency Event Floor Price Stock Settlement** and, together with At-Market Stock Settlement, a **Stock Settlement**),

in each case by (A) giving the Agent an Issuer Election Notice and (B) delivering, within two Business Days immediately following the receipt by the Agent of the relevant Issuer Election Notice, a corresponding Initiation Notice to the Holders in accordance with Condition 13. Stock Settlement may be exercised, in respect of all or a portion of the Principal Amount, expressed as US\$1,000 or integral multiples of US\$1,000 (the **Specified Denomination**).

A Stock Settlement Option may be exercised by the Issuer once or several times, as applicable, provided that all conditions for the relevant options are fulfilled at the time of such exercise.

- (b) A Stock Settlement Option may be exercised by the Issuer only if (i) the Issuer has, or has received satisfactory assurances from Swiss Re Ltd that immediately prior to the Stock Settlement Date the Issuer will have, sufficient Ordinary Shares to deliver pursuant to this Condition 5; (ii) delivery of Ordinary Shares will be possible and legally effective as provided for in this Condition 5; (iii) the Ordinary Shares to be delivered on the Stock Settlement Date will be listed on a Permitted Exchange and (iv) the Ordinary Shares to be delivered on exercise of the Stock Settlement Right (or any other shares or other securities so deliverable on exercise of the Stock Settlement Right pursuant to these Conditions) will be available for transfer and delivery to, or to a nominee or agent for, Euroclear Bank S.A./N.V. or Clearstream Banking, société anonyme, or any successor clearing system.
- (c) The Initiation Notice shall constitute notice of exercise of the Stock Settlement Option by the Issuer to the Holders. An Initiation Notice shall be irrevocable.
- (d) Upon the giving of an Initiation Notice, each Holder shall have the right (the **Stock Settlement Right**), within the Stock Settlement Period, to: (i) request conversion of the Specified Denomination into Gross Settlement Shares; and (ii) instruct its bank to inform the Agent on behalf of the Issuer within the Stock Settlement Period that it demands the Settlement Consideration in accordance with Condition 5.2(a) (the **Exercise Notice**). An Exercise Notice shall be irrevocable.

As of the last day of the Stock Settlement Period, each Holder who has failed to or omitted to give the Exercise Notice, and who has not given a Stock Settlement Right Objection Notice during the Stock Settlement Period, shall be deemed to have:

(i) exercised the Stock Settlement Right as provided for in this Condition 5 (**Deemed Exercise**); and (ii) directed the Agent to notify the Issuer of such exercise on its behalf.

If a Holder gives a Stock Settlement Right Objection Notice, the Principal Amount of the Loan Instruments of such Holder will be automatically and fully written down by the amount of the Specified Denomination on the Stock Settlement Date and the relevant Holder shall not be entitled to demand delivery of the Settlement Consideration or have any other rights in respect of the Specified Denomination except the entitlement to accrued but unpaid interest to (but excluding) the Stock Settlement Date, which shall be paid in cash.

- (e) Fractions of Ordinary Shares will not be delivered in connection with the Stock Settlement Right (including in the case of a Deemed Exercise). Instead, a cash payment equal to the Cash Payment for Fractions will be made, except where any individual entitlement would be less than US\$10 (ten U.S. dollars), in which latter case no payment will be made.
- (f) By exercising the Stock Settlement Right (including in the case of a Deemed Exercise), the Holder authorizes the Agent to make, in its name and on its behalf, any such declarations to the Issuer as may be required or advisable under applicable law for the purpose of the creation (if any) and delivery of the Settlement Consideration.
- (g) The Floor Price shall be subject to adjustment in accordance with Schedule 1, which is incorporated herein by reference in full.

- (h) The Loan Instruments (i) are not convertible into Ordinary Shares at the option of Holders at any time prior to the delivery of an Initiation Notice by the Issuer, and (ii) upon the delivery of an Initiation Notice by the Issuer, are convertible into Gross Settlement Shares (with a corresponding right to receive Settlement Consideration) at the option of Holders only in respect of the Specified Denomination. The Loan Instruments are not redeemable in cash as a result of an Initiation Notice.

5.2 Stock Settlement Procedures

- (a) Delivery of Settlement Consideration

The Settlement Shares to be delivered in accordance with this Condition 5 will be:

(i) existing issued Ordinary Shares; or (ii) newly issued Ordinary Shares to be issued from Swiss Re Ltd's conditional share capital, authorised share capital or any other form of capital that may be used to lawfully issue Ordinary Shares for the purposes of discharging the Issuer's obligations under the Loan Instruments in full or in part, with the same entitlements as the other outstanding Ordinary Shares.

- (b) At the time of such delivery of the Settlement Shares, the then valid Ordinary Share registration rules of Swiss Re Ltd will apply. The Issuer does not offer any assurance or guarantee that the exercising Holder will be accepted as a shareholder with voting rights in the share register of Swiss Re Ltd. Holders shall have recourse only against the Issuer, and not against Swiss Re Ltd, for delivery of Settlement Shares upon the exercise of the Stock Settlement Right.
- (c) The Issuer will effect delivery of the Settlement Consideration on or not more than four Trading Days after the Stock Settlement Date to the Agent or to its order for concurrent delivery to the relevant Holders, which shall be an effective and complete discharge of the Issuer's obligations under the Loan Instruments in respect of the Specified Denomination as to which the Stock Settlement Right was exercised (including in the case of a Deemed Exercise).
- (d) Taxes and other Costs

Any Swiss Federal Stamp Duty, if due, as well as any other fees and/or costs, if any, payable upon the delivery in Switzerland of any Settlement Shares to the Holder pursuant to this Condition 5 will be paid by the Group. Each Holder must pay (i) any tax payable in connection with any subsequent sale or transfer of Ordinary Shares by the holder thereof, and (ii) any tax or other cost payable in connection with the sale, transfer or delivery of Ordinary Shares in or to a country other than Switzerland.

6. PAYMENTS

- (a) The Issuer undertakes to pay, as and when due, principal and interest on the Loan Instruments in U.S. dollars. Payment of principal and interest on the Loan Instruments shall be made to the Agent or to its order for credit to the relevant Holders as of the relevant Record Date.
- (b) If the due date for payment of any amount in respect of the Loan Instruments is not a Business Day, then the Holder shall not be entitled to payment until the next such day in the relevant place and shall not be entitled to further interest or other payment in respect of such delay.

7. TAXATION

- (a) All payments of principal and interest in respect of the Loan Instruments will be made free and clear of, and without any tax deduction or withholding (collectively, a **Tax Deduction**) for, any taxes, duties, assessments or governmental charges of whatever nature (**Taxes**) imposed, levied, collected, withheld or assessed by or on behalf of Switzerland or any political subdivision thereof or any authority thereof having the power to tax, unless the Issuer is compelled by law to make such Tax Deduction. In the event of such Tax Deduction, the Issuer will pay such additional amounts (the **Additional Amounts**) as will result (after such Tax Deduction) in receipt by the Holders of such sums as the Holders would have received if no Tax Deduction had been required.
- (b) Notwithstanding Condition 7(a), no Additional Amounts or interest recalculated pursuant to Condition 3.4 shall be payable on account of any Taxes which:
- (i) are payable if payment under the Loan Instrument is claimed by or on behalf of a Holder which is liable to such Taxes in respect of that Loan Instrument by reason of it having some connection with Switzerland other than the mere holding of that Loan Instrument;
 - (ii) are payable or required to be withheld or deducted where such withholding or deduction is imposed on a payment to an individual or a residual entity and (i) is required to be made pursuant to the Council Directive 2003/48/EC of 3 June 2003 or any law or other governmental regulation implementing or complying with, or introduced in order to conform to, such Directive, or (ii) is required to be made pursuant to any agreements between the European Community and other countries or territories providing for measures equivalent to those set forth in the Council Directive 2003/48/EC, including, but not limited to, the agreement between the European Union and Switzerland of 26 October 2004, providing for measures equivalent to those laid down in such Directive or any law or regulation implementing this agreement, or any law or other governmental regulation implementing or complying with, or introduced in order to conform to, such agreements;
 - (iii) are payable or required to be withheld or deducted pursuant to laws enacted by Switzerland providing for the taxation of payments according to principles similar to those set forth (i) in the Council Directive 2003/48/EC or (ii) in the draft legislation proposed by the Swiss Federal Council on 24 August 2011, in particular the principle to have a person other than the Issuer withhold or deduct the tax, such as, without limitation, any paying agent;
 - (iv) are payable or required to be withheld or deducted pursuant to any United States federal withholding tax that is imposed or collected by reason of Sections 1471 through 1474 of the U.S. Internal Revenue Code (commonly referred to as “FATCA”) (or any regulations promulgated thereunder or administrative interpretations thereof or agreements entered into);
 - (v) are payable if payment under the Loan Instrument is claimed by or on behalf of a Holder who would have been able to avoid such Tax Deduction by claiming payment under the Loan Instrument from an Agent in another Member State of the European Union;
 - (vi) are payable by reason of a change in law that becomes effective more than thirty (30) days after the relevant payment becomes due, or is duly provided for and notice thereof is published in accordance with Condition 13, whichever occurs later;

- (vii) are payable if the payment could have been made to the relevant Holder without a Tax Deduction if it was a Qualifying Lender, but on that date that Holder is not or has ceased to be a Qualifying Lender other than as a result of any change after the date it became a Holder under these Conditions in (or in the interpretation, administration, or application of) any law or double taxation treaty, or any published practice or concession of any relevant taxing authority; or
 - (viii) are payable if the payment could have been made without a Tax Deduction if the Holders had complied with Condition 1.
- (c) Within 30 days of making either a Tax Deduction or a payment required in connection with a Tax Deduction, the Issuer shall deliver to the relevant Holder evidence satisfactory to that Holder (acting reasonably) that the Tax Deduction has been made or (as applicable) the appropriate payment has been paid to the relevant taxing authority.
 - (d) If the Issuer has to make a Tax Deduction and the relevant Holder (acting in good faith) determines that (i) a Tax refund for such Tax Deduction is available to it and it has retained that Tax refund, that Holder shall pay within 10 Business Days after such Tax refund an amount to the Issuer which that Holder determines (in its sole discretion) will leave it (after that payment) in the same after-tax position as it would have been if the payment of the Additional Amount or a payment at an interest rate recalculated in accordance with Condition 3.4 had not been required to be made by the Issuer.

8. PRESCRIPTION

Claims against the Issuer for payment in respect of the Loan Instruments will become void unless made within a period of 10 years (in the case of principal) and five years (in the case of interest) from the date on which the relevant payment first became due.

9. AGENTS AND HOLDERS' REPRESENTATIVE

- (a) The initial Agent for the Loan Instruments and the initial Holders' Representative will be BNP PARIBAS SECURITIES SERVICES, Paris, succursale de Zurich, with specified office at Selnaustrasse 16, CH-8002, Zurich, Switzerland.
- (b) The Issuer reserves the right at any time to vary or terminate the appointment of the Agent and/or the Holders' Representative and/or to appoint other Agents and/or Holders' Representatives provided that it will at all times maintain: (i) an Agent; (ii) so long as the Loan Instruments are listed on a Permitted Exchange, an Agent with a specified office in such city as may be required by the rules of the relevant Permitted Exchange; (iii) an Agent with a specified office in a European Union member state that will not be obliged to withhold or deduct tax pursuant to European Council Directive 2003/48/EC or any law implementing or complying with, or introduced in order to conform to, such Directive; and (iv) to the extent permitted by law, at any time after laws shall have been enacted by Switzerland providing for the taxation of payments according to principles similar to those set forth (y) in the Council Directive 2003/48/EC or (z) in the draft legislation proposed by the Swiss Federal Council on 24 August 2011 (in particular the principle to have a person other than the Issuer withhold or deduct the tax, such as, without limitation, any paying agent), an additional paying agent in a jurisdiction within Europe other than Switzerland that will not be required to withhold or deduct tax pursuant to such Swiss laws.

- (c) The Agent and the Holders' Representative each reserve the right at any time to change their respective specified offices to some other specified office in the same city. Notice of all changes in the identities or specified offices of the Agent or the Holders' Representative will be delivered promptly by the Issuer to the Holders in accordance with Condition 13.
- (d) If, at any time during the life of the Loan Instruments, the Agent shall resign or become incapable of acting as Agent or the Holders' Representative shall resign or become incapable of acting as Holders' Representative as contemplated by these Conditions or shall be adjudged bankrupt or insolvent, the Agent or the Holders' Representative (as the case may be) may be substituted by a duly licensed major Swiss bank or branch of a major foreign bank chosen by the Issuer. In the event of such a replacement of the Agent or the Holders' Representative (as the case may be) all references to the Agent or the Holders' Representative (as the case may be) shall be deemed to refer to such replacement. Notice of such a replacement shall be delivered in accordance with Condition 13.
- (e) The Holders' Representative will or may also act on behalf of or for the benefit of the Holders, but only in such cases stated explicitly in these Conditions. In any other cases, the Holders' Representative is not obliged to take or to consider any actions on behalf of or for the benefit of the Holders.

10. SUBSTITUTION

- (a) The Issuer (or any previous substitute of the Issuer under this Condition 10) may, without the consent of the Holders, and provided that no Accounting Event, Special Tax Event, Recalculation of Interest Event, Ratings Methodology Event or Regulatory Event would be triggered by such substitution, be substituted in respect of all rights and obligations arising under or in connection with the Loan Instruments by any company all of whose shares carrying voting rights are directly or indirectly held by the Issuer (the **New Issuer**), *provided that*:
 - (i) the New Issuer is, in the reasonable opinion of the Holders' Representative, in a position to fulfil all payment obligations arising from or in connection with the Loan Instruments and to transfer without restriction all amounts required to be paid under the Loan Instruments to the Agent and the interests of the Holders are adequately protected in the opinion of the Holders' Representative;
 - (ii) Swiss Reinsurance Company Ltd has issued its irrevocable and unconditional subordinated guarantee as per article 111 of the Swiss Federal Code of Obligations in respect of the obligations of the New Issuer under the Loan Instruments in form and content satisfactory to the Holders' Representative; and
 - (iii) if the New Issuer is a Non-Swiss Company (as defined in (c) below), the conditions set forth in clause (c) below are also met.
- (b) In addition, any substitution is subject to:
 - (i) the Loan Instruments being listed on a Permitted Exchange (provided the Loan Instruments were so listed immediately prior to such substitution);
 - (ii) if required, the Issuer giving its prior written notice to, and receiving no objection from, FINMA;

- (iii) the Issuer having confirmed with the relevant rating agencies that the proposed substitution will not give rise to a change in any published rating of the Loan Instruments in effect at such time; and
 - (iv) certification being provided by two duly authorised officers of the Issuer stating that the conditions precedent in this Condition 10 have been complied with.
- (c) If the New Issuer is not considered under all relevant jurisdictions a Swiss resident company for Swiss withholding tax purposes (a **Non-Swiss Company**), the following conditions shall also be met:
 - (i) the uncertificated form of the Loan Instruments would be recognised and the Loan Instruments would constitute legal, valid and binding obligations in the jurisdiction of domicile of such New Issuer;
 - (ii) under the applicable laws and regulations in effect at the date of the substitution, the New Issuer would not be obliged to make any withholding or deduction on any payments in respect of the Loan Instruments beyond any withholding or deduction already applicable to payments made by the Issuer in respect of the Loan Instruments prior to the substitution (in case such withholding or deduction is introduced after a substitution, Condition 10(d) will apply);
 - (iii) the guarantee to be provided by Swiss Reinsurance Company Ltd according to Condition 10(a)(ii) explicitly also guarantees the payment to the Holders of any amounts required to be withheld or deducted by the New Issuer at any time after substitution;
 - (iv) in the reasonable opinion of the Holders' Representative, such substitution does not adversely affect and, based on the circumstances at the time of substitution, is not likely to adversely affect the rights of the Holders under the Conditions or the position of the Holders in respect of the Loan Instruments, including, without limitation, in respect of the status of the Loan Instruments under Condition 2; and
 - (v) the Issuer provides the Holders' Representative with all information it requires to make the determination set out in Condition 10(c)(iv).
- (d) If the New Issuer is a Non-Swiss Company:
 - (i) the provisions of Condition 7 shall not apply, and
 - (ii) instead, all payments by or on behalf of such a New Issuer in respect of the Loan Instruments shall be made free and clear of, and without withholding or deduction for, any taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by or within the jurisdiction in which the New Issuer is domiciled, or any political sub-division thereof or any authority therein or thereof having power to tax, unless such withholding or deduction (introduced after a substitution has been made) is required by law. In the event that any payments by or on behalf of the New Issuer shall be made subject to withholding, deduction or payment for any such relevant taxes, duties, assessments or governmental charges so required by law, such additional amounts (the **Additional Amounts**) shall be payable by the New Issuer as may be necessary in order that the net amounts

received by the Agent on behalf of the Holders after such withholding, deduction or payment shall equal the respective amounts which would otherwise have been received by the Agent in respect of the relevant Loan Instruments in the absence of such withholding, deduction or payment.

- (iii) However, no such Additional Amounts shall be payable by the New Issuer on account of any taxes, duties, assessments or governmental charges which:
 - (A) are payable by reason of a Holder having, or having had, some personal or business connection with the jurisdiction in which the New Issuer is domiciled other than the mere holding of the Loan Instruments; or
 - (B) are payable or required to be withheld or deducted where such withholding or deduction is imposed on a payment to an individual or a residual entity and (i) is required to be made pursuant to the European Council Directive 2003/48/EC of 3 June 2003 on taxation of savings income (the **EU Savings Tax Directive**) or any law or other governmental regulation implementing or complying with, or introduced in order to conform to, such EU Savings Tax Directive, or (ii) is required to be made pursuant to any agreements between the European Community and other countries or territories providing for measures equivalent to those set forth in the EU Savings Tax Directive or any law or other governmental regulation implementing or complying with, or introduced in order to conform to, such agreements; or
 - (C) are required to be made pursuant to laws enacted by Switzerland providing for the taxation of payments according to principles similar to those set forth in (i) in the EU Savings Tax Directive or (ii) the draft legislation proposed by the Swiss Federal Council on 24 August 2011, in particular the principle to have a person other than the Issuer withhold or deduct the tax, such as, without limitation, any paying agent; or
 - (D) are payable by or on behalf of a Holder who would not be liable or subject to the withholding or deduction by making a declaration of non-residence or other similar claim for exemption to the relevant tax authority; or
 - (E) are payable by reason of a change in law that becomes effective more than thirty (30) days after the relevant payment becomes due, or is duly provided for and notice thereof is published in accordance with Condition 13, whichever occurs later.
- (e) In the event of a substitution pursuant to this Condition 10, any reference in these Conditions to the Issuer shall be a reference to the New Issuer.
- (f) Notice of any substitution shall be irrevocably given by the Issuer (after prior consultation with the Holders' Representative) to Holders in accordance with Condition 13. Upon such delivery of notice to Holders, the substitution shall become effective, and the Issuer, and in the event of a repeated application of this Condition 10 any previous New Issuer, shall be discharged from any and all obligations under the Loan Instruments.

11. CONSEQUENCES OF A FUNDAMENTAL CHANGE

- (a) Not later than 10 Business Days following the final settlement date or closing date, as the case may be, of a Takeover or the effective date of an Issuer Spin-off (the **Issuer Spin-off Date**), the Issuer shall give notice thereof by delivering a notice to the Holders in accordance with Condition 13 (a **Fundamental Change Notice**). The Fundamental Change Notice shall specify that a Fundamental Change has occurred for the purposes of the Loan Instruments.
- (b) In the case of a Takeover involving a Qualifying Acquirer, the Issuer shall use reasonable efforts to ensure that the New Settlement Condition is satisfied within seven Business Days of the date on which the Takeover becomes effective.
- (c) In the case of a Qualifying Takeover:
 - (i) for the purposes of the provisions of Condition 3.2(b)(i) and Condition 3.2(b)(iii), the relevant actions of Swiss Re Ltd during the six months preceding the Reference Date shall refer to actions of Swiss Re Ltd prior to the QT Effective Date and shall refer to actions of the Qualifying Acquirer following the QT Effective Date;
 - (ii) following the QT Effective Date, references in Condition 3.3 and in the definition of “Market Disruption Event” to “Swiss Re Ltd” shall be to the “Qualifying Acquirer” and references to “Ordinary Shares” shall be to “Qualifying Shares”;
 - (iii) for the purposes of Condition 5.1(a)(i) and the related provisions of Condition 5.2:
 - (A) where the Stock Settlement Date falls on or after the QT Effective Date, references to “Ordinary Shares” shall be to “Qualifying Shares”; and
 - (B) delivery of Qualifying Shares in lieu of Ordinary Shares, together with the other elements of the Settlement Consideration, on or after the QT Effective Date shall constitute effective Stock Settlement.
 - (iv) for the purposes of Condition 5.1(a)(ii) and the related provisions of Condition 5.2:
 - (A) where the Stock Settlement Date falls on or after the QT Effective Date, references to “Ordinary Shares” shall be to “Qualifying Shares”;
 - (B) for the purposes of calculating the number of Settlement Shares, in lieu of the Floor Price, the New Floor Price shall be used;
 - (C) delivery of Qualifying Shares in lieu of Ordinary Shares, together with the other elements of the Settlement Consideration, on or after the QT Effective Date shall constitute effective Stock Settlement; and
 - (D) the New Floor Price shall be subject to adjustment in the circumstances provided in Schedule 1 for the adjustment of the Floor Price (if necessary with such modifications and amendments as a Common Expert acting in good faith shall determine to be

appropriate) and the Issuer shall deliver a notice to the Holders in accordance with Condition 13 of the New Floor Price and of any such modifications and amendments thereafter.

- (d) In the event of an Issuer Spin-off:
- (i) for the purposes of the provisions of Condition 3.2(b)(i) and Condition 3.2(b)(iii), the relevant actions of Swiss Re Ltd during the six months preceding the Reference Date shall refer to actions of Swiss Re Ltd prior to the Issuer Spin-off Date and shall refer to actions of the Issuer following the Issuer Spin-off Date;
 - (ii) following the Issuer Spin-off Date, references in Condition 3.3 and in the definition of “Market Disruption Event” to “Swiss Re Ltd” shall be to the “Issuer” and references to “Ordinary Shares” shall be to “Issuer Shares”, Condition 3.3(c)(i) shall not be given effect and, for the purposes of Condition 3.3(d), if the Issuer is unable to raise funds by selling Issuer Shares, the Issuer’s obligation with respect to the relevant Interest Amount will be cancelled effective as of the relevant Interest Payment Date;
 - (iii) where the Stock Settlement Date falls on or after the Issuer Spin-off Date, references to “Ordinary Shares” shall be to “Issuer Shares” for the purposes of the provisions of Condition 5.1(a)(i) and Condition 5.2; and delivery of Issuer Shares in lieu of Ordinary Shares, together with the other elements of the Settlement Consideration, on or after the Issuer Spin-off Date shall constitute effective Stock Settlement; and
 - (iv) for the purposes of Condition 5.1(a)(ii) and the related provisions of Condition 5.2:
 - (A) where the Stock Settlement Date falls on or after the Issuer Spin-off Date, references to “Ordinary Shares” shall be to “Issuer Shares”;
 - (B) for the purposes of calculating the number of Settlement Shares, in lieu of the Floor Price, the New Floor Price shall be used;
 - (C) delivery of Issuer Shares in lieu of Ordinary Shares, together with the other elements of the Settlement Consideration, on or after the Issuer Spin-off Date shall constitute effective Stock Settlement; and
 - (D) the New Floor Price shall be subject to adjustment in the circumstances provided in Schedule 1 for the adjustment of the Floor Price (if necessary with such modifications and amendments as a Common Expert acting in good faith shall determine to be appropriate) and the Issuer shall deliver a notice to the Holders of the New Floor Price and of any such modifications and amendments thereafter.
- (e) In the event of a Non-Qualifying Takeover, no Stock Settlement Option may be exercised by the Issuer from the date on which such Non-Qualifying Takeover becomes effective.
- (f) In the case of a Qualifying Takeover or an Issuer Spin-off, the Issuer (after consultation with the Holders’ Representative), may (but is under no obligation to) instruct a Common Expert to make any consequential changes to these Conditions

which are not already provided for by this Condition 11 and which: (i) do not result in the occurrence of an Accounting Event, a Ratings Methodology Event, a Regulatory Event, a Recalculation of Interest Event or a Special Tax Event; and (ii) are necessary or appropriate in order to preserve substantially the economic effect, for the Holders, of a holding of the Loan Instruments prior to the Qualifying Takeover or Issuer Spin-off (as the case may be).

- (g) In the event of Qualifying Takeover or an Issuer Spin-off, references in these Conditions to “Swiss Re Ltd” shall be to the “Qualifying Acquirer” or the “Issuer”, respectively, following the QT Effective Date or Issuer Spin-off Date, as applicable.

12. MODIFICATIONS

- (a) For so long as there is no more than one Holder (x) no amendment, waiver or variation of these Conditions may be made without the prior written consent of such Holder and (y) the provisions of paragraph (b) of this Condition 12 shall not apply; or
- (b) without prejudice to paragraph (a) above, these Conditions may be amended by agreement between the Issuer, after prior consultation with the Agent and the Holders’ Representative on behalf of the Holders, provided that, in the sole reasonable opinion of the Holders’ Representative, such amendment is of a formal, minor or technical nature or is made to correct a manifest error and is not prejudicial to the interests of the Holders.

13. NOTICES

- (a) If the Loan Instruments are listed notices to the Holders will be valid if published in a national newspaper designated for exchange notices, or as otherwise permitted, by the relevant stock exchange where the Loan Instruments are listed. Such notice will be deemed to have been validly given on the date of the publication.
- (b) If the Loan Instruments are unlisted notice will be validly given by the Issuer delivering such notice via overnight courier service to the addresses of the relevant Holders specified in the Register. Such notice will be deemed to have been validly given on the day after the courier has been dispatched.

14. FURTHER ISSUES

The Issuer may from time to time, without the consent of the Holders, issue additional securities with identical terms and conditions as the Loan Instruments in all respects (or in all respects except for the Issue Date, the first payment of interest, if any, and the issue price) so as to be consolidated and form a single series with such Loan Instruments.

15. GOVERNING LAW AND JURISDICTION

15.1 Governing law

The Conditions and the Loan Instruments shall be governed by and construed in accordance with the substantive laws of Switzerland.

15.2 Jurisdiction

Any dispute which might arise based on the Conditions and the Loan Instruments (the **Proceedings**) shall fall within the jurisdiction of the courts of the city of Zurich, the place of

jurisdiction being Zurich 1. This jurisdiction is also exclusively valid for the declaration of cancellation of Loan Instruments.

Condition 15.2 operates for the benefit of the Holders and accordingly the Holders shall be entitled to take Proceedings in any other court or courts having jurisdiction.

16. DEFINITIONS

6-year Mid-Swap Rate means the 6-year US\$ mid market swap rate calculated on the basis of the rates displayed on Reuters screen page “ISDAFIX1” (or such other page as may replace that page on Reuters, or such other service as may be nominated by the person providing or sponsoring the information appearing there for the purposes of displaying comparable rates) at 11.00 a.m. (New York City time) on the Reset Determination Date. If swap rates do not appear on that page, the 6-year Mid Swap Rate shall be determined by the Agent on the basis of (i) the mid-market semi-annual swap rate quotations provided by the principal office of each of four major banks in the US\$ swap market at approximately 11.00 a.m. (New York City time) on the day that is two U.S. Government Securities Business Days preceding that Reset Determination Date. For this purpose, the semi-annual swap rate means the mean, rounded, if necessary, to the nearest 0.00001 (0.000005 being rounded upwards), of the bid and offered rates for the semi-annual fixed leg, calculated on a 30/360 day count basis, of a fixed-for-floating U.S. dollar interest rate swap transaction with a term equal to six years commencing on that Reset Determination Date with an acknowledged dealer of good credit in the swap market, where the floating leg, calculated on an Actual/360 day count basis is equivalent to the three month London Interbank offered rate for U.S. dollars.

Accounting Event means that an opinion of a recognised accounting firm has been delivered to the Issuer, stating that the Loan Instruments must not or must no longer be recorded as equity on the Issuer’s consolidated balance sheet prepared in accordance with the accounting standards applied to such published consolidated accounts at the relevant dates and for the relevant periods (the **Applicable Accounting Standards**) and this cannot be avoided by the Issuer taking such reasonable measures as the Issuer (acting in good faith) deems appropriate.

ACSM has the meaning given to it in Condition 3.3(a).

ACSM Funds has the meaning given to it in Condition 3.3(c).

Agent means BNP PARIBAS SECURITIES SERVICES, Paris, succursale de Zurich, with its specified office at Selnaustrasse 16, CH-8002, Zurich, Switzerland initially, and any replacement agent appointed by the Issuer thereafter.

Acquirer means a person that completes a Takeover.

Assets means the Issuer’s unconsolidated total assets, as shown in the latest annual audited balance sheet, but adjusted for all subsequent events, as reasonably determined by the Issuer or, if a liquidation procedure has been instigated, the liquidator.

Assignment has the meaning given to it in Condition 1(d).

At-Market Stock Settlement has the meaning given to it in Condition 5.1(a)(i).

At-Market Stock Settlement Option has the meaning given to it in Condition 5.1(a)(i).

Business Day means a day which is a day (other than a Saturday or a Sunday) on which commercial banks in Zurich, Switzerland and, in the case of Conditions 3 and 6 only, New York are open for business.

Calculation Period means the period starting on (and including) the sixth Trading Day prior to, and ending on (and including) the second Trading Day prior to, the date of the Initiation Notice being given.

Cancelled Interest Payment has the meaning given to it in Condition 3.2(d).

Capital Distribution has the meaning given to it in Schedule 1.

Cash Distribution means the amount (on a gross basis) of any dividend on, repayment in part of the nominal amount of, or other distribution on, an Ordinary Share, in each such case made by Swiss Re Ltd in cash, provided that if any such dividend, repayment in part, or other distribution (i) may at the election of holders of Ordinary Shares be satisfied either in cash or delivery of Ordinary Shares or other property or assets, it shall for the purposes hereof be deemed to be the greater of (a) the Fair Market Value of such cash amount and (b) either the Current Market Price of such Ordinary Shares as at the first date on which the Ordinary Shares are traded ex- the relevant dividend on the Permitted Exchange or, as the case may be, the Fair Market Value of such other property or assets as at the date of the first public announcement of such Cash Distribution or, in either case if later, the date on which the number of Ordinary Shares (or amount of such other property or assets, as the case may be) which may be issued is determined and (ii) is paid in a currency other than Swiss Francs, it shall be converted into Swiss Francs at such rate of exchange as may be determined in good faith by the Agent to be the relevant spot rate ruling at the close of business on the date of declaration of the relevant distribution.

Cash Payment for Fractions means an amount payable in US\$ representing the Closing Price of the Ordinary Shares on the Permitted Exchange on which the Ordinary Shares are then listed on the last Trading Day of the Stock Settlement Period (translated into United States dollars at the Exchange Rate) multiplied by the difference between the number of Gross Settlement Shares and the number of Settlement Shares. If the resulting amount of US\$ is not an integral multiple of US\$ 0.01, it shall be rounded to the nearest whole or multiple of US\$ 0.01 with US\$ 0.005 being rounded upwards.

Closing Price means, in respect of any Trading Day, the last officially published price of the Ordinary Shares by the Permitted Exchange on which the Ordinary Shares are then listed and (if not in Swiss Francs) translated into Swiss Francs at the Prevailing Rate on the relevant Trading Day.

Common Expert means an independent investment bank of international repute or, in the case of Condition 11(f), an independent law firm of international repute (an **Expert**), in each case selected by the Issuer and the Agent by mutual agreement. If the Issuer and the Agent do not mutually agree on an Expert within seven days from the beginning of the appointment process, each of the Issuer and the Agent shall select an Expert, whereby the so elected Experts shall select together a third Expert. In case the two selected Experts do not mutually agree on a third Expert within seven days after being appointed, each of them shall select another Expert, whereby a Swiss Notary Public appointed by the Agent will pick one of these two Experts as third Expert by drawing lots. In the case of the appointment of three Experts references in these Conditions to a Common Expert shall be deemed to refer to these three Experts deciding by majority decision. Decisions of the Common Expert shall be final and binding on the Issuer, the Holders and the Agent. The Agent shall incur no liability against the Issuer or the Holders in respect of any action taken, or suffered to be taken, in accordance with such decision and in good faith. The fees and costs of the Common Expert shall be borne by the Issuer.

Consent means such consent, approval or non-objection (if any) as is required under the relevant rules and regulations of FINMA.

Current Market Price has the meaning given to it in Schedule 1.

Deemed Exercise has the meaning given to it in Condition in 5.1(d).

Designated Interest has the meaning given to it in Condition 3.3(a).

Determination Date means the day falling five Business Days prior to the first day of the relevant Interest Period.

Discounted Volume Weighted Average Price in relation to an Ordinary Share means 97 per cent. of the average of the daily VWAP of such Ordinary Share on each Trading Day in the Calculation Period and (if not in Swiss Francs) translated into Swiss Francs at the Prevailing Rate on the last Trading Day of the Calculation Period, provided that if at any time during the Calculation Period the Ordinary Shares shall have been quoted ex- any entitlement and during some other part of the Calculation Period the Ordinary Shares shall have been quoted cum- any entitlement, then the quotations on the dates on which the Ordinary Shares shall have been quoted cum- the entitlement shall for the purpose of this definition be deemed to be the amount thereof reduced by an amount equal to the Fair Market Value of such entitlement per Ordinary Share as at the date of first public announcement of such entitlement.

Dividend has the meaning given to it in Schedule 1.

Exchange Rate means in relation to any currency the arithmetic average of the Prevailing Rate between such currency and US\$ on each Trading Day in the period starting on (and including) the sixth Trading Day prior to, and ending on (and including) the second Trading Day prior to, the date on which the relevant Initiation Notice is given.

Exercise Notice has the meaning given to it in Condition 5.1(d).

Fair Market Value has the meaning given to it in Schedule 1.

FINMA means the Swiss Financial Market Supervisory Authority FINMA, or any successor authority.

First Optional Redemption Date has the meaning given to it Condition 4.3.

Fixed Rate Day Count Fraction means that interest shall be calculated on the basis of a 360-day year consisting of 12 months of 30 days each and, in the case of an incomplete month, the number of days elapsed on the basis of a month of 30 days.

Floor Price means US\$32.00, subject to adjustment in accordance with Schedule 1.

Fundamental Change means a Takeover or an Issuer Spin-off.

Fundamental Change Notice has the meaning given to it in Condition 11(a).

Future Regulations means solvency margins, regulatory capital or capital adequacy regulations as the same may be introduced in Switzerland from time to time which are applicable to the Issuer and which set out the requirements for financial instruments to satisfy in order to qualify for eligible inclusion in the definition of Tier 1 Capital or Tier 2 Capital.

Gross Settlement Shares means such number of Ordinary Shares, to be calculated to five decimal places (with 0.000005 Ordinary Shares to be rounded upwards), as is:

- (A) for purposes of Condition 5.1(a)(i), calculated by dividing the sum of the Specified Principal Amount and, if the Issuer has made an Issuer Election Regarding

Consideration, the accrued but unpaid interest on the Specified Denomination, by the Discounted Volume Weighted Average Price (translated into United States dollars at the Exchange Rate); or

- (B) for purposes of Condition 5.1(a)(ii), calculated by dividing the sum of the Specified Principal Amount and, if the Issuer has made an Issuer Election Regarding Consideration, the accrued but unpaid interest on the Specified Denomination, by the Floor Price,

provided in each case that if the Stock Settlement Right has been exercised in respect of more than one Loan Instrument by the same Holder, the number of Gross Settlement Shares will be determined on the basis of the aggregate Specified Principal Amount of such Holder held in the same securities account and (if the Issuer has made an Issuer Election Regarding Consideration) aggregate accrued but unpaid interest.

Group means Swiss Re Ltd and its consolidated subsidiaries, *provided that* “Group” shall mean:

- (A) following a QT Effective Date, the Qualifying Acquirer and its consolidated subsidiaries;
- (B) following a Non-Qualifying Takeover, the parent company of the Issuer and its consolidated subsidiaries; and
- (C) following an Issuer Spin-off Date, the Issuer and its consolidated subsidiaries.

Guidelines means, together, the guideline “Interbank Loans” of 22 September 1986 (S-02.123) (*Merkblatt “Verrechnungssteuer auf Zinsen von Bankguthaben, deren Gläubiger Banken sind (Interbankguthaben)” vom 22. September 1986*); the guideline “Bonds” of April 1999 (S 02.122.1) (*Merkblatt “Obligationen” vom April 1999*); the guideline “Syndicated Loans” of January 2000 (S-02.128) (*Merkblatt “Steuerliche Behandlung von Konsortialdarlehen, Schuldscheindarlehen, Wechseln und Unterbeteiligungen” vom Januar 2000*); the circular letter No. 15 (1-015-DVS-2007) of 7 February 2007 in relation to bonds and derivative financial instruments as a subject matter of Swiss federal income tax, Swiss federal withholding tax and Swiss federal stamp taxes (*Kreisschreiben Nr. 15 “Obligationen und derivative Finanzinstrumente als Gegenstand der direkten Bundessteuer, der Verrechnungssteuer und der Stempelabgaben” vom 7. Februar 2007*); and the circular letter “Deposits” of 26 July 2011 (1-034-V-2011-d) (*Kreisschreiben Kundenguthaben vom 26. Juli 2011*); each as issued, and as amended from time to time, by the Swiss federal tax administration.

Holder or **Holders** means a holder or holders of Loan Instruments.

Holders’ Representative means BNP PARIBAS SECURITIES SERVICES, Paris, succursale de Zurich, with its specified office at Selnastrasse 16, CH-8002, Zurich, Switzerland initially, and any replacement Holders’ Representative appointed by the Issuer thereafter.

Initial Margin means 6.384 per cent.

Initial Rate of Interest has the meaning given to it in Condition 3.1(a)(i).

Initiation Notice means the notice given by the Issuer and delivered to the Holders, in accordance with Condition 13, specifying:

- (i) that the Issuer has exercised its Stock Settlement Option;
- (ii) that the Holders can exercise their Stock Settlement Right in accordance with Condition 5.1(d), within the Stock Settlement Period, in which case such Holders shall be entitled to receive the Settlement Consideration;
- (iii) that upon exercise or Deemed Exercise of the Stock Settlement Right by the Holders, the Holders will be entitled to receive the Settlement Consideration as of the Stock Settlement Date or not more than four Trading Days thereafter;
- (iv) the Stock Settlement Date and the Stock Settlement Period;
- (v) the Specified Denomination and, if applicable, the resulting new Principal Amount of each Loan Instrument;
- (vi) the amount of accrued and unpaid interest that will be owing as of the Stock Settlement Date and whether the Issuer has made the Issuer Election Regarding Consideration;
- (vii) whether the notice relates to an At-Market Stock Settlement or a Solvency Event Floor Price Stock Settlement; and
- (viii) that the Holders who do not wish to receive the Settlement Consideration can give a Stock Settlement Right Objection Notice; Loan Instruments in respect of which a Stock Settlement Right Objection Notice is given will be written down in the amount of the Specified Denomination without any consideration being provided to the relevant Holder.

Interest Amount means, with respect to any Interest Payment Date, the amount of interest which would be payable on the aggregate Principal Amount of Loan Instruments outstanding on such Interest Payment Date.

Interest Payment Date has the meaning given to it in Condition 3.1(a).

Interest Period has the meaning given to it in Condition 3.1(b).

Issue Date has the meaning given to it in Condition 1(a).

Issuer means Swiss Reinsurance Company Ltd with registered office at Mythenquai 60, 8002 Zurich, Switzerland.

Issuer Election Notice means the written notice given by the Issuer to the Agent that it has taken the decision to exercise, pursuant to Condition 5.1(a), a Stock Settlement Option, and specifying, inter alia, (i) whether it has elected At-Market Stock Settlement or Solvency Event Floor Price Stock Settlement, (ii) whether the exercise is in respect of all or a specified part of the Principal Amount and (iii) whether or not it has made the Issuer Election Regarding Consideration.

Issuer Election Regarding Consideration means the election of the Issuer to include, subject to the Consent of FINMA if a Solvency Event has occurred and is continuing (as evidenced by the absence of any public statement by the Issuer that the Solvency Event has

been cured), the amount of accrued and unpaid interest on the Specified Denomination (for the purpose of calculating the Gross Settlement Shares).

Issuer Shares means ordinary shares of the Issuer which are listed and admitted to trading on a Permitted Exchange.

Issuer Spin-off means a distribution of all of the ordinary shares of the Issuer to the shareholders of Swiss Re Ltd.

Issuer Spin-off Date has the meaning given to it in Condition 11(a).

Junior Securities means all classes of issued shares in the share capital of the Issuer.

Liabilities means the Issuer's unconsolidated total liabilities, as shown in the latest annual audited balance sheet, but adjusted for all subsequent events, as reasonably determined by the Issuer, or if a liquidation procedure has been instigated, the liquidator.

Loan Instrument or **Loan Instruments** means the US\$750,000,000 Perpetual Subordinated Capital Instruments with Stock Settlement of the Issuer and Loan Instrument means any one of them.

Market Disruption Event means the occurrence or existence of any of the following events or sets of circumstances:

- (a) the trading in the shares of Swiss Re Ltd, generally on any internationally recognised exchange on which the securities issued by Swiss Re Ltd are traded, has been suspended or the settlement of such trading generally shall have been materially disrupted;
- (b) a general moratorium shall have been declared on commercial banking activities or securities settlement systems in Switzerland, the United States, the United Kingdom or the region comprised of member states of the European Union that adopted the euro in accordance with the Treaty establishing the European Community of March 25, 1957, as amended, as a result of which trading in the shares of Swiss Re Ltd has been materially disrupted;
- (c) there shall have occurred a change, event or circumstance that could be expected to result in a prospective change in Swiss taxation materially and adversely affecting Swiss Re Ltd, the Issuer or the Ordinary Shares, or the imposition of exchange controls by Switzerland; or
- (d) there shall have occurred an outbreak or escalation of hostilities, any terrorist attacks or calamity or crisis, or any change or development involving or likely to involve a prospective change in national or international financial, political or economic conditions in any country, as a result of which trading in the shares of Swiss Re Ltd has been materially disrupted.

New Floor Price means the amount determined in accordance with the following formula:

$$\text{NFP} = \text{EFP} \times \frac{\text{A}}{\text{B}}$$

where:

NFP is the New Floor Price.

EFP is the Floor Price in effect on the Trading Day immediately prior to the QT Effective Date or the Issuer Spin-off Date, as the case may be.

“A” means (i) in the case of a Qualifying Takeover, the average of the daily VWAP of the Qualifying Shares and (if not in Swiss Francs) translated into Swiss Francs at the Prevailing Rate on the relevant Trading Day on each of the five Trading Days ending on the Trading Day prior to the closing date of the Takeover (on the basis that references in the definition of VWAP to “Ordinary Shares” shall be construed as a reference to the Qualifying Shares), provided that if at any time during such five Trading Day period the Qualifying Shares shall have been quoted ex- any entitlement and during some other part of that period the Qualifying Shares shall have been quoted cum- any entitlement, then the quotations on the dates on which the Qualifying Shares shall have been quoted cum- the entitlement shall for the purpose of this definition be deemed to be the amount thereof reduced by an amount equal to the Fair Market Value of such entitlement per Qualifying Share as at the date of first public announcement of such entitlement and (ii) in the case of an Issuer Spin-off, the price at which the Issuer Shares are distributed in the Issuer Spin-off.

“B” is the average of the daily VWAP of the Ordinary Shares on each of the five Trading Days ending on the Trading Day immediately prior to the closing date of the Qualifying Takeover or the Issuer Spin-off Date, as the case may be.

New Issuer has the meaning given to it in Condition 10(a).

New Settlement Condition shall be satisfied if the Issuer shall have entered into arrangements with the Qualifying Acquirer providing for delivery of Qualifying Shares pursuant to a Stock Settlement Option on terms applied *mutatis mutandis* to the provisions of Condition 5.1(a)(i) or Condition 5.1(a)(ii), as applicable.

Non-Bank Rules means the Ten Non-Bank Rule and the Twenty Non-Bank Rule.

Non-Compliant Securities means securities which, after the implementation of any Future Regulations, would no longer be eligible for regulatory capital treatment as at least Tier 2 Capital.

Non-Qualifying Takeover is a Takeover other than a Qualifying Takeover.

Optional Redemption Date has the meaning given to it in Condition 4.3.

Optionally Cancelled Interest Payment has the meaning given to it in Condition 3.2(b)(B).

Ordinary Shares means the ordinary shares of Swiss Re Ltd.

Par Redemption Event has the meaning given to it in Condition 4.2.

Parity Securities means any securities or other relevant obligations, ranking or expressed to rank *pari passu* with the Loan Instruments including a guarantee or support (or any similar) agreement issued or entered into by the Issuer which ranks or is expressed to rank *pari passu* with the Loan Instruments and including, for so long as they are outstanding, the obligations under the subordinated guarantee issued by the Issuer in relation to the 6.854% perpetual subordinated step-up preferred securities issued by Swiss Re Capital I LP, and under the 5.252% perpetual subordinated step-up loan notes issued by the Issuer, the 7.635% perpetual subordinated step-up preferred securities of the Issuer, the AUD450,000,000 floating rate perpetual subordinated step-up loan notes of the Issuer, the 6.3024% perpetual subordinated

step-up loan notes of the Issuer and the 7.25% perpetual subordinated notes with stock settlement of the Issuer.

Permitted Exchange means the SIX Swiss Exchange or any other stock exchange which is a member of the World Federation of Exchanges.

Permitted Non-Qualifying Lender means initially Aquarius + Investments plc, and a successor of Aquarius + Investments plc, or any subsequent successor thereof, by way of Assignment of all but not some only of the Loan Instruments held by Aquarius + Investments plc, or any subsequent successor thereof (for so long as that successor continues to be a Holder in accordance with the Conditions), *provided that*:

- (a) within ten (10) Business Days of notification to it by the existing Permitted Non-Qualifying Lender of the identity of such proposed Permitted Non-Qualifying Lender, the Issuer may, as a condition precedent to such proposed Permitted Non-Qualifying Lender becoming a Holder:
 - (A) request from that proposed Permitted Non-Qualifying Lender a confirmation that it has disclosed to the Issuer all facts relevant to the determination as to whether it would be a Permitted Non-Qualifying Lender and would constitute one (1) person only for purposes of the Non-Bank Rules; and
 - (B) irrespective of whether a request is made in accordance with paragraph (a)(A) above, request from that proposed Permitted Non-Qualifying Lender a tax ruling of the Swiss federal tax administration (at the cost of the proposed Permitted Non-Qualifying Lender), confirming to the Issuer's satisfaction that such proposed Permitted Non-Qualifying Lender does constitute one (1) person only for purposes of the Non-Bank Rules;
- (b) the Issuer, acting reasonably, shall confirm within ten (10) Business Days of notification of all facts (if a request in accordance with paragraph (a)(A) above has been made) or receipt of a tax ruling (if a request in accordance with paragraph (a)(B) above has been made) whether or not such disclosure, or such tax ruling, as the case may be, is satisfactory and, in the absence of such confirmation, the Issuer shall be deemed to have confirmed such disclosure, or such tax ruling, as the case may be, is so satisfactory on the tenth (10th) Business Day after receipt hereof or thereof; and
- (c) has, simultaneously with becoming a Holder, succeeded the existing Permitted Non-Qualifying Lender as "Permitted Non-Qualifying Lender" under all, but not some only, Loan Instruments (except for Loan Instruments held by Qualifying Banks at that time), and under any and all other existing or future series of Loan Instruments, as the case may be, or similar instruments, between the Issuer and the existing Permitted Non-Qualifying Lender (or any successor thereof).

Prevailing Rate means, in respect of any currencies on any day, the spot rate of exchange between the relevant currencies prevailing as at or about 12 noon (London time) on that date as appearing on or derived from the Reference Page or, if such a rate cannot be determined at such time, the rate prevailing as at or about 12 noon (London time) on the immediately preceding day on which such rate can be so determined or, if such rate cannot be so determined by reference to the Reference Page, the rate determined in such other manner as the Agent shall in good faith prescribe.

Principal Amount in respect of each Loan Instrument means, as of the Issue Date, US\$5,000 as reduced from time to time pursuant to Condition 5.

Proceedings has the meaning given to it in Condition 15.2.

QT Effective Date means the date with effect from which the New Settlement Condition shall have been satisfied.

Qualifying Acquirer means a body corporate which, or the ultimate parent of which, on the occurrence of the Takeover, has in issue Qualifying Shares.

Qualifying Bank means any legal entity acting for its own account which is recognised as a bank by the banking laws in force in its jurisdiction of incorporation, and any branch of a legal entity, which is recognised as a bank by the banking laws in force in the jurisdiction where such branch is situated, and which, in each case, exercises as its main purpose a true banking activity, having bank personnel, premises, communication devices of its own and authority of decision making.

Qualifying Lender means a Holder which is a Qualifying Bank or the Permitted Non-Qualifying Lender.

Qualifying Shares means ordinary share capital of a Qualifying Acquirer that constitutes equity share capital or the equivalent (or depositary or other receipts representing the same) which is listed and admitted to trading on a Permitted Exchange.

Qualifying Takeover means a Takeover where (i) the Acquirer is a Qualifying Acquirer; and (ii) the New Settlement Condition is satisfied.

Rate of Interest means the Initial Rate of Interest or the Reset Rate of Interest, as the case may be.

A **Ratings Methodology Event** means a change by a nationally recognised statistical rating organisation to its equity credit criteria, or the interpretation or application thereof, for securities such as the Loan Instruments, which change results in a lower equity credit being given to the Loan Instruments as of the date of such change than the equity credit assigned to the Loan Instruments at or around the Issue Date.

Recalculation of Interest has the meaning given to it in Condition 3.4.

Recalculation of Interest Event means that an opinion of a recognised independent tax counsel has been delivered to the Issuer confirming (i) the occurrence of a Recalculation of Interest or (ii) that the Issuer is required pursuant to the Conditions to pay Additional Amounts in respect of the Loan Instruments and this cannot be avoided by the Issuer taking such reasonable measures as the Issuer (acting in good faith) deems appropriate.

Record Date means the date that is 5 Business Days prior to the relevant Interest Payment Date, Optional Redemption Date or date of early redemption pursuant to Condition 4.2.

Redemption Amount means the Principal Amount of the Loan Instruments plus accrued and unpaid interest, if any.

Reference Date means the 10th Business Day preceding the relevant Interest Payment Date.

Reference Page means the relevant page on Bloomberg or such other information service provider that displays the relevant information.

A **Regulatory Event** means the occurrence of any of the following events, which occurrence cannot be avoided by the Issuer taking such reasonable measures as it (acting in good faith) deems appropriate:

- (a) prior to the implementation of Future Regulations, FINMA notifies the Issuer or otherwise states that the Loan Instruments are not, or will no longer be, eligible to qualify as upper additional capital (“*oberes ergänzendes Kapital*”) pursuant to art. 49 in connection with art. 39 SPICO, and no longer, or will no longer, fulfil the requirements for such category, or equivalent thereof, for group or solo solvency purposes (other than through the Loan Instruments exceeding the then applicable quantitative limits on such capital issuance); or
- (b) FINMA issues further guidance under art. 39 of the SPICO or in any Future Regulations in relation to qualifying instruments for group or solo solvency purposes (by way of law, ordinance, regulation or a published interpretation thereof), and following which FINMA notifies the Issuer or otherwise states that the Loan Instruments do not, or will not, fulfil the requirements of at least Tier 2 Capital in the context of such Future Regulations; or
- (c) FINMA issues further guidance in relation to qualifying instruments for group or solo solvency purposes (by way of law, ordinance, regulation or a published interpretation thereof), and FINMA affords the Loan Instruments recognition as at least Tier 2 Capital for group or solo solvency purposes, and at a subsequent time FINMA notifies the Issuer or otherwise states that the Loan Instruments no longer, or will no longer, fulfil the requirements of at least Tier 2 Capital in the context of such Future Regulations.

Relevant Fiscal Year has the meaning given to it in Schedule 1.

Relevant Target Entity, means Swiss Re Ltd or the Issuer, as the case may be, that is the company whose shares are to be acquired in a Takeover.

Required Cancellation Event has the meaning given to it in Condition 3.2(c).

Reset Date means the First Optional Redemption Date and every date which falls six, or a multiple of six, years after the First Optional Redemption Date.

Reset Determination Date means the day falling five Business Days before the commencement of the relevant Reset Period.

Reset Interest Amount has the meaning given to it in Condition 3.1(d).

Reset Period means the period from and including the First Optional Redemption Date to but excluding the next Reset Date, and each successive period from and including a Reset Date to but excluding the next succeeding Reset Date.

Reset Rate of Interest in respect of any Reset Period means the rate of interest being determined on the relevant Reset Determination Date as the sum of the 6-year Mid-Swap Rate and the Initial Margin recalculated on an annual basis.

Senior Creditors means creditors in respect of Senior Securities.

Senior Securities means:

- (A) any securities or other relevant obligations, except those ranking or expressed to rank junior to or *pari passu* with the Loan Instruments, including a guarantee or support (or any similar) agreement issued or entered into by the Issuer which ranks or is expressed to rank junior to or *pari passu* with the Loan Instruments; and
- (B) for the avoidance of doubt but without limitation, obligations in respect of policies of insurance or reinsurance, trade accounts payable, any liability for income, franchise, real estate or other taxes owed or owing, unsubordinated and/or dated subordinated creditors and existing undated subordinated creditors, except those ranking or expressed to rank junior to or *pari passu* with the Loan Instruments.

Settlement Consideration means in respect of each Holder, (i) the Settlement Shares and Cash Payment for Fractions, if any, in respect of the aggregate Specified Principal Amount of the Loan Instruments held by that Holder; and (ii) unless there is an Issuer Election Regarding Consideration, accrued but unpaid interest in cash, on the aggregate Specified Denomination of the Loan Instruments held by that Holder.

Settlement Date has the meaning given to it in Condition 3.3(b).

Settlement Shares means the amount calculated as Gross Settlement Shares, rounded down to the nearest whole integer.

Shareholders has the meaning given to it in Schedule 1.

SIX Swiss Exchange means SIX Swiss Exchange Ltd, Selnaustrasse 30, 8001 Zurich, Switzerland (P.O. Box 1758, 8021 Zurich) or any successor organisation.

A **Solvency Event** shall have occurred if:

- (a) the Issuer does not have appropriate funds to cover the required minimum solvency margin (or a comparable term in case of a change in applicable rules) in accordance with the provisions of mandatorily applicable regulatory capital requirements (including but not limited to Swiss reinsurance regulatory law (for single solvency purposes) or a generally recognised administrative practice, if any, of FINMA or otherwise, mandatorily applicable at that time), or the amount of such funds would, as a result of a full or partial interest payment or redemption payment, respectively, that would otherwise be due on an Interest Payment Date or date of redemption, respectively, be or become less than the required minimum solvency margin, all as shown in the most recent solvency report submitted by the Issuer to FINMA, or
- (b) the Issuer is unable to pay its debts owed to its Senior Creditors as they fall due, or
- (c) the Issuer's Assets do not exceed the Issuer's Liabilities (other than liabilities to persons who are not Senior Creditors),

as determined, for the purposes of Condition 3 only, up to the end of the Reference Date.

Solvency Event Floor Price Stock Settlement has the meaning given to it in Condition 5.1(a)(ii).

Solvency Event Floor Price Stock Settlement Option has the meaning given to it in Condition 5.1(a)(ii).

Solvency Shortfall means the portion of the Interest Amount that, if paid, would cause a Solvency Event to occur or be continuing.

Special Tax Event means that an opinion of a recognised independent tax counsel has been delivered to the Issuer stating that, due to a change in law, ruling or interpretation, the Issuer is, or there is more than an insubstantial risk that the Issuer will be, no longer able to obtain a tax deduction for the purposes of Swiss corporation tax for any payment of interest on the Loan Instruments and this cannot be avoided by the Issuer taking such reasonable measures as it (acting in good faith) deems appropriate.

Specified Date has the meaning given to it in Schedule 1.

Specified Denomination has the meaning given to it in Condition 5.1(a).

Specified Principal Amount means the greater of (i) the Specified Denomination; and (ii) the amount calculated by multiplying the percentage that the Specified Denomination bears to the Principal Amount by the Specified Principal Amount Market Price.

Specified Principal Amount Market Price means the average, as solicited and determined by the Agent, of the quotations of the mid price between which the Loan Instruments (including with such price determined by reference to securities secured over similar claims) are offered and bid from three major banks active in the market for subordinated capital securities at or around 11:00 a.m. (CET) on the Trading Day prior to the date of the Initiation Notice being delivered and in an amount that is representative for a single transaction in the market at that time (with the arithmetic mean of such quotations determined rounded, if necessary, to the nearest 0.00001, with 0.000005 being rounded upwards).

Specified Share Day has the meaning given to it in Schedule 1.

SPICO means the Ordinance on the Supervision of Private Insurance Companies (*Verordnung über die Beaufsichtigung von privaten Versicherungsunternehmen – AVO*) of 9 November 2005, as amended.

Spin-Off has the meaning given to it in Schedule 1.

Spin-Off Securities has the meaning given to it in Schedule 1.

Stock Settlement has the meaning given to it in Condition 5.1(a).

Stock Settlement Date means the date specified as such in an Initiation Notice, which shall be seven Business Days after the Initiation Notice was given.

Stock Settlement Option has the meaning given to it in Condition 5.1(a).

Stock Settlement Period means the period starting on (and including) the Business Day on which the Initiation Notice is given, and ending on (and including) the third Business Day after the Initiation Notice is given.

Stock Settlement Right has the meaning given to it in Condition 5.1(d).

Stock Settlement Right Objection Notice means a duly executed notice from a Holder to be received by the Agent on behalf of the Issuer at any time during the Stock Settlement Period stating that such Holder does not exercise its Stock Settlement Right and acknowledges that its Loan Instruments will be automatically and fully written-down in the amount of the Specified Denomination effective as of the Stock Settlement Date.

Takeover means that any person acquires control of the Relevant Target Entity. For the purposes of the definition of “Takeover”, **control** means the acquisition or holding of legal or beneficial ownership of more than 90 per cent. of the issued ordinary shares of the Relevant Target Entity, and **controlled** shall be construed accordingly.

Taxes has the meaning given to it in Condition 7.

Ten Non-Bank Rule means the rule that the aggregate number of the Holders under the Loan Instruments which are not Qualifying Banks must not at any time exceed ten, in each case in accordance with the meaning of the Guidelines.

Tier 1 Capital means all items classified as tier one capital (“*Kernkapital*”) of the Issuer as defined in the rules and regulations of FINMA.

Tier 2 Capital means all items classified as tier two capital (“*Ergänzendes Kapital*”) of the Issuer as defined in the rules and regulations of FINMA, at the time of issuance comprising of upper additional capital (“*oberes ergänzendes Kapital*”) and lower additional capital (“*unteres ergänzendes Kapital*”).

Trading Day means any day (other than a Saturday or a Sunday) on which (i) the Permitted Exchange on which the Ordinary Shares or (for the purposes of the definition of Fair Market Value only) Spin-Off Securities, options, warrants or other rights, as the case may be, are listed is open for business and the Ordinary Shares may be traded on the Permitted Exchange or (ii) (if the Ordinary Shares or (for the purposes of the definition of Fair Market Value only) Spin-Off Securities, options, warrants or other rights, as the case may be, are not listed or admitted to trading on any Permitted Exchange) closing bid and offered prices are furnished as aforesaid.

Twenty Non-Bank Rule means the rule that the aggregate number of the Issuer’s lenders (including Holders), other than Qualifying Banks, under all outstanding debt relevant for the classification of debenture (*Kassenobligation*) (within the meaning of the Guidelines) such as intra-Group loans, facilities and/or private placements (including under the Loan Instruments) must not at any time exceed twenty, in each case in accordance with the meaning of the Guidelines.

US\$ means the lawful currency of the United States of America.

U.S. Government Securities Business Day means any day except for a Saturday, Sunday or a day on which the Securities Industry and Financial Markets Association recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in U.S. government securities.

VWAP in relation to an Ordinary Share on any Trading Day means the order book volume weighted average sales price of such Ordinary Share on such Trading Day (rounded to the nearest second decimal place) published by or derived from the relevant Bloomberg page or, if there is no relevant page, such other source as shall be determined to be appropriate by the Agent on such Trading Day, provided that if on any such Trading Day such price is not available or cannot otherwise be determined as provided above, the VWAP of an Ordinary Share in respect of such Trading Day shall be the VWAP, determined as provided above, on the immediately preceding Trading Day on which the same can be so determined.

SCHEDULE 1

FLOOR PRICE ADJUSTMENTS

Adjustments to the Floor Price

(a) The Floor Price shall be subject to adjustment as follows:

- (i) *Consolidation or subdivision*: If and whenever there shall be an alteration to the par value of the Ordinary Shares as a result of consolidation or subdivision, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such alteration by the following fraction:

$$\frac{A}{B}$$

where:

A is the par value of one Ordinary Share immediately after such alteration;
and

B is the par value of one Ordinary Share immediately before such alteration.

Such adjustment shall become effective on the ex-date for the alteration on the Permitted Exchange on which the Ordinary Shares are then listed.

- (ii) *Capitalisation of adjustment profits or reserves*: If and whenever Swiss Re Ltd shall issue any Ordinary Shares credited as fully paid to the holders of Ordinary Shares (the **Shareholders**) by way of capitalisation of profits or reserves (including any share premium account or capital redemption reserve) other than (1) where any such Ordinary Shares are issued instead of the whole or part of a Cash Distribution which the Shareholders would or could otherwise have received or (2) where the Shareholders may elect to receive a Cash Distribution in lieu of such Ordinary Shares, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such issue by the following fraction:

$$\frac{A}{B}$$

where:

A is the aggregate par value of the issued Ordinary Shares immediately before such issue; and

B is the aggregate par value of the issued Ordinary Shares immediately after such issue.

Such adjustment shall become effective on the first Trading Day of such newly issued Ordinary Shares on the Permitted Exchange on which the Ordinary Shares are then listed.

(iii) *Non-cash Capital Distribution:*

If and whenever Swiss Re Ltd shall pay or make any Capital Distribution (as defined below) to the Shareholders, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to the relevant Capital Distribution by the following fraction:

$$\frac{A - B}{A}$$

where:

A is the Current Market Price (as defined below) of one Ordinary Share on the Trading Day immediately preceding the first date the Ordinary Shares trade ex- the relevant Capital Distribution on the Permitted Exchange or, in the case of a purchase of Ordinary Shares, the date on which such Ordinary Shares are purchased or, in the case of a Spin-Off, is the mean of the daily VWAP of an Ordinary Share for the five consecutive Trading Days ending on the Trading Day immediately preceding the first date on which the Ordinary Shares are traded ex- the relevant Spin-Off; and

B is the portion of the Fair Market Value (as defined below) of the Capital Distribution attributable to one Ordinary Share with such portion being determined by dividing the Fair Market Value of the aggregate Capital Distribution by the number of Ordinary Shares entitled to receive the relevant Capital Distribution (or, in the case of a purchase of Ordinary Shares by or on behalf of Swiss Re Ltd, by the number of Ordinary Shares in issue immediately prior to such purchase).

Such adjustment shall become effective on the first date on which the Ordinary Shares are traded ex- the relevant Capital Distribution on the Permitted Exchange or, in the case of a purchase of Ordinary Shares, the date on which such purchase is made or, in the case of a Spin-Off, the first date on which the Ordinary Shares are traded ex- the relevant Spin-Off on the Permitted Exchange or, if later, the first date upon which the Fair Market Value of the Capital Distribution is capable of being determined as provided herein.

As used in this paragraph (a):

Capital Distribution means any Dividend other than a Cash Distribution, in which case the Capital Distribution shall be the Fair Market Value of such Dividend.

For the purposes of the above, the Fair Market Value of a Dividend shall be determined as at the first date on which the Ordinary Shares trade ex- the relevant Capital Distribution on the Permitted Exchange or, in the case of a purchase of Ordinary Shares, the date on which such purchase is made or, in the case of a Spin-Off, the first date on which the Ordinary Shares are traded ex- the relevant Spin-Off on the Permitted Exchange or, if later, the first date upon which the Fair Market Value of the Capital Distribution is capable of being determined as provided herein.

In making any such calculation, such adjustments (if any) shall be made as the Agent considers appropriate to reflect any consolidation or subdivision of

any Ordinary Shares or the issue of Ordinary Shares by way of capitalisation of profits or reserves, or any like or similar event.

Dividend means any dividend or distribution (including a Spin-Off) whenever paid or made and however described (and for these purposes a distribution of assets includes without limitation an issue of ordinary shares or other securities credited as fully or partly paid up by way of capitalisation of profits or reserves) provided that:

- (A) for the avoidance of doubt, any Cash Distribution shall be disregarded;
- (B) any issue of Ordinary Shares falling within paragraph (a)(ii) shall be disregarded; and
- (C) a purchase or redemption of ordinary share capital of Swiss Re Ltd by Swiss Re Ltd or on behalf of Swiss Re Ltd or any member of the Group shall not constitute a Dividend unless, in the case of purchases or redemptions of Ordinary Shares by Swiss Re Ltd or on behalf of Swiss Re Ltd or any member of the Group, the VWAP per Ordinary Share (before expenses) on any one day (the **Specified Share Day**) in respect of such purchases or redemptions exceeds by more than 5 per cent. the mean of the Closing Prices of the Ordinary Shares on the Permitted Exchange on which the Ordinary Shares are then listed on the five Trading Days immediately preceding the Specified Share Day or where an announcement (excluding for the avoidance of doubt for these purposes, any general authority for such purchases or redemptions approved by a general meeting of Shareholders of Swiss Re Ltd or any notice convening such a meeting of Shareholders) has been made of the intention to purchase or redeem Ordinary Shares at some future date at a specified price, on the Trading Day immediately preceding the date of such announcement and, if the relevant day is not a Trading Day, the immediately preceding Trading Day, in which case such purchase or redemption shall be deemed to constitute a Dividend to the extent that the aggregate price paid (before expenses) in respect of such Ordinary Shares purchased or redeemed by Swiss Re Ltd or on behalf of Swiss Re Ltd or any member of the Group exceeds the product of (i) 105 per cent. of the average Closing Price of the Ordinary Shares determined as aforesaid and (ii) the number of Ordinary Shares so purchased or redeemed.

Fair Market Value means, with respect to any property on any date, the fair market value of that property as determined in good faith by the Agent, provided that (i) the Fair Market Value of any cash amount shall be the amount of such cash; (ii) where Spin-Off Securities, options, warrants or other rights are publicly traded in a market of adequate liquidity (as determined by the Agent), the fair market value (a) of such Spin-Off Securities shall equal the arithmetic mean of the daily volume-weighted average prices of such Spin-Off Securities and (b) of such options, warrants or other rights shall equal the arithmetic mean of the daily closing prices of such options, warrants or other rights, in the case of both (a) and (b) during the period of five Trading Days on the relevant market commencing on the first such Trading Day such Spin-Off Securities, options, warrants or other rights are publicly traded; (iii) where Spin-Off Securities, options, warrants or other rights are not publicly traded on a stock exchange or securities market

of adequate liquidity (as aforesaid), the Fair Market Value of such Spin-Off Securities, options, warrants or other rights shall be determined in good faith by a Common Expert, on the basis of a commonly accepted market valuation method and taking account of such factors as it considers appropriate, including the market price per Ordinary Share, the dividend yield of an Ordinary Share, the volatility of such market price, prevailing interest rates and the terms of such Spin-Off Securities, options, warrants or other rights, including as to the expiry date and exercise price (if any) thereof; and (iv) such amount shall be converted into Swiss Francs (if expressed in a currency other than Swiss Francs) at such rate of exchange as may be determined in good faith by the Agent to be the spot rate ruling at the close of business on that date (or if no such rate is available on that date the equivalent rate on the immediately preceding date on which such a rate is available).

Spin-Off means a distribution of Spin-Off Securities by Swiss Re Ltd to Shareholders.

Spin-Off Securities means equity securities of an entity other than Swiss Re Ltd and the Issuer which are, or are intended to be, publicly traded in a market of adequate liquidity (as determined by the Agent).

- (iv) *Rights issues of Ordinary Shares or Options over Ordinary Shares:* If and whenever Swiss Re Ltd shall issue Ordinary Shares to Shareholders as a class by way of rights, or issue or grant to Shareholders as a class by way of rights, options, warrants or other rights to subscribe for or purchase any Ordinary Shares, in each case at a price per Ordinary Share which is less than 95 per cent. of the Current Market Price per Ordinary Share on the Trading Day immediately preceding the date of the first public announcement of the terms of the issue or grant of such Ordinary Shares, options, warrants or other rights, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such issue or grant by the following fraction:

$$\frac{A+B}{A+C}$$

where:

A is the number of Ordinary Shares in issue immediately before such announcement;

B is the number of Ordinary Shares which the aggregate amount (if any) payable for the Ordinary Shares issued by way of rights, or for the options or warrants or other rights issued by way of rights and for the total number of Shares deliverable on the exercise thereof, would purchase at such Current Market Price per Ordinary Share; and

C is the number of Ordinary Shares issued or, as the case may be, the maximum number of Ordinary Shares which may be issued upon exercise of such options, warrants or other rights calculated as at the date of issue of such options, warrants or rights.

Such adjustment shall become effective on the first date on which the Ordinary Shares are traded ex-rights, ex-options or ex-warrants on the Permitted Exchange on which the Ordinary Shares are then listed.

- (v) *Rights issues of other securities:* If and whenever Swiss Re Ltd shall issue any securities (other than Ordinary Shares or options, warrants or other rights to subscribe for or purchase any Ordinary Shares) to Shareholders as a class by way of rights or grant to Shareholders as a class by way of rights any options, warrants or other rights to subscribe for or purchase any securities (other than Ordinary Shares or options, warrants or other rights to subscribe for or purchase Ordinary Shares), the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such issue or grant by the following fraction:

$$\frac{A - B}{A}$$

where:

A is the Current Market Price of one Ordinary Share on the Trading Day immediately preceding the first date on which the terms of such issue or grant are publicly announced; and

B is the Fair Market Value on the date of such announcement of the portion of the rights attributable to one Ordinary Share.

Such adjustment shall become effective on the first date on which the Ordinary Shares are traded ex-rights, ex-options or ex-warrants on the Permitted Exchange on which the Ordinary Shares are then listed.

- (vi) *Issues at less than Current Market Price:* If and whenever Swiss Re Ltd shall issue (otherwise than as mentioned in sub-paragraph (a)(iv) above) wholly for cash or for no consideration any Ordinary Shares (other than Ordinary Shares issued on the exercise of conversion rights or on the exercise of any rights of conversion into, or exchange or subscription for or purchase of, Ordinary Shares) or issue or grant (otherwise than as mentioned in sub-paragraph (a)(iv) above) wholly for cash or for no consideration any options, warrants or other rights to subscribe for or purchase any Ordinary Shares (other than the Loan Instruments), in each case at a price per Ordinary Share which is less than 95 per cent. of the Current Market Price per Ordinary Share on the Trading Day immediately preceding the date of the first public announcement of the terms of such issue or grant, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such issue by the following fraction:

$$\frac{A + B}{A + C}$$

where:

A is the number of Ordinary Shares in issue immediately before the issue of such Shares or the grant of such options, warrants or rights;

B is the number of Ordinary Shares which the aggregate consideration (if any) receivable for the issue of such additional Ordinary Shares or, as the case may be, for the Ordinary Shares to be issued or otherwise made available upon the exercise of any such options, warrants or rights, would purchase at such Current Market Price per Ordinary Share; and

C is the number of Ordinary Shares to be issued pursuant to such issue of such additional Ordinary Shares or, as the case may be, the maximum number of Ordinary Shares which may be issued upon exercise of such options, warrants or rights calculated as at the date of issue of such options, warrants or rights.

Such adjustment shall become effective on the date of issue of such additional Ordinary Shares or, as the case may be, the grant of such options, warrants or rights.

- (vii) *Other issues at less than Current Market Price:* If and whenever Swiss Re Ltd or any subsidiary of Swiss Re Ltd or (at the direction or request of or pursuant to any arrangements with Swiss Re Ltd or any subsidiary of Swiss Re Ltd) any other company, person or entity (otherwise than as mentioned in sub-paragraphs (a)(iv), (a)(v) or (a)(vi) above) shall issue wholly for cash or for no consideration any securities (other than the Loan Instruments) which by their terms of issue carry (directly or indirectly) rights of conversion into, or exchange or subscription for, Ordinary Shares (or shall grant any such rights in respect of existing securities so issued) or securities which by their terms might be redesignated as Ordinary Shares, and the consideration per Ordinary Share receivable upon conversion, exchange, subscription or redesignation is less than 95 per cent. of the Current Market Price per Ordinary Share on the Trading Day immediately preceding the date of the first public announcement of the terms of issue of such securities (or the terms of such grant), the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such issue (or grant) by the following fraction:

$$\frac{A+B}{A+C}$$

where:

A is the number of Ordinary Shares in issue immediately before such issue or grant (but where the relevant securities carry rights of conversion into or rights of exchange or subscription for Shares which have been issued by Swiss Re Ltd for the purposes of or in connection with such issue, less the number of such Ordinary Shares so issued);

B is the number of Ordinary Shares which the aggregate consideration (if any) receivable for the Ordinary Shares to be issued or otherwise made available upon conversion or exchange or upon exercise of the right of subscription attached to such securities or, as the case may be, for the Ordinary Shares to be issued or to arise from any such redesignation would purchase at such Current Market Price per Ordinary Share; and

C is the maximum number of Ordinary Shares to be issued or otherwise made available upon conversion or exchange of such securities or upon the exercise of such right of subscription attached thereto at the initial conversion, exchange or subscription price or rate or, as the case may be, the maximum number of Ordinary Shares which may be issued or arise from any such redesignation.

Provided that if at the time of issue of the relevant securities or date of grant of such rights (as used in this sub-paragraph (a)(vii) the **Specified Date**) such

number of Ordinary Shares is to be determined by reference to the application of a formula or other variable feature or the occurrence of any event at some subsequent time (which may be when such securities are converted or exchanged or rights of subscription are exercised or, as the case may be, such securities are redesignated or at such other time as may be provided) then for the purposes of this sub-paragraph (a)(vii), “C” shall be determined by the application of such formula or variable feature or as if the relevant event occurs or had occurred as at the Specified Date and as if such conversion, exchange, subscription, purchase or acquisition or, as the case may be, redesignation had taken place on the Specified Date.

Such adjustment shall become effective on the date of issue of such securities or, as the case may be, the grant of such rights.

- (viii) *Modification of rights of conversion, etc.:* If and whenever there shall be any modification of the rights of conversion, exchange or subscription attaching to any such securities (other than the Loan Instruments) as are mentioned in sub-paragraph (a)(vii) above (other than in accordance with the terms (including terms as to adjustment) applicable to such securities upon issue) so that following such modification the consideration per Ordinary Share receivable has been reduced and is less than 95 per cent. of the Current Market Price per Ordinary Share on the Trading Day immediately preceding the date of the first public announcement of the proposals for such modification, the Floor Price shall be adjusted by multiplying the Floor Price in force immediately prior to such modification by the following fraction:

$$\frac{A+B}{A+C}$$

where:

A is the number of Ordinary Shares in issue immediately before such modification (but where the relevant securities carry rights of conversion into or rights of exchange or subscription for Ordinary Shares which have been issued by Swiss Re Ltd for the purposes of or in connection with such issue, less the number of such Ordinary Shares so issued);

B is the number of Ordinary Shares which the aggregate consideration (if any) receivable for the Ordinary Shares to be issued or otherwise made available upon conversion or exchange or upon exercise of the right of subscription attached to the securities so modified would purchase at such Current Market Price per Ordinary Share or, if lower, the existing conversion, exchange or subscription price of such securities; and

C is the maximum number of Ordinary Shares which may be issued or otherwise made available upon conversion or exchange of such securities or upon the exercise of such rights of subscription attached thereto at the modified conversion, exchange or subscription price or rate but giving credit in such manner as the Agent shall consider appropriate for any previous adjustment under this sub-paragraph (a)(viii) or sub-paragraph (a)(vii) above.

Provided that if at the time of such modification (as used in this sub-paragraph (a)(viii), the **Specified Date**) such number of Ordinary Shares is to be determined by reference to the application of a formula or other variable feature or the occurrence of any event at some subsequent time (which may

be when such securities are converted or exchanged or rights of subscription are exercised or at such other time as may be provided) then for the purposes of this sub-paragraph (a)(viii), “C” shall be determined by the application of such formula or variable feature or as if the relevant event occurs or had occurred as at the Specified Date and as if such conversion, exchange or subscription had taken place on the Specified Date.

Such adjustment shall become effective on the date of modification of the rights of conversion, exchange or subscription attaching to such securities.

- (ix) *Other offers to Shareholders:* If and whenever Swiss Re Ltd or any subsidiary of Swiss Re Ltd or (at the direction or request of or pursuant to any arrangements with Swiss Re Ltd or any subsidiary of Swiss Re Ltd) any other company, person or entity shall offer any securities in connection with which offer Shareholders as a class are entitled to participate in arrangements whereby such securities may be acquired by them (except where the Floor Price falls to be adjusted under sub-paragraph (a)(ii), (iii), (iv), (vi) or (vii) above (or would fall to be so adjusted if the relevant issue or grant was at less than 95 per cent. of the Current Market Price per Ordinary Share on the relevant Trading Day) or under sub-paragraph (a)(v) above) the Floor Price shall be adjusted by multiplying the Floor Price in force immediately before the making of such offer by the following fraction:

$$\frac{A - B}{A}$$

where:

A is the Current Market Price of one Ordinary Share on the Trading Day immediately preceding the date on which the terms of such offer are first publicly announced; and

B is the Fair Market Value on the date of such announcement of the portion of the relevant offer attributable to one Ordinary Share.

Such adjustment shall become effective on the first date on which the Ordinary Shares are traded ex-rights on the Permitted Exchange on which the Ordinary Shares are then listed.

- (x) *Other events:* If the Issuer determines, after consultation with the Agent, or the Agent determines after consultation with the Issuer, that notwithstanding sub-paragraphs (i) to (ix) of this paragraph (a) an adjustment should be made to the Floor Price as a result of one or more events or circumstances not referred to in this Condition or circumstances have arisen which might have an adverse effect on the right to convert Loan Instruments and no adjustment to the Floor Price under this Condition would otherwise arise, the Agent shall engage the advice or services of a Common Expert to determine as soon as practicable what adjustment, if any, to the Floor Price or amendment, if any, to the terms of this paragraph (a) is fair and reasonable to take account thereof and the date on which such adjustment should take effect. The Agent shall have no responsibility to make any enquiries as to whether or not any event has occurred which might require an adjustment to the Floor Price or amendment, if any, to the terms of this paragraph (a).

Notwithstanding the foregoing provisions:

- (1) where the events or circumstances giving rise to any adjustment pursuant to this paragraph (a) have already resulted or will result in an adjustment to the Floor Price or where the events or circumstances giving rise to any adjustment arise by virtue of any other events or circumstances which have already given or will give rise to an adjustment to the Floor Price or where more than one event which gives rise to an adjustment to the Floor Price occurs within such a short period of time that, in the opinion of the Issuer, a modification to the operation of the adjustment provisions is required to give the intended result, such modification shall be made to the operation of the adjustment provisions as may be determined in good faith by a Common Expert to be in its opinion appropriate to give the intended result; and
- (2) such modification shall be made to the operation of the Loan Instruments as may be determined in good faith by a Common Expert to be in its opinion appropriate: (i) to ensure that an adjustment to the Floor Price or the economic effect thereof shall not be taken into account more than once; and (ii) to ensure that the economic effect of a Dividend or Cash Distribution is not taken into account more than once.

For the purpose of any calculation of the consideration receivable or price pursuant to sub-paragraphs (iv), (vi) or (vii) and (viii), the following provisions shall apply:

- (A) the aggregate consideration receivable or price for Ordinary Shares issued for cash shall be the amount of such cash;
- (B) (1) the aggregate consideration receivable or price for Ordinary Shares to be issued or otherwise made available upon the conversion or exchange of any Loan Instruments shall be deemed to be the aggregate consideration received or receivable or price for any such Loan Instruments and (2) the aggregate consideration receivable or price for Ordinary Shares to be issued or otherwise made available upon the exercise of rights of subscription attached to any Loan Instruments or upon the exercise of any options, warrants or rights shall be deemed to be that part (which may be the whole) of the consideration received or receivable or price for such Loan Instruments or, as the case may be, for such options, warrants or rights which is attributed by Swiss Re Ltd to such rights of subscription or, as the case may be, such options, warrants or rights or, if no part of such consideration or price is so attributed, the Fair Market Value of such rights of subscription or, as the case may be, such options, warrants or rights as at the date of the first public announcement of the terms of issue of such Loan Instruments or, as the case may be, such options, warrants or rights, plus in the case of each of (1) and (2) above, the additional minimum consideration receivable or price (if any) upon the conversion or exchange of such Loan Instruments, or upon the exercise of such rights or subscription attached thereto or, as the case may be, upon exercise of such options, warrants or rights and (3) the consideration receivable or price per Ordinary Share upon the conversion or exchange of, or

upon the exercise of such rights of subscription attached to, such securities or, as the case may be, upon the exercise of such options, warrants or rights shall be the aggregate consideration or price referred to in (1) or (2) above (as the case may be) divided by the number of Ordinary Shares to be issued upon such conversion or exchange or exercise at the initial conversion, exchange or subscription price or rate;

- (C) if the consideration or price determined pursuant to (A) or (B) above (or any component thereof) shall be expressed in a currency other than Swiss Francs it shall be converted into Swiss Francs at such rate of exchange as may be determined in good faith by the Agent to be the spot rate ruling at the close of business on the date of the first public announcement of the terms of issue of such securities; and
- (D) in determining consideration or price pursuant to the above, no deduction shall be made for any commissions or fees (howsoever described) or any expenses paid or incurred for any underwriting, placing or management of the issue of the relevant Ordinary Shares or securities or otherwise in connection therewith.

Current Market Price means, in respect of an Ordinary Share at a particular date, the mean of the closing prices published by the Permitted Exchange on which the Ordinary Shares are then listed for one Ordinary Share for the five consecutive Trading Days ending on the Trading Day immediately preceding such date; provided that if at any time during the said five-Trading Day period the Ordinary Shares shall have been quoted ex-Dividend (or ex- any other entitlement) and during some other part of that period the Ordinary Shares shall have been quoted cum-Dividend (or cum- any other entitlement), then:

- (A) if the Ordinary Shares to be issued do not rank for the Dividend (or entitlement) in question, the quotations on the dates on which the Ordinary Shares shall have been quoted cum-Dividend (or cum- any other entitlement) shall for the purpose of this definition be deemed to be the amount thereof reduced by an amount equal to the Fair Market Value of any such Dividend or entitlement per Ordinary Share as at the date of first public announcement of such Dividend (or entitlement); or
- (B) if the Ordinary Shares to be issued do rank for the Dividend (or entitlement) in question, the quotations on the dates on which the Ordinary Shares shall have been quoted ex-Dividend (or ex- any other entitlement) shall for the purpose of this definition be deemed to be the amount thereof increased by such similar amount,

and provided further that if the Ordinary Shares on each of the said five Trading Days have been quoted cum-Dividend (or cum- any other entitlement) in respect of a Dividend (or other entitlement) which has been declared or announced but the Ordinary Shares to be issued do not rank for that Dividend (or other entitlement) the quotations on each of such dates shall for the purposes of this definition be deemed to be the amount thereof reduced by an amount equal to the Fair Market Value of any such Dividend or entitlement per Ordinary Share as at the date of the first public announcement of such Dividend or entitlement,

and provided further that, if such Closing Prices are not available on one or more of the said five Trading Days, then the mean of such Closing Prices which are available in that five Trading Day period shall be used (subject to a minimum of two such Closing Prices) and if only one, or no, such Closing Price is available in the relevant period, the Current Market Price shall be determined in good faith by the Agent.

References to any issue or offer or grant to Shareholders “as a class” or “by way of rights” shall be taken to be references to an issue or offer or grant to all or substantially all Shareholders other than Shareholders to whom, by reason of the laws of any territory or requirements of any recognised regulatory body or any other stock exchange in any territory or in connection with fractional entitlements, it is determined not to make such issue or offer or grant.

(b) Calculation of Adjustments

- (i) Each adjustment to be made pursuant to paragraph (a) shall be calculated by the Agent and shall be (in the absence of manifest error) binding on all parties concerned. The Agent shall for the purpose of the foregoing provisions only be liable for making, or not making, adjustments or taking, or not taking, any other measures in connection with these Loan Instruments, if and to the extent that it fails to show the due care of a proper merchant. The Agent may engage the advice or services of any Common Expert whose advice or services may to it seem necessary and rely upon any advice so obtained, and the Agent shall incur no liability as against the Issuer, Swiss Re Ltd or the Holders in respect of any action taken, or not taken, or suffered to be taken, or not taken, in accordance with such advice and in exercising due care of a proper merchant.
- (ii) In the case of any adjustment, the resulting Floor Price, if not an integral multiple of US\$ 0.01, shall be rounded to the nearest whole or multiple of US\$ 0.01 with US\$ 0.005 being rounded upwards.
- (iii) The Issuer will procure that a notice is delivered in the manner described in Condition 13 as soon as practicable after the date on which any adjustment to the Floor Price becomes effective.

Any such notice shall give particulars of the relevant adjustment, if any.

(c) Events not giving rise to adjustments

No adjustment to the Floor Price will be made:

- (i) as a result of the payment of any Cash Distribution; or
- (ii) to the extent Ordinary Shares or other securities (including rights or options in relation to Ordinary Shares and other securities) are issued, offered or granted to, or for the benefit of, directors or employees, or former directors or employees, of the Issuer or any of its subsidiaries or any associated company or to trustees to be held for the benefit of any such person in any such case pursuant to any employee share or option scheme; or
- (iii) to the extent Ordinary Shares or other securities (including rights or options in relation to Ordinary Shares and other securities) are issued, offered or granted as consideration for the purchase of shares or assets of companies; or

- (iv) if an increase in the Floor Price would result from such adjustment, except in case of a consolidation of Ordinary Shares; or
- (v) if it would result in the Floor Price being reduced below the nominal value of an Ordinary Share.

Use of Proceeds

The net proceeds from the issue of the Loan Instruments are expected to be approximately \$740,000,000. The Issuer expects to use the net proceeds from the issue of the Loan Instruments for the SRZ Group's general corporate purposes. The Issuer expects that the proceeds will be used both inside and outside of Switzerland.

Capitalization of the SRZ Group

The following table sets forth the consolidated capitalization of the SRZ Group as of December 31, 2011. You should read this table together with the financial statements of the SRZ Group that are incorporated by reference into this Information Memorandum. See “Financial and Other Information Included or Incorporated by Reference into this Information Memorandum.

None of the SRZ Group’s long-term financial debt is secured. None of the SRZ Group’s long-term debt is guaranteed by third parties; however, except in the case of debt assumed with the acquisition of GE Insurance Solutions Corporation in 2006, all of the long-term debt issued by subsidiaries of SRZ has been guaranteed either directly, or indirectly through guarantees that have been issued in favor of various of its financing or other subsidiaries, by SRZ. No outstanding debt of SRZ is convertible debt, exchangeable debt or debt with attached warrants. Since December 31, 2011, SRZ has issued CHF 320,000,000 of 7.25% perpetual subordinated notes with stock settlement. These stock settlement features are based on the same principles as the stock settlement provisions of the Loan Instruments.

The following table does not give effect to the Carve-out Transactions or the issuance, since December 31, 2011, of CHF 320,000,000 of 7.25% perpetual subordinated notes with stock settlement.

	<u>As of</u> <u>December 31, 2011</u> <i>USD in millions</i> <i>(audited)</i>
Long-term senior and subordinated financial debt	6,563 ^(a)
Shareholders’ equity:	
Common Stock, CHF 0.10 par value (2010: 370,704,153; 2011: 370,706,931 shares authorized and issued)	35
Additional paid-in capital	8,958
Treasury shares, net of tax	(1,134)
Accumulated other comprehensive income:	
Net unrealized investment gains, net of tax	4,223
Other-than-temporary impairment, net of tax	(118)
Cumulative translation adjustments, net of tax	(3,924)
Accumulated adjustment for pension and post-retirement benefits, net of tax	(775)
Total accumulated other comprehensive income	(594)
Retained earnings	22,229
Total shareholders’ equity	29,494
Non-controlling interests	1,697
Total equity	31,191
Total capitalization	36,057

(a) Represents \$2,976 million of senior financial debt and \$3,587 million of subordinated financial debt, but does not include \$9,978 million of long-term operational debt.

Selected Consolidated Financial Data of the SRZ Group

You should read the following selected consolidated financial data together with the financial statements of the SRZ Group incorporated by reference into this Information Memorandum. The 2012 consolidated financial statements for the SRZ Group will be impacted by the completion of the Carve-out Transactions, as a result of which the SRZ Group's consolidated financial statements will reflect, as of January 1, 2012, the results of the Reinsurance Business Unit, while the results of the Corporate Solutions and Admin Re[®] Business Units will no longer be included in the SRZ Group's consolidated result. The Carve-out Transactions are subject to FINMA approval. See "Our Business – Alignment of the Corporate Structure of the Swiss Re Group" and "Financial and Other Information Included or Incorporated by Reference into this Information Memorandum." The quantitative impacts of the Carve-out Transactions on the SRZ Group are expected to be announced on April 17, 2012.

We extracted the selected consolidated financial data presented below from the audited consolidated financial statements of the SRZ Group as of and for the years ended December 31, 2009 and 2010, and as of and for the years ended December 31, 2010 and 2011, which have been audited by our independent auditors, and have been prepared and presented in accordance with U.S. GAAP.

Effective January 1, 2010, SRZ changed its financial reporting currency from Swiss francs to U.S. dollars. The results as of and for the year ended December 31, 2009 were therefore converted from Swiss francs to U.S. dollars for comparison purposes.

	Year ended December 31,		
	2009	2010	2011
	USD		
	(audited)		
	(in millions, except per share data and ratios)		
Income Statement Data:			
Revenues			
Premiums earned			
Property & Casualty	12,769	10,871	12,046
Life & Health	9,857	8,759	9,225
Asset Management	—	—	—
Group items ^(a)	38	22	29
Total premiums earned	22,664	19,652	21,300
Fee income from policyholders	847	918	876
Net investment income	6,399	5,422	5,469
Net realized investment gains/(losses)	875	2,783	409
Other revenues	178	60	51
Total revenues	30,963	28,835	28,105
Expenses			
Claims and claim adjustment expenses	(8,336)	(7,254)	(8,810)
Life and health benefits	(8,639)	(8,236)	(8,414)
Return credited to policyholders	(4,597)	(3,371)	(61)
Acquisition costs	(4,495)	(3,679)	(4,021)
Other expenses	(2,965)	(2,526)	(3,115)
Interest expenses	(1,011)	(1,094)	(851)
Total expenses	(30,043)	(26,160)	(25,272)
Income before income tax expense	920	2,675	2,833
Income tax expense	(221)	(541)	(83)
Net income before attribution of non-controlling interests	699	2,134	2,750
Income attributable to non-controlling interests	—	(154)	(172)
Net income after attribution of non-controlling interests	699	1,980	2,578
Convertible perpetual capital instrument	(203)	(1,117)	—
Net income attributable to common shareholders	496	863	2,578
Balance Sheet Data (at period end):			
Total investments	151,341	156,947	164,554
Total assets	232,748	228,403	228,120
Total liabilities	207,404	201,497	196,929
Unpaid claims and claim adjustment expenses	68,412	64,690	64,878
Liabilities for life and health policy benefits	39,944	39,551	39,044
Policyholder account balances	36,692	36,478	34,162
Total shareholders' equity	25,344	25,342	29,494
Total equity	25,344	26,906	31,191

Other Data (unaudited)^(b)

Property & Casualty operating ratios (traditional business) ^(c)			
Claims ratio in % ^(d)	60.5	66.2	73.5
Expense ratio in %	27.8	27.7	28.1
Property & Casualty combined ratio (including unwind of discount) ^(c)			
	88.3	93.9	101.6
Life & Health management expense ratio in % ^(e)	5.9	6.8	8.3
Life & Health benefit ratio in % ^(f)	83.8	88.7	87.9

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- (a) From January 1, 2011 non-core activities which are largely in run-off (formerly presented in the business segment Legacy) are being reported within Group items. 2010 comparatives are reported accordingly.
- (b) Unaudited ratios (calculated based on information extracted from our accounting records/management accounts).
- (c) Includes the results from our former Credit Solutions business and excludes the non-traditional business of our Property & Casualty business, which encompasses certain large commercial lines and certain structured reinsurance products, and for which we believe the combined ratio is not a suitable measure as the source of profits under applicable contracts typically arises from a combination of investment performance and underwriting performance.
- (d) Under purchase GAAP, acquired assets and liabilities are required to be stated at fair value, which means that property and casualty reserves must be adjusted to reflect fair value. The discount (net of capital cost) unwinds over the estimated average duration of the reserves.
- (e) Represents annual Life & Health business other operating costs and expenses divided by Life & Health business operating revenues (excluding unit-linked and with-profit business).
- (f) The benefit ratio is calculated as claims paid and claims adjustment expenses in relation to premiums earned, both of which exclude unit-linked and with-profit business. Additionally, the impact of the guaranteed minimum death benefit (GMDB) products is excluded, as this ratio is not indicative of the operating performance of such products.

Selected Consolidated Financial Data of the Swiss Re Group

You should read the following selected consolidated financial data together with the financial statements of the Swiss Re Group incorporated by reference into this Information Memorandum.

SRL was founded on February 2, 2011 and, on May 23, 2011, following the first settlement of the Exchange Offer and as part of the Alignment of the Corporate Structure, became the holding company for the Swiss Re Group. See “Financial and Other Information Included or Incorporated by Reference into this Information Memorandum” for details relating to the establishment of SRL as the holding company of the Swiss Re Group and the impact on the consolidated financial statements of the Swiss Re Group.

	Year ended December 31,	
	2010	2011
	<i>USD</i>	
	<i>(audited)</i>	
	<i>(in millions, except per share data and ratios)</i>	
Income Statement Data:		
Revenues		
Premiums earned		
Property & Casualty	10,871	12,046
Life & Health	8,759	9,225
Asset Management	—	—
Group items ^(a)	22	29
Total premiums earned	19,652	21,300
Fee income from policyholders	918	876
Net investment income	5,422	5,469
Net realized investment gains/(losses)	2,783	388
Other revenues	60	50
Total revenues	28,835	28,083
Expenses		
Claims and claim adjustment expenses	(7,254)	(8,810)
Life and health benefits	(8,236)	(8,414)
Return credited to policyholders	(3,371)	(61)
Acquisition costs	(3,679)	(4,021)
Other expenses	(2,526)	(3,051)
Interest expenses	(1,094)	(851)
Total expenses	(26,160)	(25,208)
Income before income tax expense	2,675	2,875
Income tax expense	(541)	(77)
Net income before attribution of non-controlling interests	2,134	2,798
Income attributable to non-controlling interests	(154)	(172)
Net income after attribution of non-controlling interests	1,980	2,626
Convertible perpetual capital instrument	(1,117)	—
Net income attributable to common shareholders	863	2,626
Earnings per share		
Basic	2.52	7.68
Diluted	2.43	7.49
Balance Sheet Data (at period end):		
Total investments	156,947	162,224
Total assets	228,403	225,899
Total liabilities	201,497	194,612
Unpaid claims and claim adjustment expenses	64,690	64,878
Liabilities for life and health policy benefits	39,551	39,044
Policyholder account balances	36,478	34,162
Total shareholders' equity	25,342	29,590
Total equity	26,906	31,287

Other Data (unaudited)^(b)

Property & Casualty operating ratios (traditional business) ^(c)		
Claims ratio in % ^(d)	66.2	73.5
Expense ratio in %	27.7	28.1
Property & Casualty combined ratio (including unwind of discount) ^(c)		
	93.9	101.6
Life & Health management expense ratio in % ^(e)	6.8	8.3
Life & Health benefit ratio in % ^(f)	88.7	87.9

- (a) From January 1, 2011 non-core activities which are largely in run-off (formerly presented in the business segment Legacy) are being reported within Group items. 2010 comparatives are reported accordingly.
- (b) Unaudited ratios (calculated based on information extracted from our accounting records/management accounts).
- (c) Includes the results from our former Credit Solutions business and excludes the non-traditional business of our Property & Casualty business, which encompasses certain large commercial lines and certain structured reinsurance products, and for which we believe the combined ratio is not a suitable measure as the source of profits under applicable contracts typically arises from a combination of investment performance and underwriting performance.
- (d) Under purchase GAAP, acquired assets and liabilities are required to be stated at fair value, which means that property and casualty reserves must be adjusted to reflect fair value. The discount (net of capital cost) unwinds over the estimated average duration of the reserves.
- (e) Represents annual Life & Health business other operating costs and expenses divided by Life & Health business operating revenues (excluding unit-linked and with-profit business).
- (f) The benefit ratio is calculated as claims paid and claims adjustment expenses in relation to premiums earned, both of which exclude unit-linked and with-profit business. Additionally, the impact of the guaranteed minimum death benefit (GMDB) products is excluded, as this ratio is not indicative of the operating performance of such products.

Our Business

Overview

We are a leading and diversified global reinsurer with offices in more than 20 countries, providing expertise and services to clients throughout the world. We have been engaged in the reinsurance business since our foundation in Zurich, Switzerland in 1863. We offer a comprehensive range of reinsurance and insurance solutions to manage risk and capital. We are focused on accessing, transferring and transforming insurable risks. Our traditional reinsurance products and related services for property and casualty, together with our life and health business, are complemented by insurance risk-based capital (“RBC”) markets solutions and supplementary services for comprehensive risk management. We are recognized as a leading authority in managing capital and risk, based on our core competencies of:

- risk transfer, for which our objective is to identify, evaluate, underwrite and diversify risk to minimize the capital cost of carrying the risk;
- underwriting expertise, based on cycle management and portfolio steering; and
- asset management, which combines analysis of insurance liabilities, reinsurance products and Asset-Liability Management (“ALM”) skills.

We provide property & casualty and life & health clients and brokers with reinsurance products, insurance-based capital market instruments and risk management services. Our traditional reinsurance underwriting skills include a wide range of property and casualty and life and health products and related services. In addition, we provide solutions that have insurance risks embedded in capital markets structures, including securitization and trading of insurance risks such as insurance-linked securities (“ILS”), where we have a leading market position. Through our asset management operations we manage, or oversee the management of, the assets generated by our insurance and reinsurance activities. Our global reach enables us to offer our expertise and products to a range of clients throughout the world.

We offer a range of traditional reinsurance products and also focus on promoting innovation and development of new risk transfer solutions through our Property & Specialty (property, credit, natural catastrophe, as well as engineering, aviation and marine), Casualty (liability and motor), Life & Health and Claims & Liability Management divisions. We deploy our underwriting knowledge and expertise to analyze the risks we underwrite and to develop the standard criteria for risk pricing in our life and non-life businesses. We have expertise, which we have built up over many years, in developing solutions for traditional insurance and reinsurance clients that have insurance risks embedded in capital markets structures. We focus on offering solutions in those areas where we have built a competitive advantage, such as ILS.

We use a variety of distribution channels depending on local market characteristics and customer needs. Our European Property & Casualty business is primarily written directly; however, a significant portion of the Property & Casualty business written in the London Market is written through brokers. In the United States, we have established direct and broker business units to broaden the distribution of our products. On an aggregate basis, we obtain approximately 44% of our Property & Casualty business via brokers. Our Life & Health business is generally written directly with clients, with an emphasis on building long-term relationships.

At and for the year ended December 31, 2011, we reported:

- premiums written of \$22.9 billion;
- premiums earned of \$21.3 billion;
- total assets of \$225.9 billion;
- total equity of \$31.3 billion; and
- investments of \$162.2 billion.

At and for the year ended December 31, 2011, the SRZ Group reported:

- premiums written of \$22.9 billion;
- premiums earned of \$21.3 billion;
- total assets of \$228.1 billion;
- total equity of \$31.2 billion; and
- investments of \$164.6 billion.

Of our premiums earned in 2011, \$12.1 billion, or 57%, represented Property & Casualty and other non-life premiums earned and \$9.2 billion, or 43%, represented Life & Health premiums earned.

SRZ is currently rated “AA-” (stable outlook) by S&P, “A1” (positive outlook) by Moody’s and “A+” (stable outlook) by A.M. Best, which are generally considered to be significant rating agencies with respect to the evaluation of insurance and reinsurance companies.

Alignment of the Corporate Structure of the Swiss Re Group

In early October 2010, we announced that we had established a new leadership structure, thereby broadening the market representation at the Executive Committee level. In February 2011, we announced our intention to undertake the alignment of the corporate structure, pursuant to which we would form a new holding company in Switzerland, SRL. Effective May 2011, SRL became the holding company for the SRZ Group and is listed on the SIX Swiss Exchange. The establishment of this new structure is intended in part to enable the Swiss Re Group to separate various businesses from its reinsurance operations and to operate each such business as a separate operation under SRL.

The Swiss Re Group now operates through the following three distinct Business Units:

- Reinsurance, consisting of all lines of Property & Casualty reinsurance as well as Life and Health reinsurance;
- Corporate Solutions, providing commercial insurance for large corporate clients; and
- Admin Re[®], focusing on the acceptance of closed blocks of in-force life and health insurance business, either through acquisition or reinsurance.

These Business Units are supported by the corporate functions – Finance and Risk Management (the “Corporate Functions”) – as well as Products, Asset Management and Operations (the “Enabling Units”). The Corporate Functions and the Enabling Units support the Business Units by managing common resources and support operations, as well as the products and assets developed for and generated by the operations of the Swiss Re Group.

The Corporate Functions define the policies, guidelines and standards for the Swiss Re Group’s financial and risk management, and ensure compliance with these policies, guidelines and standards through monitoring of Business Unit activities. They serve as the centers of excellence and provide support to the Business Units, while also managing key corporate processes on behalf of the Swiss Re Group.

The Enabling Units define policies, guidelines and standards for the operations of the Business Units. They run or support key processes for the Business Units, serve as a center of expertise for the Swiss Re Group and provide an operating platform for the Swiss Re Group. In particular,

- **Products:** proposes and implements underwriting strategies and ensures compliance with Swiss Re Group underwriting strategies.
- **Asset Management:** prepares and proposes a Strategic Asset Allocation, which is then approved by the Swiss Re Group Executive Committee, and manages invested assets on the basis of the Strategic Asset Allocation.

- **Operations:** provides services and ensures compliance with Swiss Re Group standards.

In sum, the Swiss Re Group will continue to oversee the Business Units, define the overall strategy for the entire Swiss Re Group and ensure its implementation, set targets for the Business Units, determine capital allocations among the Business Units, manage the financial profile of the entire Swiss Re Group and approve Business Unit strategies. The Swiss Re Group will also continue to define and monitor adherence to group-wide policies, guidelines and standards, including the risk management framework.

To create the standalone Business Units, each owned by SRL, the business and operations, and related assets and liabilities, of Corporate Solutions and Admin Re[®] have been restructured under SRZ (which, together with its remaining subsidiaries, will operate as the Reinsurance Business Unit). In addition, certain in-force intra-group transactions with the Reinsurance Business Unit, mainly intra-group reinsurance and retrocession agreements, have been restructured. As a final step, during the first half of 2012, the Corporate Solutions Business Unit and the Admin Re[®] Business Unit are being transferred via the Carve-out Transactions by SRZ to, and are becoming subsidiaries of, SRL. The Carve-out Transactions are subject to FINMA approval.

We refer to the foregoing initiatives as the “Alignment of the Corporate Structure.”

Business Strategy

We continuously seek to maintain and improve our market position as a leader in originating and transforming insurable risks, and to enhance our ability to take advantage of profitable opportunities across the ever-changing risk transfer landscape. Being a leading player in the wholesale re/insurance industry means that we strive to be the preferred partner for clients by winning trust and confidence. Specifically, we seek to be integral to the success of our clients through our significant risk capacity, risk knowledge and expertise, innovation and best-in-class solutions, financial strength and capital efficiency, high counterparty security and targeted client approach. In addition to client services, we also believe being a leading player also means delivering tailored solutions that meet specific needs. Additionally, our longstanding experience with solvency standards based on economic principles benefits clients through our diversification and capital strength as they seek capital relief solutions. At the forefront of new research and product development, we offer expertise and experience as well as insurance capacity. Through innovative solutions we believe we deliver value in a competitive market. Furthermore, we believe, our new dedicated client service model allows us to offer client solutions that are tailored to their specific needs.

We also seek to be perceived as the partner of choice for clients and brokers, providing a reliable and integrated platform for insurable risks that benefit from our financial strength, our ability to transform insurance risks and a range of products on a scale that only one of the world’s largest reinsurance companies can provide.

We focus on large and complex re/insurance transactions with insurance clients, corporate clients and public sector clients as well as with pension funds. We seek to anticipate extreme scenarios and enable the risk taking that is essential to the development of enterprise and progress in society. We believe our expertise and solutions enable our clients to reduce peak risks; reduce earnings volatility; free up capital; and achieve capital management targets for solvency and ratings, by constantly monitoring the risk landscape and developing innovative solutions that address our clients’ needs, and applying asset-liability matching techniques, which align the duration and currency of invested assets to the duration and currency of our insurance liabilities. We have the capacity and expertise to undertake large reinsurance transactions, for example, in support of solvency concerns on the part of our clients (more prevalent in weaker economic conditions) or as part of m&a solutions for clients (in markets experiencing improved economic conditions). Furthermore, we believe that we have effective claims management procedures in place that are based on industry best practices and we provide speed of payment when clients need us most.

Through 2011, we outperformed through cycle management, and are beginning 2012 well-capitalized, with a de-risked balance sheet. Looking ahead, in furtherance of our strategic goals, the elements of our strategy include:

- ***Building on our existing core reinsurance capabilities.*** As a global company with a wide product range and geographical reach, we allocate capital by balancing opportunities on a risk-adjusted basis to generate sustainable earnings and growth over the long-term. We have taken measures to sharpen our client focus through our new dedicated client service model, which allows us to offer clients solutions that are tailored to their specific needs, and will continue to emphasize the importance of a client-centric focus.

In our Property and Casualty business, active cycle management remains one of our top priorities. We continuously shift capacity to those segments where we expect the most attractive returns on our capital. We believe that we have the capacity and expertise to write more business as market conditions improve, and will position ourselves to capture new business and recapture the diversification of risk and duration, through strategic growth in our property and specialty lines.

In our Life & Health business in the United States, we will continue to focus on business, such as yearly renewable term (“YRT”) reinsurance, that plays to our core strengths in mortality coverage. We will still provide some capacity for traditional XXX term coinsurance business (traditional U.S. life business subject to Regulation XXX), but we are increasingly looking to address our clients’ XXX reserve funding needs through alternative structures. In Europe, we are helping clients to manage their capital positions under current Solvency I regulations, while working with them to analyze the impact of Solvency II and to create efficient reinsurance structures for the new regime. As Asia and other emerging markets continue to show strong growth potential for health insurance products, including critical illness and medical insurance, we will continue to support emerging markets clients by developing sustainable products that meet the needs of an increasingly affluent population while retaining sound risk management principles. We aim to help our clients close the gap by providing accessible, affordable and sustainable life and health protection products in their markets. More broadly, we will also seek further penetration of the primary value chain on a wholesale basis to gain a larger share of the biometric risk market (risks relating to the range of human life conditions).

Longevity risk protection for life insurance companies and corporate clients continues to be a strategic priority for us. Our 2010 Kortis securitization programme, which was our first longevity/mortality basis risk bond, builds on leadership in ILS innovation, developed first in respect of natural catastrophe and later with extreme mortality risk. We believe we are ideally positioned, because of our large mortality book, our brand reputation in respect of long duration covers, our mortality expertise and our securitization and capital markets expertise, to offer longevity solutions.

- ***Building on our existing asset management mandates.*** In our Asset Management business, we have continued programs to reduce risk in the portfolio and strengthen control principles and procedures, while profiting from opportunities offered by recovering financial markets. We have clear mandates, for both our internal and selected external third-party asset managers, based on a three-tier investment structure: matching of our assets and liabilities; top-down asset allocation to secure macroeconomic gain; and active risk taking to benefit from market dislocations. We will also selectively extend external mandates to leading asset managers to manage specific corporate credit and equity portfolios.
- ***Expanding selectively.*** We see opportunities to expand in selective areas – by line of business, products and geographic focus. We see opportunities to capitalize on our market position and experience in structuring risk transfer solutions by writing longevity risk covers. Finally, we will seek to capitalize on our active role in emerging markets to

establish Swiss Re as a leading reinsurance player in the markets whose premium growth over the coming ten years in relative terms will far outpace, and whose premium growth in absolute terms over the next five years could begin to come close to, growth in the developed economies.

Our Reinsurance Business

The discussion below of our business is based on our current structure.

We write all major lines of reinsurance with clients throughout the world. We also write all major lines of insurance for corporate clients. In addition, we accept closed blocks of in-force life and health insurance business, either through acquisition or reinsurance, and usually assume responsibility for administering the underlying policies (Admin Re[®]), which business has been restructured as the new Admin Re[®] Business Unit under SRZ and, following the completion of the Carve-out Transactions, will no longer be part of the SRZ Group's business or results. Our reinsurance business is diversified by line, geography and type of business. We have a strong reputation for innovative re/insurance and risk management solutions, and provide wholesale re/insurance products, insurance-based capital market instruments, and supplementary risk management services to our clients and brokers around the globe.

In 2011, the Americas, European (including the Middle East and Africa) and Asia-Pacific regions accounted for 42%, 39% and 19%, respectively, of total net premiums earned and fee income, compared to 44%, 41% and 15%, respectively, in 2010.

Property & Casualty

General

Our Property & Casualty portfolio is diversified by line of business, type of reinsurance and geography. We are a leader in insurance based capital market solutions and public sector risk transfer, and we combine our global expertise with local knowledge in order to provide our clients with financially sound reinsurance support in all property and casualty lines of business. For 2011, our Property & Casualty business was split 44% proportional treaty business (versus 45% in the prior year), 33% non-proportional treaty business (versus 30% in the prior year) and 23% facultative reinsurance (versus 25% in the prior year). In 2011, treaty business comprised 88% of gross Property & Casualty premiums written, compared to 85% in 2010.

Reinsurance

Our Property & Casualty reinsurance business consists of the following sub-segments: property traditional business, casualty traditional business, specialty traditional business and non-traditional business, and includes the following principal lines.

Property. Comprises fire and business interruption insurance as well as burglary, fidelity guarantee and allied lines, such as flood, windstorm, hail and earthquake.

Casualty. Comprises accident and health, liability and motor business.

Liability. Includes cover for industrial, commercial, employers', product, professional, directors and officers or private liability to third parties.

Motor. Includes cover for physical own damage, accident and liability losses involving motor vehicles.

Health. Includes indemnification or reimbursement for losses caused by bodily injury or sickness or for expenses of medical treatment necessitated by sickness or accidental bodily injury.

Accident. Includes cover for individuals or groups against economic risks in the event of death or temporary or permanent disability by accident and reinsurance of employers for their workers' compensation obligations.

Specialty lines include:

- *Marine.* Includes cover for property in transit (cargo), means of transportation (except aircraft and motor vehicles), offshore installations and valuables, as well as liabilities associated with marine risks and professions.
- *Engineering.* Includes cover for construction and erection of objects during the construction or erection period and the insurance of machinery in operating plants.
- *Agriculture.* Includes cover for crops, forestry, greenhouses, livestock, bloodstock and aquaculture against various perils such as drought, wind storm, diseases and loss of revenue.
- *Special Risks.* Includes cover for a range of risks such as theft, fidelity, fraud, burglary, robbery for financial institutions and commercial risks, event cancellation and risks relating to art and antiques.
- *Aviation.* Includes cover for hull, accident and liability losses from the manufacture, use or operation of aircraft and aviation facilities.
- *Space.* Includes cover for property and liability losses from the use or operation of launch vehicles and satellites.
- *Nuclear energy.* Includes property and liability cover for atomic reactors, power stations or any other plant related to the production of atomic energy or its incidental processes.
- *Credit & Surety.* Includes cover for financial losses sustained through the failure, for commercial reasons, of policyholders' clients to pay for goods or services supplied to them, and insurance covering sureties and guarantees issued to third parties for the fulfillment of contractual liabilities.

Underwriting approach

Our underwriting approach is based on identification of risk and return factors at the individual deal level, and portfolio monitoring and steering at the aggregate level.

We have developed our own modelling, costing tools and methodologies, which are constantly reviewed and adapted to the business conditions and to incorporate new knowledge. Underwriting metrics are defined and monitored centrally, within our "Underwriting Steering Values" framework, which compare current prices with benchmark risk adjusted profit margins and average price levels over the whole insurance cycle. The price adequacy of segments, and the accuracy of our costing, is reviewed regularly. In order to increase the objectivity of costing and reserving, the costing of our products and transactions is maintained separately from the selling price decision, to increase the objectivity of costing and reserving. While these processes report independently from each other, we continue to maintain annual feedback processes, both locally and globally.

Our underwriting risk appetite is defined on a global basis by the Group Products and Limits Committee (the "GPLC"). Underwriting authority is cascaded to teams throughout the world in a defined manner, within a framework of global guidelines. Deal sign-off and escalation are defined for all levels of the organization.

Our key risk aggregations are monitored centrally. Aggregate limits for natural catastrophe, longevity and peak mortality are approved by the Group Risk and Capital Committee (the “GRCC”).

Europe, the Middle East and Africa

We have operated throughout Europe since our founding in 1863. We conduct our Property & Casualty business in Europe, the Middle East and Africa (“EMEA”) directly through SRZ and Swiss Re Europe S.A. and their branches.

We maintain a strong position in our traditional markets in France, Germany, Italy, The Netherlands, Spain, Switzerland and the United Kingdom. In recent years, we have also developed a strong position in the Middle East, Central and Eastern Europe, particularly in Poland and the Czech Republic. We market our traditional reinsurance business to our European clients through offices in London, Madrid, Munich, Paris, Rome and Zurich.

In our traditional business, several of our clients in Europe have been ceding business to us for over 100 years. We write business with all types of insurers, and currently serve over 2,000 clients. During the past few years, the European insurance market, which we believe represents almost 50% of the worldwide Property & Casualty insurance market, has further consolidated. We seek to respond to these developments in Europe by offering an integrated value proposition ranging from traditional commodity products to more complex, tailor-made programs. In our traditional lines, we seek to respond to premium rate pressure by focusing on efficiency in our distribution channels (including developing internet-based initiatives) and in increasing administrative efficiency. We have been altering our business mix, placing greater emphasis on non-proportional treaty and facultative business, though more than half of our business (based on gross premiums written) remains proportional treaty business.

Most of our traditional Property & Casualty business in Europe is written directly. However, a substantial portion of our business written in the London Market is obtained through reinsurance brokers. The “London Market” consists of UK and non-UK ceding companies placing business in London with reinsurers both in the United Kingdom and abroad. The London Market is particularly recognized as a worldwide centre for specialized risk underwriting. We write a significant volume of gross premiums annually in the London Market.

Our African clients range from large multi-line insurers to small niche companies. Our relationships with ceding companies in the region are long-standing but reinsurance brokers have become more important.

Our European Property & Casualty operations compete principally with Munich Re, General Re and its subsidiary General Reinsurance AG (f/k/a Cologne Re), Hannover Re, SCOR and PartnerRe. We also compete in Europe with Bermuda-based reinsurers and Lloyd’s of London.

Americas

North America. Swiss Re America, our subsidiary based in Armonk, NY, has conducted reinsurance operations in the United States since 1910. For many years prior to that, reinsurance business in the United States was written through SRZ from Zurich. Swiss Re Canada, our Toronto-based subsidiary, has conducted reinsurance operations in Canada since 1953. Since 2009, all of our Canadian Property & Casualty reinsurance business has been written by SRZ (Canadian Branch), which we expect will continue throughout 2012.

In the United States, we provide reinsurance treaty products through two principal business units – Direct and Broker. We have centralized our divisional underwriting function in Armonk, Calabasas, California and Toronto, Canada to better coordinate with marketing and control our underwriting activity.

The Direct treaty unit located in Armonk addresses the needs of regional companies as well as large U.S. and multinational insurance companies, serving clients regardless of the type of risk or location.

The Broker treaty unit consists principally of Swiss Re Underwriters Agency, formerly Underwriters Re, an underwriting agency that concentrates on products sold through the broker market channel. This business is organized around our offices in Calabasas and Schaumburg, Illinois.

We have a North American network of offices that provide facultative covers to our clients on a regional basis in Atlanta, Georgia, Chicago, Illinois, New York City and Toronto. Our facultative cover market strategy includes using both direct and broker channels.

We write Property & Casualty business in the United States and Canada with all types of insurers. We maintain relationships with several hundred clients in North America and focus on providing these clients with access to all the resources of Swiss Re. Our approach is to create client-focused teams designed to provide value-added products and services, such as claims and accounting operational reviews, client underwriting reviews and technology assessments. We believe there is competitive advantage in providing these services in support of reinsurance programs, rather than performing them on a fee-for-service basis. We also offer risk financing products as well as tailor-made products to meet our clients' needs.

A substantial portion of Swiss Re America's business is sold directly to clients, although a growing portion of our U.S. business is sold through the broker market. A significant portion of our Canadian treaty business comes to us through brokers.

As a direct reinsurer, we compete in North America principally with General Re and Munich Reinsurance America. In the broker market, our principal competitors are Transatlantic Re, Everest Re, XL Re, PartnerRe and Munich Reinsurance America, as well as the newer Bermuda-based reinsurers.

Latin America. We began writing business in Latin America in 1911, and celebrated our 100-year anniversary of servicing clients in Latin America in 2011. We write business primarily in Mexico, Puerto Rico, Colombia, Brazil and Chile and, to a lesser extent, Argentina, Venezuela and Uruguay. We are in the process of applying for a local license in Brazil, and plan to significantly increase our resources and local presence there.

Deregulation of the insurance industry, economic growth due to market reforms and lower inflation have all increased the attractiveness of the Latin American insurance market to foreign insurance and reinsurance companies. This has resulted in overcapacity in the market. We are focusing our Latin American activities on building leading positions in principal markets by strengthening our resources through our local offices, supported by three centralized underwriting offices in Armonk, Miami, Florida, and Mexico City.

Our main competitors in Latin America are other global reinsurance companies such as Munich Re, Hannover Re, PartnerRe, Transatlantic Re and Everest Re.

Asia

We have been one of the market leaders in Asia since 1914. Since early 2002, the headquarters of our Property & Casualty Asia division has been located in Hong Kong. We maintain local offices in the region comprising; subsidiary, branch, service company or representative offices in Australia, China (Hong Kong, Beijing and Shanghai), Singapore, Malaysia, Japan, South Korea and India. We continue to work with regulators in the region to obtain national reinsurance licenses in principal markets, as well as the most appropriate legal structures from which to deliver our capabilities to our local clients. In September 2009, we obtained a composite license to write Family and General

Retakaful business in Malaysia, which allows our Retakaful operation in Kuala Lumpur to offer these solutions on a global basis.

Our strategy in the region is to position ourselves as the reinsurer of choice to both mature and developing markets in Asia. Overall insurance and reinsurance growth in the region, excluding Japan and Australia, is expected, in percentage terms, to exceed that of the North American or European markets over the next decade. In the mature markets, such as Australia, New Zealand and Japan, we will continue to build on our strong market position and strengthen our relationships with our global clients. We focus on the rapidly growing emerging markets in the region, particularly China and India. We are particularly active in emerging Asian markets where legal and societal changes have increased liability awareness, creating greater demand for liability insurance products. We believe that in these markets our worldwide experience and financial capabilities can be brought to bear, as Asia's emerging markets move closer to world regulatory best-practices, stronger economic co-operation and greater asset growth. All of our lines of business will continue to be deployed in Asia, and from a growth perspective we anticipate further expansion of our position in property and certain casualty lines, as investment, infrastructure and building commitments increase in the region.

Our competitors in the region include Munich Re, General Re, Hannover Re and the London Market.

Life & Health

General

We provide reinsurance to life and health insurance companies worldwide. With specialist knowledge of mortality, morbidity and longevity trends, we offer clients sustainable, viable solutions to their risk and capital management needs as well as support for product development. The Life & Health business segment comprises of traditional life and traditional health business.

The traditional life and traditional health segments include reinsurance contracts for individual and group life, disability income, critical illness, medical expenses and annuity products.

Our Life & Health business is comprised of the following principal lines:

Life reinsurance – which typically provides protection against risk exposures, principally mortality risk, on individual and group lives on a proportional basis and is written predominantly through treaty arrangements and, to a lesser extent, on a facultative basis.

Health reinsurance – which predominantly includes the following:

- Disability – insurance against the inability to work and earn an income as a result of a long-term illness or disability.
- Critical illness – which provides a lump sum payment to policyholders upon diagnosis of a specified serious ailment, such as heart attack, stroke or cancer or major organ transplant.
- Medical – insurance against the cost of treatments for sickness or injury.

Mortality risk is the core business of the Life & Health business. Historically, mortality rates have shown significant improvement as medical treatments have substantially raised life expectancy, thereby reducing or delaying claims. Advances in medicine and research conducted by the business suggest that the overall trend is one of continued improvement, but that its extent will vary considerably according to age group and market.

A global trend towards privatizing health and welfare benefits has resulted in a growing recognition of the protection provided by health insurance. We focus our health reinsurance portfolio

on markets, primarily outside the United States, and products that allow us to meet policyholder needs while also generating an acceptable return.

As part of our de-risking activities, we discontinued writing new VA business in 2009 and have an extensive hedging program covering our existing VA business.

In terms of new products, we have entered into pure longevity risk covers in the United Kingdom and Australia, and are expanding this offering into other markets, as appropriate opportunities become available. Longevity risk is the risk to which a pension fund or life insurance company could be exposed as a result of higher-than-expected payout patterns. Increasing life expectancy trends among policyholders and pensioners can result in payout levels that are higher than originally accounted for. As a result, as life expectancy increases (resulting in higher-than-expected benefits), strains are placed on such organizations obligated to pay retirement benefits. While demand from pension funds and life insurance companies has grown, private sector longevity risk cover has remained scarce.

We seek to capitalize on our global position, using local initiatives to respond to local market needs. Our goal is to differentiate Swiss Re as a provider of a broad range of risk management services, while controlling our administration costs. We provide support to our clients at every stage of their business cycle, from start-up planning and launch through subsequent growth into mature businesses, to, where appropriate, the cessation of specific product lines or business units. Our purpose is to help clients protect their balance sheets and to help them meet their risk management requirements.

Americas

North America. We conduct our traditional North American Life & Health operations primarily through Swiss Re Life & Health America. Our U.S. Life & Health operations are centered in Armonk, New York and Fort Wayne, Indiana. Our Canadian Life & Health operations are headquartered in Toronto, Ontario.

We are the largest life and health reinsurer in North America, with more than \$2 trillion of gross life reinsurance and insurance in force. We offer reinsurance in the United States, Canada and the Caribbean for most forms of individual and group insurance risks. In North America, our Life & Health reinsurance is sold through our marketing personnel.

U.S. operations. The focus of our U.S. operations has been individual and group life reinsurance. Current economic conditions are expected to generate lower individual life sales. Overall cession rates are in decline, averaging an annual 2% decrease for the last few years. To counter this decline we are increasingly focused on large transactions involving in-force block and innovative structures for redundant reserve financing.

Insurers continue to see reinsurance as a solid means of capital relief and risk management, providing opportunities for life reinsurance in the current economic environment. Our focus is to maintain sustainable returns while working closely with our clients to develop customized reinsurance solutions and services.

In the United States, economic conditions led us to reposition our level-term coinsurance (“COX”) offering as a secondary product line compared to YRT reinsurance. We expect this to continue until principles-based reserves or other regulatory solutions are able to materially reduce the funding risks under Regulation XXX reserving for COX products, as we carry a proportional share of this funding risk when we write reinsurance as COX, rather than YRT.

Canada and the Caribbean. We are a market leader in both Canada and the Caribbean. Based on in-force volumes, we consistently rank in the top two in all major life Canadian product lines, including individual and group life and disability (based on premiums). We expect that individual life sales may reduce slightly, and that strong cession rates may contract slightly as a result of modified

and new accounting, regulatory and reserving rules impacting the reinsurance industry. The focus of our operations in Canada and the Caribbean is consistent with our approach in the United States.

We expect the market for health, accumulation and longevity risk products will continue to expand in both the United States and Canada as the population ages. While current conditions in the financial markets have adversely affected the growth of this market, we have developed expanded capabilities and offerings for this market and believe that we are well-positioned to capture new opportunities as they become available.

In the U.S. life and health reinsurance market we compete principally with Reinsurance Group of America, Scor, Generali, Hannover Re and Munich Re, as well as with the Hartford Group for group life. In Canada our principal competitors are Munich Re and Reinsurance Group of America.

Latin America. The Latin American markets are generally in an early stage of development, and the products we offer there tend to be conventional, individual and group life covers, although we are working towards expanding our product offering. In the long-term, we expect that growth in the conventional market and a more stable economic environment will result in strong growth in the market for individual life and health reinsurance.

Europe, Middle East and Africa (EMEA)

We provide life and health reinsurance solutions throughout Europe, and we have a leading market position in several markets, including, but not limited to, Switzerland, the United Kingdom, Israel, Denmark, Belgium and Poland. We are also active in Eastern Europe where we have developed a strong market position, although current business volumes there are still small relative to Western Europe.

We write life and health reinsurance in Europe through a number of local offices including London, Zurich, Paris, Madrid, Copenhagen, Tel Aviv, Rome and Munich. Our principal products in Europe are life, disability and critical illness, written on both group and individual bases.

The provision of reinsurance coverage for medical expenses currently represents a very small portion of our business; we do, however, expect to expand our coverage in certain markets where we see opportunities to provide reinsurance support for medical expenses (for example, additional insurance covers on top of basic/mandatory covers).

In Europe, we focus on specific areas of growth such as life protection products linked to loans and mortgages, products sold through banks and other financial institutions, and leading the market towards enhancing the segmentation of insured lives. This focus has been particularly strong in Spain, Italy, Germany and France. In the United Kingdom, the traditional reinsurance market is closely aligned with the primary market as a result of high cession rates.

The United Kingdom is our principal European Life & Health market, based on premiums written and fees assessed against policyholders. Our primary focus in the United Kingdom is on mortality, critical illness, disability income protection and longevity. While price competition has been a feature of this market for many years, we have sustained margins at acceptable levels. Critical illness products are primarily sold as accelerated covers attached to life protection.

Most European countries have well-established life insurance companies providing both risk and savings products. Traditional savings products sold by life insurance companies usually incorporate an element of mortality risk for which reinsurance is sought. We believe the ageing of the European population is likely to increase the need for both savings and risk products but also longevity protection. The ageing population has led to an increasing latent demand for pension provision; however, increased uncertainty regarding the structure and value of pension products has acted as a brake on growth in this area. At the same time, governments throughout Europe are trying to find ways of reducing the burden of social programs on national budgets and are actively promoting the

concept of individual responsibility for welfare-related issues. A notable example is the pension reform measures undertaken in Germany. Even without welfare reform, we expect that the demand for savings and protection products will continue to grow strongly as governments encourage individuals to manage their own future financial needs.

In addition to traditional lines, we also offer structured reinsurance products for clients seeking efficient capital management solutions. This area has been subject to increased focus and interest from insurance company management in recent years, accelerated by the financial crisis and cost of raising new capital. We believe that continuing to develop and offer efficient capital management solutions will be a key driver in the continued growth of our business. As a result of the new Solvency II regulations we expect to develop new reinsurance solutions as clients look to manage their solvency capital requirement and diversification benefits under Solvency II.

In general, we conduct our European Life & Health business directly with clients, with an emphasis on building long-term relationships. Our European Life & Health clients are principally insurance companies or bancassurers.

We compete throughout the European life and health market principally with Munich Re, General Reinsurance AG (f/k/a Cologne Re), SCOR, Hannover Re and Reinsurance Group of America.

Africa

Our African Life & Health operations consist primarily of business that our South African subsidiary writes in South Africa, with a small additional amount written in Sub-Saharan Africa.

Our principal products consist mainly of group and individual life, group and individual disability income and individual health. Reinsurance is offered on both original terms and risk premium arrangements, almost entirely on a proportional basis.

Asia

Our Life & Health business in Asia operates out of branches in Beijing, Hong Kong, Tokyo, Seoul, Kuala Lumpur and Singapore and has service companies in Mumbai and Bangalore. We write business from markets across the region, with material portfolios in the developed markets such as Japan and Korea, and continued investment in emerging markets, such as China and India, where we believe there are significant long-term opportunities for growth in various areas. For example, we continue to expand our health insurance portfolio and support government sponsored micro-insurance schemes in India.

Our existing life and health portfolio is dominated by mortality risk, while the growth in new business is increasingly focused on health (especially medical) business, in line with underlying market trends. We expect this trend to continue, with growth spread across all markets in the region. Demand for traditional and structured reinsurance is expected to continue to increase in the region as insurers focus more attention at this time on protection business and capital efficiency. We continue to strongly promote our proposition of financial strength combined with specialized knowledge in the area of product development, risk analysis and in designing tailor-made reinsurance solutions to help clients manage risk and meet their capital requirements.

In support of the increased demand for health re/insurance, over the past two years we have invested in infrastructure to support ongoing management of this line of business. To further capitalize on the significant business potential in this area, we are close to establishing a joint venture partnership for primary medical insurance business in India.

We compete throughout Asia, principally with Munich Re, Reinsurance Group of America, Hannover Re and General Re, as well as with various national reinsurers.

Australia. Our Life & Health business in Australia and New Zealand is written through Swiss Re Life & Health Australia Ltd and continues to grow as the underlying protection market grows.

Our portfolio of business continues to show a balanced mix of individual and group, mortality and disability. Recent regulatory changes in Australia have generated significant growth in the amounts of protection offered within superannuation funds, and our group risk business continues to grow in line with this. Our strategy continues to see us positioned as the leading value-added reinsurer differentiated from competitors by the scope and focus of our services.

Other Business Units

As part of the Alignment of the Corporate Structure, the commercial insurance business has been transitioned to the new Corporate Solutions Business Unit and is being contributed to SRL, and the Admin Re[®] Business Unit is being contributed to SRL and, following the completion of the Carve-out Transactions, will no longer be part of the SRZ Group's business or results.

Corporate Solutions

Corporate Solutions offers Specialty and Property & Casualty insurance solutions for corporate clients and their insurance captives. The solutions offered range from standard monoline to customized, innovative and multi-line risk transfer covers. These solutions may take the form of direct insurance, fronting, reinsurance for captives and derivative solutions (e.g., parametric solutions for weather risks and natural catastrophes).

Corporate Solutions' target clients are primarily corporations with revenues in excess of \$750 million and dedicated resources to manage their corporate risk landscape in a holistic way. Notwithstanding, it has large market shares in selected niches of small commercial business (e.g., Professional Indemnity for small law firms in the United States).

Corporate Solutions has taken advantage of Swiss Re's cycle management and underwriting expertise, along with its own, strong balance sheet and brand, to develop a successful track record in providing structured covers and innovative solutions for corporate clients.

Corporate Solutions' origination and underwriting resources are organized by regions. Acknowledging the complexity and/or global nature of some risks, however, Corporate Solutions also has dedicated teams servicing the following industry segments worldwide:

- General Aviation;
- Space;
- Utilities & Energy Casualty;
- Energy Offshore;
- Mining & Energy Onshore;
- Engineering and Construction;
- Financial and Professional Services;
- Agriculture;
- Credit & Surety; and
- Longevity.

Corporate Solutions operates its business out of 41 offices across the Americas, Europe and Asia Pacific. Although its footprint is dominated by offices in developed markets, local offices in emerging

markets are steadily growing (e.g., three new offices in Brazil in 2011 and one new office in Dubai in 2012).

Admin Re[®]

Admin Re[®] involves the acceptance of closed blocks of in-force life and health insurance business, either through acquisition or reinsurance, with Admin Re[®] usually assuming responsibility for administering the underlying policies. Admin Re[®] blocks of business can be acquired in different legal forms, through an acquisition of an entity's share capital, through portfolio transfers or through a reinsurance transaction. The administration of the business is managed either in-house or together with third-party administrators, as appropriate.

Admin Re[®] allows insurers to free their capital and monetize future cash flow from non-core portfolios. It also increases operational efficiency by removing the need for life insurers to maintain legacy IT systems for non-core lines. Admin Re[®] has developed market-leading experience in the acquisition of the in-force books of life and health business, including the complexities of policy conversion, regulatory approval and effective on-going management. Admin Re[®] draws on Swiss Re's extensive experience gained through our traditional reinsurance business to bring customers attractive Admin Re[®] solutions.

We believe that conditions in an increasing number of markets are creating opportunities for Admin Re[®]. Primary life insurance markets, particularly in light of Solvency II, continue to experience consolidation and reassessment of capital resulting in many companies seeking solutions for their non-core lines of business. For example, in June 2011, Admin Re[®] agreed to acquire from American Life Insurance Company approximately 300,000 UK life insurance policies with total assets of around £1.6 billion. Court approval for the transfer is expected during 2012. Admin Re[®] has been reinsuring and administering these policies since July 2011.

Asset Management

We manage the assets generated through our reinsurance and insurance activities through our Asset Management operations. The focus of Asset Management is ALM, with the objective of matching our investment portfolio to the benchmark set by our reinsurance and insurance liabilities, defined by key rate durations, currency and legal entity constraints where applicable. We believe this allows us to maximize risk-adjusted economic investment return while navigating volatile financial markets. As a secondary mandate, Asset Management seeks to achieve on a limited and selective basis absolute returns to generate additional economic value, subject to rigorous risk limits and oversight. In furtherance of our Asset Management mandate, which encompasses our strategic asset allocation, we have outsourced considerable parts of our investment management activities and have created a dedicated team to handle the corresponding external mandates. Actual performance and risk taking are rigorously monitored against these external mandates in the same manner as for the assets managed internally.

To execute these various mandates, Asset Management separates its investment activities into three layers: a risk-free return, a market return, and an active risk-taking return. The 'risk-free' return comes from the liability-matching portfolio, which is mainly invested in a wide range of low-risk fixed income instruments, chosen for cash flow characteristics similar to those of expected future claims. The market return is generated by strategic asset allocation decisions: putting more or less weight into various broad asset classes depending on the macroeconomic outlook. Active risk-taking return, finally, can arise through identifying and profiting from temporary market dislocations. The proportion of market return and active return to overall return depends on the risk capacity and the risk appetite of Swiss Re.

Our group-wide investment strategy is endorsed by the Group Asset Liability Committee ("ALCO"), approved by the Investment Committee of the Board of Directors and delegated to the Asset Management division for implementation. An independent Risk Management function, which

reports directly to the Chief Executive Officer, is responsible for ensuring that the Asset Management division adheres to delegated limits when implementing the investment strategy.

In addition, we have a dedicated expert in-house rates team that manages our asset-liability matching function within the Asset Management business function. This team manages approximately half of our total Asset Management investment portfolio (excluding unit-linked and with-profit business). Working closely with the office of the Chief Investment Officer (“CIO”), the team ensures that we match our liabilities effectively while generating an optimal risk-adjusted economic investment return.

In respect of the investment assets on our balance sheet, we have further strengthened our risk-taking and governance processes on an integrated basis, adjusted our risk limit framework to reflect more conservative stress scenarios, improved our oversight functions and implemented state of the art liquidity management practices. These processes focus on infrastructure and data quality, reporting, performance benchmarking and modeling of risk under Swiss Re risk management. On an ongoing basis we maintain an active hedging program to manage rates, credit spreads and our equity exposures on a more short-term basis. The hedging program’s ultimate purpose is to protect capital while retaining some potential for gain. With the risk budgeting framework that we have had in place since the beginning of 2010, we optimize the risk-return profile of our asset allocation within a robust asset-liability framework, taking advantage of the opportunities the financial markets offered throughout 2011. During 2011, we materially improved our capability of supporting the newly established Business Units, developing customized investment portfolios reflecting the respective Business Units’ unique liabilities characteristics. The portfolios are derived and executed under a group-wide consistent top-down investment strategy, developed through macro-economic analysis and applied throughout the Business Units investment portfolios.

With respect to risk management, the CIO is responsible for overseeing and supporting the strategic asset allocation, controlling risk budgeting and benchmarking activities, advancing our tactical asset allocation and overlay activities, steering the portfolios, as well as overseeing Asset Management in general, thereby ensuring clear management responsibility across the different asset classes.

The investment result of Asset Management includes the returns from risk taking in proprietary assets that are not directly allocated to either our Property & Casualty or Life & Health operating business segments.

Clients and Marketing

We market our products on a worldwide basis, under the “Swiss Re” brand name. Our marketing strategy is client-focused rather than product-focused. In this regard, we have sought to establish a local presence in growing markets to better meet the needs of our clients and brokers, by providing a reliable and integrated resource for their insurance needs. We have set up a marketing unit for global clients that enables us to concentrate the particular expertise needed to serve the major international insurance groups. We organize our professional resources among specialties and geographic areas using a client management team approach that brings Swiss Re’s global resources to bear on our clients’ needs. In order to achieve this goal we have better aligned our client facing business by establishing an integrated origination concept composed of client executives, market executives, client managers, business development and business services. We believe that this will enable us to develop strong origination leadership and to provide the full spectrum of our products and services to a wider range of customers. We also provide a significant amount of technical advice and assistance to our clients as a means of enhancing our relationship with them and we take the lead in developing comprehensive reinsurance products and programs so that we can significantly influence the terms and structure of the business we write.

For our Property & Casualty business we conduct business with our clients both through direct relationships and through brokers. For our Life & Health business we primarily conduct business with our clients through direct relationships.

We believe that we have a well-developed client base, and that we are not dependent on any single client, group of clients or line of business. We do not believe that the loss of any single client would have a material adverse effect on our results of operations or financial condition.

Underwriting and Costing

Our underwriting units carry out their functions pursuant to internal guidelines established at Swiss Re, the lines of business and the operating division levels, which set forth limits for coverage and procedures for risk assessment, costing and risk taking. The quality of risks, past experience and future exposure are the main criteria in determining cost levels as well as available capacity. We regularly adapt our costing models to reflect changes in risk assessment and economic development. For example, climate variability risk has been factored into our costing and capacity deployment since 2005.

We generally limit our capacity on a per claim, per event or per year basis primarily through loss/treaty limits claims series clauses and aggregate annual limits. Our focus continues to be on underwriting discipline, controlled capacity and risk-adjusted return targets. We maintain a risk reporting and assessment function, which monitors and controls the amount and concentration of risk underwritten. We believe that we have accumulated unique knowledge in all lines and markets as a long-standing industry leader.

In developing underwriting guidelines and monitoring risk, the Board of Directors and the SRL Executive Committee approve general principles for our risk tolerance and overall capacity allocation. The overall objective of these procedures is to achieve an appropriate return for the risk we take while safeguarding our solvency. In particular, we seek to maintain a sufficient level of capital that allows us to maintain targeted financial strength even after defined tail loss events.

The SRL Finance and Risk Committee reviews corporate risk reports, our maximum exposures and the adequacy of our non-life reserves. The GRCC reviews our risk tolerance and capacity allocations in terms of limits by type of business. It is also charged with determining the optimal allocation of risk-adjusted capital to underwriting, investment and credit risk categories, including the use of external retrocession. The GRCC also reviews and approves Group Risk Reports and sets the methods for performance measurements as well as calculating economic risk capital. The GPLC establishes underwriting limits per line of business and approves our underwriting guidelines. It also makes decisions about deviations from our reinsurance guidelines and approves large transactions.

Our costing estimates future expected claims based on past experience, exposure, risk research and regular monitoring of risk landscape developments. In addition, costing includes charges for management expenses and cost of capital, as well as the time value of money. Costing procedures differ according to the type of reinsurance (treaty or single risk, proportional or non-proportional); however, the overall costing framework and monitoring are centrally coordinated. Our final sale price is determined by business staff in Client Markets, within defined limits, and taking into account the costing metrics and prevailing market conditions.

Our capital base, underwriting experience and willingness to provide substantial capacity on a direct basis (e.g., without utilizing a reinsurance broker) provide us with opportunities to take a lead role in underwriting reinsurance contracts. We believe that being a lead underwriter is an important factor in achieving long-term success in the reinsurance market. Lead underwriters have greater influence in negotiation of reinsurance terms, attachment points and premium rates than following reinsurers. Reinsurers that lead treaties have greater access to preferred business and are better able to develop long-term relationships with their clients. For life and health business, typically a reinsurer

assumes the entire obligation or acts as a co-reinsurer with no reinsurer acting as lead underwriter. Recently, we have had significant success in achieving preferential terms as lead underwriter.

Catastrophe Risk

We are exposed to claims affecting multiple insureds at the same time, arising out of the occurrence of a natural peril, such as an earthquake or hurricane, or a man-made event, such as a terrorist attack. The occurrence of any such catastrophe could generate insured losses in one or many of our reinsurance treaties or facultative contracts in one or more lines of business. See generally “Risk Factors – Risks Relating to our Reinsurance Operations – Catastrophic events expose us to the risk of unexpected large losses.”

Our Catastrophe Perils unit evaluates the frequency and severity of catastrophes and estimates our potential resulting loss exposure. Over 30 catastrophe risk specialists are employed in the modelling and evaluation of catastrophe risk exposure worldwide, using specially developed proprietary software and techniques. We prepare formal reports on our catastrophe exposure, quarterly for peak perils and annually on market and line of business bases. We also review the coverage and pricing situation half-yearly in our most important markets. We use these reports, together with other internal data, to evaluate our group-wide risk exposures and capital allocation.

Through our integrated group-wide risk model, we seek to quantify our total exposure through an aggregation process for all of our acceptances to produce a loss frequency curve from which we can derive a single annual aggregate loss distribution covering the full spectrum of losses (that is, all possible combinations of adverse and unexpected large losses) up to a one-in-10,000 years event. We also consider the diversification effect from other than natural catastrophe exposures.

For monitoring and capacity allocation and deployment purposes, we monitor our accumulated exposure to catastrophe losses and quantify our exposure in terms of the expected maximum loss or shortfall (also known as “Tail VaR”). Shortfall is calculated based on our portfolio of exposures, taking into account contract limits and the statistical distribution of losses caused by a catastrophe such as a hurricane or earthquake occurring within a given financial reporting period in a broad, contiguous geographic area. We estimate that our largest group-wide shortfalls for earthquake risks are located in California, Japan and the New Madrid fault line in central United States. We estimate that our largest shortfalls for windstorm risks, including tropical cyclones, are located in the United States and in Europe, followed (though to a much smaller degree) by typhoon risk in Japan.

Reserves

Significant periods of time may elapse between the occurrence of an insured loss giving rise to a claim, the reporting of the claim to the ceding company and the reinsurer and the ceding company’s payment of that claim and subsequent payments to the ceding company from the reinsurer. To recognize liabilities for unpaid claims, claim adjustment expenses and future policy benefits, insurers and reinsurers establish reserves, which are balance sheet liabilities representing estimates of future amounts needed to pay reported and not yet reported claims and related expenses arising from insured losses that have already occurred.

Reserves are estimates that involve actuarial and statistical projections of the expected cost of the ultimate settlement and administration of claims. These estimates are based on facts and circumstances then known, predictions of future developments, estimates of future trends in claims frequency and severity and other variable factors such as inflation. For some types of claims, most significantly asbestos-related, environmental pollution and health hazard claims, it has been necessary, and may over time continue to be necessary, to revise estimated potential claims exposure and, therefore, the related claims reserves. Consequently, actual claims, benefits and related expenses ultimately paid may differ from estimates reflected in the reserves in our consolidated financial statements.

We typically establish our case reserves under proportional treaties by taking into account reserving methodologies and practices adopted on a group-wide basis. Generally, claims personnel at a ceding company establish a case reserve for the estimated amount of the ultimate payment for a reported claim. The estimate by the ceding company is based on the reserving practices and experience and knowledge of personnel at the ceding company regarding the nature and value of the specific types of claims. We generally establish reserve levels using reports and individual case estimates received from ceding companies.

In the case of facultative and non-proportional business, we generally evaluate the ceding company's reserves taking into consideration coverage, liability, severity of injury or damage, jurisdiction, an assessment of the ceding company's ability to evaluate and handle the claims and the amount of reserves recommended by the ceding company. If our own estimate of the ultimate cost of a particular claim is materially different from the reserve established by the ceding company, we adjust that case reserve accordingly. Such additional case reserves (positive or negative) are established either per treaty or per facultative acceptance.

We also establish claims reserves for "incurred but not reported" ("IBNR") claims to provide for payments for incurred claims that have not yet been reported to an insurer or reinsurer. In calculating our IBNR reserves, we generally use accepted actuarial reserving techniques that take into account quantitative loss experience data, together with other factors, including qualitative factors, that are relevant to the risks in question, such as changes in the volume of business written, the contract terms and conditions, the mix of business, the processing of claims and the prospective level of inflation that can be expected to affect our liability for claims over time. IBNR reserves are grouped either by accident year or by underwriting year and our internal actuaries review both our reserving assumptions and our methodologies on a quarterly basis.

In total, we maintain loss and loss adjustment expense reserves to cover our estimated liability for both reported and unreported claims at a level that represents management's best estimate of ultimate loss adjustment expenses.

Reserves for future policy benefits and claims for our Life & Health business are calculated (as provided for under U.S. GAAP) using locked-in assumptions, established at the inception of each portfolio, for mortality, morbidity, persistency and investment income. The locked-in assumptions contain margins and can only be changed if actual emerging experience for our Life & Health business as a whole is worse than the locked-in assumptions (including the margins). The liabilities for future policy benefits for individual risks or classes of business may be greater or less than those established by ceding companies due to the use of different mortality and other assumptions. Reserves for policy claims and benefits include both mortality and morbidity claims in the process of settlement and claims that have been IBNR. Claims reserves are calculated using the latest assumptions available at the time of valuation. Actual experience may differ from assumed experience and, consequently, may affect our operating results for a period, especially for disability business where the claims reserve reflects payments over a long period of time and is based on assumptions regarding morbidity and investment income.

In addition to our general Life & Health business reserves, we carry liabilities for exposure related to our past VA business, which was a special segment of Life & Health business that we have now placed in run-off. A VA product is a hybrid insurance and investment product. The GMDB features generate both insurance risk exposure (mortality risk) and financial market risk exposure (equity, interest rate, volatility risk). In addition VA is subject to policy lapse and withdrawal risk. Depending on the guarantee type and features, the exposure to the risks discussed above varies.

VA liabilities are carried at fair value consisting of the baseline average present value of the best estimate cash flows adjusted for a risk margin. VA liabilities are derived from an internal model of which the core component is a Monte-Carlo simulation engine calculating the present value of cash in- and outflows, such as fees and benefits/claims, under each market path. Sufficient paths are used for valuation to reduce the sampling error of the average result within an acceptable tolerance. The

calculated risk margin consists of the present value of the frictional cost of capital and administrative expenses. The important input factors for calculating the frictional cost of capital are the calculated amount of regulatory, rating agency, and internal capital required and the estimated release pattern of the respective capital in the future.

Underwriting results from property and casualty business in the United States have in the past been adversely affected by claims developing from alleged environmental pollution. We establish reserves for reported claims as well as an estimate for unreported claims and claim adjustment expenses. Although we believe that reserves for unpaid claims are adequate in the aggregate, uncertainties arise when estimating the ultimate future amounts that may be needed for unreported environmental pollution claims. These uncertainties exist in part due to inconsistent decisions reached in court cases in various jurisdictions, including decisions about:

- the existence of insurance coverage;
- which underlying policies provide the coverage;
- whether the release of contaminants is one “occurrence” or multiple occurrences for determination of applicable coverage/policy limits;
- how pollution exclusions should be applied;
- whether clean-up costs constitute covered damage; and
- whether an insurer has a duty to defend.

Since the early 1980s, underwriting results from property and casualty reinsurance business relating to the United States have been adversely affected by claims developing from asbestos-related coverage exposures. The majority of these claims allege bodily injury resulting from exposure to asbestos products. A lesser amount of claims allege damage to buildings resulting from the presence of asbestos. We monitor developments in this area and establish reserves for reported claims as well as an estimate for unreported claims and claim adjustment expenses. We believe uncertainties exist in estimates of the ultimate future amounts that may be payable for unreported asbestos-related claims. These uncertainties include estimations of the number and value of claims that may be reported, court decisions affecting the liability, and the maximum value of asbestos-related exposures written by our clients during expired coverage periods. As a result, our obligations for claims payments and claims settlement charges also includes obligations for long-latent injury claims arising out of policies written prior to 1985, particularly in the areas of U.S. asbestos and environmental liability.

During the mid-1990s we substantially strengthened our reserves for asbestos-related and environmental pollution claims arising in the United States. Since then, we have from time to time added reserves as necessary to respond to changes in the claims environment including, for example, the increasing number of asbestos-related bankruptcies and the broadening of the legal assault to include companies that were not asbestos manufacturers or major users of the product. We have also operated a proactive policy of managing our exposure through active claims management and commutation where appropriate.

An industry measure that is often used to estimate reserve adequacy for asbestos-related and environmental pollution claims is the three-year survival ratio, calculated as the total net provision held at the end of a period divided by the average net claims paid over the previous three years. The survival ratio represents the number of years it would take for a company to exhaust its reserves based on the current level of claims payments. This measure is distorted by commutations, which appear as claims paid immediately after the commutation has been agreed, rather than being gradually paid out over a number of years, and therefore is adjusted accordingly. After adjusting for commutations, we calculate that our three-year survival ratio is 11.5 years as of December 31, 2011, based on our best estimates (compared to an estimated 7.8 years for the United States insurance industry at the end of 2010).

During the late 1990s and early 2000s, we saw, particularly in the United States, claims relating to bankruptcies and corporate, financial and/or management improprieties. Following the major financial scandals, we also saw an increasing number of large claims resulting from actions brought against financial institutions, accounting firms and other professionals alleging primary liability, or liability for aiding and abetting, in respect of violations of the securities laws, often leading to large settlements. These resulted in an increase in frequency and severity of claims under professional liability covers. The industry is facing a significant level of claims under professional liability covers arising from the subprime crisis, global financial markets collapse and related matters.

Net claims development on prior years was significantly favorable overall during 2011, driven by favorable experience in property, liability, credit and other special lines. Some reserve strengthening was absorbed in the overall number, on U.S. workers' compensation business, UK motor business and an increase for U.S. asbestos and environmental losses. The ADC, which covers losses from 2008 or earlier, remains in place but had no impact on the result for 2011, as it was already recognized at the minimum commutation value at year-end 2010 and remains recognized at that value.

We believe that our total reserves for property and casualty and life and health claims as of December 31, 2011 are adequate. Our reserves may, however, prove to be inadequate to cover our actual claims and benefits experience. To the extent reserves are insufficient to cover actual claims, claim adjustment expenses or future policy benefits, we would have to add to these reserves and incur a charge to our earnings.

Claims Management

We undertake claims management through our Claims, Accounting & Liability Management ("CALM") and our Corporate Solutions division. A key change during 2011 was the merger of the Claims & Liabilities division and the Technical Accounting division into a new CALM division that now handles most of our post placement services. The following paragraphs focus only on the claims management aspects of CALM and Corporate Solutions.

We aim to provide effective claims management procedures and an overall claims philosophy, which reflects our expertise in claims management, follows industry best practices and complies with applicable prevailing legislation and case law.

We are primarily responsible for the adjudication of our clients' claims. We normally settle individually notified claims on the basis of the notification provided by the ceding company after verification that reinsurance coverage exists. In addition, we selectively conduct investigations, in situations where a life insurance claim is made within the first two years that the policy is in effect. Our technical accounting and claims operations personnel administer and selectively manage individual claims reported to us using group-wide guidelines.

In addition to administering reported claims and conferring with ceding companies on claim matters, our claims personnel conduct reviews of claims experience with our ceding companies as well as audits of specific claims or portfolios and the claims procedures in general at the offices of ceding companies. We generally monitor whether the ceding company uses appropriate adjusting techniques, reserves appropriately, has sufficient staff and follows proper claims processing procedures.

When we are involved as a direct insurer (for example, in our Corporate Solutions and Admin Re[®] businesses), we either investigate, manage and settle claims in line with the requirements of the specific portfolio or outsource these activities to suitable service providers. We undertake regional claims portfolio reviews on a regular basis in order to highlight trends and developments and to share best practices among our claims teams.

We have implemented a formal feedback process, which allows us to share key observations with internal stakeholders, including the underwriting community.

As of December 31, 2011, we had approximately 730 professionals worldwide engaged in claims handling and related activities.

Retrocession and Other Risk Transfer

Some reinsurers purchase reinsurance to cover a certain part of their own risk exposure. The purchase of reinsurance by reinsurers is referred to as retrocession. These reinsurance companies cede risks under retrocession agreements for reasons similar to those that cause insurers to purchase reinsurance, namely to reduce net liability on individual risks, to protect against catastrophic claims, to improve solvency ratios and to obtain additional underwriting capacity.

In general, our retrocession and risk transfer initiatives have two important strategic goals: to reduce earnings volatility and to protect our capital base against extreme events. We buy such protection in the capital markets and in traditional retrocession markets through a range of products, such as ILS, traditional retrocession, industry loss warranties (index-linked catastrophe contracts with dual triggers) and other derivatives. In addition, from time to time we retrocede large single risks or a portfolio of concentrated risks via traditional retrocession.

We aim to minimize the counterparty and credit risk of our hedging instruments by using ILS and other instruments, which are collateralized, and by predominantly selecting counterparties with superior financial strength. ILS are typically structured as bonds the payment of interest and/or principal in respect of which depends on the occurrence or severity of an insurance event (with the underlying risk being a peak or volume insurance risk). In contrast to traditional retrocession where we would be exposed to counterparty risk but obtain a direct indemnity against the underlying risk, the use of ILS minimizes counterparty risk but creates potential basis risk, as it is unlikely that we can perfectly match our risk with non-indemnity based ILS. ILS is an important element in our client offering as well as our own hedging strategy.

Under the 2008 quota share arrangement with Berkshire Hathaway, Berkshire Hathaway has assumed a 20% share of our new and renewed Property & Casualty business (excluding credit business and run-off of prior underwriting years) for 2008 through the end of 2012. Berkshire Hathaway is entitled to 20% of the premiums of the Property & Casualty business, and bears 20% of the claims. Additionally, in January 2010, we entered into a U.S. individual life retrocession transaction with Berkshire Hathaway.

Employees

As of December 31, 2011 and 2010, we employed 10,788 and 10,362 people, respectively (as regular staff). In 2011, we employed people from approximately 85 nations worldwide. We believe that our employee relations are good, and we have bodies that represent employees' interests in each country in which we operate. In addition, certain of our employees in Europe and Australia are covered by collective bargaining agreements. We promote the development of internal talent through various educational and training programmes that we offer. We also offer financial compensation and benefits to both senior management and a significant portion of our employees that includes an incentive component and are designed to correspond with the multi-year and long-term dynamics of our business. We also provide certain healthcare and life insurance benefits for retired employees and their dependants. Employees become eligible for these benefits when they become eligible for pension benefits.

Competition

The reinsurance business is competitive and faces barriers to entry, including regulatory and capital considerations. We compete with other reinsurers based on many factors, primarily:

- expertise, reputation, experience and qualifications of the reinsurer's employees;
- local presence;

- geographic scope of the reinsurance business conducted;
- client relationships;
- financial strength;
- products and services offered;
- contract terms and conditions; and
- speed of claims payment.

The reinsurance industry has experienced significant consolidation in recent years. Reinsurance companies have sought to expand their existing markets, obtain critical mass in new markets and further diversify risk.

At the same time, consolidation in the worldwide insurance industry has created a smaller group of larger ceding companies that are retaining an increasing proportion of their business, rationalizing reinsurance procurement policies (particularly for recurring (“flow”) business obtained in the open market) through central purchasing platforms and are demonstrating, in respect of their reinsurers, a greater sensitivity to counterparty risk, particularly in the property and casualty market, and are limiting where possible that risk through concentration limitations, which in turn will impact our market shares. These trends are likely to continue in light of Solvency II requirements (which favor diversification and also can lead to greater retention) and greater focus on risk management at ceding companies.

In the property and casualty business, factors such as general trends towards globalization, a heightened customer preference to do business with the largest and best capitalized reinsurers, increasing competition among reinsurers and the emergence of the capital markets as an additional source of risk-bearing capacity, have resulted in significant consolidation and emphasis on the financial strength of reinsurers. Over the past decade, brokers have played an increasingly significant role in the property and casualty market, particularly in the United States.

The life and health reinsurance market is also increasingly concentrated. We estimate that, based on premiums written, the largest three reinsurers represent half of the life and health market and the largest five reinsurers represent three quarters of the market. Brokers play a far less significant role in the life and health market.

As a direct writer of reinsurance, we compete with a number of major direct marketers of reinsurance both in local markets and internationally. We also compete with a number of major reinsurers who write business through reinsurance brokers, and with Lloyd’s of London.

Our largest competitors (by marketing name), both locally and internationally, measured by premiums written, are:

- Munich Re;
- Hannover Re;
- The Berkshire Hathaway Reinsurance Group;
- Gen Re, which is owned by Berkshire Hathaway (renamed General Reinsurance AG in 2010);
- RGA (Reinsurance Group of America) (in the life and health sector);
- PartnerRe;
- Lloyd’s of London; and
- SCOR.

Patents and Licenses

We are not dependent on any patents but must maintain insurance licenses in most markets in which we do business.

Properties

Our global headquarters are located in Zurich, Switzerland and include an operations centre in Adliswil and a training and management development centre in Rüschlikon, Switzerland. Our U.S. reinsurance operations are headquartered in Armonk and our Northern, Central and Eastern Europe reinsurance operations in Unterföhring. As of December 31, 2011, we owned or leased office space in more than 50 cities in over 25 countries around the world. We believe that these facilities are adequate for our present needs in all material respects. Office space acquired in connection with acquisitions is integrated into our existing operations or disposed of as needed. We also hold other properties for investment purposes.

The SRZ Group's principal properties include:

Location	Lease/owned	Type of facility	Total Area(m²)
Switzerland			
Zurich			
Am Eschenpark	Owned	Apartment	10,372
Badenerstr. 170/172.....	Owned	Offices/Apartments	24,086
Giesshübelstr. 30	Owned	Offices	12,355
Gotthardstr. 35/43.....	Owned	Offices	11,281
Mythenquai 24 (Mythenschloss)	Owned	Offices/Apartments	25,167
Mythenquai 50 (Neubau).....	Owned	Offices	13,263
Mythenquai 60 (Altbau)	Owned	Offices	11,326
Adliswil			
Soodring 6	Owned	Offices	16,720
Soodring 33	Owned	Offices	21,085
Soodstr 52 (Tüfihaus)	Owned	Offices	19,759
Rüschlikon			
Gheistr. 37 (Seminarzentrum)	Owned	Offices	16,766
United Kingdom			
London			
30 St Mary Axe	Leased	Offices	28,592
United States			
New York			
175 King Street, Armonk.....	Owned	Offices	33,946
55 E. 52nd Street, 39th–44th floor, NY	Leased	Offices	13,051
Kansas			
5200 Metcalf Avenue, Overland Park	Leased	Offices	28,146
Michigan			
25800 Northwestern Highway, Southfield	Leased	Offices	14,590
Indiana			
46804 Fort Wayne, Magnavox Way.....	Leased	Offices	7,380
Germany			
Unterföhring (Munich)			
Dieselstrasse	Owned	Offices	24,623
Munich			
Leopoldstrasse 4/6	Owned	Offices	10,248
Slovakia			
Bratislava			
Karadzicova 12.....	Leased	Offices	7,460
India			
Bangalore			
Vasvani Centropolis, 21, Langford St	Leased	Offices	8,360

We are not aware of any material environmental issues that would affect our utilization of the above properties other than our general obligation to comply with all applicable regulations.

Governmental, Legal and Arbitration Proceedings

Litigation or, more generally, arbitration proceedings may affect various companies within Swiss Re in their capacity as reinsurers, employers and taxpayers in the normal course of their business. Based on our assessment of current litigation and arbitration proceedings, we believe we have made adequate reserves for any such future proceedings.

Antitrust proceeding. We and five other reinsurers/insurers were the subject of an investigation by the Spanish Competition Authority for alleged collusive behavior in connection with construction cover provided in Spain for residential housing. Following the completion of their investigation, the Spanish Competition Authority fined the six companies, including us. In December 2009, we filed an appeal to this decision, and the other companies that were fined in connection with the same investigation have also each appealed their fines.

Interruption in Business

During the past three years we have not experienced any material business interruption.

Material Changes

For information on material changes since the last balance sheet date see “General Information.”

Regulation

General

The business of reinsurance is regulated in most countries, although the degree and type of regulation varies significantly in different jurisdictions. In almost all jurisdictions, insurance supervisory authorities evaluate the creditworthiness of reinsurance recoverables (indirect reinsurance supervision). Reinsurers traditionally were generally subject to less direct regulation in most countries than direct insurers. Some countries require reinsurers to post collateral or impose a gross reserving system that allows ceding companies to get credit for reinsurance only if reinsurance recoverables are covered by pledged assets. While the focus of indirect supervision is on the effect of reinsurance on the balance sheet and risk exposure of the ceding company, direct reinsurance supervision instead focuses on the reinsurance company itself. The principal elements of direct supervision are licensing requirements, adequacy of technical provisions, available and required solvency capital and governance rules.

Today, there is increased direct supervision of reinsurance operations. In the United States, the European Union and Switzerland, the licensing and supervision standards for reinsurance are comparable to those governing direct insurers, and include direct and indirect reinsurance supervision. Direct supervision enables supervisory authorities to intervene in the affairs of a reinsurer at an early stage should its financial position deteriorate or its risk governance prove to be insufficient. Given the global nature of reinsurance businesses, mutual recognition of supervisory systems is of increasing importance. Furthermore, the financial crisis has resulted in additional regulatory reforms in Europe and the United States. Government intervention in the insurance and reinsurance markets, worldwide, continues to evolve.

Our foreign subsidiaries and branches must comply with the respective regulations of their home and host countries. As a U.S. licensed and authorized reinsurer, we are subject to considerable regulation by state insurance commissioners. Among other things, our U.S. entities have to comply with regulations on solvency (risk-based capital (“RBC”)), reserving adequacy, and investment policies. Our U.S. entities are also subject to comprehensive statutory reporting requirements.

Set forth below is a summary of the material reinsurance regulations applicable in the main jurisdictions where Swiss Re entities are located. We believe that all of the companies in Swiss Re are in compliance with the applicable laws and regulations pertaining to their business and operations.

We note that, given the trends in global regulation, regulations that apply to us directly or that otherwise would impact our business could change, and such changes could be significant. See generally, “Risk Factors – Legal, Tax and Regulatory Risks.” For example, in 2010 the FSB recommended, and the G-20 members endorsed, a comprehensive, global framework for reducing the moral hazard presented by systemically important financial institutions. This framework would provide for more intensive supervision and higher loss absorption capacity for, and resolution authority in respect of, systemically important financial institutions. This framework would have to be given effect through enactment of laws and promulgation of regulations. Twenty-nine banks have already been identified by the FSB and the Basel Committee as globally systemically important and these entities must meet new resolution planning requirements, based on the methodology developed by the Basel Committee, by the end of 2012.

These requirements and other proposals have primarily been focused on the banking sector and many are under development and have not yet become specific or precise. Although primarily focused on banking institutions, some of these proposals could have direct applicability to insurance or reinsurance operations and others could have a general impact on the regulatory landscape for financial institutions, which might indirectly impact capital requirements and/or required reserve levels or have other direct or indirect effects on us. In addition, in January 2012, the FSB announced consideration of extending the SIFI framework to insurance companies. Separately, the International Association of Insurance Supervisors, an international body that represents insurance regulators and

supervisors, is expected to complete its assessment methodology for identifying globally systemically important insurers by June 2012 and is also pursuing a common framework for the supervision of internationally active insurance groups, which it aims to develop by 2013, to foster group wide supervision and global convergence of regulatory and supervisory approaches.

In the United States, the FSOC has issued proposals for the framework and criteria to identify non-bank systemically important financial institutions. Such designation would subject a company to supervision by the Board of Governors of the Federal Reserve System and would require it, among other things, to create a “living will” resolution plan and to comply with other regulations under the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010 (the “Dodd-Frank Act”). The process for designating a non-bank financial company as systemically important incorporates both qualitative and quantitative analyses, and is ultimately subject to the discretion of the FSOC. The ultimate designation as systemically important would result in dual regulation by state regulators and a federal regulator (the Federal Reserve Board), risk-based solvency and liquidity requirements, leverage limits, stress testing by the federal regulator and mandatory living will arrangements, limits on counterparty exposure, enhanced risk management, including establishing a risk committee of the board of directors, periodic reporting of credit exposures between the institution and other significant financial companies, early remediation requirements that increase in stringency if financial condition of the institution declines, and a debt-to-equity limit for institutions determined to pose a grave threat to financial stability. Insurance is a sector to be assessed.

In the European Union, although member states are likely to follow the FSB framework, the newly formed European Systemic Risk Board (“ESRB”) has yet to develop a methodology to identify SIFIs.

European Union

The European Union has introduced a new supervisory system that establishes “macro-prudential” supervision through the ESRB, which will monitor potential threats to financial stability and will issue early risk warnings. Additionally, the ESRB will be complemented by the “micro-prudential” European Supervisory Authorities (“ESAs”), which comprise three separate sector-specific supervisory authorities. The ESAs aim to facilitate harmonization of prudential rules, and are empowered to resolve conflicts among member states’ supervisory authorities. The supervisory authority for insurance business will be the new European Insurance and Occupational Pensions Authority (the “EIOPA”). The ESAs became operational on January 1, 2011.

The regulatory environment of our subsidiaries and branches in EU member states has been affected by the transposition of the EU Reinsurance Directive at the end of 2007. The EU Reinsurance Directive creates a single European market in reinsurance, based on mutual recognition of home country control and harmonization of prudential rules. Our subsidiaries in EU member states are treated as EU-licensed companies and benefit from the single license principle. As for direct insurance, the system of home-country control is limited to a cross-border structure of branches. The principle of branch separation between life and non-life does not apply to reinsurance. The rules on financial supervision are based on the Solvency I standards for direct insurance, with certain adjustments.

For non-life technical provisions, the EU Reinsurance Directive abolished gross reserving systems. This means that member states may no longer require EU licensed reinsurers to pledge assets or post collateral. The solvency margin for life reinsurance is the same as for non-life reinsurance: it is the higher of a percentage of premiums (16-18%) and of claims (23-26%) minus the retrocession reduction factor. As in direct insurance, the solvency margin is increased by 50% for reinsurance covering general third-party liability, aviation and marine. The EU Reinsurance Directive’s investment rules are based on a “prudent person approach” with an option for member states to introduce certain quantitative restrictions. The scope of the existing Directives on supplementary supervision of insurance groups and financial conglomerates has been extended to reinsurers that are part of a group. The EU Reinsurance Directive stipulates that non-EU reinsurance companies may not

be treated more favorably than reinsurance companies having their head office in the European Union. As for direct insurance, there is a provision on the negotiation of agreements with third countries on mutual recognition of reinsurance supervision.

The EU Reinsurance Directive provides a mechanism for cooperation among EU supervisory authorities. It is an interim measure, which will be replaced by the Solvency II framework directive, which was adopted on May 5, 2009, with publication in the official journal of the European Union on December 17, 2009. The Solvency II directive is currently expected to enter into force beginning in January 2013, and will be effective for insurers beginning January 2014. The implementation measures that will complement the Solvency II directive are being drafted. In November 2011, the EIOPA launched a new consultation with insurance and reinsurance stakeholders on guidelines for the Own Risk and Solvency Assessment (“ORSA”) for Solvency II, as well as other draft proposals with regards to the Supervisory Reporting & Public Disclosure in the Solvency II framework, for which the consultation period ended in January 2012; consequently there remains significant uncertainty regarding the final guidelines and implementation process for Solvency II. The process of testing the equivalence of SST to Solvency II has been initiated, but is not expected to be completed by the European Commission until the first half of 2013. Any corresponding changes to the SST could result in additional regulatory capital requirements on an entity (solo) or group basis.

Switzerland

We conduct our business under an operating license, and are subject to continued supervision by FINMA. FINMA monitors whether our organization, management and operations are in compliance with the provisions of applicable law and regulations, and exercises control over the calculation of our technical provisions, retrocession policy and solvency.

The Swiss insurance supervision is based on the Insurance Supervision Act, as amended, which entered into force on January 1, 2006, and secondary legislation, the SPICO. The Insurance Supervision Act and the SPICO extended the scope of prudential supervision to pure reinsurance companies and introduced supplementary group supervision of insurance groups and financial conglomerates.

Reinsurance companies are required to maintain a minimum solvency margin (“Solvency I”), which is calculated for the property and casualty business in accordance with the premium and claims index. It is the same formula that is applied to direct insurance companies. The solvency margin for life and health reinsurance is 0.1% of the capital at risk, plus 4% of the mathematical provisions. The supervisory law also determines the admissible capital items to cover the solvency requirement (available solvency margin).

As a financial conglomerate, we are also subject to supplementary group supervision in Europe. This includes a group-wide consolidated solvency calculation, and reporting requirements relating to intra-group transactions and risk concentration. The Swiss regime of supplementary group supervision is equivalent with the rules set out in the EU Financial Conglomerate Directive. This enables FINMA to assume the lead regulator function in exercising its supplementary group supervision in Europe over us. Additionally, co-ordination among supervisory authorities is taking place in the context of Supervisory Colleges and information exchange pursuant to Memoranda of Understanding that have been concluded between the Swiss and the EU (and other) regulatory authorities. Applicable law also contains rules on corporate governance and internal risk management. It requires each insurance company (including pure reinsurers) to designate a responsible actuary to review its technical provisions and solvency margin in compliance with the prudential requirements. In contrast to primary insurance, reinsurance is not subject to the provisions governing the investments that cover technical provisions.

In addition to the minimum Solvency I solvency requirement, the Insurance Supervision Act introduced an RBC requirement: the SST. The SST also applies to reinsurance companies, and in our case applies to all of our legal entities domiciled in Switzerland, including SRL, our parent company.

The SST distinguishes between risk-bearing capital (available capital) and target capital (required capital). The calculation of the target capital requirement is based on both insurance and financial risks. Reinsurance (or retrocession) is fully deductible from target capital. The credit risk related to reinsurance recoverables is part of the target capital calculation. Diversification effects at group level can be taken into account at legal entity level upon request to FINMA. We determine target capital on the basis of our internal risk model. A feature of the SST is that all assets and liabilities are valued on a market-consistent basis that should be compatible with emerging international accounting standards. The market-consistent value of technical provisions is defined as the discounted best estimate plus the market value margin. The market value margin is approximated by using a cost of capital approach. This is defined as the cost of the present value of the future solvency capital, which will be necessary to back the entire existing portfolio of liabilities during the run-off period.

Although equivalence status review is not expected to be completed by the European Commission until the first half of 2013, the risk-based solvency regime of the SST is expected to anticipate much of the Solvency II framework that is currently being developed in the European Union and as noted above applies to our EU-domiciled entities. As of January 1, 2011, companies subject to the SST are required to meet the SST capital adequacy requirements.

The SST is coupled with comprehensive risk reporting duties. SST reports are intended to cover the information necessary for FINMA to assess the capital adequacy and risk position of a subject company. Reports are submitted to FINMA on a semi-annual basis in the case of insurance groups (the report as of January 1 is due by April 30 and the report as of July 1 is due by September 30, each year), and on an annual basis in the case of entity (solo) reporting (the report as of January 1 is due by April 30). Currently, companies subject to SST reporting are not subject to specific public disclosure requirements in respect of their SST ratios.

The SST assesses financial security of subject companies based on the risks to which they are exposed and if risk-bearing capital is less than target capital, a subject company likely has insufficient risk-bearing capital to be able to bear the average losses for a one in a hundred year loss event. In such a case the subject company must either reduce its risk exposure or ensure that it has more risk-bearing capital.

- If the SST ratio falls below the 100% threshold, a plan of activities must be presented and implemented, and specific decisions, such as paying dividends, capital repayments, voluntary repayments of loans, intra-group transactions and other similar transactions, must be presented in advance to FINMA for approval. In this range, there is an increased risk due to the solvency situation and FINMA will intensify the dialogue to mitigate the risk. FINMA may also order audits, demand that key indicators be observed intra-year and reported to FINMA and order supplementary scenario analyses.
- If the SST ratio falls below 80%, the subject company must prepare a restructuring plan that returns the company to above 80% within two years and to above 100% within three years. FINMA can also order the preparation of an extraordinary liquidity plan, subject risky new business and renewals to approval, prohibit new and renewal business, prohibit risky and complex transactions, order organizational changes and order more in-depth controls, monitoring, reporting and audits.
- If the SST ratio falls below 33%, FINMA can revoke a subject company's license.

The target amounts of the various thresholds are established in the assessment of the SST reports and are binding until completion of the assessment of the next SST report. In certain extraordinary circumstances, FINMA can order the performance of a sub-annual assessment and, as applicable, re-estimate target capital.

The SST ratio is a function of available and required capital based on an economic valuation of assets and liabilities with an integrated forward-looking assessment of underwriting, financial market

and credit risk and, therefore, our SST ratio could fluctuate substantially from reporting date to reporting date. For purposes of the Conditions and the definition of Solvency Event, falling below a 100% SST ratio would constitute failure on the part of the Issuer to have “appropriate funds to cover the required minimum solvency margin.”

United States

The regulation of insurance and reinsurance companies in the United States is primarily carried out within comprehensive state law regulatory frameworks. However, regulatory reforms prompted by the financial crisis introduced an overlay of a framework for regulation of the insurance industry, in addition to ad hoc, issue-specific federal regulation of insurance and reinsurance.

The Dodd-Frank Act introduced regulation covering systemic risk, resolution authority, executive compensation, rating agencies and other matters. Among other new regulatory bodies, the Dodd-Frank Act established the FSOC and the FIO.

The FSOC was created to identify risks to the financial stability of the United States, promote market discipline and respond to any emerging threats to the stability of the United States financial markets. Among its other powers, the FSOC has the authority to designate a non-bank financial company as “systemically important,” which carries far reaching consequences for such company's business, operations and financial condition. The FSOC will be making its determinations of which, if any, firms are systemically important based on whether a firm's material financial distress, or nature, scope, size, scale, concentration, interconnectedness or mix of activities, or failure could pose a threat to the financial stability of the United States (which could potentially include insurance companies). Being designated as systemically important results in a firm being subject to the supervision by the Federal Reserve, including being subject to prudential standards developed by the Federal Reserve. The Federal Reserve issued a proposed rule in December 2011 that would apply capital and liquidity requirements, single-counterparty credit limits, and stress testing and risk management requirements to systemically important companies, and subject such companies to an early remediation regime based on these requirements but noted that they may tailor the application of the proposed rule to the particular attributes of systemically important nonbank financial companies on an individual basis or by category. Additionally, non-bank financial companies supervised by the Federal Reserve could be subject to the so-called Volcker Rule, which, with respect to such companies, would result in the imposition of additional capital requirements and additional quantitative limits with respect to proprietary trading and specified relationships with hedge funds and private equity funds. Further, a systemically important company will be required to prepare a so-called “living will,” or contingency plan, for resolving its affairs under the U.S. Bankruptcy Code in the event that it experiences material financial distress. Systemically important companies will also be subject to post-event assessments imposed by the Federal Deposit Insurance Corporation to recoup the costs associated with the orderly liquidation of other systemically important firms in the event one or more such firm fails.

The FIO is charged with monitoring the insurance industry, coordinating federal policy on international insurance matters, identifying gaps in insurance regulation that could contribute to a systemic crisis, recommending to the FSOC that an insurer be supervised as a non-bank financial company by the Federal Reserve, and determining which state insurance laws are pre-empted by U.S. government international agreements on the insurance sector. As mandated under the Dodd-Frank Act, the FIO is expected to release a report that will address modernization of the insurance industry.

Finally, the Dodd-Frank Act may also affect our operations in other ways. Certain provisions of the Dodd-Frank Act will require central clearing of, and/or impose new margin and capital requirements on, derivatives transactions, which could increase the costs of our hedging transactions. There could also be possible adverse impacts on the pricing and liquidity of some of the securities in which we invest resulting from the proprietary trading and market making limitations of the Volcker Rule.

Our U.S. reinsurance and insurance subsidiaries are primarily regulated under the insurance statutes (including holding company regulations) of various states. These include the states where our U.S. reinsurance and insurance subsidiaries are domiciled, which include: Connecticut, Indiana, Missouri, New Hampshire, New York, Texas and Vermont; and each state where a subsidiary is licensed to do business. In addition, our business may be subject to the law of states that apply laws extraterritorially, causing reinsurers to meet a state's requirements even when neither the cedent nor reinsurer is domiciled there. Currently, our principal operating subsidiaries are generally licensed, approved or accredited reinsurers, or are otherwise permitted to sell reinsurance in all fifty states, the District of Columbia and Puerto Rico, although this does vary by subsidiary.

State regulation generally has its source in laws that delegate regulatory, supervisory and administrative authority to a department of insurance in each state. State regulatory authorities monitor compliance with, and periodically conduct examinations regarding, state mandated standards, such as solvency, licensing requirements, investment limitations, restrictions on the size of risks that may be insured or reinsured, deposits of securities for the benefit of reinsureds, methods of accounting, and reserves for unearned premiums, losses and other purposes. In the case of reinsurance, these regulations are for the protection of reinsureds and, ultimately, their policyholders, rather than security holders. In the case of direct insurance, the states' regulatory schemes also extend to policy form approval and market conduct regulation, including the use of credit information in underwriting and other underwriting and claims practices. In addition, state legislators and officials across the country are becoming more comfortable with the ideal of modernizing regulation and letting competition determine rates by enacting various competitive rate making laws, which allow insurers to set premium rate for certain classes of insurance without obtaining the prior approval of the state insurance department. While reinsurers are generally regulated in a similar manner and to a similar extent as primary insurers, they are not subject to market conduct, policy form or rate regulations. State insurance departments also conduct periodic examination of the affairs of authorized insurance companies and require the filing of annual and other reports relating to the financial condition of companies and other matters. Further, some state insurance departments also cooperate with other countries with respect to regulation and regulatory enforcement. For example, the State of New York has signed Memoranda of Understanding with various foreign regulatory authorities, including, among others, Switzerland, China, Bermuda, France, the United Kingdom and Germany.

Holding Company Regulation. Regulations vary from state to state, but generally require insurance holding companies and insurers and reinsurers that are subsidiaries of holding companies to register and file with state regulatory authorities certain reports including information concerning capital structure, ownership, financial condition, certain intercompany transactions and general business operations. Certain holding company transactions, including extraordinary dividending, require the domiciliary regulator's approval. In addition, under the terms of applicable state statutes, any person or entity desiring to obtain beneficial ownership of 10% (with certain limited exceptions) or more of our outstanding voting securities is required to obtain prior regulatory approval for such purchase.

Guaranty Fund Assessments. All states require licensed insurers to participate in various forms of guaranty associations in order to bear a portion of the loss suffered by certain insureds caused by the insolvency of other insurers. Depending upon state law, primary insurers can be assessed a percentage of the annual direct premiums written for the relevant lines of insurance in that state to pay the claims of an insolvent insurer. Most of these assessments are recoverable through premium rates, premium tax credits or policy surcharges.

Involuntary Pools. Our primary insurance subsidiaries are also required to participate in various involuntary assigned risk pools or other residual market mechanisms, principally involving workers' compensation and automobile insurance, which provide various insurance coverages to individuals or other entities that otherwise are unable to purchase such coverage in the voluntary market. Participation in these pools in most states is generally in proportion to voluntary writings of related lines of direct business in that state.

Risk-Based Capital. U.S. insurers are subject to RBC guidelines that provide a method to measure the total adjusted capital (statutory capital and surplus plus/minus other adjustments) of insurance companies taking into account the risk characteristics of the company's investments and products. The RBC formulas are designed to measure the accuracy of an insurer's statutory surplus in relation to the risks inherent in its business. RBC is only one of many tools U.S. regulators use to review and measure the financial strength of the insurance industry. The RBC formulas establish capital requirements for a number of categories of risk, the largest being: asset risk, insurance risk, interest rate risk and business risk. For each category, the capital requirement is determined by applying factors to asset, premium and reserve items, with higher factors applied to items with greater underlying risk and lower factors for less risky items. Insurers that have less statutory capital than the RBC calculation requires are considered to have inadequate capital and are subject to varying degrees of regulatory action depending upon the level of capital inadequacy.

The RBC formulas and related ratio outputs were not designed to be used as a comparative measure of financial strength between different companies because of the different risk profile and/or capital provisions of each company. Our U.S. insurance subsidiaries have satisfied the RBC formula since it was created in the mid-1990s and have exceeded all recognized industry solvency standards. As of December 31, 2011, all of our U.S. insurance subsidiaries are expected to have adjusted capital in excess of amounts requiring regulatory and/or company action.

National Association of Insurance Commissions (NAIC) Ratios. The NAIC Insurance Regulatory Information System, or IRIS, was developed to help state regulators identify companies that may require special attention. The IRIS system is comprised of statistical and analytical phases consisting of key financial ratios whereby financial examiners review annual statutory basis statements and financial ratios. Each ratio has an established "usual range" of results and assists state insurance departments in executing their statutory mandate to oversee the financial condition of insurance companies. A ratio result falling outside the usual range of IRIS ratios is not considered a failing result; rather unusual values are viewed as part of the regulatory early monitoring system. Furthermore, in some years, it may not be unusual for financially sound companies to have several ratios with results outside the usual ranges. An insurance company may fall out of the usual range for one or more ratios because of specific transactions that are in themselves immaterial. Generally, an insurance company will be notified of regulatory concerns and may be subject to regulatory action if it falls outside the usual ranges of four or more of the ratios.

NAIC Solvency Modernization Initiative (SMI). Independently of the financial crisis, the NAIC has adopted a long-term work plan to reform the U.S. solvency framework, which is expected to be completed by the end of 2012. The effort is focused on capital requirements, international accounting, group supervision, valuation issues, and reinsurance regulation. The compiled principles of the plan are intended to facilitate dialogues with foreign insurance regulators and to reconcile U.S. solvency principles with the solvency schemes of foreign jurisdictions.

Surplus Lines Regulation. Swiss Re has a number of subsidiaries that write surplus lines business in the United States. The regulation of excess surplus lines insurers differs significantly from the regulation of licensed or authorized insurers. The regulations governing the surplus lines market have been designed to facilitate the procurement of coverage through specially licensed surplus lines brokers for hard-to-place risks that do not fit standard underwriting criteria and are otherwise eligible to be written on a surplus lines basis. In particular, surplus lines regulation generally provides for more flexible rules relating to insurance rates and forms. However, strict regulations apply to surplus lines placements under the laws of every state, and state insurance regulations generally require that a risk be declined by three licensed insurers before it may be placed in the surplus lines market. Initial eligibility requirements and annual re-qualification standards and filing obligations must also be met. In most states, surplus lines brokers are responsible for collecting and remitting the surplus lines tax payable to the state where the risk is located.

The regulation of surplus lines business has recently undergone certain changes. The Nonadmitted and Reinsurance Reform Act of 2010 (the "Nonadmitted Act"), which came into effect

on July 21, 2011, preempts certain state surplus line laws but also maintains state insurance regulation of surplus lines transactions. Among other things, the Nonadmitted Act streamlines and simplifies the reporting, payment and allocation of premium taxes by providing that only the insured's home state may require payment of premium taxes for surplus lines insurance and permits the states to develop an interstate compact to provide for allocation and remittance procedures for these taxes. The Nonadmitted Act also provides that surplus lines insurance will be subject solely to the regulatory requirements of the insured's home state (except for workers' compensation coverage). States are in the process of implementing the Nonadmitted Act through changes to their regulation of surplus lines.

Further federal and/or state measures may be introduced and promulgated that would result in increased oversight and regulation of surplus lines insurance, or states may sign onto an interstate compact to coordinate their approaches to surplus lines insurance. The Nonadmitted Act likely negates the state insurance regulators' ability to impose premium taxes other than in compliance with the Nonadmitted Act; however, any increase in our regulatory burden may impact our operations and ultimately could impact our financial condition as well.

Federal Initiatives. Although U.S. state regulation is the primary form of regulation of insurance and reinsurance, Congress has considered over the past few years various proposals relating to potential surplus lines regulation, reinsurance regulation, the creation of an optional federal charter and changes to taxation of reinsurance premiums paid to affiliates with respect to U.S. risks. Some lawmakers in Congress have also discussed the possibility of federal regulation of some lines of insurance, such as reinsurance. The activities of the FIO may provide an impetus for the federalization of some aspects of insurance regulation in the United States.

Although we are unable to predict what new laws will be proposed and passed by Congress, whether any such proposed laws will be signed into law by the President of the United States, or the form in which any such laws would be implemented by regulation, we believe it is more likely than not that Congress will adopt new laws, with respect to insurers and insurance, and we anticipate that these developments will impact our operations and also could impact our financial condition.

Foreign reinsurers and insurers minimize required capital by reinsuring risks with offshore affiliates and then deducting repatriated premiums from their taxable income. H.R. 3157 (and the companion S. 1693), which was introduced in Congress in October 2011 (following a similar bill in 2009), seeks to disallow the tax deduction for premiums repatriated by foreign insurers and reinsurers, which would raise the effective tax on such premiums. A similar assumption was included into the President's fiscal year 2011 and 2012 budget proposals.

The Terrorism Risk Insurance Act of 2002 ("TRIA") established a program under which the federal government will share with the insurance industry the risk of loss arising from certain kinds of terrorist attacks. TRIA was originally scheduled to expire in 2005, and although there was substantial uncertainty as to whether Congress would extend the program beyond its scheduled expiration, the Terrorism Risk Insurance Extension Act of 2005 ("TRIA Extension") was signed into law on December 22, 2005 extending TRIA, with some amendments, through December 31, 2007. On December 26, 2007, the TRIA was extended again under the Terrorism Risk Insurance Program Reauthorization Act of 2007 ("TRIPRA") for an additional seven years (to December 31, 2014). This legislation imposes a deductible upon insurers that must be satisfied before federal assistance is triggered and also contains a coinsurance feature. The deductible, which has increased each year of the program, is based on a percentage of direct earned premiums for commercial insurance lines from the previous calendar year. The federal program covers 90% of losses in excess of the applicable deductible, while the insurance company retains the remaining 10%. The program imposes an annual cap of \$100 billion on covered losses. Participation in the program for commercial property and casualty insurers is mandatory.

Several provisions of TRIA were changed by the TRIA Extension in 2005, many of which remain unchanged by the TRIPRA, including: increases in the individual company deductible to 17.5% in 2006 and 20% in 2007; reduction in the federal share of compensation in excess of a

company's deductible to 85% in 2007; and the addition of a requirement that aggregate industry insured losses resulting from a certified act of terrorism after March 31, 2006 exceed \$50 million in 2006 and \$100 million in 2007 in order to trigger federal participation in excess of a company's deductible. The TRIA Extension requires the President's Working Group on Financial Markets to study long-term availability and affordability of coverage for terrorism losses, including group life and nuclear, biological, chemical and radiological events ("NBCR") and in consultation with industry, the NAIC and policyholders, submit a report of its findings to the House Financial Services and Senate Banking Committees. The provisions of the TRIA that were changed by the TRIPRA include: the incorporation of domestic acts in the definition of "Act of Terrorism"; mandating the Treasury Secretary to collect premiums in any amount equal to 133% of any mandatory recoupment amount; the acceleration of mandatory recoupment surcharges and to issue regulations for determining the pro rata share of insured losses when they exceed \$100 billion. The TRIPRA also requires the Comptroller General to provide reports and give recommendations on the availability and affordability of insurance for NBCR. On December 14, 2009, the U.S. Department of Treasury issued final rules which govern how it will calculate the amounts to be recouped from insurers and how it will pro-rate insured losses when the aggregate insured losses exceed the annual liability cap. While the legislation provides the property and casualty sector with an increased ability to withstand the effects of potential terrorist events, companies could, nevertheless, still be materially adversely impacted. Terrorist attacks are unpredictable as to the nature, severity or frequency of such potential events. Terrorist attacks also are correlated with other financial risks such as the risk of a swift and significant stock market decline.

There is no assurance that TRIPRA will be extended beyond 2014. Because terrorism risk lacks several basic requirements of insurability, a permanent federal terrorism risk backstop has been advocated to reduce the risk of market disruption from terrorism. International coordination and cooperation in undertaking such efforts will be crucial, despite this being a U.S.-based initiative.

Natural catastrophes in the United States have focused legislative and industry attention on how to best finance natural catastrophe risk in the future. In early 2007, Florida enacted legislation that expanded the government-run insurer and reinsurance fund (Florida Hurricane Catastrophe Fund) substantially crowding out the insurance and reinsurance market. Other Gulf states, including Louisiana and South Carolina, have considered what action to take to protect their residents. Some insurers and government officials have requested that the federal government create a national fund to provide coverage for all types of natural disasters. Various bills are typically introduced in every session of Congress that would address natural catastrophes. In the current 112th Congress, for example, a Homeowners' Defense Act of 2011 (H.R. 2582) would establish a National Catastrophe Risk Consortium ("Consortium"), a non-profit entity, that would, among other things, maintain an inventory of catastrophe risk obligations held by state reinsurance funds and other state sponsored entities and issue on a conduit basis securities linked to catastrophe risks insured or reinsured through its members. It would also authorize the U.S. Treasury to guarantee holders of debt issued by state catastrophe insurance programs against losses, establish a Federal Natural Catastrophe Reinsurance Fund and coordinate reinsurance contracts between participating members of the Consortium and private parties.

There is significant industry opposition to the creation of such government funds and programs for natural catastrophes, as many interested parties believe that the private market can adequately handle natural catastrophe risk if free market principles are allowed to operate. Governments appear more hesitant, to assume contingent liabilities, following the financial crisis.

United Kingdom

Our UK subsidiaries are subject to regulation and supervision under the Financial Services and Markets Act 2000 ("FSMA"), its implementing regulations and the powers delegated to the Financial Services Authority (the "FSA"). Under FSMA, there is a single regime for the regulation of financial services in the United Kingdom and sole regulatory authority is vested in the FSA. The statutory

objectives of the FSA are: market confidence, public awareness, the protection of consumers, and the reduction of financial crime.

Subject to the exemptions ordered under FSMA, no person may carry out regulated activities in the United Kingdom without authorization by the FSA. Regulated activities include effecting and carrying out contracts of insurance. The activities a company is permitted to undertake are normally specified in a permission (“Permission”) that is granted if certain threshold conditions in the FSA Authorization Manual are satisfied. The grant of the Permission delivers authorization. Our active UK subsidiaries hold Permissions for life insurance and for investment business. These are specified by company in the FSA Register on the FSA website. Our reinsurance and wholesale non-life insurance business is now carried on by UK branches of our Luxembourg-regulated carriers, which we discuss further below.

Under the FSMA the directors and senior management of a company are required to satisfy “fit and proper” tests, to set up and operate appropriate systems and controls. In addition, they are also otherwise subject to over-arching principles applicable to the company and to designated Approved Persons (those who are individually and personally responsible for defined areas of functional accountability) (the “Approved Persons regime”). The principles include integrity; skill, care and diligence; the need to ensure adequate capital resources and an effective risk management system.

Regulated companies are further subject to the rules and guidance set out in a series of Prudential Sourcebooks issued by the FSA. The Prudential Sourcebooks set out a framework for the calculation of adequacy of financial resources and the proper management of categories of risk including credit, market, liquidity, operational, insurance and group risk.

Adequacy of financial resources is judged by the FSA according to various tests. The requirements of the FSA exceed the Minimum Capital Requirement for life and health (“MCR”) prescribed under EU rules both in terms of amount and sophistication. The Enhanced Capital Requirement for property and casualty (“ECR”) is derived from a risk-based but formula-driven approach. The ECR calculation is supplemented by a principles-driven Individual Capital Assessment conducted on a regulated basis. This aims to achieve that companies hold capital appropriate to their business and control risks and is intended to incentivize better risk management. Regulated companies are required to have systems and procedures for assessing the adequacy of capital resources and for determining the appropriate level of financial resources, to identify the major sources of risk in each of the categories described in the Prudential Source books (underwriting, operational, liquidity, market, group, credit) and any other risk, and for each of the major sources of risk, to carry out stress tests and scenario analyses justified as appropriate to the company as regards the sources of risk. Specific guidance is provided on basic approaches but on an explicitly non mandatory basis: the approach can be tailored differently, provided justified. Economic capital models of greater sophistication will be considered and evaluated in terms of their robustness but also in terms of their appropriate integration into a valuable surrounding control environment.

On the available asset side regulated companies can diverge from admissibility rules for MCR/ECR and accounting standards provided the appropriateness is supported. Technical provisions can be discounted and equalization provisions may be extinguished as appropriate.

The analysis by the company is subjected to supervisory review, which includes visits and inspections assessing control risks. The FSA then issues Individual Capital Guidance (“ICG”). The FSA has completed its first annual process of reviewing individual submissions and has issued sectoral guidance after subjecting them to consistency analysis. The FSA anticipates a certain observation period and as such is likely to be cautious in issuing ICG below ECR unless clearly justified.

Regulated companies are supervised under a regular and exception reporting framework as well as by periodic visits (Arrow Visits). Under FSMA reinsurance and insurance companies are required to file with the FSA an independently audited financial statement, and other prescribed documents.

The local regulated company is required to notify the FSA of any changes in “closely linked” companies as well as change of “controllers” and to review risks deriving from reliance on its parent group company – both as a matter of credit risk as well as risks affecting the parent group company as such (group risk). The FSA enjoys very substantial powers of enforcement against firms and individuals concerning both prudential and conduct of business rules breaches.

In the aftermath of the financial crisis, the FSA has been considering whether and how any changes in its approach to supervision of banks should apply to insurers. Some changes have already been evident with respect to insurers. The FSA’s supervisory approach has become more intensive with greater challenge to management about the outcomes of management decisions. In addition, stress testing was already used for insurers but, effective December 2010, a new stress test, a ‘test to destruction’ has been added to the FSA requirements for insurers. There has also been a strengthening in the FSA’s application of the Approved Persons regime, by extending the range of roles covered to ensure that those persons who are likely to exert a significant influence on a firm fall within the scope of the Approved Persons regime.

In particular, the FSA has:

- extended the scope and application of the director and non-executive director controlled function requirements to include those persons employed by an unregulated (non-EU and non-EEA) parent undertaking or holding company, whose decisions or actions are regularly taken into account by the governing body of a regulated firm;
- extended the definition of the significant management controlled function (CF29) to include all proprietary traders who are not senior managers but who are likely to exert significant influence on a firm; and
- amended the application of the Approved Persons regime to UK branches of overseas firms based outside the EEA.

Other issues identified with respect to the banking sector may also influence future insurance supervision but will probably be dealt with under Solvency II. These include risk management and governance improvements, the approach to multinational groups, the use of explicitly counter-cyclical reserves or capital requirements, quality of capital and increased regulatory focus on liquidity.

Luxembourg

As of January 1, 2008, we have both a reinsurance carrier and a direct non-life insurance carrier, each based in Luxembourg (Swiss Re Europe S.A. and Swiss Re International SE) with branches across Europe. During 2008 and 2009, business from a number of entities and branches in Ireland, the United Kingdom, the Netherlands, Denmark, France, Germany, Italy and Spain was integrated into the new Luxembourg carriers. Certain of our EU and other European business not currently included in our EU branches or legal entities will continue to be written by our Zurich carriers.

In Luxembourg, reinsurance companies have been subject to prudential supervision by the Commissariat aux Assurances (“CAA”). The Law of 1991 required the establishment of adequate technical provisions (including equalization provisions) plus a solvency margin in line with EU principles. The implementation of the EU Reinsurance Directive by the Law of December 9, 2007 did not fundamentally change the existing supervisory framework in Luxembourg, although certain amendments were necessary. The amended law is accompanied by several Grand Ducal regulations. The Grand Ducal regulation of December 5, 2007 specifies the conditions for the license and exercise of reinsurance undertakings (the “Reinsurance Regulation”). The Luxembourg law does not impose quantitative limitations for the assets covering the technical provisions and contains a definition of finite reinsurance but does not provide specific rules for finite reinsurance contracts. According to article 17 of the Reinsurance Regulation, claims against reinsurers arising from reinsurance operations concluded with third country reinsurers are admitted for the coverage of the technical provisions of a Luxembourg cedent company provided the third country reinsurer is authorized to carry out

reinsurance operations by its home country regulator and if that country's supervisory system is compatible with international standards. This is the case for Swiss-based reinsurers supervised by FINMA vis-à-vis the CAA. The coverage of technical provisions of a Luxembourg insurance undertaking by claims against third country reinsurers requires the approval of the CAA. The timely implementation of the EU Reinsurance Directive in Luxembourg was important to allow us to complete the restructuring of our European legal entity structure, notably to perform the business transfers from existing group subsidiaries to Swiss Re Europe S.A. (Luxembourg). As an incorporated and licensed reinsurance company, Swiss Re Europe S.A. fully benefits from the EU passport principle – the freedom to conduct cross-border business or to establish branches in all EEA member states under the home country control of the CAA.

Other Regulation

Certain other entities through which we conduct non-insurance business are regulated under the applicable financial services regulations in their respective jurisdictions. Swiss Re Capital Markets Limited, located in London, England, is a company authorized and regulated in the conduct of its investment business in the United Kingdom by the FSA and is entered in the FSA's Register. Swiss Re Capital Markets Corporation, located in New York City, is a member of the Financial Industry Regulatory Authority ("FINRA") in the United States and the Securities Investor Protection Corporation, and is regulated by FINRA.

As we move into new and emerging markets we will continue to monitor local regulatory requirements and will take the necessary steps to comply.

Certain Information about the Issuer

Name, Incorporation, Registered Office, Duration, Purpose and Registration

SRZ (Schweizerische Rückversicherungs-Gesellschaft AG, Compagnie Suisse de Réassurances SA, Compagnia Svizzera di Riassicurazioni SA, Compañía Suiza de Reaseguros S.A.) was incorporated on December 19, 1863 for an unlimited duration as a stock corporation (*Aktiengesellschaft*) under Swiss law. The object of SRZ according to Article 2 of SRZ's Articles of Association is to transact any kind of reinsurance business and to provide related services. SRZ may also participate in other enterprises, in particular in insurance companies. Its registered office and the principal executive offices are located at Mythenquai 60, 8002 Zurich, Switzerland. Its telephone number is +41 43 285 2121. SRZ has been entered in the Canton of Zurich Commercial Register since May 1, 1883, and as of today has the firm number CH-020-3-923-568-5. (The Canton of Zurich Commercial Register has been in existence since 1883.) Its Articles of Association were last amended on March 7, 2012. Statutory publications of the Issuer are made in the Swiss Official Gazette of Commerce (*Schweizerisches Handelsamtsblatt*).

SRZ is a wholly owned subsidiary of SRL. The rights of SRL as shareholder of SRZ are set forth in SRZ's Articles of Association, and SRZ is managed in accordance with its Articles of Association and bylaws.

Share Capital Structure

Issued Share Capital. SRZ's issued share capital, as registered with the Canton of Zurich Commercial Register on March 15, 2012, is CHF 37,070,693.10 divided into 370,706,931 fully paid-in registered shares (each with a nominal value of CHF 0.10). There are no additional types of shares with a higher or limited voting power, privileged dividend entitlement or any other preferential rights, nor are there any other securities representing a part of SRZ's share capital. SRZ's capital structure ensures equal treatment of all shareholders in accordance with the principle of "one share/one vote." All issued shares are fully paid and validly created under Swiss law.

On March 19, 2012, SRZ's Annual General Meeting of shareholders resolved to reduce its issued share capital by CHF 2,665,436.60, from CHF 37,070,693.10 to CHF 34,405,256.50, by way of cancelling 26,654,366 SRZ Shares currently held by SRZ as treasury shares. The share capital reduction is expected to come into effect during the first half of 2012, after completion of the procedure prescribed by law.

Conditional Share Capital. Article 3a of SRZ's Articles of Association provides for a capital increase from conditional capital limited to a share capital increase not exceeding CHF 5,000,000 by issuing a maximum of 50,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10, through the exercise of conversion rights and warrants granted in connection with bonds or similar instruments issued by SRZ or group companies. Existing shareholders' subscription rights (*Bezugsrechte*) are excluded. The then current holders of the conversion and/or option rights granted in connection with Equity-Linked Financing Instruments (as defined in SRZ's Articles of Association) will be entitled to subscribe for the new registered shares. Furthermore,

- Existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) with regard to these Equity-Linked Financing Instruments may be restricted or excluded by decision of the Board of Directors (subject to the limitations set forth in the last bullet below) in order to issue Equity-Linked Financing Instruments (i) on national and/or international capital markets (including by way of private placements to one or more selected strategic investors), and/or (ii) to finance or re-finance the acquisition of companies, parts of companies, equity stakes (participations) or new investments planned by SRZ and/or group companies.

- If advance subscription rights (*Vorwegzeichnungsrechte*) are excluded, then (i) the Equity-Linked Financing Instruments are to be placed at market conditions, (ii) the exercise period is not to exceed ten years for option rights and twenty years for conversion rights, and (iii) the conversion or exercise price for the new registered shares is to be set at least in line with the market conditions prevailing at the date on which the Equity-Linked Financing Instruments are issued.
- The acquisition of registered shares through the exercise of conversion or option rights and any further transfers of registered shares shall be subject to the restrictions specified in Article 5 of SRZ's Articles of Association.
- The total of shares issued from (i) authorized capital according to Article 3b of the Articles of Association where the existing shareholders' subscription rights (*Bezugsrechte*) were excluded, and (ii) shares issued from conditional capital according to Article 3a of the Articles of Association where the existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) on the Equity-Linked Financing instruments were excluded, may not exceed 74,140,927 shares up to April 15, 2013.

Authorized Share Capital. Article 3b of SRZ's Articles of Association provides for a capital increase from authorized capital at any time up to April 15, 2013 by a maximum amount not exceeding CHF 8,500,000 through the issue of up to 85,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10. Increases by underwriting as well as partial increases are permitted. The date of issue, the issue price, the type of contribution and any possible acquisition of assets, the date of dividend entitlement as well as the expiry or allocation of non-exercised subscription rights (*Bezugsrechte*) will be determined by the Board of Directors. Furthermore:

- With respect to a maximum of CHF 5,000,000 through the issue of up to 50,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10 out of the total amount of authorized capital, the subscription rights of shareholders may not be excluded.
- With respect to a maximum of CHF 3,500,000 through the issue of up to 35,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10 out of the total amount of authorized capital, the Board of Directors may (subject to the limitations set forth in the last bullet below) exclude or restrict the subscription rights (*Bezugsrechte*) of the existing shareholders for the use of shares in connection with (i) mergers, acquisitions (including takeover) of companies, parts of companies or holdings, equity stakes (participations) or new investments planned by SRZ and/or group companies, financing or re-financing of such mergers, acquisitions or new investments, the conversion of loans, securities or equity securities, and/or (ii) improving the regulatory capital position of SRZ or group companies in a fast and expeditious manner if the Board of Directors deems it appropriate or prudent to do so (including by way of private placements).
- The subscription and acquisition of the new registered shares, as well as each subsequent transfer of the registered shares, will be subject to the restrictions specified in Article 5 of SRZ's Articles of Association.
- The total of registered shares issued from (i) authorized capital according to Article 3b of the Articles of Association where the existing shareholders' subscription rights (*Bezugsrechte*) were excluded, and (ii) shares issued from conditional capital according to Article 3a of the Articles of Association where the existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) on the Equity-Linked Financing Instruments (as defined in SRZ's Articles of Association) were excluded, may not, in the aggregate, exceed 74,140,927 shares up to April 15, 2013.

The SRZ Shares

The SRZ Shares are registered shares with a nominal value of CHF 0.10 each.

The SRZ Shares are dematerialized securities (*Wertrechte*, within the meaning of the Swiss Federal Code of Obligations) and intermediated securities (*Bucheffekten*, within the meaning of the FISA).

Shareholders have no right to request that certificates be provided for registered shares. Each shareholder may, however, at any time request a written confirmation from SRZ of the registered shares held by such shareholder, as reflected in the share register of SRZ. The SRZ Shares may be transferred by way of book-entry credit to other securities accounts in accordance with the provisions of the FISA. Furnishing of collateral in the SRZ Shares must also conform to the regulations of the FISA; the transfer and furnishing of collateral by assignment is excluded.

The SRZ Shares are freely transferable, without any limitations, provided that the buyers declare that they are the beneficial owners of the SRZ Shares and comply with the disclosure requirements of the SESTA.

Persons who do not declare that they are the beneficial owners of the SRZ Shares held by them (“nominees”) are entered without further inquiry in the share register of SRZ as shareholders with voting rights up to a maximum of 2% of the outstanding share capital at the time. Additional SRZ Shares held by such nominees that exceed the limit of 2% of the outstanding share capital are entered in the share register with voting rights only if such nominees disclose the names, addresses and shareholdings of the beneficial owners of the holdings amounting to or exceeding 0.5% of the outstanding share capital. In addition, such nominees must comply with the disclosure requirements of the SESTA.

Provisions relating to Acquisitions and Contributions in Kind

Articles 26 to 28 of SRZ’s Articles of Association provide as follows:

“Art. 26 Acquisition of property

The company intends to acquire, via its subsidiary Swiss Re Life & Health America Inc., based in Stamford, Connecticut, from Lincoln National Corporation, based in Fort Wayne, Indiana, US, and from a number of its affiliates, the reinsurance operations of Lincoln National Corporation, based in Fort Wayne, Indiana, US, in the form of participations in group companies operating in the field of reinsurance as well as reinsurance treaties. The acquisition price will be a maximum of USD 2 000 000 000 – which translates into a maximum price of CHF 3 600 000 000.

Art. 27 Acquisition of property

The company intends to acquire from General Electric Company, based in Fairfield, Connecticut, US, or from companies which it controls, all shares of GE Insurance Solutions Corporation, based in Kansas City, Missouri, US, and all companies which it controls, with the exception of life and health companies in the US, as well as the assets and liabilities of GE Frankona Reassurance Limited, based in London, UK. The price stipulated in the Transaction Agreement of 18 November 2005 between the company and General Electric Company comprises a basic purchase price of USD 6 800 000 000 (approximately CHF 8 800 000 000) which may rise to USD 7 600 000 000 (approximately CHF 9 900 000 000) subject to closing adjustments. Part of the acquisition price will be paid in shares in the company; part will be paid in cash, mandatory convertible securities and debt securities.

Art. 28 Contribution in kind

The company has acquired, in accordance with the contribution in kind agreements of 9 June 2006, a total of 905 common shares, each with a nominal value of USD 5 000, of GE Insurance Solutions Corporation, based in Kansas City, Missouri, US, broken down as follows: 815 common shares of a total value of CHF 2 628 955 946.30 from General Electric Capital Services, Inc, based in Stamford, Connecticut, US; and 90 common shares of a total value of CHF 287 541 867.80 from General Electric Capital Corporation, based in Stamford, Connecticut, US. The acquisition price was paid by assigning to the contributors a total of 33 300 957 fully paid-in registered shares of the company, each with a nominal value of CHF 0.10, of which 30 017 766 shares were assigned to General Electric Capital Services, Inc, and 3 283 191 to General Electric Capital Corporation.”

Treasury Shares

As of the date of this Information Memorandum, SRZ holds a total of 26,654,366 SRZ Shares.

Dividends Paid

SRZ paid a cash dividend of CHF 1.0 billion to its shareholder, SRL, on March 26, 2012. In addition, in connection with the Carve-out Transactions, it expects to pay, subject to FINMA approval, dividends-in-kind in the form of shares of Swiss Re Corporate Solutions and Swiss Re Life Capital Ltd (with a book value in SRZ’s statutory accounts for the year ended December 31, 2011 of CHF 5.8 billion). See “Proposal for allocation of disposable profit/loss” in the audited statutory accounts of SRZ as of December 31, 2011 and 2010 and for the years then ended.

Dividends paid per share by SRZ in respect of the five fiscal years preceding the Exchange Offer (in Swiss francs) were:

Fiscal year	Dividend in CHF per SRZ Share
2010	2.75 ^(a)
2009	1.00
2008	0.10
2007	4.00
2006	3.40

^(a) Swiss withholding tax exempt distribution out of legal reserves from capital contributions.

Certain Information about SRL

Name, Incorporation, Registered Office, Duration and Registration

SRL (Swiss Re AG, Swiss Re Ltd, Swiss Re SA) was founded on February 2, 2011 as a stock corporation (*Aktiengesellschaft*) under Swiss law, for an indefinite period by contribution in kind by SRZ of 1,000,000 of its treasury shares in exchange for 1,000,000 newly issued SRL Shares, and was entered into the Commercial Register of the Canton of Zurich on February 7, 2011 under the firm number CH-020.3.036.183-8. It has its registered domicile in Zurich. Its Articles of Association were last amended effective December 12, 2011 in connection with a capital increase.

Purpose

SRL serves as the holding company for the Swiss Re Group.

Under its Articles of Association, the main business purpose of SRL is the acquisition, holding, administration and sale of direct or indirect participations in all types of businesses in Switzerland and elsewhere, in particular in the areas of reinsurance, insurance and asset management. SRL may engage in any operations and take any measures that seem appropriate to promote its purpose. It may acquire participations in other companies in Switzerland and elsewhere. SRL has, as an ancillary activity, the power to acquire and sell mortgage and real estate properties, both in Switzerland and elsewhere.

Share Capital Structure

Issued Share Capital. As of the date of this Information Memorandum, SRL's issued share capital as registered with the Canton of Zurich Commercial Register, including shares reserved for corporate purposes, is CHF 37,070,693.10 divided into 370,706,931 fully paid-in registered shares (each with a nominal value of CHF 0.10). There are no additional types of shares with a higher or limited voting power, privileged dividend entitlement or any other preferential rights, nor are there any other securities representing a part of SRL's share capital. SRL's capital structure ensures equal treatment of all shareholders in accordance with the principle of "one share/one vote." All issued shares are fully paid and validly created under Swiss law.

Conditional Share Capital. Article 3a of SRL's Articles of Association provides for a capital increase from conditional capital limited to a share capital increase not exceeding CHF 5,000,000 by issuing a maximum of 50,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10, through the exercise of conversion rights and warrants granted in connection with bonds or similar instruments issued by SRL or group companies. Existing shareholders' subscription rights (*Bezugsrechte*) are excluded. The then current holders of the conversion and/or option rights granted in connection with Equity-Linked Financing Instruments (as defined in SRL's Articles of Association) will be entitled to subscribe for the new registered shares. Furthermore,

- Existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) with regard to these Equity-Linked Financing Instruments may be restricted or excluded by decision of the Board of Directors (subject to the limitations set forth in the last bullet below) in order to issue Equity-Linked Financing Instruments (i) on national and/or international capital markets (including by way of private placements to one or more selected strategic investors), and/or (ii) to finance or re-finance the acquisition of companies, parts of companies, equity stakes (participations) or new investments planned by SRL and/or group companies.
- If advance subscription rights (*Vorwegzeichnungsrechte*) are excluded, then (i) the Equity-Linked Financing Instruments are to be placed at market conditions, (ii) the exercise period is not to exceed ten years for option rights and twenty years for conversion rights, and (iii) the conversion or exercise price for the new registered shares is to be set at least in line with

the market conditions prevailing at the date on which the Equity-Linked Financing Instruments are issued.

- The acquisition of registered shares through the exercise of conversion or option rights and any further transfers of registered shares shall be subject to the restrictions specified in Article 4 of SRL's Articles of Association.
- The total of shares issued from (i) authorized capital according to Article 3b of the Articles of Association where the existing shareholders' subscription rights (*Bezugsrechte*) were excluded, and (ii) shares issued from conditional capital according to Article 3a of the Articles of Association where the existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) on the Equity-Linked Financing instruments were excluded, may not exceed 74,140,927 shares up to May 20, 2013.

Authorized Share Capital. Article 3b of SRL's Articles of Association provides for a capital increase from authorized capital at any time up to May 20, 2013 by a maximum amount not exceeding CHF 8,500,000 through the issue of up to 85,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10. Increases by underwriting as well as partial increases are permitted. The date of issue, the issue price, the type of contribution and any possible acquisition of assets, the date of dividend entitlement as well as the expiry or allocation of non-exercised subscription rights (*Bezugsrechte*) will be determined by the Board of Directors. Furthermore:

- With respect to a maximum of CHF 5,000,000 through the issue of up to 50,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10 out of the total amount of authorized capital, the subscription rights of shareholders may not be excluded.
- With respect to a maximum of CHF 3,500,000 through the issue of up to 35,000,000 registered shares, payable in full, each with a nominal value of CHF 0.10 out of the total amount of authorized capital, the Board of Directors may (subject to the limitations set forth in the last bullet below) exclude or restrict the subscription rights (*Bezugsrechte*) of the existing shareholders for the use of shares in connection with (i) mergers, acquisitions (including takeover) of companies, parts of companies or holdings, equity stakes (participations) or new investments planned by SRL and/or group companies, financing or re-financing of such mergers, acquisitions or new investments, the conversion of loans, securities or equity securities, and/or (ii) improving the regulatory capital position of SRL or group companies in a fast and expeditious manner if the Board of Directors deems it appropriate or prudent to do so (including by way of private placements).
- The subscription and acquisition of the new registered shares, as well as each subsequent transfer of the registered shares, will be subject to the restrictions specified in Article 4 of SRL's Articles of Association.
- The total of registered shares issued from (i) authorized capital according to Article 3b of SRL's Articles of Association where the existing shareholders' subscription rights (*Bezugsrechte*) were excluded, and (ii) shares issued from conditional capital according to Article 3a of the Articles of Association where the existing shareholders' advance subscription rights (*Vorwegzeichnungsrechte*) on the Equity-Linked Financing Instruments (as defined in SRL's Articles of Association) were excluded, may not, in the aggregate, exceed 74,140,927 shares up to May 20, 2013.

Additional Authorized Share Capital. Article 3c of SRL's Articles of Association provides for an increase in SRL's share capital for its use as consideration for any remaining minority shareholders of SRZ for any voluntary or mandatory surrendering of SRZ Shares after the execution of the Exchange Offer at any time up to May 20, 2013 by a maximum amount not exceeding CHF 4,005,061.30 through the issue of up to 40,050,613 registered shares, payable in full, each with a nominal value of CHF 0.10. Increases by underwriting as well as partial increases are permitted. The

date of issue, the issue price, the type of contribution and any possible acquisition of assets as well as the date of dividend entitlement will be determined by the Board of Directors. The subscription rights of the existing shareholders (*Bezugsrechte*) for registered shares issued pursuant to Article 3c are excluded. The subscription and acquisition of the new registered shares, as well as each subsequent transfer of the registered shares, will be subject to the restrictions specified in Article 4 of SRL's Articles of Association.

The SRL Shares

The SRL Shares are registered shares with a nominal value of CHF 0.10 each.

The SRL Shares are dematerialized securities (*Wertrechte*, within the meaning of the Swiss Federal Code of Obligations) and intermediated securities (*Bucheffekten*, within the meaning of the FISA).

Shareholders have no right to request that certificates be provided for registered shares. Each shareholder may, however, at any time request a written confirmation from SRL of the registered shares held by such shareholder, as reflected in the share register of SRL. The SRL Shares may be transferred by way of book-entry credit to other securities accounts in accordance with the provisions of the FISA. Furnishing of collateral in the SRL Shares must also conform to the regulations of the FISA; the transfer and furnishing of collateral by assignment is excluded.

The SRL Shares are freely transferable, without any limitations, provided that the buyers declare that they are the beneficial owners of the SRL Shares and comply with the disclosure requirements of the SESTA.

Persons who do not declare that they are the beneficial owners of the SRL Shares held by them ("nominees") are entered without further inquiry in the share register of SRL as shareholders with voting rights up to a maximum of 2% of the outstanding share capital at the time. Additional SRL Shares held by such nominees that exceed the limit of 2% of the outstanding share capital are entered in the share register with voting rights only if such nominees disclose the names, addresses and shareholdings of the beneficial owners of the holdings amounting to or exceeding 0.5% of the outstanding share capital. In addition, such nominees must comply with the disclosure requirements of the SESTA.

Shareholders Meetings

Annual General Meetings of shareholders of SRL are to be held within six months after the close of the business year.

Each SRL Share entitles its registered holder to one vote at a General Meeting. Any shareholder with voting rights may have his/her shares represented at any General Meeting by another person authorized in writing or by corporate bodies, independent proxies or proxies for deposited shares. Such representatives need not be shareholders.

Any General Meeting of shareholders passes resolutions irrespective of the number of shareholders present or shares represented, by an absolute majority of the votes validly cast, subject to the compulsory exceptions provided by law.

The rules of the Articles of Association on the convocation of the General Meeting of shareholders correspond with the legal provisions. Accordingly, the General Meeting of shareholders is summoned by the Board of Directors at least 20 days before the date of the meeting by notice published in the Swiss Official Gazette of Commerce. Extraordinary General Meetings may be called by resolution of the General Meeting or the Board of Directors, or as required by shareholders with voting power, provided they represent at least 10% of the share capital.

The Board of Directors announces the agenda. Shareholders with voting power whose combined holdings represent shares with a nominal value of at least CHF 100,000 may, no later than 45 days before the date of the meeting, demand that matters be included in the agenda. Such demands must be in writing and must specify the items and the proposals to be submitted.

Dividends

The holders of the SRL Shares are entitled to the dividends or other distributions approved by the General Meeting in proportion to their shareholdings, and in the event of liquidation of SRL's assets, they are entitled to a proportional share after all debts have been paid. Shareholders who are registered in the share register without voting rights cannot participate or vote in a General Meeting, but are nevertheless entitled to receive dividends and/or exercise other property rights.

Disclosure of Shareholdings

Under the SESTA, anyone acquiring or selling (whether directly, indirectly or in concert with others) shares in a company listed on the SIX Swiss Exchange is required to notify the company and the SIX Swiss Exchange if their (or their group's) holding reaches, falls below or exceeds the following thresholds: 3%, 5%, 10%, 15%, 20%, 25%, 33⅓%, 50% or 66⅔% of the voting rights entered into the Commercial Register, whether or not the voting rights can be exercised. The notification duty extends to the acquisition or sale not only of actual shares, but also of rights to acquire or to sell such shares (such as options), and to other financial instruments referencing such shares. Detailed rules on the calculation of disclosable positions (which include (a) actual shareholdings, (b) total long position, and (c) total short position) for purposes of the notification duty are contained in the SESTA and in an ordinance of FINMA. Upon receipt of such notifications, SRL is required to inform the public.

As a result of the Stock Settlement feature of the Loan Instruments, Holders should be aware that SRL Shares underlying the Loan Instruments that they hold will be included in the calculation of their (or their group's) disclosable total long position in SRL Shares (by reason of their potential acquisition of SRL Shares upon a Stock Settlement) (in order to determine if notification under SESTA is required as a result of that position reaching, falling below or exceeding one of the SESTA thresholds), and they should inform themselves of the detailed rules in respect to determining whether they are subject to a notification duty under the SESTA. Based on guidance received from the Disclosure Office of the SIX Swiss Exchange, any disclosable long position in SRL Shares as a result of ownership of the Loan Instruments is to be determined by reference to the Floor Price of the Loan Instruments (i.e., the Principal Amount of the Loan Instruments divided by the Floor Price will be relevant to determine a Holder's long position for purposes of disclosure of major shareholders). This guidance is subject to change. If any such disclosure is made, Holders should also indicate in the pertinent notification forms that the actual number of SRL Shares to be received under the Loan Instruments could be higher than the notified amount or percentage. Notwithstanding disclosure by a Holder, the foregoing disclosure obligations would also apply to holders of other securities, including securities issued by a Holder, to the extent such securityholders have rights and obligations that reference the Loan Instruments, including, in particular, the potential to receive SRL Shares following Stock Settlement.

Duty to Make an Offer

The acquisition by a shareholder (whether directly, indirectly or in concert with others) of more than 33⅓% of the SRL Shares would trigger a mandatory takeover offer for the SRL Shares owned by all other shareholders. Under the SESTA, if a shareholder (or a group of shareholders acting in concert) acquires shares representing more than 33⅓% of the voting rights of a Swiss company listed on a Swiss exchange, the shareholder would be obligated to launch a takeover offer for the shares it does not own. The SESTA also allows these companies to include in their articles of association an "opt up" provision (in which the threshold could be raised above 33⅓%) or an "opt out" provision

(where the obligation to make a takeover offer upon reaching the 33⅓% threshold is waived). SRL's Articles of Association, however, contain neither an "opt up" provision nor an "opt out" provision.

Pre-emptive Rights and Advance Subscription Rights

Under the Swiss Federal Code of Obligations, the prior approval of a general meeting of shareholders is generally required to authorise, for later issuance, the issuance of shares, or rights to subscribe for, or convert into, shares (which rights may be connected to debt instruments or other obligations). In addition, the existing shareholders will have pre-emptive rights in relation to such shares or rights in proportion to the respective par values of their holdings. The shareholders may, with the affirmative vote of shareholders holding at least two-thirds of the voting rights and a majority of the par value of the shares, each as represented (in person or by proxy) at the general meeting, limit or exclude (or authorize the Board of Directors to limit or exclude) the pre-emptive rights for valid reasons; provided, however, that no shareholder shall be advantaged or disadvantaged without good cause.

Listing

The SRL Shares are listed in accordance with the Main Standard and traded on the SIX Swiss Exchange under the symbol "SREN".

SRL Share Price Information

The closing price of the SRL Shares on the SIX Swiss Exchange on March 22, 2012 was CHF 57.75, with a daily high of CHF 58.70 and a daily low of CHF 57.60. Further historical share price information for the SRL Shares (since May 23, 2011) and for SRZ Shares (up to May 20, 2011) is available on the website of the SIX Swiss Exchange (www.six-swiss-exchange.com).

Management/Board of Directors

Board of Directors and Management of SRL

Board of Directors

Under SRL's Articles of Association, the Board of Directors is to consist of at least seven members and the term of a director is three years. Members whose terms expire are immediately eligible for re-election, and re-election is substantiated by the Chairman of the Board of Directors at the Annual General Meeting and is separately voted on.

The Board of Directors of SRL is constituted as follows:

<u>Name</u>	<u>Position</u>	<u>Term Ends In</u>
Walter B. Kielholz.....	Chairman	2013
Mathis Cabiallavetta.....	Vice Chairman	2014
Jakob Baer.....	Director	2012
Raymund Breu	Director	2014
Raymond K.F. Ch'ien	Director	2014
John R. Coomber.....	Director	2012
Renato Fassbind	Director	2014
Rajna Gibson Brandon	Director	2014
Malcolm D. Knight	Director	2013
Hans Ulrich Maerki.....	Director	2014
Carlos E. Represas.....	Director	2013
Jean-Pierre Roth.....	Director	2013
Robert A. Scott ⁽¹⁾	Director	2012

- (1) In October 2011, we announced that Robert A. Scott will resign from the Board of Directors on April 13, 2012, after reaching retirement age.

The business address of each director is Mythenquai 50/60, 8002 Zurich, Switzerland.

Independence

SRL requires a majority of the Board of Directors to be independent. To be considered independent, a director may not be, and may not have been in the past three years, employed as an executive officer of Swiss Re. In addition, he or she must not have a material relationship with any part of Swiss Re – directly or as a partner, director or shareholder of an organization that has a material relationship with Swiss Re. Based on SRL's independence criteria, all directors qualify as independent.

Information about managerial positions and significant business connections of non-executive directors

All members of the Board of Directors are non-executive. John R. Coomber was Chief Executive Officer of Swiss Re until December 31, 2005. Walter B. Kielholz was Chief Executive Officer of Swiss Re from January 1, 1997 to December 31, 2002. Of the other directors, none has ever held a management position in Swiss Re. No director has any significant business connection with SRL or any of its group companies.

Skills, experience and expertise

The Board of Directors aims to attain among its members the requisite balance of skills, knowledge and tenure for today's business needs. Potential new candidates are assessed against the Board of Directors' approved selection criteria, including integrity, skill, qualifications, experience,

communication capabilities and community standing. In addition to their managerial skills and expertise, the directors collectively represent a mix of backgrounds and a mix of experience or expertise in key areas such as accounting, legislation, insurance/reinsurance, finance, risk management and capital markets, thus providing a solid foundation for decision-making. Newly elected directors receive a general introduction to the responsibilities of directors and committee members. In the course of the year, the directors also meet with experts regularly to update and enhance their knowledge on emerging business trends and risks.

Biographical Information

Each of the following directors, other than Renato Fassbind, became a director of SRL on February 7, 2011 and also remains a director of SRZ. Renato Fassbind became a director of both SRL and SRZ on April 15, 2011.

Walter B. Kielholz, Chairman, non-executive and independent director

Walter B. Kielholz, a Swiss citizen born in 1951, was elected to SRZ's Board of Directors in June 1998. He began his career at the General Reinsurance Corporation, Zurich, in 1976. After working in the United States, United Kingdom and Italy, he assumed responsibility for the company's European marketing. In 1986, he joined Credit Suisse, Zurich, where he was responsible for client relations with large insurance groups in the multinational services department. In 1989, Walter B. Kielholz joined SRZ. He became a member of SRZ's Executive Board in January 1993 and was SRZ's Chief Executive Officer from 1997 to 2002. He was Executive Vice Chairman of SRZ's Board of Directors from 2003 to 2006 and Vice Chairman from 2007 to April 2009. He was nominated Chairman of SRZ's Board of Directors with effect from May 1, 2009.

Walter B. Kielholz has been a member of the board of directors of Credit Suisse Group AG since 1999. He was Chairman of the bank's board of directors from 2003 to 2009. He is chairman of the European Financial Services Roundtable, a member of the International Monetary Conference, and vice chairman of the board of the Institute of International Finance. Walter B. Kielholz is also a member and former chairman of the board of trustees of Avenir Suisse. From 2003 to 2009, he was a member of the board and the committee of *economiesuisse*. In 2005, he was elected to the Insurance Hall of Fame, which honours individuals who have exercised substantial influence on the insurance industry for the benefit of society. Furthermore, Walter B. Kielholz is chairman of the Zurich Art Society. Walter B. Kielholz studied business administration at the University of St. Gallen and graduated in 1976 with a degree in business finance and accounting.

Mathis Cabiallavetta, Vice Chairman, non-executive and independent director

Mathis Cabiallavetta, a Swiss citizen born in 1945, was elected to SRZ's Board of Directors in 2008 and nominated Vice Chairman as of March 13, 2009. Mathis Cabiallavetta is a member of the boards of Philip Morris International and BlackRock. He is also a member of the executive advisory board of General Atlantic Partners in New York. He was vice chairman of the board of directors of Marsh & McLennan Companies ("MMC") from November 2001 to November 2004. Prior to joining MMC in 1999, Mathis Cabiallavetta was chairman of the board of directors of UBS AG, having held several senior positions in the company from 1971. He became president of the group executive board in 1996 and was elected chairman of UBS AG in 1998. He is a former member of the Bank Council of the Swiss National Bank and a past vice chairman of the board of directors of the Swiss Bankers Association. He was also a member of the committee of the board of directors of the Swiss Stock Exchange and the International Capital Markets Advisory Committee of the Federal Reserve Bank of New York. Mathis Cabiallavetta graduated from the University of Montreal with a bachelor's degree in economics.

Jakob Baer, Non-executive and independent director

Jakob Baer, a Swiss citizen born in 1944, was elected to SRZ's Board of Directors in May 2005. He began his career in the legal department of the Federal Finance Administration. In 1975, he joined Fides Trust Company. Following the successful planning and execution of a management buyout of Fides' advisory business, he became a member of the management board of KPMG Switzerland in 1992. He was appointed chief executive officer of KPMG Switzerland in 1994 and a member of KPMG's European and international management boards. He retired from KPMG in September 2004, having reached the statutory retirement age. He also serves on the boards of directors of Adecco S.A., Rieter Holding AG, Allreal Holding AG, Barry Callebaut AG and Stäubli Holding AG. Jakob Baer became an attorney-at-law in 1971 and graduated from the University of Bern in 1973 with a doctorate in law.

Raymund Breu, Non-executive and independent director

Raymund Breu, a Swiss citizen born in 1945, was elected to SRZ's Board of Directors in 2003. He was chief financial officer of the Novartis Group and a member of that company's executive committee from December 1996, when Novartis was created, until January 2010. He joined the group treasury of Sandoz, a predecessor company of Novartis, in 1975. Ten years later, he was appointed chief financial officer of Sandoz Corporation in New York. In 1990, he became group treasurer of Sandoz Ltd and, in 1993, head of group finance and a member of the Sandoz executive board. Raymund Breu also serves as a director of Nobel Biocare Holding AG and on the Swiss Takeover Board. Raymund Breu graduated from the Swiss Federal Institute of Technology (ETH) in Zurich with a doctorate in mathematics.

Raymond K. F. Ch'ien, Non-executive and independent director

Raymond K. F. Ch'ien, a Chinese citizen born in 1952, was elected to SRZ's Board of Directors in April 2008. Raymond K. F. Ch'ien was chairman of CDC Corporation from 1999 to 2011. He served as chief executive officer of the company in 2005 and as acting chief executive officer in 2004. From 1984 to 1997, he was group managing director of Lam Soon Hong Kong Group. Raymond K. F. Ch'ien also serves as chairman of the boards of directors of MTR Corporation Limited and Hang Seng Bank Limited. He is also a member of the board of directors of the Hong Kong and Shanghai Banking Corporation Limited, Convenience Retail Asia Limited, China Resources Power Holdings Company Limited, The Wharf (Holdings) Limited, and the Hong Kong Mercantile Exchange. In addition, Raymond K. F. Ch'ien holds positions in several public service institutions. He is chairman of the Hong Kong/European Union Business Cooperation committee, honorary president of the Federation of Hong Kong Industries, and a member of the standing committee of the Tianjin Municipal Committee of the Chinese People's Political Consultative Conference. He became a trustee of the University of Pennsylvania in 2006. Raymond K. F. Ch'ien studied at Rockford College and the University of Pennsylvania, graduating with a PhD in economics in 1978.

John R. Coomber, Non-executive and independent director

John R. Coomber, a British citizen born in 1949, was elected to SRZ's Board of Directors in February 2006. John R. Coomber started his career with the Phoenix Insurance Company. He joined SRZ in 1973. Having qualified as an actuary in 1974, he first specialized in the company's life reinsurance area. He was Swiss Re UK's appointed actuary from 1983 to 1990. In 1987, he assumed responsibility for the Life division and, in 1993, was made Head of the company's UK operations. John R. Coomber was appointed a member of the Executive Committee in April 1995, responsible for the Swiss Re's Life & Health Division. In June 2000, he became a member of SRZ's Executive Committee. He was Chief Executive Officer of Swiss Re from 2003 to 2005, when he retired after 33 years of employment with Swiss Re. John R. Coomber serves as chief executive officer of Pension Insurance Corporation Limited, and is a director of MH (GB) Limited. He is also chairman of ClimateWise, a trustee of The Climate Group, and a member of the Deutsche Bank Climate Advisory

Panel. John R. Coomber is an Honorary Fellow of the Chartered Insurance Institute. John R. Coomber graduated in theoretical mechanics from Nottingham University in 1970.

Rajna Gibson Brandon, Non-executive and independent director

Rajna Gibson Brandon, a Swiss citizen born in 1962, was elected to SRZ's Board of Directors in June 2000. Rajna Gibson Brandon is a professor of finance at the University of Geneva and director of the Geneva Finance Research Institute. She was a professor of financial economics at the University of Zurich from 2000 to 2008 and was previously a professor of finance at the University of Lausanne. She is a deputy director of the National Centre of Competence in Research (NCCR) "Financial Valuation and Risk Management" research network, director of research of the Swiss Finance Institute (SFI) and an adviser to scientific councils of various educational institutions. She was a member of the Swiss Federal Banking Commission until the end of 2004. Rajna Gibson Brandon studied business and economics at the University of Geneva, graduating with a BA in 1982 and a PhD in economics and social sciences in 1987.

Renato Fassbind, Non-executive and independent director

Renato Fassbind, a Swiss citizen born in 1955, was elected to SRZ's Board of Directors in April 2011. Renato Fassbind was chief financial officer and a member of the executive board of Credit Suisse Group from 2004 to September 2010. Before that, he held the position of chief executive officer of Diethelm Keller Group. From 1997 to 2002, he was chief financial officer, and from 1990 to 1996, head of corporate staff audit, at ABB Ltd. He worked with F. Hoffmann-La Roche AG, Basel, in internal audit from 1984 to 1990 and was appointed head of internal audit in 1988. From 1986 to 1987, he worked with Peat Marwick in New Jersey, United States, as a public accountant. Renato Fassbind also serves on the Boards of Directors of three significant European group companies of SRZ. Renato Fassbind received his certification as a certified public accountant in 1986 in Colorado, United States. He graduated from the University of Zurich in 1982 with a PhD in economics and received an MBA from the University of Zurich in 1979.

Malcolm D. Knight, Non-executive and independent director

Malcolm D. Knight, a Canadian citizen born in 1944, was elected to SRZ's Board of Directors in April 2010. Malcolm D. Knight has been a vice chairman of Deutsche Bank since 2008. Concurrently, he is a visiting professor in Finance at the London School of Economics. In addition, he is a trustee of the Per Jacobsson Foundation, chairman of the Board of Patrons of the European Association for Banking and Financial History, and a trustee of the International Valuation Standards Council. Malcolm D. Knight was general manager (CEO) of the Bank for International Settlements from 2003 to 2008. He served as senior deputy governor of the Bank of Canada from 1999 to 2003. From 1975 to 1999, he held senior positions at the International Monetary Fund in both research and operations. Malcolm D. Knight holds an Honours BA in Political Science and Economics from the University of Toronto, and Master of Science (Economics) and PhD degrees from the London School of Economics.

Hans Ulrich Maerki, Non-executive and independent director

Hans Ulrich Maerki, a Swiss citizen born in 1946, was elected to SRZ's Board of Directors in 2007. Hans Ulrich Maerki joined IBM Switzerland in 1973. After some years in the sales area, he was promoted to a number of managerial positions in IBM's Paris European Headquarters as well as in IBM Switzerland. From 1993 to 1995, he led IBM's business in Switzerland as general manager, before moving to IBM Europe in Paris to build the largest IT services business in the market. In August 2001, he was appointed chairman of the board of directors of IBM EMEA. From 2003 to 2005 he was also chief executive officer of IBM EMEA. He retired from IBM after 35 years of service in April 2008. He is a member of the boards of directors of ABB Ltd, Mettler-Toledo International and the Menuhin Festival Gstaad AG. He serves on the foundation board of Schulthess-Klinik in Zurich,

on the board of trustees of the Hermitage Museum in St. Petersburg, as well as on the international advisory boards of the Ecole des Hautes Etudes Commerciales (HEC) Paris, the IESE Business School University of Navarra (IESE) and Bocconi University in Milan. He is currently a Senior Fellow of Advanced Leadership at Harvard University. Hans Ulrich Maerki graduated with a master's degree in business administration from the University of Basel in 1972.

Carlos E. Represas, Non-executive and independent director

Carlos E. Represas, a Mexican citizen born in 1945, was elected to SRZ's Board of Directors in April 2010. Carlos E. Represas was chairman of the board of Nestlé Group Mexico from 1983 to 2010. He also serves on the boards of directors of Bombardier Inc. and Merck & Co. Inc., and on the board of the Mexican Health Foundation A.C. Furthermore, he is chairman of the board of trustees of the National Institute of Genomic Medicine, Mexico, president of the Mexico Chapter of the Latin American Chamber of Commerce in Switzerland, and a member of the Latin America Business Council (CEAL). Between 1968 and 2004, Carlos E. Represas held various senior positions at Nestlé in the United States, Latin America and Europe. He was executive vice president and also head of the Americas of Nestlé S.A. from 1994 to 2004. Carlos E. Represas studied economics at the National University of Mexico and industrial economics at the National Polytechnic Institute, Mexico. He completed further studies in the areas of finance, marketing and management in the United States and in Switzerland.

Jean-Pierre Roth, Non-executive and independent director

Jean-Pierre Roth, a Swiss citizen born in 1946, was elected to SRZ's Board of Directors in April 2010, with effect from July 1, 2010. Jean-Pierre Roth is chairman of the board of directors of Geneva Cantonal Bank. In addition, he serves on the boards of directors of Nestlé S.A. and Swatch Group AG. Jean-Pierre Roth was chairman of the governing board of the Swiss National Bank (the "SNB") from January 2001 until December 2009. He joined the SNB in 1979, where he held various senior positions before he was appointed a member of the governing board in 1996. From 2001, he was a member and from 2006 chairman of the board of directors of the Bank for International Settlements, until his retirement from this position in 2009. Jean-Pierre Roth also served as Swiss Governor of the International Monetary Fund from 2001 to 2009 and as a Swiss representative on the Financial Stability Board from 2007 to 2009. Jean-Pierre Roth studied economics at the University of Geneva and graduated from the Graduate Institute of International Studies (Institut Universitaire de Hautes Etudes Internationales) with a PhD in political sciences in 1975.

Robert A. Scott, Non-executive and independent director

Robert A. Scott, a British and Australian citizen born in 1942, joined SRZ's Board of Directors in 2002. Robert A. Scott is a retired group chief executive of CGNU plc, now Aviva. In the 1990s, he was group chief executive of General Accident and, following the merger with Commercial Union in 1998, was appointed group chief executive of CGU plc. Following the merger in 2000 with Norwich Union, Robert A. Scott became group chief executive of CGNU plc, retiring in May 2001. Robert A. Scott was also chairman of the Association of British Insurers from 2000 to 2001, and a board member in the previous four years. He is also a director of Pension Insurance Corporation Limited and an adviser to Duke Street Capital. Robert A. Scott was educated at Scots College, Wellington, New Zealand. He has been a senior associate of the Australian and New Zealand Institute of Insurance and Finance (ANZIIF) since 1965 and was made a Commander of the British Empire (CBE) in 2002.

Election procedure

The members of the Board of Directors are elected at a General Meeting of shareholders. The Chairman's and Governance Committee evaluates candidates for membership on the Board of Directors and makes recommendations to the Board of Directors with regard to their nomination for election or re-election. The Board of Directors submits nominations for new directors for election at

the General Meeting that ensure an adequate size and a well-balanced composition of the Board of Directors and comply with the requirement that a majority of the Board of Directors be independent. At the General Meeting, each proposed election or re-election is presented by the Chairman and voted upon separately. The Chairman and Vice Chairman of the Board of Directors, as well as the chairpersons and members of its committees, are elected to those positions by the Board of Directors.

Organizational structure of the Board of Directors

The organization of the Board of Directors is set forth in the Corporate Bylaws, which define the responsibilities of the Board of Directors, its committees and the executive management. The Corporate Bylaws are reviewed periodically by both the Chairman's and Governance Committee and the full Board of Directors with regard to expediency, as well as compliance with domestic and applicable international laws, regulations and best practice standards.

Allocation of tasks within the Board of Directors

Chairman of the Board of Directors. The Chairman of the Board of Directors exercises ultimate supervision of the Swiss Re Group on behalf of the Board. He has the right to attend the meetings of the Executive Committee and the Business Units, and receives the documentation and minutes of all such meetings. He facilitates reporting to the Board of Directors by executive management. He is also responsible, with the Chairman of the Audit Committee, for overseeing Group Internal Audit and appoints its head, subject to confirmation by the Audit Committee.

In addition, he convenes meetings of the Board of Directors and its committees and makes preparations for, and presides at, Board of Directors meetings. He coordinates the activities of its committees and ensures the Board of Directors is kept informed about their activities and findings. In cases of doubt, he makes decisions regarding the authority of the Board of Directors or its committees and about the application and interpretation of the Corporate Bylaws. He presides at General Meetings and represents Swiss Re to shareholders and other stakeholders such as regulatory and political authorities, industry associations or the media. The Chairman arranges orientation for new members of the Board of Directors and appropriate training for all Board members. If the Chairman of the Board of Directors is prevented from performing his duties, they are performed by the Vice Chairman or another member of the Board of Directors.

Vice Chairman. The Vice Chairman deputises for the Chairman in his absence or in the event of a conflict of interests of the Chairman. He prepares and executes resolutions on request of the Board of Directors and liaises between the Board of Directors and executive management in matters not reserved to the Chairman.

Committees of the Board of Directors. The Board of Directors has delegated certain responsibilities to five committees: Chairman's and Governance Committee, Audit Committee, Compensation Committee, Finance and Risk Committee and Investment Committee.

Each committee consists of a chairperson and at least two other members elected from among the Board of Directors. The term of office of a Board committee member is one year, beginning with the appointment at the Board meeting following an Annual General Meeting and ending at the Board meeting following the subsequent Annual General Meeting. The chairperson prepares and presides over the committee meetings. Any such committee must keep the Board of Directors apprised on a timely basis of actions and determinations. The committees may conduct or authorise special investigations, at any time and at their full discretion, into any matters within their respective scope of responsibilities, thereby taking into consideration relevant peer group practice and general best practice. They are empowered to retain independent counsel, accountants or other experts if deemed necessary, including for purposes of benchmarking best practice, and receive appropriate funding for payment of compensation to such outside advisers.

Chairman's and Governance Committee. The primary function of the Chairman's and Governance Committee is to act as adviser to the Chairman and to address corporate governance issues affecting Swiss Re. It is in charge of the succession planning process at the Board of Directors level and oversees the annual performance assessment of both the Board of Directors and the Executive Committee.

The Chairman's and Governance Committee is headed by the Chairman of the Board of Directors and consists, beside the Chairman, of the Vice Chairman and the chairpersons of all the committees: Walter B. Kielholz, Chair; Mathis Cabiallavetta; Jakob Baer; John R. Coomber and Robert A. Scott.

Audit Committee. The primary responsibility of the Audit Committee is to assist the Board of Directors in fulfilling its oversight responsibilities as they relate to the integrity of Swiss Re's financial statements and its compliance with legal and regulatory requirements. It reviews and approves SRL's and SRZ's external financial reporting. The committee also reviews Swiss Re's accounting principles and practices, the adequacy of the financial reporting process and the efficacy of the system of internal controls. Furthermore, it evaluates the external auditor, approves the audit plans of Group Internal Audit and the external auditor, and discusses their findings with them.

The members of the Audit Committee are Jakob Baer, Chair; Raymund Breu; Raymond K. F. Ch'ien; John R. Coomber and Renato Fassbind.

All members of the Audit Committee are non-executive and independent. In addition to the independence criteria applicable to directors, members of the Audit Committee may not accept any consulting, advisory, or other compensatory fee from Swiss Re, and must possess such additional attributes as the Board of Directors may, from time to time, specify. Each member of the Audit Committee has to be financially literate. At least one member must possess the attributes qualifying him/her as an Audit Committee Financial Expert. Members of the Audit Committee should not serve on audit committees of more than two listed companies outside the Swiss Re Group. Members are to pre-advise the Chairman prior to accepting any further invitation to serve on the audit committee of another listed company.

Compensation Committee. The Compensation Committee proposes to the Board of Directors compensation principles for Swiss Re and determines the establishment of new (and amendments to existing) compensation plans, thereby ensuring that plans do not encourage inappropriate risk taking. The Compensation Committee also defines, or proposes as appropriate, individual compensation at the Board of Directors and management level as well as overall variable compensation pools for Swiss Re. Furthermore, it ensures that all aspects of compensation are fully compliant with remuneration disclosure requirements.

The members of the Compensation Committee are Robert A. Scott, Chair; Renato Fassbind; Hans Ulrich Maerki and Carlos E. Represas.

Finance and Risk Committee. The Finance and Risk Committee annually reviews the Group Risk Policy and recommends it for approval to the Board of Directors, reviews risk and capacity limits approved by the Executive Committee as well as their usage, and reviews the risk control framework. It reviews the most important risk exposures in all major risk categories, as well as new products or strategic expansions of Swiss Re's areas of business. In terms of risk and economic performance measurement, it reviews critical principles used in internal risk measurement, valuation of assets and liabilities, capital adequacy assessment and economic performance management. It also reviews the capital adequacy and the treasury strategy of Swiss Re.

The members of the Finance and Risk Committee are John R. Coomber, Chair; Jakob Baer; Mathis Cabiallavetta; Rajna Gibson Brandon; Malcolm D. Knight and Hans Ulrich Maerki.

Investment Committee. The Investment Committee approves Swiss Re's strategic asset allocation and reviews the tactical asset allocation decisions. It reviews the monthly performance of all financial assets of Swiss Re and makes recommendations to the Board of Directors on strategic holdings. It reviews the risk analysis methodology, as well as the valuation methodology related to each asset class and ensures that relevant management processes and controlling mechanisms in Asset Management are in place.

The members of the Investment Committee are Mathis Cabiallavetta, Chair; Raymund Breu; Raymond K. F. Ch'ien; Rajna Gibson Brandon; Jean-Pierre Roth and Robert A. Scott

Executive Committee

The responsibility for managing SRL's operations resides with its Executive Committee. The members of the Executive Committee are elected by the Board of Directors.

The following sets forth the members of the SRL Executive Committee as expected to be constituted effective April 1, 2012:

Name	Position
Michel M. Liès	Group Chief Executive Officer
David J. Blumer	Group Chief Investment Officer and Head Admin Re [®]
David Cole	Group Chief Risk Officer
Agostino Galvagni	Chief Executive Officer Corporate Solutions
Matthias Weber ⁽¹⁾	Group Chief Underwriting Officer
Christian Mumenthaler	Chief Executive Officer Reinsurance
George Quinn	Group Chief Financial Officer
Thomas Wellauer	Group Chief Operating Officer
Jean-Jacques Henchoz	Regional President EMEA
Moses Ojeisekhoba	Regional President Asia
J. Eric Smith	Regional President Americas

(1) Effective April 1, 2012. Prior to such date, the Chief Underwriting Officer is Brian Gray.

Michel M. Liès, Chief Executive Officer

Michel M. Liès, a citizen of Luxembourg born in 1954, has been appointed Group CEO effective February 1, 2012. Since the beginning of 2011, Mr. Liès was Chairman Global Partnerships, a position outside the Executive Committee that was established to foster relationships in areas of the public sector, governments and non-government organizations. Prior to that time, Mr. Liès was a member of the Executive Committee and Head Client Markets since September 2005. Before that, he was Head of the Europe Division within the Property & Casualty Business Group (from April 2000) and head of the Latin America Division (from July 1998 to March 2000). Mr. Liès joined Swiss Re's Life department in 1978. Based in Zurich, he first covered the Latin American market. From 1983 to 1993, he was responsible for the life and health business in France and the countries of the Iberian peninsula and coordinated Swiss Re's life strategy in the European Community member states. In 1994, he transferred to the non-life sector of our Southern Europe/Latin America department, where he was initially responsible for the Spanish market. Mr. Liès was appointed head of the Southern Europe/Latin America department in 1997. Mr. Liès holds a degree in mathematics from the Swiss Federal Institute of Technology (ETH) in Zurich.

David J. Blumer, Chief Investment Officer / Head Admin Re[®]

David J. Blumer, a Swiss citizen born in 1968, holds a degree in economics from the University of Zurich. Before joining Swiss Re, he worked at Credit Suisse from 1993 to 2008 and held a number of positions in Zurich, London and New York. In private banking, he established an industry leading alternative investment platform. He was appointed head of Trading and Sales in 2004 and headed

Asset Management at Credit Suisse from January 1, 2006. He held the position of chief executive officer of Asset Management and was a member of the executive board of Credit Suisse. David Blumer was appointed Head of Asset Management/Chief Investment Officer and member of SRZ's Executive Committee with effect from May 1, 2008. Effective October 1, 2010, he also assumed responsibility for the Admin Re[®] business. His commitments to organizations outside Swiss Re include his membership of the Forum of Young Global Leaders at the World Economic Forum.

David Cole, Chief Risk Officer

David Cole, a Dutch and American citizen born in 1961, holds a Bachelor of Business Administration from the University of Georgia and an International Business degree from the Nijenrode Universiteit in the Netherlands. David Cole joined Swiss Re on November 1, 2010 from ABN AMRO Holding, where he was, until April 2010, chief financial officer and chief risk officer and member of the board of managing directors. He started his career in 1984 with ABN AMRO in Amsterdam and held a series of credit and relationship management positions in New York, Houston, Chicago and Amsterdam before being appointed executive vice president and regional head of Risk Management for Latin America in 1999, based in São Paulo, Brazil. In 2001, he returned to Amsterdam to assume corporate centre responsibility for Credit Portfolio Management within Group Risk Management. Later that year he was appointed managing director and head of Wholesale Clients (WCS) Change Management. In 2002, David Cole became chief financial officer of WCS and in 2004 he was appointed senior executive vice president and chief operating officer of WCS. In January 2006, he was appointed head of Group Risk Management for ABN AMRO Bank and in 2008 chief financial officer and chief risk officer.

Agostino Galvagni, Chief Executive Officer Corporate Solutions

Agostino Galvagni, an Italian citizen born in 1960, graduated in business management from the Università Commerciale Luigi Bocconi in Milan and then joined Bavarian Re, Munich, as a trainee in 1985. After undertaking various activities in the fields of underwriting and marketing as well as project work, he joined Swiss Re New Markets, New York, in 1998, structuring and marketing insurance-linked and asset-backed securities. He returned to Bavarian Re in 1999 as a member of the Board of Management. In 2001, he joined SRZ, as Head of the Globals Business Unit and member of the Europe Division Executive Team. He was appointed to SRZ's Executive Board with effect from September 2005 to head the Globals & Large Risks division within Client Markets and was appointed Chief Operating Officer of Swiss Re and member of SRZ's Executive Committee as of May 2009. Agostino Galvagni was appointed CEO of Corporate Solutions with effect from October 1, 2010.

Matthias Weber, Chief Underwriting Officer

Matthias Weber, a Swiss citizen born in 1961, graduated from the Swiss Federal Institute of Technology (ETH) in Zurich with an MS in Physics and holds a Ph.D. in Natural Sciences. He started his career at Swiss Re in 1992, when he joined the R&D department in Zurich as an Expert for Natural Perils. In 1995, Matthias Weber became Leader of the Storm/Flood Group and Deputy Head of Swiss Re's Cat Perils Department. He contributed to the development of Swiss Re's Cat models and helped perform internal planning and control processes such as the Cat Accumulation Control or CAMARES. In 1997, he supported Swiss Re New Markets in developing Swiss Re's first cat bond. Matthias Weber moved to the Swiss Re Americas Division in 1998 as an expert for international catastrophe perils and, in 1999, assumed responsibility for the Property Underwriting Unit of Global & National. In 2000, he became Regional Executive for the Western Region of the United States, located in San Francisco. From 2001 to 2005, Matthias Weber was responsible for Property Underwriting in US/Direct, following which he became Head of the Property Armonk Hub. In September 2008, Matthias Weber was appointed Division Head of Property and Specialty Reinsurance and as a member of SRZ's Management Board. He has been appointed to the Executive Committee as Group Chief Underwriting Officer effective April 1, 2012.

Christian Mumenthaler, Chief Executive Officer of Reinsurance

Christian Mumenthaler, a Swiss citizen born in 1969, received a PhD from the Institute of Molecular Biology and Biophysics at the Swiss Federal Institute of Technology (ETH) in Zurich. He started his professional career in 1997 as an associate at the Boston Consulting Group before joining Swiss Re in 1999 as a manager in Group Strategic Planning. In 2002, he became Head of the new Group Retro and Syndication. He was appointed Head of Life & Health in the (Re)Insurance Products area in September 2007 and was a member of SRZ's Management Board. He also served as Chief Risk Officer of Swiss Re with effect from January 1, 2005 to the end of 2007. He was appointed to SRZ's Executive Committee as Chief Marketing Officer Reinsurance effective January 1, 2011. Effective October 21, 2011, he became Chief Executive Officer of the Reinsurance Business Unit. His commitments in organizations outside Swiss Re include board membership in the International Risk Governance Council (IRGC) and in the Sustainability Forum Zürich (TSF).

George Quinn, Chief Financial Officer

George Quinn, a British citizen born in 1966, holds a degree in engineering from the University of Strathclyde and is a member of the Institute of Chartered Accountants in England and Wales. He started his career at KPMG in London where he held a number of positions as adviser and consultant to insurance and reinsurance companies. He joined Swiss Re in 1999 as Chief Accounting Officer, based in Zurich. In 2003, he was appointed Chief Financial Officer for the Financial Services Business Group. He moved to New York in 2005 as Regional Chief Financial Officer for Swiss Re America. On March 1, 2007, George Quinn became Chief Financial Officer of Swiss Re and a member of the Executive Committee. He is a member of the Financial Services Chapter of the Swiss-American Chamber of Commerce.

Thomas Wellauer, Chief Operating Officer

Thomas Wellauer, a Swiss citizen born in 1955, holds a PhD in systems engineering from the Swiss Federal Institute of Technology (ETH), as well as a Master of Business Administration from the University of Zurich. He started his career with McKinsey & Company, specialising in the financial services and pharmaceutical industry sectors, and became a partner in 1991 and senior partner in 1996. In 1997, he was named CEO of the Winterthur Insurance Group, which was later acquired by Credit Suisse. At Credit Suisse he was a member of the group executive board, initially responsible for the group's insurance business before becoming CEO of the Financial Services division in 2000. From 2003 to 2006, Thomas Wellauer headed the global turnaround project at Clariant. Subsequently, he joined Novartis as head of Corporate Affairs and became member of the executive committee of Novartis in 2007. From April 2009 until end of September 2010, he was a member of the supervisory board of Munich Re. Thomas Wellauer was appointed Chief Operating Officer of Swiss Re and member of SRZ's Executive Committee with effect from October 1, 2010.

Jean-Jacques Henchoz, Regional President EMEA

Jean-Jacques Henchoz, a Swiss citizen born in 1964, was appointed to the Executive Committee as Regional President Europe, Middle East and Africa (EMEA) effective January 1, 2012. He started his career in 1988 and held various roles at the Swiss Federal Department of Economic Affairs, and the European Bank for Reconstruction and Development (EBRD). From 1995 to 1996 he was business development manager at SGS Société Générale de Surveillance. Jean-Jacques Henchoz joined Swiss Re in 1998, serving in several underwriting roles in the Swiss Re Group's Europe Division. In 2003 he became head of strategy for Swiss Re's property and casualty business, before he was appointed Chief Executive Officer of Swiss Re Canada and the English Caribbean markets in 2005. Jean-Jacques Henchoz was appointed Head of Swiss Re's EMEA Division and became a member of the Swiss Re Group Management Board as of March 1, 2011. Jean-Jacques Henchoz holds a degree in political science from the University of Lausanne and an MBA from the International Institute for Management Development (IMD), Lausanne.

Moses Ojeisekhoba, Regional President Asia

Moses Ojeisekhoba, a Nigerian and American citizen born in 1966, has been appointed to the Executive Committee as CEO Reinsurance Asia and Regional President Asia, effective March 15, 2012. He will join Swiss Re from Chubb Group of Insurance Companies where he has been the Head for Asia-Pacific since 2009. He spent 16 years with Chubb in various roles in the United States, Europe and Asia. Prior to that, he worked with Unico American Corporation and Prudential in the United States.

J. Eric Smith, Regional President Americas

J. Eric Smith, an American citizen born in 1957, was appointed to the Executive Committee as Regional President Americas effective January 1, 2012. He gained knowledge of the property and casualty business serving in various roles at Country Financial for twenty years. As of 2003 he was responsible for the agency business at Allstate Financial Services, before he joined USAA Life Insurance in 2010 leading the effort to provide life, health and annuity solutions through the direct channel. In July 2011, J. Eric Smith joined Swiss Re as Head of the Americas Division and became member of the Group Management Board. J. Eric Smith holds an MBA in strategy, marketing and corporate finance from the Kellogg Graduate School of Management.

Other Officers

In addition to the members of the Executive Committee, SRL has a President, Martin Albers.

Board of Directors of SRZ

Under SRZ's Articles of Association, the Board of Directors of SRZ is to consist of at least seven members and the term of a director is three years from the date of election by a general meeting of shareholders until the third subsequent annual general meeting of shareholders. Members whose terms expire are immediately eligible for re-election and re-election is substantiated by the Chairman of the Board of Directors of SRZ at the annual general meeting and is separately voted on. The business address of the members of the Board of Directors of SRZ is Mythenquai 50/60, 8002 Zurich, Switzerland.

The Board of Directors of SRZ is constituted as follows:

Name	Birth Year	Position
Walter B. Kielholz.....	1951	Chairman
Mathis Cabiallavetta.....	1945	Vice Chairman
Jakob Baer.....	1944	Director
Raymund Breu.....	1945	Director
Raymond K.F. Ch'ien.....	1952	Director
John R. Coomber.....	1949	Director
Rajna Gibson Brandon.....	1962	Director
Renato Fassbind.....	1955	Director
Malcolm D. Knight.....	1944	Director
Hans Ulrich Maerki.....	1946	Director
Carlos E. Represas.....	1945	Director
Jean-Pierre Roth.....	1946	Director
Robert A. Scott ⁽¹⁾	1942	Director

(1) In October 2011, we announced that Robert A. Scott will resign from the Board of Directors on April 13, 2012, after reaching retirement age.

Executive Team of SRZ

Swiss Re has Executive Teams for each of the three Business Units. The Executive Teams have, subject to the responsibilities of SRL, and the board of directors and the chief executive officer of the relevant Business Unit, overall responsibilities for managing matters relevant to the Business Unit. The following sets forth the members of the Executive Team for SRZ and Reinsurance as expected to be constituted effective April 1, 2012:

Name	Position
Christian Mumenthaler.....	CEO Reinsurance
Jean-Jacques Henchoz.....	CEO Reinsurance EMEA
Moses Ojeisekhoba	CEO Reinsurance Asia
J. Eric Smith	CEO Swiss Re Americas
George Quinn	Reinsurance Chief Financial Officer
David Cole	Reinsurance Chief Risk Officer
Thierry Léger	Head Globals
Matthias Weber ⁽¹⁾	Division Head Property & Specialty Reinsurance
Jayne Plunkett ⁽²⁾	Division Head Casualty Reinsurance
Alison Martin	Division Head Life & Health Reinsurance
Jonathan Isherwood.....	Head Claims, Accounting & Liability Management Reinsurance

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- (1) Effective April 1, 2012, Matthias Weber has been appointed Group Chief Underwriting Officer. His replacement as Division Head Property & Specialty Reinsurance is still to be identified.
- (2) Effective April 1, 2012. Prior to such date, the Division Head Casualty Reinsurance is Martin Oesterreicher.

Taxation

Swiss Taxation

General

The following is a summary of certain Swiss tax consequences of the purchase, beneficial ownership and disposition of the Loan Instruments. The summary does not purport to be a comprehensive description of all of the tax considerations that may be relevant to a decision to purchase, own or dispose of the Loan Instruments. The summary relates only to the position of persons who are the absolute beneficial owners of the Loan Instruments and may not apply to certain other classes of persons.

The summary is based upon Swiss tax laws and tax practice as in effect on the date of this Information Memorandum, which are subject to prospective or retroactive change, and a tax ruling with the Swiss federal tax administration. The summary does not constitute tax or legal advice and the comments below are of a general nature only. Prospective investors in the Loan Instruments should consult their own advisors as to the Swiss or other tax consequences of the purchase, beneficial ownership and disposition of the Loan Instruments.

Loan Instruments

Withholding Tax

Payments by the Issuer of interest on, and repayment of principal of, the Loan Instruments, will not be subject to Swiss federal withholding tax.

On August 24, 2011, the Swiss Federal Council issued draft legislation, which, if enacted, may require a paying agent in Switzerland to deduct Swiss withholding tax at a rate of 35 per cent. on any payment of interest in respect of a Loan Instrument to an individual resident in Switzerland or to a person resident outside of Switzerland. If this legislation or similar legislation were enacted and an amount of, or in respect of, Swiss withholding tax were to be deducted or withheld from that payment, any such deduction or withholding will not constitute a Recalculation of Interest Event and neither the Issuer nor any paying agent nor any other person would pursuant to the Conditions be obliged to pay additional amounts with respect to any Loan Instrument as a result of the deduction or imposition of such withholding tax.

Stamp Taxes

(i) Issuance of Loan Instruments

The issue and the redemption of the Loan Instruments will not be subject to Swiss federal stamp duty on the issue of securities or Swiss federal stamp duty on the dealing in securities.

(ii) Secondary Market Dealings

Secondary market dealings in the Loan Instruments where a Swiss domestic bank or a Swiss domestic securities dealer (as defined in the Swiss Federal Stamp Duty Act) is a party, or acts as an intermediary, to the transaction may be subject to Swiss federal stamp duty on the dealing in securities at a rate of up to 0.15 per cent. of the consideration paid for the Loan Instruments. Where both the seller and the purchaser of the Loan Instruments are non-residents of Switzerland or the Principality of Liechtenstein, no Swiss federal stamp duty on the dealing in securities is payable.

(iii) Write down of Principal Amount

The write down of the Principal Amount of the Loan Instruments following a Stock Settlement Right Objection Notice by the amount of the Specified Denomination will not be subject to Swiss federal stamp duty on the issuance of securities or Swiss federal stamp duty on the turnover of securities.

Income Taxation on Principal and Interest

(i) Loan Instruments held by non-Swiss holders

Payments by the Issuer of interest on, and repayment of principal of, the Loan Instruments, to, and gain realized on the sale or redemption of Loan Instruments by, a holder of Loan Instruments, who is not a resident of Switzerland, and who during the relevant taxation year has not engaged in a trade or business through a permanent establishment or a fixed place of business in Switzerland to which the Loan Instruments are attributable (a “Non-Resident Holder”), will not be subject to any Swiss federal, cantonal or communal income tax.

(ii) Loan Instruments held by Swiss resident holders as private assets

An individual who resides in Switzerland and holds a Loan Instrument privately (a “Resident Private Holder”), is required to include all payments of interest received on such Loan Instrument in his or her personal income tax return for the relevant tax period and is taxable on the net taxable income (including the payment of interest on the Loan Instrument) for such tax period at the prevailing tax rates.

A capital gain realized by a Resident Private Holder on the sale or other disposition of Loan Instruments (including, as the case may be, upon a Stock Settlement) is exempt from Swiss federal, cantonal and communal income tax. Conversely, a Resident Private Holder who realizes a capital loss on the sale or other disposition of Loan Instruments, including, as the case may be, upon a Stock Settlement or the write down of Principal Amount of the Loan Instruments following a Stock Settlement Right Objection Notice by the amount of the Specified Denomination, is not allowed to take an income tax deduction for such loss. See “– Loan Instruments held as Swiss business assets” below for a summary on the tax treatment of individuals classified as “professional securities dealers.”

(iii) Loan Instruments held as Swiss business assets

Individuals who hold Loan Instruments as part of a business in Switzerland, and Swiss-resident corporate taxpayers, and corporate taxpayers residing abroad holding Loan Instruments as part of a Swiss permanent establishment or fixed place of business in Switzerland (a “Resident Commercial Holder”), are required to recognize payments of interest on, and any capital gain or loss realized on the sale or other disposal of, such Loan Instruments, including, as the case may be, upon a Stock Settlement or the write down of Principal Amount of the Loan Instruments following a Stock Settlement Right Objection Notice by the amount of the Specified Denomination, in their income statement for the respective tax period and will be taxable on any net taxable earnings for such period at the prevailing tax rates. The same taxation treatment also applies to Swiss-resident individuals who, for Swiss income tax purposes, are classified as “professional securities dealers” for reasons of, inter alia, frequent dealings, or leveraged transactions, in securities.

European Directive on the Taxation of Savings Income

On October 26, 2004, the European Community and Switzerland entered into an agreement on the taxation of savings income pursuant to which Switzerland will adopt measures equivalent to those of the European Directive 2003/48/EC of 3 June 2003 on the taxation of savings income in the form of interest payments. The agreement entered into force as of July 1, 2005.

In accordance with this agreement, the Swiss law implementing this agreement respectively, Swiss paying agents have to withhold tax at a rate of 35 per cent. on interest payments made under the Loan Instruments to a beneficial owner who is an individual and resident of an EU member state, with the option of the individual to have the paying agent and Switzerland provide to the tax authorities of the EU member state the details of the interest payments in lieu of the withholding.

Conversion, Shares

Withholding Tax

(i) Stock Settlement Options, Stock Settlement Rights, Stock Settlement

The exercise by the Issuer of a Stock Settlement Option, the exercise by a Holder of a Stock Settlement Right (including the Deemed Exercise) and the delivery of Settlement Shares by the Issuer to the Holders in accordance with the stock settlement procedures are not subject to Swiss federal withholding tax.

(ii) Dividends

Dividends that SRL pays on its shares, which are not repayment of nominal value of the shares or repayment of capital contribution reserves (*Kapitaleinlagereseven*), are, with their gross amount, subject to Swiss federal withholding tax at a rate of 35 per cent. SRL is required to deduct the tax from the gross dividend amount and remit the tax to the Swiss federal tax administration.

The tax will be refundable in full to a Resident Private Holder and to a Resident Commercial Holder, who, in each case, inter alia, as a condition to a refund, duly reports the dividend in his or her individual income tax return as income or recognizes the dividend in its income statement as earnings, as applicable.

A Non-Resident Holder may be entitled to a partial refund of the tax if his or her country of residence has entered into a double taxation treaty with Switzerland and the conditions of such treaty are met. Such Holders should be aware that the procedures for claiming treaty benefits (and the time required for obtaining a refund) differ from country to country.

Stamp Taxes

(i) Stock Settlement Options, Stock Settlement Right, Stock Settlement

The exercise by the Issuer of a Stock Settlement Option and the exercise by a Holder of a Stock Settlement Right are not subject to Swiss federal stamp duty on the issuance of securities and Swiss federal stamp duty on the turnover of securities.

(ii) Share Issuance, Share Delivery

The issuance of newly issued SRL Shares is subject to 1 per cent. stamp duty on the issuance of securities. The duty will be borne by the SRZ Group.

The delivery of Settlement Shares by the Issuer to the Holders in accordance with the stock settlement procedures is exempt from Swiss federal stamp duty on the turnover of securities to the initial holders (primary market) if newly issued SRL Shares are delivered, and is subject to 0.15 per cent. Swiss federal stamp duty on the turnover of securities if existing issued SRL Shares are delivered. In accordance with Condition 5(d) any such Swiss federal stamp duty on the turnover of securities upon the delivery of the Settlement Shares to the Holder will be paid by the SRZ Group.

(iii) Secondary Market Dealings

Secondary market dealings in shares where a Swiss domestic bank or a Swiss domestic securities dealer (as defined in the Swiss federal stamp duty act) is a party, or acts as an intermediary, to the dealing may be subject to Swiss federal stamp duty on dealing in securities at a rate of up to 0.15 per cent. of the consideration paid for the shares.

Income Taxation on Shares and Dividends

(i) SRL Shares held by non-Swiss holders

Payments by SRL of dividends on, and repayment of share premium of, the SRL Shares, and repayment of capital contribution reserves (*Kapitaleinlagereserven*) in respect of the SRL Shares, to, and gain realized on the sale of SRL Shares by, a Non-Resident Holder, will not be subject to any Swiss federal, cantonal or communal income tax.

(ii) SRL Shares held by Swiss resident holders as private assets

Resident Private Shareholders are required to include dividends (but not payments reflecting nominal value and repayment of capital contribution reserves) received on the SRL Shares in their personal income tax return and are subject to Swiss federal, cantonal and communal income tax on any net taxable income for the relevant taxation period. Capital gains realized on the sale or disposition of SRL Shares are not subject to Swiss federal, cantonal and communal income tax and, conversely, capital losses are not tax-deductible for Resident Private Shareholders. See “– SRL Shares held as Swiss business assets” below for a summary on the tax treatment of individuals classified as “professional securities dealers.”

(iii) SRL Shares held as Swiss business assets

Resident Commercial Shareholders (other than the corporate taxpayers discussed below) are required to recognize dividends (including repayment of nominal value and repayment of capital contribution reserves) received on SRL Shares and capital gains or losses realized on the sale or other disposition of SRL Shares in their income statement for the respective taxation period and are subject to Swiss federal, cantonal and communal individual or corporate income tax, as the case may be, on any net taxable earnings for such taxation period. The same taxation treatment also applies to Swiss-resident individuals who, for Swiss income tax purposes, are classified as “professional securities dealers” for reasons of, inter alia, frequent dealings, or leveraged transactions, in securities.

Resident Commercial Shareholders who are corporate taxpayers may be eligible for participation relief in respect of dividends (including repayment of nominal value on shares and repayment of capital contribution reserves) if the SRL Shares held by them as part of a Swiss business have an aggregate value of CHF 1 million or more.

Wealth Tax and Capital Tax

Non-Resident Shareholders are not subject to Swiss cantonal and communal private wealth tax or capital tax.

Resident Private Shareholders and Resident Commercial Shareholders, who are individuals and who hold SRL Shares as part of a Swiss business, are required to report their SRL Shares as part of their private wealth or the Swiss business assets, as applicable, and will be subject to Swiss cantonal and communal private wealth tax on any net taxable wealth (including the shares), in the case of Resident Commercial Shareholders to the extent taxable wealth is allocable to Switzerland.

Resident Commercial Shareholders who are corporate taxpayers and who hold SRL Shares as part of Swiss business assets are subject to Swiss cantonal and communal capital tax on taxable capital to the extent allocable to Switzerland.

Transfer Restrictions

General

So long as the Loan Instruments are issued as uncertificated securities (*Wertrechte*), a Loan Instrument may only be transferred by way of a written declaration of assignment (*Abtretungserklärung/-vereinbarung*) complying with and produced to the Issuer in accordance with Condition 1(f)(i) (an “**Assignment**” and “**Assigned**” shall be construed accordingly), in whole but not in part, and only if the Assignment is:

- (i) subject to the Issuer being notified of the intended Assignment and the Issuer not having objected thereto in writing within 10 Business Days after receipt of such notice of the intended Assignment based on reasonable grounds, to a Qualifying Bank or,
- (ii) subject to the Issuer having consented thereto in writing, to the Permitted Non-Qualifying Lender,

provided that there shall at any time be no more than five (5) Qualifying Banks that are Holders. Any purported transfer of a Loan Instrument which is not made in accordance with the foregoing shall be void.

Any Assignment of a Loan Instrument in accordance with the terms of Condition 1 shall be recorded by the Issuer in the Register on production by the assignee at the registered office of the Issuer of:

- (i) the relevant declaration of assignment (*Abtretungserklärung/-vereinbarung*) duly executed by the assignor and the assignee and such form of assignment shall include a representation by the assignee that it is a Qualifying Bank or the Permitted Non-Qualifying Lender; and
- (ii) such other evidence as the Issuer may require to prove the authority of the person signing the form of assignment or the assignee's status as a Qualifying Bank or the Permitted Non-Qualifying Lender.

No Holder shall at any time enter into any arrangement with any third party under which such Holder in a transaction that does not constitute an Assignment, while retaining title to Loan Instruments, transfers all or part of its interest in such Loan Instruments to that third party, unless under, and throughout the term of, such arrangement:

- (i) the relationship between the Holder and the third party is that of debtor and creditor (including during the bankruptcy or similar event affecting that Holder or the Issuer);
- (ii) the third party has no proprietary interest in the benefit of the Loan Instruments or in any monies received by the Holder under or in relation to the Loan Instruments held by that Holder; and
- (iii) the third party under no circumstances will be subrogated to, or substituted in respect of, the Holder's claims under its Loan Instruments, or will otherwise have any contractual relationship with, or rights against, the Issuer under or in relation to the Loan Instruments.

For the avoidance of doubt, the granting of security in accordance with Condition 1(h) shall not be subject to the foregoing limitations.

Any Holder may, without the consent of the Issuer, at any time charge or create a security interest in all or any portion of its rights under any Loan Instruments to secure obligations of such Holder; provided that:

- (i) no such charge or creation of a security interest shall:
 - (A) substitute any such chargee or holder of the benefit of such security interest for such Holder as Holder except in accordance with the provisions of Condition 1(d); or
 - (B) require any payments to be made by the Issuer other than as required by the Loan Instruments. A copy of any notice of charge or creation of security interest as envisaged in Condition 1(g) shall be delivered to the Agent, and the Agent shall not be obliged to take any action in regard to such notice; and
- (ii) such charge or security interest shall in each case provide that upon any assignment or transfer of the interest in the Loan Instruments or enforcement of such charge or security interest, any resulting assignment or transfer shall be in accordance with Condition 1(d);
- (iii) the Holder promptly notifies the Issuer of any such charge or security interest and the identity of the chargee or holder of the benefit of such security interest and status by delivering to the Issuer a notification to such effect; and
- (iv) notwithstanding that the governing law of the Loan Instrument is Swiss law, such charge or creation of security may be governed by English law, and the Issuer acknowledges and agrees that any such choice of English law shall be valid against it.

U.S. Securities Law Restrictions

None of the Loan Instruments, any securities issuable upon substitution of the Loan Instruments or the SRL Shares deliverable upon Stock Settlement have been, or will be, registered, under the Securities Act and may not be offered, sold or resold in the United States or to, or for the account or benefit of, U.S. persons, except in a transaction exempt from, or not subject to, the registration requirements of the Securities Act. The Loan Instruments are not being offered in the United States or to U.S. persons.

Restrictions Applicable in the United Kingdom

This Information Memorandum is for distribution only to, and is only directed at, persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (“FSMA”) (Financial Promotion) Order 2005, as amended, (the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (high net worth companies, unincorporated associations, etc.) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of Section 21 of the FSMA) in connection with the issue or sale of the Loan Instruments and the issue of any securities upon substitution of the Loan Instruments may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This Information Memorandum is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this Information Memorandum relates is available only to relevant persons and will be engaged in only with relevant persons.

Restrictions Applicable in Other Jurisdictions

The distribution of this Information Memorandum in other jurisdictions may be restricted by law and persons into whose possession this Information Memorandum comes should inform themselves about, and observe any such restrictions. Any failure to comply with these restrictions may constitute a violation of U.S. securities laws or the laws of any such other jurisdictions.

General Information

Authorizations

Each the Issuer and SRL has obtained all necessary consents, approvals and authorizations in Switzerland in connection with the offering of the Loan Instruments. The issuance of the Loan Instruments was authorized by resolutions of the Board of Directors of SRZ passed on June 16, 2011 and December 2, 2011, and by resolutions of the Board of Directors of SRL passed on June 16, 2011 and December 2, 2011. Any required resolution(s) of the Board of Directors of SRL authorizing any issuance of SRL Shares upon exercise of either of the Stock Settlement Options by the Issuer will be passed as and when necessary.

Information on Prospects and Outlook for the SRZ Group and the Swiss Re Group

Impact of the Carve-out Transactions

The 2012 consolidated financial statements for the SRZ Group will be impacted by the completion of the Carve-out Transactions, as a result of which the SRZ Group's consolidated financial statements will reflect, as of January 1, 2012, the results of the Reinsurance Business Unit, while the results of the Corporate Solutions and Admin Re[®] Business Units will no longer be included in the SRZ Group's consolidated result. The Swiss Re Group financial statements will continue to reflect all three Business Units. The Carve-out Transactions are subject to FINMA approval.

The Carve-out Transactions are the final step in a series of steps designed to enable the Swiss Re Group to better align the operations of its three Business Units with the strategic priorities in terms of client focus, transparency, accountability and flexibility. From the perspective of the SRZ Group, the transfer of Corporate Solutions and Admin Re[®] to SRL allows the SRZ Group to insulate its reinsurance operations and results from the downside risks while also removing the benefit for the SRZ Group from the upside potential of Corporate Solutions and of Admin Re[®]. While the actual impact of the Carve-out Transactions on the SRZ Group may differ based upon final valuations and changes to business plans, it is expected that the Carve-out Transactions would result, as of and for the year ended December 31, 2011, for the SRZ Group on a pro forma basis, in a reduction of net premiums earned, a reduction in total assets, a reduction in reinsurance liabilities, a reduction in short-term debt, no reduction in long-term debt, and a reduction in shareholder's equity. Shareholder's equity does not reflect that SRZ's subordinated debt is allocated as capital in SRZ's SST model. The Carve-out Transactions, while removing the exposure to risks relating to the transferred operations, will also remove some portion of the benefit of the diversification effect for the SRZ Group in the SST model. We do not expect the reduction of the diversification effect to be significant. As a result, we do not expect a significant change in SRZ's capital adequacy under the SST model.

The quantitative impacts of the Carve-out Transactions on the SRZ Group are expected to be announced on April 17, 2012 and will be available on the website www.swissre.com.

Business Outlook

In Property & Casualty, January 2012 treaty business showed strong premium growth of 20% across all regions. Our strong capital position enabled us to respond to increased client demand for natural catastrophe cover and for capital relief transactions, where prices were above our thresholds. In recent history, large claims events have often been followed by hardening insurance and reinsurance markets. We have begun to observe a similar increase in insurance and reinsurance prices in many important markets and believe this hardening will continue during 2012. We are well positioned to take advantage of price increases in casualty rates based on our strong capital base, disciplined underwriting approach and cycle management. We also see potential for profit growth in markets such as China, Brazil and Vietnam.

In Life & Health, given the current economic environment, we expect reinsurance growth to be driven mostly by the emerging markets, capital relief transactions and longevity risk transfers.

Despite recent improvements in market sentiment, the European sovereign debt crisis continues to create market uncertainty. Overall, the global macroeconomic and financial market outlook remains uncertain. In this context, we expect to maintain a conservative investment strategy.

Independent Auditors

The consolidated financial statements of the SRZ Group presented in accordance with U.S. GAAP as of December 31, 2011 and 2010 and for the years then ended, and as of December 31, 2010 and 2009 and for the years then ended, have been audited by PricewaterhouseCoopers AG, Birchstrasse 160, CH-8050 Zurich, as independent auditors, as stated in their reports appearing therein.

The audited statutory accounts of SRZ presented in accordance with the requirements of Swiss law and SRZ's Articles of Association, as of December 31, 2011 and 2010 and for the years then ended, and as of December 31, 2010 and 2009 and for the years then ended, have been audited by PricewaterhouseCoopers AG, Birchstrasse 160, CH-8050 Zurich, as independent auditors, as stated in their reports appearing therein.

The consolidated financial statements of the Swiss Re Group presented in accordance with U.S. GAAP as of December 31, 2011 and 2010 and for the years then ended, have been audited by PricewaterhouseCoopers AG, Birchstrasse 160, CH-8050 Zurich, as independent auditors, as stated in their reports appearing therein.

PricewaterhouseCoopers AG is a member of the Swiss Institute of Certified Accountants and Tax Consultants.

Documents Available for Inspection

Printed copies of this Information Memorandum can be obtained free of charge at the offices of the Agent at Selnastrasse 16, CH-8002, Zurich, Switzerland.

Copies of the latest and future published audited financial statements of the Swiss Re Group and the SRZ Group, interim financial statements of the Swiss Re Group and the SRZ Group (currently, quarterly) and information on the historical price of the SRL Shares can be downloaded from the website www.swissre.com, following the link to "Investors – Financial information."

Copies of the Articles of Association of SRL and SRZ can be downloaded from the website www.swissre.com, following the link to "About us – Corporate governance – Corporate regulations."

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